

April 2020

The European Bathroom & Kitchen Product Markets

- 2020 Edition -

France

BRG
BUILDING SOLUTIONS

© BRG BUILDING SOLUTIONS

CP House, 97-107 Uxbridge Road, Ealing, London, W5 5TL, United Kingdom

Tel: +44 (0) 208 832 7860 Fax: +44 (0) 208 566 4931

Email: europe@brgbuildingsolutions.com

Website: www.brgbuildingsolutions.com

All rights reserved. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form, or by any means, electronic, mechanical, photocopying, recording or otherwise without the prior permission of the copyright owner.

Table of Contents

The French Bathroom and Kitchen Market

I.1 Introduction : Bathroom & Kitchen

Background : France - Bathroom & Kitchen

II.0	FR - Background	14
II.1	Background : Overview	15
II.2	Key Figures	19
II.3	Macroeconomic Trends and Forecasts	19
II.4	New Dwelling Construction	20
II.5	Dwelling Stock by Type and Tenure	21
II.6	Overview of Impact of COVID-19 on Forecasts	22

Distribution : France - Bathroom & Kitchen

III.0	FR - Distribution	23
III.1	Distribution : Bathroom & Kitchen	24
III.2	Summary of Leading Distributors	31

Baths and Shower Trays - France

1.0	FR - Baths and Shower Trays	32
1.1	Market Overview : Baths and Shower Trays	33
1.2	Historical Trends and Forecasts	40
1.3.1	Prices and Market Values : Baths and Shower Trays	41
1.3.2	Price Segmentation : Cast Iron Baths	42
1.3.3	Price Segmentation : Steel Baths	43
1.3.4	Price Segmentation : Synthetic Baths	44
1.3.5	Price Segmentation : Hydromassage Baths	45
1.3.6	Price Segmentation : Ceramic Shower Trays	46
1.3.7	Price Segmentation : Steel/ Cast Iron Shower Trays	47
1.3.8	Price Segmentation : Synthetic Shower Trays	48
1.4.1	End Use : Base Year	49
1.4.2	End Use : Historical and Forecasts	50
1.4.3	Sales by Type : Baths	51
1.4.4	Sales by Shape : Shower Trays	52
1.4.5	Sales by Material : Synthetic Baths	53
1.4.6	Sales by Material : Synthetic Shower Trays	53
1.5.1	Market Shares : Cast Iron Baths	54

1.5.2	Market Shares : Steel Baths	54
1.5.3	Market Shares : Synthetic Baths	55
1.5.4	Market Shares : Hydromassage Baths	55
1.5.5	Market Shares : Ceramic Shower Trays	56
1.5.6	Market Shares : Steel / Cast Iron Shower Trays	56
1.5.7	Market Shares : Synthetic Shower Trays	57
1.6.1/2	Imports & Exports : Cast Iron Baths	58
1.6.3/4	Imports & Exports : Steel Baths	59
1.6.5/6	Imports & Exports : Synthetic Baths / Shower Trays	60
1.7.1/2	Route to Market : Baths	61
1.7.3/4	Consolidated View : Baths	62
1.7.5/6	Route to Market : Shower Trays	63
1.7.7/8	Consolidated View : Shower Trays	64
1.8	Market Revision : Baths and Shower Trays	65
Sanitary Ware - France		
2.0	FR - Sanitary Ware	66
2.1	Market Sector Overview : Sanitary Ware	67
2.2.1	Historical Trends and Forecasts : Sanitary Ware	73
2.2.2	Historical Trend and Forecasts: Installation Mod.	74
2.3.1	Prices and Market Values : Sanitary Ware	75
2.3.2	Prices and Market Values by Type : CSW	76
2.3.3	Prices and Market Values by Type of Rim : WCs	77
2.3.4	Prices and Market Values by Type : Conc. Cisterns	78
2.3.5	Prices and Market Values : Non-Ceramic Washbasins	79
2.3.6	Price Segmentation : WCs	80
2.3.7	Price Segmentation : Ceramic Washbasins	81
2.3.8	Price Segmentation : Concealed Plastic Cisterns	82
2.3.9	Price Segmentation : Exposed Plastic Cisterns	83
2.3.10	Price Segmentation : Non Ceramic Washbasins	84
2.4.1	End Use : Base Year	85
2.4.2	End Use : Historical and Forecasts	86
2.5.1	Market Shares : All Ceramic Sanitary Ware	87
2.5.2	Market Shares : WCs	87
2.5.3	Market Shares : Ceramic Washbasins	88
2.5.4	Market Shares : Other Ceramic Sanitary Ware	88
2.5.5	Market Shares : Concealed Plastic Cisterns	89

2.5.6	Market Shares : Exposed Plastic Cisterns	89
2.6.1/2	Imports & Exports : CSW All	90
2.6.3/4	Imports & Exports: Plastic Cisterns	91
2.7.1/2	Route to Market : Ceramic Sanitary Ware	92
2.7.3/4	Consolidated View : Ceramic Sanitary Ware	93
2.7.5/6	Route to Market : Plastic Cisterns	94
2.7.7/8	Consolidated View : Plastic Cisterns	95
2.8	Market Revision : Sanitary Ware	96
Taps and Mixers - France		
3.0	FR - Taps and Mixers	97
3.1	Market Sector Overview : Taps and Mixers	98
3.2	Historical Trends and Forecasts : Taps and Mixers	106
3.3.1	Prices and Market Values : Taps and Mixers	107
3.3.2	Prices and Market Values by Type : Taps & Mixers	108
3.3.3	Price Segmentation : Bath Taps and Mixers	109
3.3.4	Price Segmentation : Bidet Taps and Mixers	110
3.3.5	Price Segmentation : Kitchen Taps and Mixers	111
3.3.6	Price Segmentation : Shower Taps and Mixers	112
3.3.7	Price Segmentation : Washbasin Taps and Mixers	113
3.4.1	End Use : Base Year	114
3.4.2	End Use : Historical and Forecasts	115
3.4.3	Sales by Type and Application : Taps and Mixers	116
3.4.4	Sales by Type of Finish : Taps and Mixers	117
3.4.5	Sales by Type of Installation : Taps and Mixers	118
3.4.6	Sales by Type of Mounting : Taps and Mixers	119
3.5	Market Shares : Taps and Mixers	120
3.6.1/2	Imports & Exports : Mixers	121
3.6.3/4	Imports & Exports : Taps	122
3.7.1/2	Route to Market : Kitchen Taps and Mixers	123
3.7.3/4	Consolidated View : Kitchen Taps and Mixers	124
3.7.5/6	Route to Market : Sanitary Taps and Mixers	125
3.7.7/8	Consolidated View : Sanitary Taps and Mixers	126
3.8	Market Revision : Taps and Mixers	127
3.9.1	Historical Trends and Forecasts : Flushing Valves	128
3.9.2	Prices and Market Values : Flushing Valves	129
3.9.3	Market Shares : Urinal Flushing Valves	130

3.9.4	Market Shares : WC Flushing Valves	130
3.10	Market Revision : Flushing Valves	131
Shower Wall - France		
4.0	FR - Shower Wall	132
4.1	Market Sector Overview : Shower Wall	133
4.2	Historical Trends and Forecasts : Shower Wall	139
4.3.1	Prices and Market Values : Shower Wall	140
4.3.2	Price Segmentation : Bath Screens	141
4.3.3	Price Segmentation : Conventional Shower Cubicles	142
4.3.4	Price Segmentation : Hydrotherapy Shower Cubicles	143
4.3.5	Price Segmentation : Shower Enclosures	144
4.4.1	End Use : Base Year	145
4.4.2	End Use : Historical and Forecasts	146
4.4.3	Sales by Type : Bath Screens	147
4.4.4	Sales by Type : Shower Enclosures	147
4.4.5	Sales by Type of Door : Shower Enclosures	148
4.5.1	Market Shares : Bath Screens	149
4.5.2	Market Shares : Conventional Shower Cubicles	149
4.5.3	Market Shares : Hydrotherapy Shower Cubicles	150
4.5.4	Market Shares : Shower Enclosures	150
4.6.1/2	Route to Market : Shower Wall	151
4.6.3/4	Consolidated View : Shower Wall	152
4.7	Market Revision : Shower Wall	153
Bathroom Furniture - France		
5.0	FR - Bathroom Furniture	154
5.1	Market Overview : Bathroom Furniture	155
5.2	Historical Trends & Forecasts : Bathroom Furniture	160
5.3.1	Prices and Market Values : Bathroom Furniture	161
5.3.2	Price Segmentation : Base Units	162
5.3.3	Price Segmentation : Mirrors and Mirror Cabinets	163
5.3.4	Price Segmentation : Separate Cabinets	164
5.4.1	End Use : Base Year	165
5.4.2	End Use : Historical and Forecasts	166
5.4.3	Sales by Type of Washbasin Material : Base Units	167
5.4.4	Sales by Type of Material : Base Units	167
5.4.5	Sales by Type of Washbasin : Base Units	168

5.4.6	Sales by Type of Colour : Base Units	168
5.4.7	Sales by Width : Base Units	169
5.4.8	Sales by Type : Mirror and Mirror Cabinets	169
5.4.9	Sales by Type of Material : Mirror Cabinets	170
5.4.10	Sales by Type of Material : Separate Cabinets	170
5.4.11	Sales by Type of Installation : Separate Cabinets	171
5.4.12	Sales by Type of Colour : Separate Cabinets	171
5.4.13	Sales by Height : Separate Cabinets	172
5.5.1	Market Shares : Base Units	173
5.5.2	Market Shares : Mirror and Mirror Cabinets	173
5.5.3	Market Shares : Separate Cabinets	174
5.6.1/2	Route to Market : Bathroom Furniture	175
5.6.3/4	Consolidated Flow : Bathroom Furniture	176
5.7	Market Revision : Bathroom Furniture	177

Bathroom Accessories - France

6.0	FR - Bathroom Accessories	178
6.1	Market Overview : Bathroom Accessories	179
6.2	Historical Trends and Forecasts : Bathroom Acces.	183
6.3	Prices and Market Values : Bathroom Accessories	184
6.4.1	End Use : Base Year	185
6.4.2	End Use : Historical and Forecasts	186
6.4.3	Sales by Type of Material : Bathroom Accessories	187
6.4.4	Sales by Price Segment : Bathroom Accessories	187
6.5	Market Shares : Bathroom Accessories	188
6.6.1/2	Route to Market : Bathroom Accessories	189
6.6.3/4	Consolidated View : Bathroom Accessories	190
6.7	Market Revision : Bathroom Accessories	191

Shower Accessories - France

7.0	FR - Shower Accessories	192
7.1	Market Sector Overview : Shower Accessories	193
7.2.1	Historical Trends & Forecasts : Shower Accessories	198
7.2.2	Historical Trends & Forecasts : Shower Sets	199
7.3.1	Prices and Market Values : Shower Accessories	200
7.3.2	Prices and Market Values by Type : Shower Heads	201
7.3.3	Price Segmentation : Flexible Hoses	202
7.3.4	Price Segmentation : Shower Heads	203

7.3.5	Price Segmentation : Shower Panels	204
7.3.6	Price Segmentation : Shower Pipes	205
7.3.7	Price Segmentation : Shower Supports	206
7.4.1	End Use : Base Year	207
7.4.2	End Use : Historical and Forecasts	208
7.4.3	Sales By Type of Material : Flexible Hoses	209
7.4.4	Sales by Type of Finish : Shower Heads	209
7.4.5	Sales By Type of Function : Shower Heads	210
7.4.6	Sales by Type of Installation : Shower Heads	210
7.4.7	Sales By Type of Shape : Shower Heads	211
7.4.8	Sales by Type of Application : Shower Pipes	211
7.4.9	Sales by Type of Mixer : Shower Pipes	212
7.4.10	Sales by Type of Finish: Shower Panels	212
7.4.11	Sales By Type : Shower Supports	213
7.5.1	Market Shares : Flexible Hoses	214
7.5.2	Market Shares : Shower Heads	214
7.5.3	Market Shares : Shower Panels	215
7.5.4	Market Shares : Shower Pipes	215
7.6.1/2	Route to Market : Shower Accessories	216
7.6.3/4	Consolidated View : Shower Accessories	217
7.7	Market Revision : Shower Accessories	218
Kitchen Sinks - France		
8.0	FR - Kitchen Sinks	219
8.1	Market Sector Overview : Kitchen Sinks	220
8.2	Historical Trends and Forecasts : Kitchen Sinks	225
8.3.1	Prices and Market Values : Kitchen Sinks	226
8.3.2	Price Segmentation : Cast Iron Kitchen Sinks	227
8.3.3	Price Segmentation : Ceramic Kitchen Sinks	228
8.3.4	Price Segmentation : Enamelled Steel Kitchen Sinks	229
8.3.5	Price Segmentation : Stainless Steel Kitchen Sinks	230
8.3.6	Price Segmentation : Synthetic Kitchen Sinks	231
8.4.1	End Use : Base Year	232
8.4.2	End Use : Historical and Forecasts	233
8.4.3	Sales by Type of Installation : Kitchen Sinks	234
8.4.4	Sales by Type of Configuration : Kitchen Sinks	235
8.5.1	Market Shares : Ceramic Kitchen Sinks	236

8.5.2	Market Shares : Stainless Steel Kitchen Sinks	236
8.5.3	Market Shares : Synthetic Sinks	237
8.6.1/2	Route to Market : Kitchen Sinks	238
8.6.3/4	Consolidated View : Kitchen Sinks	239
8.7	Market Revision : Kitchen Sinks	240
Kitchen Tap and Mixers - France		
9.0	FR - Kitchen Taps & Mixers	241
9.1	Market Sector Overview : Kitchen TM	242
9.2	Historical Trends and Forecasts : Kitchen TM	247
9.3.1	Prices and Market Values : Kitchen Taps & Mixers	248
9.3.2	Price Segmentation : Kitchen Taps & Mixers	249
9.4.1	End Use : Base Year	250
9.4.2	End Use : Historical and Forecasts	251
9.5	Market Shares : Kitchen Taps & Mixers	252
9.6.1/2	Route to Market : Kitchen Taps & Mixers	253
9.6.3/4	Consolidated View : Kitchen Taps & Mixers	254
9.7	Market Revision : Kitchen Taps & Mixers	255

Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

For further information, please contact us:

BRG Building Solutions
CP House
97-107 Uxbridge Road
Ealing, London, W5 5TL
United Kingdom

Website: www.brgbuildingsolutions.com
Email: europe@brgbuildingsolutions.com

FRANCE

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

France, officially the French Republic, is the largest country in Western Europe, with a metropolitan area of 551,500 square kilometres (342,686 square miles). France shares borders with Belgium, Luxembourg, Germany, Switzerland, Italy, Monaco, Spain and Andorra. In the country, metropolitan France is sometimes referred to as the 'Hexagon' because of its six-sided shape.

Topographically and climatically, France is a temperate country, but wide regional contrasts exist. France is also favourably placed geographically, occupying a pivotal location within the European Community. Since 1 January 2016, metropolitan France has been administratively divided into 13 regions, including Corsica (previously 22 regions), and subdivided into 96 departments, along with five overseas regions (DROM): Guadeloupe, Martinique, Guyane (French Guiana), Réunion and Mayotte, which have the same status as metropolitan regions. The French Republic also includes five overseas local administrative governments (COMs): French Polynesia, Saint-Barthélemy, Saint-Martin, Saint-Pierre and Miquelon, and Wallis and Futuna. The French Republic is further made up of one special local administrative government, New Caledonia (the administrative status of which differs slightly from other COM areas), and one overseas territory called the French Southern and Antarctic Lands.

France is the second-most populated country in the EU, after Germany. The evolution of the average age of the population, and to a lesser extent, lifestyle changes, has had an impact on the total number of households living within the 'Hexagon'. Indeed, the growth of the French population is naturally leading to an increase in the number of households. In addition, traditional ways of living, which have changed rapidly over the past few years, are progressively abandoned in favour of cohabitation (*unions libres*).

French is the official and most predominantly spoken language of France, and is also one of the 24 official working languages of the European Union. French is the only official language of the country, according to the second article of the Constitution of 1958. Some regional languages, including German dialects (Alsatian), Celtic languages (Breton) and Gallo-Romance languages (Langues d'Oïl and Occitan), are also spoken to varying degrees as secondary languages, but most of those who speak minority languages also speak French. A recent revision of the Constitution of 1958 officialised the recognition of regional languages, and Parliament implemented this revision in July 2008. Finally, an important number of immigrant languages are widely spoken in France, with Maghrebi Arabic being currently the most common second language in the country, followed by Berber, Italian and Portuguese.

Macroeconomic Overview

After four positive years, the French economy slowed down in 2019. In fact, the European Commission and the IMF announced that GDP growth increased at a slower pace in 2019 than in 2018. The movement of the 'yellow jacket' also impacted at a larger extent than previously expected the GDP in 2019. However, the government put in place measures to sustain the purchasing power; growth was driven by strong private investment and by a strong recovery in the housing market.

According to the INSEE (the National Institute of Statistics and Economic Studies), the GDP decreased in Q4 2019, after three first quarters recording a positive performance. Household consumption remained positive during the same period. Imports were less dynamic in Q4 2019 than Q3, while exports remained flat in Q4 2019, after negative developments in the previous quarters.

The total production of goods and services remained dynamic in 2019 but slowed down in comparison to 2018. However, production of goods declined slightly in 2019, sustained with the performance of the manufactured industry. On the other hand, construction and household consumption recorded a more dynamic performance in 2019.

In Q4 2019, the unemployment rate continued its ongoing decreasing trend which started in 2016. Young professionals did not benefit from the slowing rate of unemployment in 2019, unlike the other segment of the population (25 to 49 and more than 50 years old). Plus, men seemed to have benefited more from this reduction in unemployment. Long-term unemployment seemed to follow the same trend, with a decrease in the unemployment rate for this category since 2017.

According to the European Commission (Country Report 2020), GDP growth in France remained positive but continued to slow down in 2019. The significant gain in purchasing power impacted positively on the private consumption and sustained the good development of the country. In fact, the government put in place some measures helping the regain of the purchasing power. Rising wages, decline of unemployment, inflation and supportive fiscal measures were beneficial to the country. Plus, investments remained dynamic in 2019. Growth of import continued to increase, while export growth declined due to the falling demand.

Since the beginning of the crisis, France has reduced its deficit more slowly than the rest of the Eurozone area, which has resulted in diverging debt developments. According to the European Commission, the Council reviewed its decision of April 2009 concerning the excessive deficit in France. The procedure was closed in June 2018, guaranteeing the reduction of the French deficit to below the European Union's 3% of GDP reference value (France's general government deficit was estimated at 2.6% of GDP in 2017 and 3.4% in 2016). Only one member of the European Union (Spain) remains subject to the procedure for now, even though 24 member states were subject to an excessive deficit procedure after the Euro crisis.

in 2010-11. The ratio of the French gross government debt to GDP reached 98.4% in 2018 and 98.9% in 2019.

The COVID-19 pandemic makes it especially challenging to forecast economic impact in France and worldwide. The largest public health crisis in living memory generated a major economic crisis with a collapse in consumption confidence and stock exchanges due to the rising uncertainty for the future. France entered a complete lockdown on the 26th of March 2020. The INSEE published estimations of the impact of these measures on the 9th (09.04.2020). The instantaneous loss of activity is expected to have slowed down the French economy by one third on the GDP (-36%). Some industries are more impacted than others, as tourism and the car industry totally stopped during the lockdown, while the food industry is working at a relatively normal pace. Household consumptions are also estimated to have lost 35% of the performance. INSEE estimates the annual GDP to drop by 3 points for a lockdown of one month. However, it is unlikely the economy will go back to a normal pace after the lockdown which could decrease further this estimate. On the 7th of April, the government reported 6.3 million of partial unemployment that had been registered in France, which represent one third of the employees in the private sector. In fact, OECD highlights the government measures to help the population during the outbreak, including the shortening of the procedures to encourage temporary lay-offs. Plus, the government compensates the full wage of partial unemployment.

Residential Construction

New Housing

All data related to construction starts published from the French government come from an econometric model. All building start data are now estimated, using the number of building permits and some specific econometric parameters. An annual survey will also be carried out once a year to adjust the results. For BRG, there is a possibility that in the future the number of building permits and, therefore, the number of building completions may not reflect the exact reality of the construction market in France – but such data are the only information available.

A sharp increase in building permit demands and dwelling starts recorded in 2017 and 2018 were translated into new completions in 2019, taking into account the lead time generally between new housing starts and the house deliveries. In fact, at the end of 2017 the total amount of new housing loans hit a new record, with 489,600 permits issued. From 2018, the number of permits issued has declined. In 2017, 436,500 projects began – which represents a sharp increase compared to 2016. On the other hand, 419,000 projects started in 2018 and 399,100 in 2019. The prolongment of the PINEL (taxes scheme for investment in rental real estate) and the PTZ (interest-free loan to help with the acquisition of a main residence) schemes did not boost the market as much as in previous years, due to some further restrictions added by the government. In fact, a decrease of 28% of the number of PTZs granted has been recorded, compared to the previous year.

Even though loan rates stabilised, the loan environment remains favourable to the real estate market. According to the *Notaires de France* (French Notaries), the average interest rate on new home loans remained at a low level and the prices increased moderately. The government restructured the social housing scheme (*HLM - habitation à loyer modéré*) with the ELAN law. Both the social housing plan and energy renovation plans suffered from a reduction in budget, and this should push down the residential real estate market. The social housing plan encourages sales of properties at the expense of new construction. Landlords should tend to postpone investment in France due to the uncertainty of the plan in the future.

The number of flats completed recorded a weaker increase in 2019, while individual housing completed represent a higher proportion of the construction market, with a strong increase in 2019 against a mild decline in 2018. Total completions are set to decline strongly in 2020 and 2021 due to the COVID-19. The construction industry has slowed down significantly during the outbreak in France.

Housing RMI

CITE has been extended until the end of 2020– but revised with a restricted scope of products and budget. The energy renovation plan should slow down the residential renovation market over the forecast period, even though it should remain positive. A positive trend has been observed in the RMI sector in recent years, with a slowdown of the growth rate from 2016 to 2018. In 2019, the RMI activity in the residential sector should have recorded a mild increase (according to Euroconstruct's latest data published in November 2019). Plus, the consumer confidence, increase of the purchasing power, combined with the sharp increase of real estate transactions confirmed the good performance of the RMI segment in 2019. The RMI segment should decrease in 2020 and 2021 due to the COVID-19. Indeed, the consumer confidence is set to drop, as well as the purchasing power in the near future. This, combined with a few months of drastic slow down due to the lockdown, should impact the renovation in France.

Non-Residential Construction

New non-residential building activity dropped in 2015 and 2016, to rebound in 2017 and remained positive until 2019. According to the latest data published by Euroconstruct in November 2019, non-residential construction activity is estimated to have continued its growth in 2019, but recorded a weaker growth in comparison to 2018. Renovation activity rebounded slightly in 2019, in comparison to 2018. However, the expected increase in the price of energy and the ELAN law voted on in 2018 should encourage the commitment towards the improvement of energy consumption. In fact, the law requires a reduction by 40% of energy consumption of buildings in 2030, in comparison to the level reached in 1990.

II.2 Key Figures

FR - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

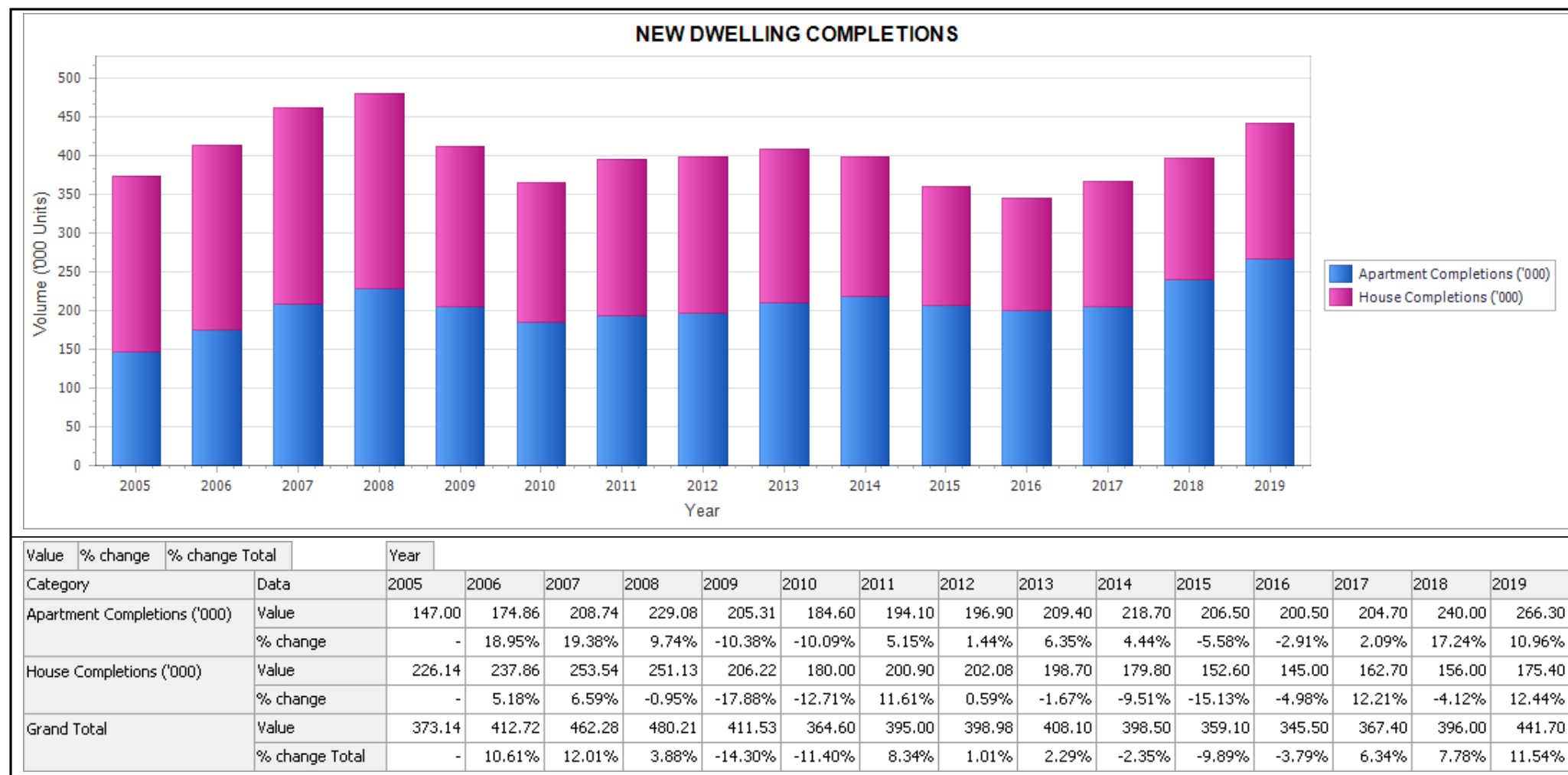
FR - MACROECONOMIC KEY INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	1.89	1.89	1.61	3.16	0.10	1.74	2.29	2.21	0.99	0.61	0.09	0.31	1.16	2.10	1.30	0.29	0.70
GDP (% change)	1.66	2.45	2.43	0.26	- 2.87	1.95	2.19	0.31	0.58	0.96	1.11	1.10	2.26	1.73	1.31	- 7.18	4.47
Government Balance (% of GDP)	- 3.36	- 2.44	- 2.64	- 3.26	- 7.18	- 6.89	- 5.16	- 4.98	- 4.08	- 3.91	- 3.63	- 3.54	- 2.77	- 2.27	- 3.02	- 9.17	- 6.24
Private Consumption (% change)	2.41	2.14	2.64	0.52	0.30	1.88	0.62	- 0.41	0.60	0.84	1.43	1.64	1.56	0.87	1.24	1.45	1.33
Unemployment Rate (%)	8.89	8.83	7.98	7.46	9.08	9.25	9.20	9.76	10.30	10.28	10.37	10.04	9.43	9.03	8.45	10.40	10.40

Source : IMF and OECD. N.B. No data available beyond 2021 at the time of publication.

II.4 New Dwelling Construction

FR - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.5 Dwelling Stock by Type and Tenure
FR - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	44.38
	Apartments ('000)	15 831.00
	Houses : Rural (%)	20.81
	Houses : Rural ('000)	7 423.00
	Houses : Urban (%)	34.81
	Houses : Urban ('000)	12 418.00
Dwelling Stock by Tenure	Primary Owned (%)	47.15
	Primary Owned ('000)	17 261.53
	Primary Rented : Private (%)	18.93
	Primary Rented : Private ('000)	6 928.82
	Primary Rented : Public (%)	15.64
	Primary Rented : Public ('000)	5 725.65
	Secondary (%)	9.81
	Secondary ('000)	3 590.00
	Vacant (%)	8.48
	Vacant ('000)	3 103.00

Source: BRG based on Country Statistics.

II.6 Overview of Impact of COVID-19 on Forecasts

FR – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	Since 17 th March [expected easing from 11 th May].
Number of officially confirmed cases [fatalities] to date / population	130,000 confirmed cases [23,600 fatalities] as of 28 th April. Total population (end 2019): 67m.
General measures in place to support the economy	Suspension of increase in gas, electricity and water prices. Suspension of some administration measures.
Statistics on affected individuals (unemployed or temporarily off work)	Some 10.2 million private sector workers have applied for support through the country's temporary unemployment scheme, or one employee out of two and six companies out of 10 (as of 22 nd April). In the building and construction sector, 93% of the 1.2 million workers are currently on the scheme as well as 90% of those in the hotel and restaurant sectors.
Measures in place to mitigate economic impact on INDIVIDUALS	Staff at companies deemed temporarily unemployed are receiving 84% of their salaries (up to 4.5 times the minimum wage) from the state as a measure to avoid mass lay-offs. The scheme includes those on permanent and short-term contracts of 12-months or more, but not freelancers. Extension of overtime (46 to 60 hours per week) is authorised. Indemnification for parents who have to take care of children (minimum 90% of salary).
Statistics on affected companies (% of total forced to suspend activities)	All non-essential establishments are closed.
Specific measures affecting BUILDING CONSTRUCTION and RMI (including access to DIY stores)	As of 18 th April, 87.3% of construction sites remained closed. Only 3% of companies are estimated to be continuing business as usual (essentially companies specialised in emergency work). Activities in new construction have dropped by 14%, while renovations have decreased by 10.5%. Some DIY stores have remained open and applied the 'click and collect' system. €1 billion is allocated to companies with a turnover below €1 million.
Measures in place to mitigate economic impact on COMPANIES	
Support measures from international organisations (EU, IMF, World Bank, other)	Suspension of the EU's deficit limits , so member states can boost spending. Up to €800 million available for European countries in 2020 to cover public health emergencies (from the extension of the EU Solidarity Fund).

Sources:

- <https://www.francetvinfo.fr/sante/maladie/coronavirus/infographies-covid-19-morts-hospitalisations-age-malades-l-evolution-de-l-epidemie-en-france-et-dans-le-monde-en-cartes-et-graphiques.html>
- <https://www.nicematin.com/economie/confinement-code-du-travail-mesures-economiques-les-dernieres-annonces-du-gouvernement-486587>
- <https://www.linternaute.com/sortir/magazine/2489135-magasins-fermes-ou-ouverts-a-cause-du-coronavirus-la-liste-complete/>
- <https://www.lemoniteur.fr/article/chute-d-activite-de-12-pour-l-artisanat-du-batiment-au-premier-trimestre.2087356#xtor=EPR-23&email=scombarieu@brggroup.com>
- <https://www.gouvernement.fr/info-coronavirus>
- <https://www.lesechos.fr/economie-france/conjoncture/jean-luc-tavernier-insee-le-secteur-de-la-construction-est-le-plus-touche-avec-un-recul-de-90-de-son-activite-1189383>
- <https://www.insee.fr/fr/information/4470857>
- <https://www.insee.fr/fr/statistiques/4473296>

FRANCE

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

Bathroom, heating and plumbing product distribution is very much integrated in France, as in most European countries. Major wholesalers, so-called *grossistes sanitaire-chauffage*, and large DIY channels strongly dominate the French distribution market for bathroom products. The wholesale channel tends to be favoured by bathroom manufacturers to distribute their products, and by French plumbers and installers to purchase them. On the other hand, the DIY channel also holds a key position on the French market since French consumers are believed to be price-oriented and therefore, are looking for low-priced products. Leading bathroom brands have since built key distribution partnerships with leading DIY retailers (such as IDEAL STANDARD and KOHLER with LEROY MERLIN, for instance) in order to take advantage of consumers' preference for this channel. Most bathroom product manufacturers are believed to distribute their stocks through the wholesale and DIY channels, rather than employ multi-channel strategies. However, some of them, such as GROHE, have started to employ a multi-channel strategy by adding online sales to traditional channels. Nevertheless, to implement such a strategy, manufacturers must adopt a coherent price policy to satisfy their different partners. In recent years, the main characteristic of the bathroom wholesale and DIY industry is the clear trend towards increasing concentration, whether through acquisitions or in the form of strategic groupings. Between 2008 and 2014, the cumulative importance in value of the 15 leading players in the building/DIY distribution increased from 77.6% to 86.1%. The financial crisis that impacted France from 2008 accelerated this phenomenon of concentration of companies and the development of groups.

In recent years, distribution in the French bathroom market has been influenced by new trends. The decreasing retail prices of home products, partly because these or their components are predominantly manufactured in Asia, have enticed consumers to improve the comfort of their homes. In the past, positive momentum in construction activity also favoured DIY sales. However, demand has become more complex as consumers have turned into 'hyper consumers'. The variety of consumer needs and motivations has led to a growing inefficiency of mass marketing techniques.

The dominance of wholesalers and DIY retailers on the French bathroom market has led the distribution of bathroom products to primarily follow a 'three-or-more step' distribution chain that comprises both sales from manufacturers/importers to specialist wholesalers, and sales from manufacturers/importers to wholesalers, which then supply DIY stores. The distribution from manufacturers/importers directly to DIY stores is believed to be marginal on the French distribution market for bathroom products.

Due to the overall importance of the wholesale and DIY channels, direct sales of bathroom products (from manufacturers to installers) remain at a low level. The proportion of direct supply has in fact decreased over the last few decades, and is

mainly comprised of small, specialist manufacturers that concentrate on working directly with customers to produce bespoke solutions or artisan products to order. Certain manufacturers will also supply products directly to hypermarkets, although this practice remains marginal.

Finally, the development of the internet has been slow in France, even though it provides greater access to products and solutions via multichannel access. BRG's assumption is that, in France, the internet is increasingly used as a research tool for consumers rather than for purchasing directly – even if there is a real development of online sales.

Wholesale Level

As previously stated, the wholesale trade is considered to be the key segment for the French bathroom product distribution sector, and is dominated by several key players. Firstly, the wholesale trade comprises heating and plumbing generalists. This category is made up of a number of different types of organisations, including large specialist integrated national or multiregional chains such as BROSSETTE, CEDEO, COMAFRANC, and RICHARDSON; buying groups (*groupement d'achats*), which are voluntary groupings of independent companies (GAPSA, RESIA, and SOCODA); and smaller independent wholesalers, either local or regional. These merchants distribute all types of bathroom products.

The second main wholesaler chains present on the French distribution market are the mixed and heavyside builders' merchants such as BIGMAT, POINT P, GROUPE SOCODA, MC DISTRIBUTION, NEBOPAN, TOUT FAIRE, and VM MATERIAUX. These merchants specialise in the distribution of construction materials. This category also includes different but complementary merchants such as SONEPAR, REXEL, SOCODA ELECTRICITE, PARTELEC, and COMPTOIR ELECTRIQUE FRANCAIS. These latter merchants traditionally specialise in electric products and tend to have a limited offer of bathroom products. In terms of structure, this sector can be divided into four groups, each of which accounts for roughly a quarter of the turnover of the overall sector. Firstly, there is on the French market one major national group, SAINT-GOBAIN, which owns POINT P and WOLSELEY FRANCE, and about 30 multi-regional or regional groups. Secondly, this sector comprises voluntary groups of individual companies organised into buying groups with regional or even national influence, of which the largest are TIMOLIA (BIGMAT and GEDIMAT), SOCODA, CNEM, MC DISTRIBUTION, ALTERAL, and BATIMAT. These types of buying groups are expanding their membership and, subsequently, their market shares over the major national groups.

As previously mentioned, the main characteristic of the bathroom wholesale industry is the clear trend towards increasing concentration, whether through acquisitions or in the form of strategic groupings. The concentration dynamic has continued to develop further in the last few years, especially through the strengthening of buying groups. Made up of independent distributors, these buying groups have demonstrated more flexibility and reactivity than traditional players.

The necessity to benefit from purchasing and negotiation powers, as well as to offer adapted services to the consumer, has been a growing trend within all distribution sectors over the past few years. In July 2015, for instance, MARTIN BELAYSOU, the French multi-regional distribution company, announced that it would progressively take control of ANJAC CSI (the distributor part of the ANJAC GROUP). The family group should initially, through its subsidiary TEREVA, own 48% of ANJAC CSI, before acquiring all the shares in the 2018-2019 horizons. The GROUP MB EXPANSION may, therefore, consolidate its position in the distribution sector, already strengthened by the acquisition of DORISE through its subsidiary MABEO INDUSTRIES (acquisition effective as of 1 January 2015).

Finally, bathroom manufacturers use principally the wholesale trade to distribute their stock of bathroom products. The distribution of bathroom products within the French wholesale channel tends to follow traditional routes, with the leading wholesalers selling through stores and showrooms. Nevertheless, it is anticipated that a greater number of wholesalers will establish web shops, or offer products through recognised online retailers, as the growing popularity of the internet channel gathers pace.

Retail Level

DIY Retailers

In recent years, distribution in the French improvement market has changed. The distribution is mainly represented by LEROY MERLIN, CASTORAMA, and BRICO DEPOT. MR BRICOLAGE, BRICO LECLERC, LA BOITE A OUTILS, L'ENTREPOT DU BRICOLAGE, BRICO PRO, and BRICO PRO RELAIS are the outsiders of this concentrated sector. Even though the digital companies slowly take share (3%), physical shops continued to hold the largest share of the overall turnover of the branch in 2017. However, internet is often used in the earliest stage of the purchasing process as a research tool to allow comparison of products. Hence, the retail price has been pressured down, which favours the development of Asian component manufacturers. Pure players on the market have developed sharply these last few years (+20% in 2017), with distributors such as AMAZON and MANOMANO enlarging their offers.

The DIY sector, as a whole, comprises very different distribution channels and is principally dominated by large DIY shops (so-called *Grand Surface de Bricolage* (GSB)), which represent 76% of the market, followed by trades (15%); e-commerce (4%); traditional shops (3%) and finally, generalist hypermarkets (2%), according to the latest data available from UNIBAL.

Among large DIY stores, four types of chains can be identified based on these chains' ownership and internal structure. The first one is the 'integrated' chains that comprise, among others, CASTORAMA and LEROY MERLIN, whereby each individual store (or outlet) reports to a larger group. Then, the second category is the 'franchised' chain (such as CATENA, BRICOMARCHE, etc.), wherein each store is financially 'independent' but has to pay royalties and follow some

‘managerial’ guidelines. The third category comprises buying groups (such as COFAQ or LE CLUB, which was taken over by MR BRICOLAGE). These follow the same principles as in the merchant industry but are still rather limited in the DIY sector. Finally, there are on the French market mixed versions of the previous ones, i.e. ‘mainly integrated’ or ‘mainly franchised’ chains such as GROUPE MR BRICOLAGE.

Market shares of DIY retailers remained relatively similar in 2018 compared to 2017, according to the latest data available. GROUPE ADEO (LEROY MERLIN, WELDOM and BRICOMAN) ranked first with 43%, closely followed by KINGFISHER (CASTORAMA and BRICO DEPOT) with around 29%. The INTERMARCHE (BRICOMARCHE, BRICORAMA and BRICOCASH) came next, ahead of the MR BRICOLAGE GROUP (MR BRICOLAGE, BRICONAUTES, BRICO LECLERC and ENTREPOT DU BRICOLAGE) and the BRICORAMA GROUP (BAKTOR).

The DIY industry, following the movement seen in the wholesale channel, nowadays is characterised by a gradual trend towards concentration. For instance, at the beginning of 2018, ITM EQUIPMENT DE LA MAISON, a subsidiary of the GROUPEMENT LES MOUSQUETAIRES operating under the BRICOMARCHÉ and BRICO CASH banners, finalised the acquisition of the French activities of BRICORAMA SA (operating under the BRICORAMA brand) as well as the Spanish activities and Asian sourcing office of BRICORAMA SA. Following this strategic acquisition, ITM EQUIPEMENT DE LA MAISON owns 506 BRICOMARCHÉ and BRICO CASH stores and 170 stores of the BRICORAMA GROUP, thus consolidating its position as number three on the DIY market in France.

According to the latest data available by UNIBAL and FMB, the home improvement sector continued to increase – although at a slower pace - in 2018. The DIY market grew by 0.4%, representing EUR 26 billion. This performance is mainly due to the rebound of the real estate market, driven by the high number of transactions for old dwellings in 2018. DIY stores continued to represent the bulk of the sales, even though the market value shrunk by 0.3%, to the benefit of the e-commerce. The latter increased by 18%, in comparison to 2017. It is important to keep in mind the online sales of DIY stores also recorded an increase. The market share of wholesalers remained stable. Plumbing, bathrooms and kitchens represented 13% of the home improvement market turnover in 2018, while only bathrooms represented 46% of the DIY stores. In 2018, LEROY MERLIN is leading this sector with 36% of the shares of DIY stores, followed by CASTORAMA (15%) and BRICO DEPOT (14%). In recent years, the main DIY stores, however, experienced a difficult year with the restructure of KINGFISHER and M. BRICOLAGE.

The evolution of the DIY sector reflects the recent change in consumption and the channels preferred for construction and RMI work: individuals increasingly buy products before referring to installers. Expanding networks, combined with increasing area, have allowed the DIY trade to develop competitive advantages and face increasing costs in recent years. This volume-based strategy is now expected to suffer, as the operating cash flow per square metre has continued to

decrease. In such a context, competition between the main players has increased, leading to the creation of discount concepts and new strategies targeting consumers (i.e. environmental awareness, unbranded products and expansion of service ranges). DIY stores focus on a differentiation strategy, shifting from mass distribution (a product strategy) to a customer-oriented strategy. In France, differentiated concepts have yet to be developed, and DIY stores are increasingly looking to meet consumers' needs. Mobile marketing and the internet are key strategies that DIY stores are using to increase their sales.

The opening of stores on Sundays was under scrutiny during the course of 2014. The Conseil d'Etat (French Council of State), 24 February 2015, authorised the opening of DIY stores on Sundays. The institution rejected the appeals, made by several trade unions, against two decrees that allow stores offering DIY products to derogate from the rule of Sunday rest.

Specialist/Other Retailers

While most bathroom products, such as baths and shower trays, sanitary ware, and taps and mixers, tend to be sold to installers via merchants, wholesalers and occasionally DIY retailers, discretionary products such as bathroom accessories and furniture are typically purchased directly by consumers, who source products from specialist retailers in addition to DIY and online stores.

Specialist retailers include bathroom and kitchen specialists as well as equipment specialists such as BUT, CONFORAMA, and LECLERC MEUBLES. IKEA is also considered to be a specialist retailer for the bathroom market, due to its dominating presence in the bathroom furniture, bathroom and shower accessories markets. IKEA opened its 34th store in France in 2019 and remains the leader in the furniture market, followed by CONFORAMA and BUT. It offers a wide range of bathroom products such as shower and bathroom accessories and bathroom furniture, sourced from various producers worldwide. As a strongly-growing convenience store offering a whole range of products for the home, it has gained a significant share in the retail market, to the detriment of traditional furniture retailers. Pure specialist retailers and equipment specialists have lost ground against other types of distribution channels.

Kitchen specialists are usually present through franchises. The main two specialists present in the bathroom furniture market are SCHMIDT (part of the SALM GROUP) and MOBALPA (part of the FOURNIER GROUP), with the latter selling its own brand.

Internet Retailers

E-commerce, or internet sales, is expected to continue to increase in the coming years in France, despite the taxation of between 1.5 and 2% of companies' turnover. Despite the creation of a DIY category by AMAZON.COM, the online retail market has, however, still not taken off in France, even though there are already some very popular websites such as CDISCOUNT.COM and

RUEDUCOMMERCE.COM that already have an offering in the country. In addition, some online retail companies have emerged recently on the French market, such as ISI-SANITAIRE.FR, MYSANITAIRE.COM, and SANITAIRE.FR, for instance. Nevertheless, 'pure' internet or 'online-only' sales, through dedicated internet retailers, remain low: e-commerce represented only 4% of the total value of the home improvement market in 2018. Instead, the most popular internet retailers tend to be web shops run by merchants or retailers that also hold physical stores; the majority of leading French wholesalers and retailers now offer consumers the possibility of purchasing their products online. Internet sales on the French market also comprise sales from manufacturers' own web shops.

Based on industry feedback, the share of the internet market in DIY product sales remains modest and accounts for a relatively small percentage of the total DIY market, but this distribution channel should not be underestimated in the future. According to a study conducted by UNIBAL in 2017, e-commerce for the plumbing, bathroom and kitchen segment should increase from 1% in 2016 to 9% in 2020 of the total turnover of the DIY market (estimated at EUR 25.4 billion). This sector should remain the smallest of the DIY market.

Even though the main DIY chains already have websites, BRG believes this trend will remain fairly marginal, for the time being, on the French DIY market for bathroom products. Although online sales are complementary to those made in stores, their financial impact in France is perceived as fairly limited for both marketing and communications purposes. Since the level of commercial interest is low for technical products, the level of economic interest is low, as order and delivery preparation have not yet been adapted and this is seen to lack additional added value in terms of purchase preparation, advice and training. However, large DIY stores such as BRICORAMA and LEROY MERLIN have developed 'click and collect' stores (which allow the client to buy or order goods from the website and collect them from the local branch) in recent years.

At the beginning of 2020, the German pure player in the business to consumer market – REUTER- arrived in the French market, demonstrating the attractiveness of the market. REUTER, a specialist in bathroom products, opened its French branch and aims to compete on the market with a price focused strategy.

The levels of internet sales are much higher within certain bathroom product categories than others. Products that are difficult and expensive to transport, as well as complex to install (i.e. baths, shower trays and ceramic sanitary ware), see a much lower proportion of sales through the internet channel than products that are cheap to transport and can be installed either by the consumer themselves or by a hired installer (bathroom furniture, bathroom accessories, shower accessories and even taps and mixers). According to industry feedback, taps and mixers are increasingly offered online. E-commerce for taps and mixers should have accounted for at least twice as much share than any other category of product in 2018. E-commerce enables consumers to obtain higher quality products at lower prices. This trend is most likely to be putting pressure on traditional distribution channels, such as showrooms and DIY as well as small-sized manufacturers.

Sales of taps and mixers through the internet channel are believed to represent around 8% of the total value of the market. Due to the lack of transparency and visibility regarding sales online, it is rather challenging to estimate the effective share of internet for sales of taps and mixers in France.

BRG does not believe that internet sales should represent a major danger in the overall distribution of bathroom products in France, as the internet is predominantly used by consumers as a tool to compare prices and the offers of the various players in the distribution market. However, the share of the e-commerce is expected to continue growing exponentially in the future, especially for small and easy to install products.

Summary of Leading Distributors
FR - SUMMARY OF LEADING DISTRIBUTORS

Holding Company	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)												
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other	
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify
GROUPE AUCHAN	ADEO	Mixed merchant	Mixed merchant	2018	23100 (Global)	800	International					x								95% DIY 5% Merchants
SAINT-GOBAIN	ST GOBAIN DISTRIBUTION	Mixed merchant	Mixed merchant	2018	41800	1700	International	15-20%	xx	x		x		80-85%	xxx	xx	xx	xx		
KINGFISCHER	CASTORAMA	DIY Retailer	DIY Assortment	2019	2603	103	International	20%	x	xx	x	x	x	80%						100% DIY
DESCOURS & CABAUD	DESCOURS & CABAUD	Mixed wholesaler	Mixed merchant	2019	3900	440	International	8%	x	x		x	x	92%	xxx	xx	x	x		
KINGFISCHER	BRICO DEPOT	DIY Retailer	DIY Assortment	2019	2323	114	International	20%	x	xx	x	x	x	80%						100% DIY
ITM ENTREPRISES	BRICOMARCHE / BRICOCASH	DIY Retailer	DIY Assortment	2018	185	501	International	10%	x	xx		x							90%	Hardware, electrical, outdoor, decoration
ALOGREL	ALGOREL	Buying Group	Buying Group	2018	2500	850	National	68%	xx	xx		x							32%	Hardware, Others
ADDOK	GROUPE SOCODA	Buying Group	Buying Group	2018	14.4	925	National	2%	x	x		x		25%	25%				73%	Quilts 27% Electrical 17% Decoration 8%
GROUPE MR BRICOLAGE	MR BRICOLAGE / LES BRICONAUTES	DIY Retailer	DIY Assortment	2019	247.1	282	International	15%	x	xx		x							85%	Hardware, electrical, outdoor, decoration
RICHARDSON	RICHARDSON	Specialist Wholesaler	Heating, Sanitary/ Plumbing, Tiles & Vent/Air	2018	549	100	National	100%	39%	27%		x	x							
GROUPE MARTIN BELAYSOD	MB EXPANSION	Mixed merchant	Mixed merchant	2018	720	191	Multiregional	53%	xxx	xxx		x	x						43%	Industrial Hardware, Tools and Decoration 20%
BRICORAMA	BRICORAMA SA	DIY Retailer	DIY Assortment	2018	462	167	International	14%		14%		x		12%		7%	x	x	74%	Outdoor 14% Electrical 14% Hardware 68%
ANJAC	ANJAC CSI	Buying Group	Buying Group	2018	87.5	65	National	80%	10%	70%		x		20%	x	x				

Source: BRG based on company information and industry interviews

x = marginal activity

xx = substantial activity

xxx = core activity

FRANCE

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The general trend seen on the French baths and shower trays market during the last two decades has been the increase in sales of shower trays to the detriment of baths. Although shower trays only really became the standard in the early 2000s, sales had already exceeded those of baths by the mid-1990s.

The French bath market, one of the most mature bathroom markets in France, has entered a decreasing phase in volume terms since 2008, and has mainly suffered from competition with shower trays. Sales of ceramic or fired-clay shower trays have increasingly dominated the whole baths and shower trays market, although they have been losing share since the late 2000s to more versatile alternatives in the market. Shower trays tend to be preferred by consumers for simple reasons: they are more compact, space-saving and facilitate the reduction of water consumption, which therefore addresses both economic and environmental requirements.

Historically, the shower trays market's dependency on housing construction and private consumption led to regular interruption of the market's underlying growth. In recent years, consumers have increasingly asked for more comfort, space and design. Logically, consumers have tended to increasingly opt for shower trays rather than baths in new dwellings. Together with the growing demand for comfort, the French population is ageing and this has certainly contributed to the growing success of shower trays (which offer a greater ease of access to elderly people). In addition, sales of wet rooms (tanked bathroom with a shower area at the same level as the rest of the floor), often referred to as *douches à l'Italienne* in French, have also developed to some extent in recent years, since the product gradually attracts the interest of an increasing number of consumers.

Most of the bath market is made up of synthetic models, a shift which had historically been made at the expense of steel baths. Sales of synthetic baths benefit from more attractive price levels in the economy price segment when compared to steel material. Also, synthetic baths have historically been the dominant bath market due to their adaptability to various shapes and sizes, as well as their strong durability compared to other materials. The large majority of products sold on the French market are acrylic models, but sales of solid surface and mineral cast models have increased at a fast pace in recent years, presently representing a bit less than a quarter of the total synthetic bath market. Cast iron baths have long been neglected to the benefit of steel models, followed by synthetic baths, while the cast iron shower tray market is a niche market with a very low level of demand. Similarly to the synthetic baths segment, synthetic shower trays have gained popularity in recent years to the detriment of ceramic shower trays; the expansion of designs and offers has helped the synthetic shower tray segment to develop further over the last decade.

The French market is moving towards larger shower trays, as well as extra-flat models. The standard size of shower trays is 90x90 cm, and some shower tray installations are even going up to 160x90 cm. However, classic shower trays of 70x70 cm are still common in the French shower trays market, although these models are not convenient as they offer little space to manoeuvre. To face the current needs, traditional baths have undergone some changes. While baths previously had a size of 170x70 cm, new sizes have adapted to the biological features of people to now reach a size of 180x80 cm. A vast range of shapes, materials, sizes and colours is now available, although the white colour remains the standard.

The hydrotherapy market has long been supported by the increasing interest of French consumers in comfort and relaxation, which increased strongly before the start of the economic crisis. However, sales of hydromassage baths started to decline from 2008 onwards, with the first significant decline occurring in 2009. This suggests that the hydromassage baths market reached its peak in 2007, before heavily declining from 2009 onwards due to low demand and acceptance among French consumers. In fact, sales have been dropping strongly over the last couple of years and, within the bathroom products market, hydrotherapy products, and therefore hydromassage baths, have recorded the fastest and most significant decrease. Hydrotherapy products, nowadays, have difficulties in profiting from the trend of creating and organising bathrooms for comfort and relaxation. This decline in sales of hydromassage bath products in France rather suggests that demand for such products has become limited and that consumers have turned their interest to other bathroom products instead, such as showers trays installed with shower pipes or shower heads with multiple functions, for instance. Plus, the expansion of Spa and wellness spaces has impacted negatively the preference of individual consumers to install similar products in their households.

In 2017, sales of baths and shower trays in France resumed growth. The French bath and shower tray market was predominantly driven by the recovery of the new housing market, with both apartment buildings and family houses increasing in volume terms. In addition, the market benefitted from a strong RMI demand, positively influenced by the increase of households' private consumption combined with low interest rates throughout the year. As previously mentioned, the French bath and shower tray market is rather mature and, therefore, relies on sales to housing RMI. In recent years, the renovation market has declined, despite private investments regarding bathroom renovations.

Recent Market Trends

In 2019, the strengthening of new construction completions drove positively the French market. Sales to the non-housing and RMI sector also increased last year, contributing to the overall positive market performance. Both segments were, however, pushed by the shower trays market.

From 2017, the overall bath market experience a rebound after several years of decline, with sales increasing in both the baths and shower trays markets. In fact,

the increase of new dwellings delivered in 2019 impacted positively sales of baths, since every year, in France, a significant number of baths are usually sold and installed in this segment. Although the shrinking size of the average bathroom and time constraints amongst the population have led to a national preference for showering over bathing, this has not restricted the uptake of baths in new properties as severely as previously anticipated – as there is still a demand that comes mainly from family houses. Sales of synthetic baths increased in 2019 and continued to comprise the bulk of bath sales in France, even though since 2009 this market has suffered from increased competition with synthetic shower trays in the renovation activity sector. On the other hand, sales of cast iron baths remained flat; nowadays, these are mainly innovative and designed products, rather positioned in the middle price segment. Cast iron baths have now become a popular decorative option for free-standing baths. After years of decline, sales of steel baths were renewed, sustained by the dynamism of the new housing sector in 2019. Overall, the bath market continues to widen the gap with the shower market.

Sales of synthetic shower trays continue to remain on a positive trend, which started in the past decade. Furthermore, there was significant growth in 2019 thanks to resilient demand in all end-use sectors. With regards to ceramic shower trays, sales continued to increase in 2019 after several years of decline up to 2016. Nevertheless, BRG believes that ceramic models are increasingly perceived as outdated, and consumers reportedly favour new materials such as synthetic, mineral and solid stone. In 2019, ceramic shower trays still accounted for the bulk of sales of shower trays in France, as some installers and consumers maintain their preference for this material over synthetic – due to its reliability and solidity. The faster increase of the ceramic shower tray market in 2019, in comparison to 2018, suggest that some contractors and installers still favour and trust this technology. In addition, manufacturers of ceramic shower trays have recently improved the design of their ceramic range to make them more attractive for consumers. Ceramic models should also benefit from the fact that there is some negative feedback from clients on the quality of some synthetic products, which have tarnished the image of the product. However, sales of polyconcrete material shower trays, such as mineral cast and solid stone, proved to be resilient throughout the year. In recent years, sales of resin shower trays grew thanks to the effectiveness of the material, the easiness to install – which make it a great offer for the DIY store. Finally, the niche steel shower tray market's sales also recorded growth in 2019. Rectangular shower trays represent the majority of the sale of shower trays. In fact, it has the clear advantage to replace and fill the space of a bathtub. However, similarly to the 120/90 cm shower trays model, 90/90 cm square also experienced an increase of sales in 2019.

Mainly installed in new housing, extra flat shower trays have been expanding significantly these last few years in France. Shower trays measuring 4 to 5 cm are considered to be a fair trade-off for a wet room. However, despite the clear advantage to disabled people and children, extra flat shower trays suffer from bad reputation due to poor installations which lead to problems with waterproofing.

To conclude, the market for hydromassage baths declined further in 2019. The market seems to suffer from a poor image in terms of quality, maintenance and noise. In addition, French consumers seem to favour other installations such as shower trays and walk-in showers. Conventional shower and bath technology have improved in recent years and have become the first choice for French consumers, since it can provide more features and offers great price variants that satisfy the needs of French households.

Prices and Market Values

The overall market value for baths and shower trays grew in 2019, as volume sales increased while the overall average price decreased slightly. The price of synthetic models went down in 2019, while steel ones increased marginally. In the meantime, the average price of ceramic shower trays also increased. The average price of cast iron baths decreased, due to a switch from upper/luxury range to middle and lower range. However, the prices in each segmentation increased.

On the baths side, the share of synthetic bath sales going to the economy/lower price segment increased in 2019, continuing the trend started in 2014. This suggests that French consumers opted for lower-quality products, which also are increasingly available in DIY stores. This has pushed the average prices down. The MSP for steel baths increased in 2019, reflecting the switch to middle and upper/luxury segment.

With regards to the shower tray market, synthetic shower trays continued in 2019 to be increasingly sold in the economy/lower priced segment, pushing the average prices slightly downwards. As a niche segment, steel shower trays showed an increase in the upper/luxury price segment in 2019, also pushing the average prices up.

Finally, the average price for hydromassage baths also continued to decrease in 2019. This came as sales of all hydrotherapy products moved, to some extent, towards lower price levels. Most products sold were within the economy/lower price range. The average manufacturers' selling price is also estimated to have decreased, due to the increasing sales of hydrotherapy products through the DIY channel, with low-cost products coming from China, for instance.

New Housing

Sales of baths and shower trays into new housing were positively impacted by the strong increase in new construction activity in 2019. New construction activity remained a significant driver for overall bath and shower tray sales, with the exception of cast iron baths – the prices and features (particularly the weight) of which remain less competitive with regards to this end-use segment. Ceramic shower trays and synthetic baths are favoured in this segment and, therefore, have been particularly impacted by the good performance of new housing activity in 2019. Steel baths, although favoured in social housing, have also benefitted from increasing completions.

As previously mentioned, wet rooms have developed to some extent in recent years in France, and sales have primarily been driven by demand from new houses. The installation of a wet room in an existing dwelling is rather rare, as it requires the total refurbishment of a bathroom which suggests that, in most cases, these products are installed more in new housing. As a potential substitute to wet rooms, extra flat shower trays follow the same logic – with new housing being the most significant end use.

The installation of hydromassage baths is often far easier when included at the very first conception of new dwellings. In contrast to the pre-recession years, hydrotherapy products are no longer in favour in the new housing segment, with the sector now preferring shower trays and walk-in showers. However, despite this current trend, sales of hydromassage baths declined only marginally in new housing in 2019.

Housing RMI

As with any mature market, the replacement and refurbishment segment is the main destination for both baths and shower trays, comprising both replacements of old shower trays or baths and additions of second bathrooms. France's heightened consumer confidence and solid spending throughout 2019, on the back of low interest rates and increasing purchasing power, boosted growth in this segment for most of the shower trays. Ceramic shower trays lost share in the RMI sector, due to the increasing trend toward synthetic products. The volume sold into the RMI sector remained fairly stable in 2019, reflecting the dynamism of the overall renovation sector. The country's increasing level of consumer confidence sustained the RMI demand in 2019. When the size of their bathroom is large enough, consumers tend to equip them with both a bath and shower tray; otherwise, they show a preference for showers, given the fact that the French population is ageing and looking for ways to save space and ease mobility issues. Accessibility has become the main issue for the future development of the French bath market. The government implemented a new regulation for all bathrooms in collective buildings to be accessible and thus installed wet rooms. This is believed to have encouraged further the switch towards shower trays.

Non-Housing

The largest non-housing demand for baths and shower trays in France comes from hotels and other temporary accommodation facilities. Sales to the non-housing sector grew in 2019 for shower tray markets, pushing the overall non-housing segment up. The overall non-housing segment in 2019 increased as a result of, firstly, the improvement of macroeconomic indicators, and secondly the increase in non-housing construction. Synthetic baths and shower trays remained the strongest products in their respective markets in the non-housing segment. Sales of hydromassage baths to non-housing remained fairly limited, and reached a plateau in 2019 thanks to the improvement of new construction in the non-housing segment. The non-housing sector, in particular hotels, is indeed more likely to opt

for other bathroom products such as shower trays or even wet rooms.

Supply Structure

The supply structure in the French bath market remained fairly identical in 2019 in relation to 2018. The cast iron and steel bath markets are in the hands of a limited number of players. The JACOB DELAFON brand largely dominates the niche cast iron market, while steel bath sales comprise three main brands, namely ROCA (specialising in the economy/lower price segment), KALDEWEI (specialising in the middle/upper price segments), and BETTE (specialising in the upper/luxury price segment).

With regards to the synthetic bath market, the supply is fairly fragmented and continued to have an important share of Asian imports in 2019, especially coming from China. While demand for Asian products, often unbranded, decreased further in 2019, sales from the well-known manufacturers such as IDEAL STANDARD and VILLEROY & BOCH also decreased. On the other hand, import coming from Spain continued to increase, while import from Germany rebounded in 2019.

While the supply in the steel shower tray market is virtually in the hands of just two players (KALDEWEI and BETTE), the supply in the synthetic and ceramic shower trays markets is more heterogeneous. KOHLER, IDEAL STANDARD and VALENTIN lead the synthetic shower tray market, while the ceramic shower tray market is dominated by the former SANITEC, which was acquired by the leading cistern manufacturer GEBERIT, and is followed by ELGINKAN and ECZACIBASI. The ongoing trend towards showering and an increasingly dynamic synthetic market brought opportunity for new players to arrive on the market in 2019. The Spanish brand ACQUABELLA arrived in the French market in 2018, following the continuous increase of Spanish imports on that market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Both the bath and shower tray markets are forecast to experience a decline in 2020. All markets should decrease in 2020 and 2021 due to the COVID-19 outbreak. The construction market is expected to be impacted negatively and the bath and shower trays market will see the knock on effect from the drop of new housing in 2020. In fact, the renovation activity should also be impacted by the lockdown situation in France. Indeed, macroeconomic indicators should drop in 2020 and – at a lesser extent- in 2021. Both segments are anticipated to lead a

decrease of all product in 2020 and 2021.

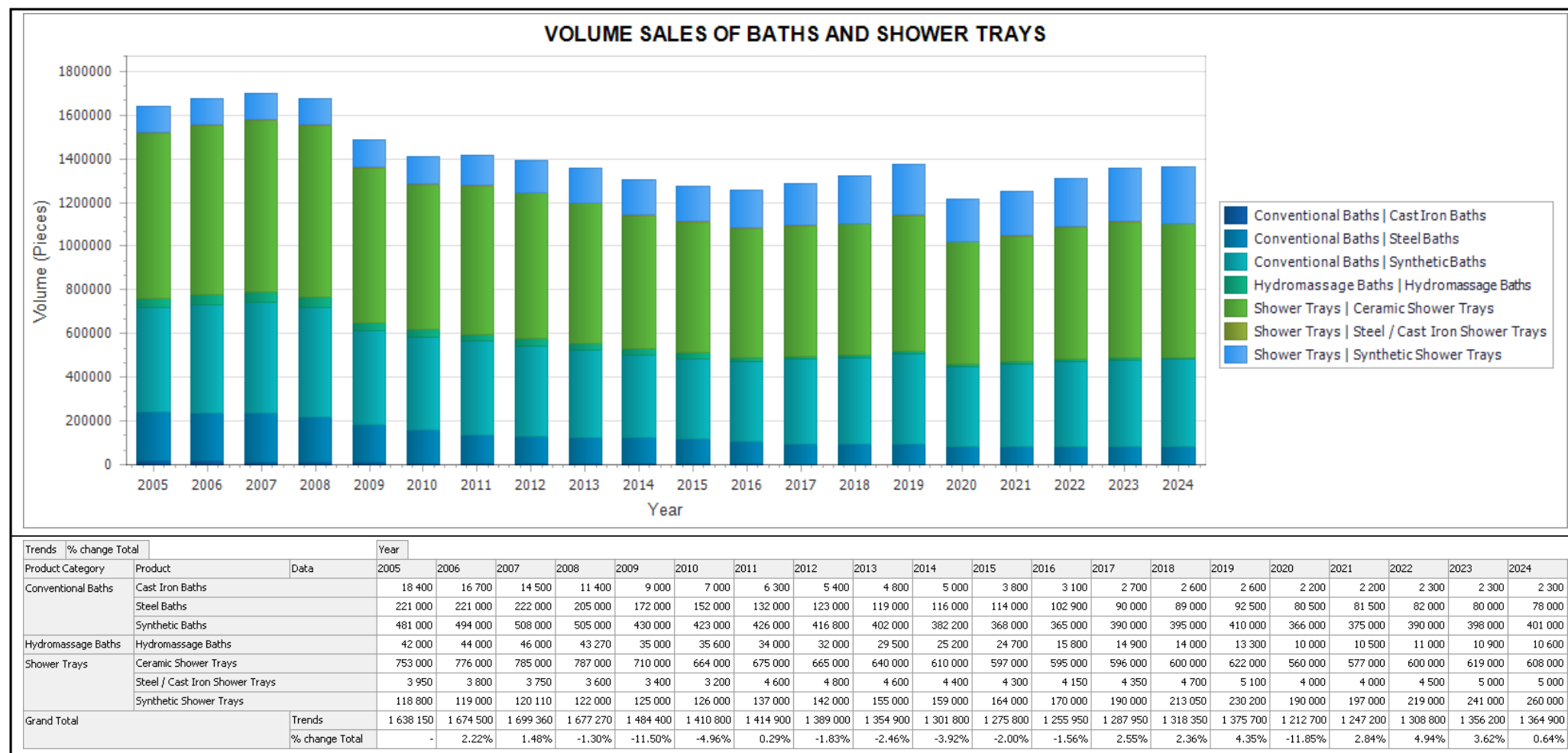
Synthetic baths should continue to account for the bulk of the bath market, while ceramic is expected to be the main type of shower trays sold in the near future. Sales of hydromassage baths should continue to experience negative growth rates. Hydrotherapy products are currently not very popular in France, often due to higher retail prices and, with the increasing use of shower trays, French households show some resistance to using pure hydrotherapy products that are perceived as too expensive and not necessary. This trend should remain unchanged during the forecast period.

The new law enforcing all new collective dwelling to install a wet room in order to increase the accessibility in the bathroom to disabled people was implemented in the beginning of 2020. Concealed shower trays or wet rooms must be installed in new collective dwelling.

From 2022 onwards, the overall market should rebound slightly after the sanitary crisis, with a return to a normal pace of the construction activity and macroeconomy indicators. In addition, as the bath and shower tray markets are mature and highly dependent on housing RMI, BRG does not expect any surge in this area. In fact, sales of baths in the RMI segment is expected to decline over the forecast period, reflecting the good performance and preference of showers.

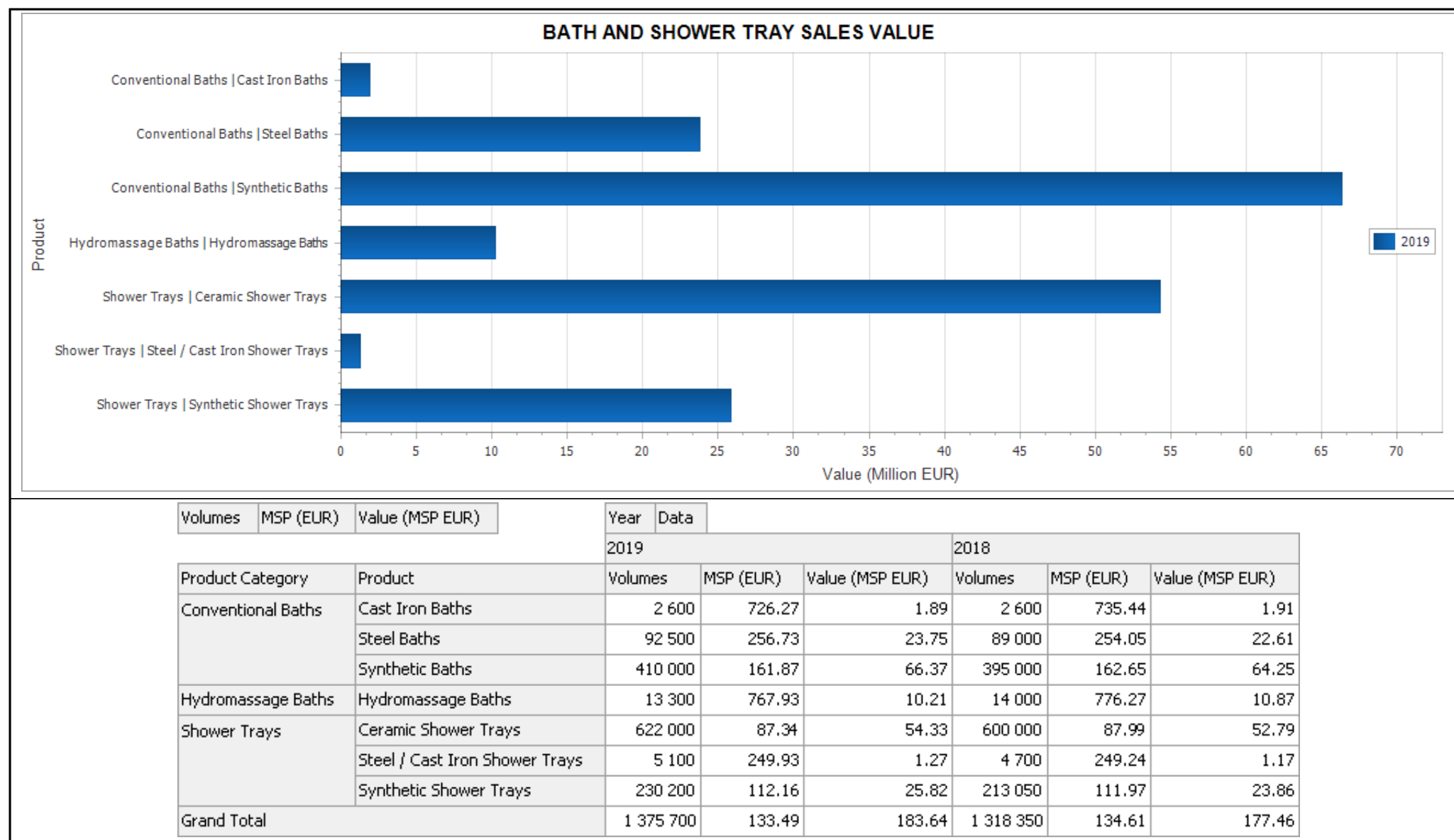
1.2 Historical Trends and Forecasts

FR - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

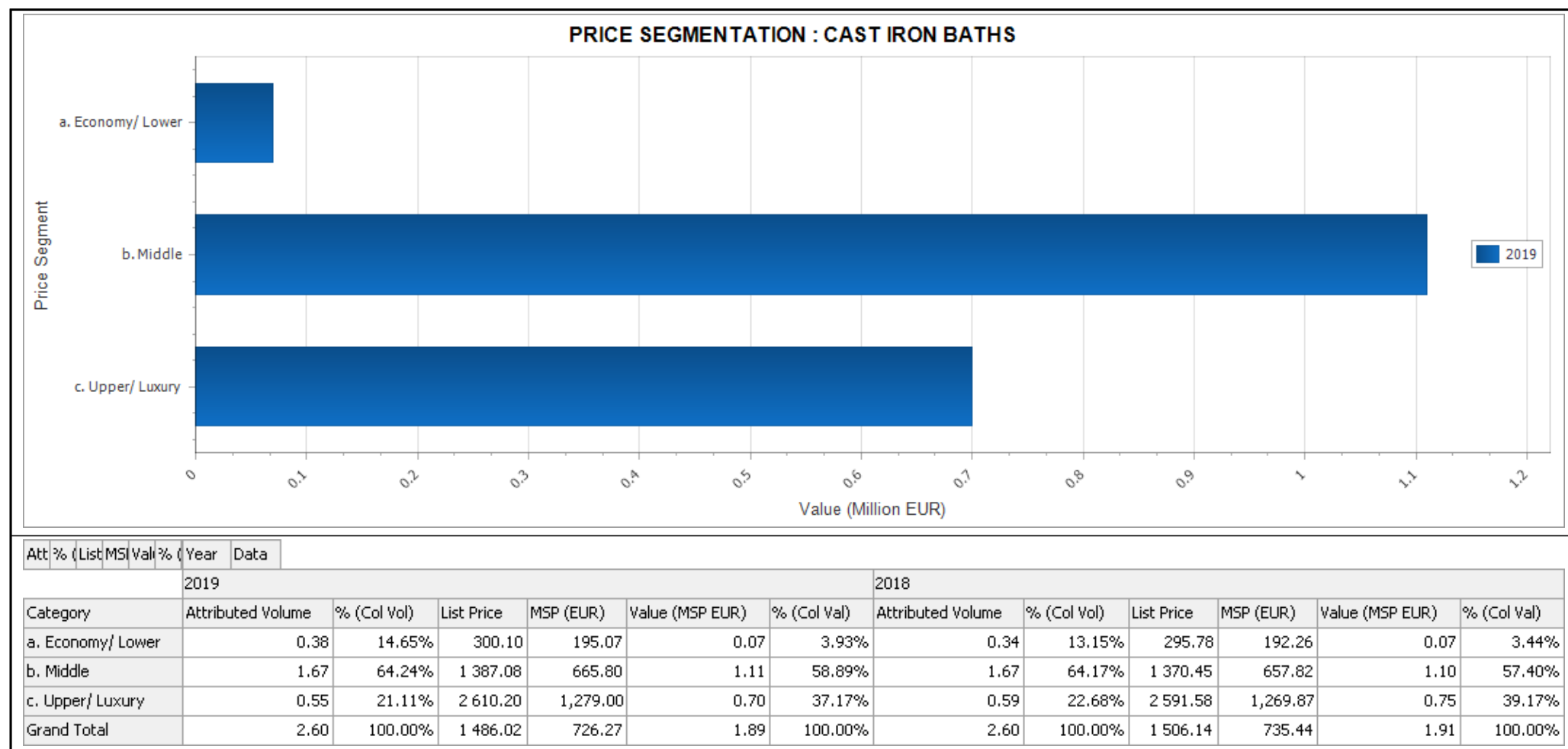
1.3.1 Prices and Market Values : Baths and Shower Trays
FR - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

FR - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

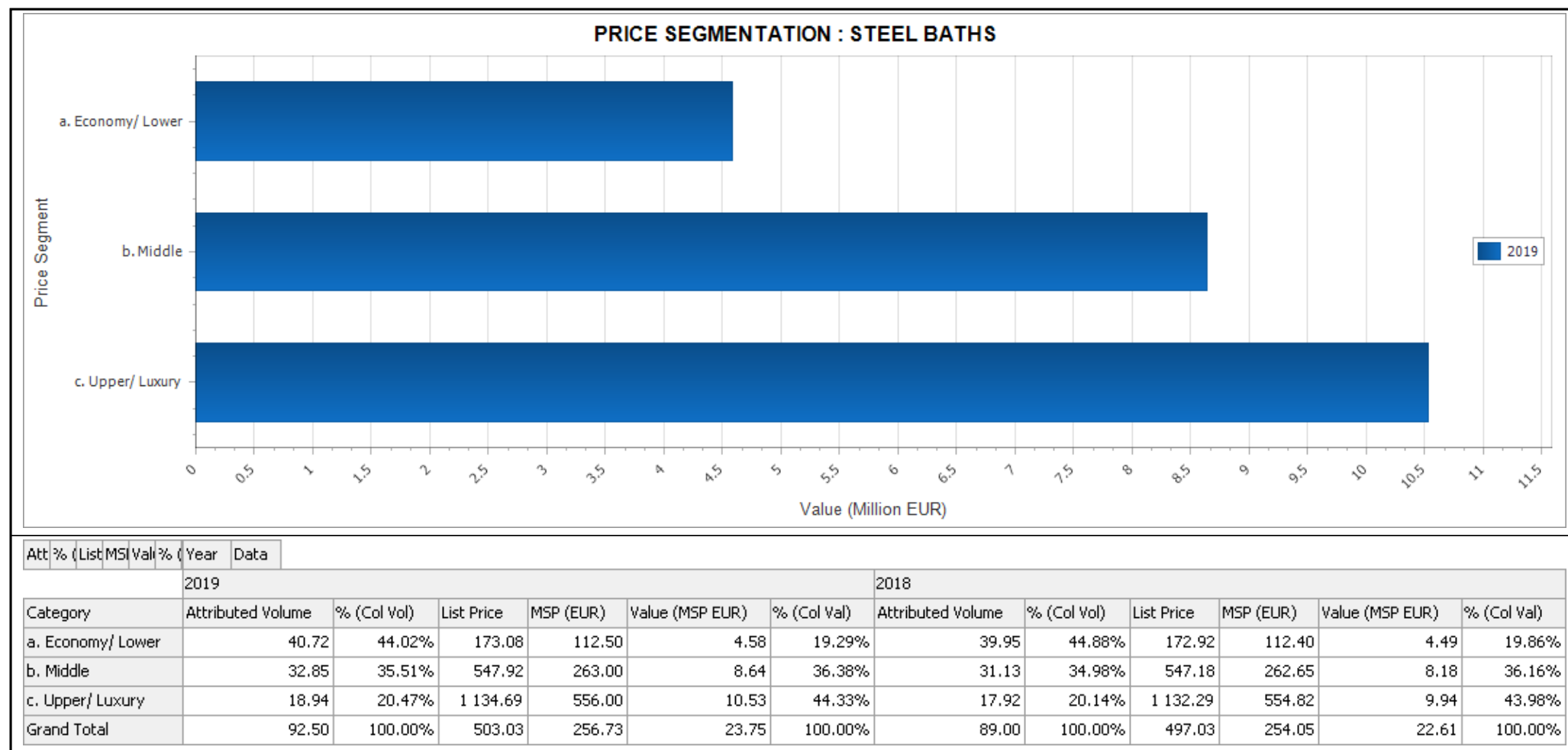


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€800, Upper/ Luxury >€800

1.3.3 Price Segmentation : Steel Baths

FR - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

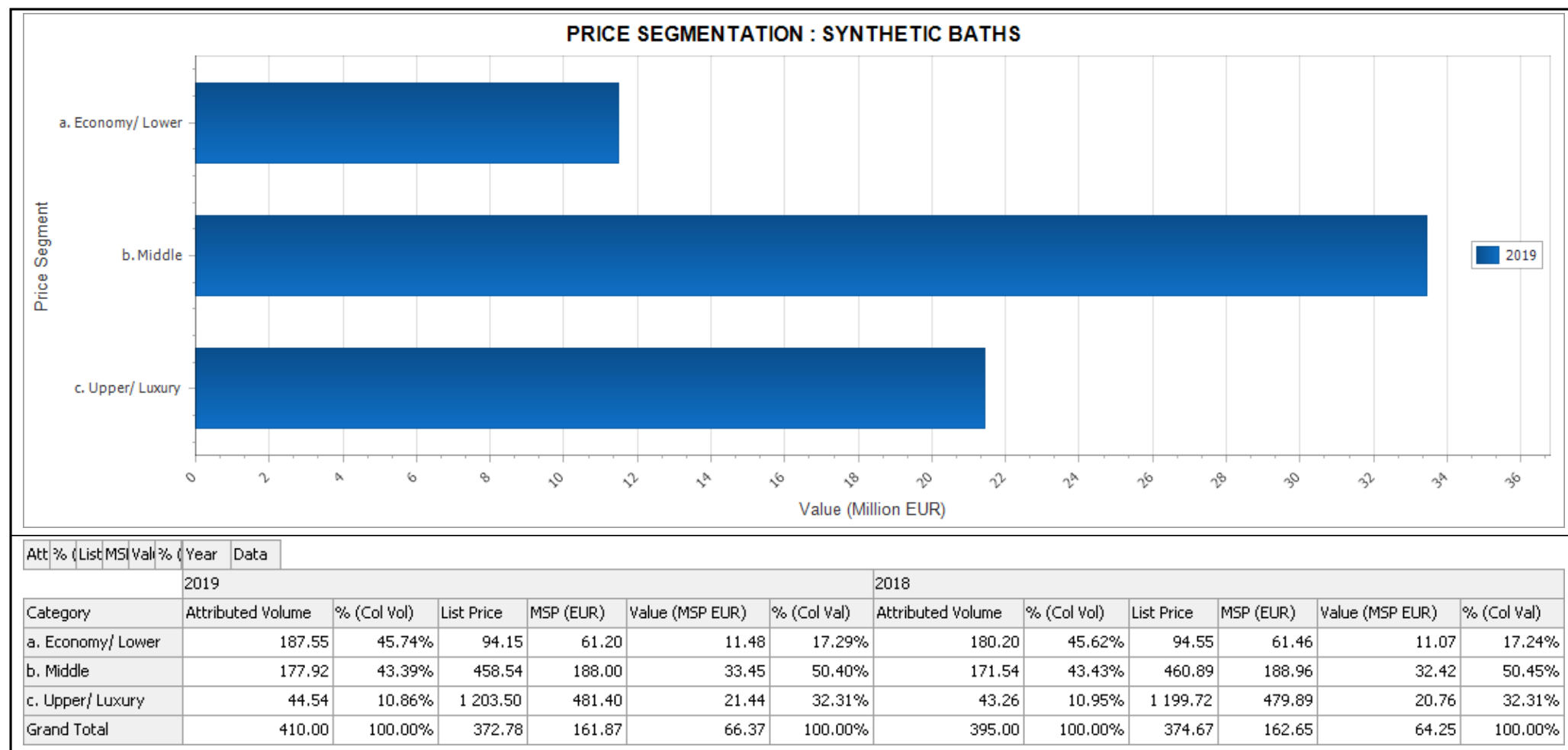


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

1.3.4 Price Segmentation : Synthetic Baths

FR - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

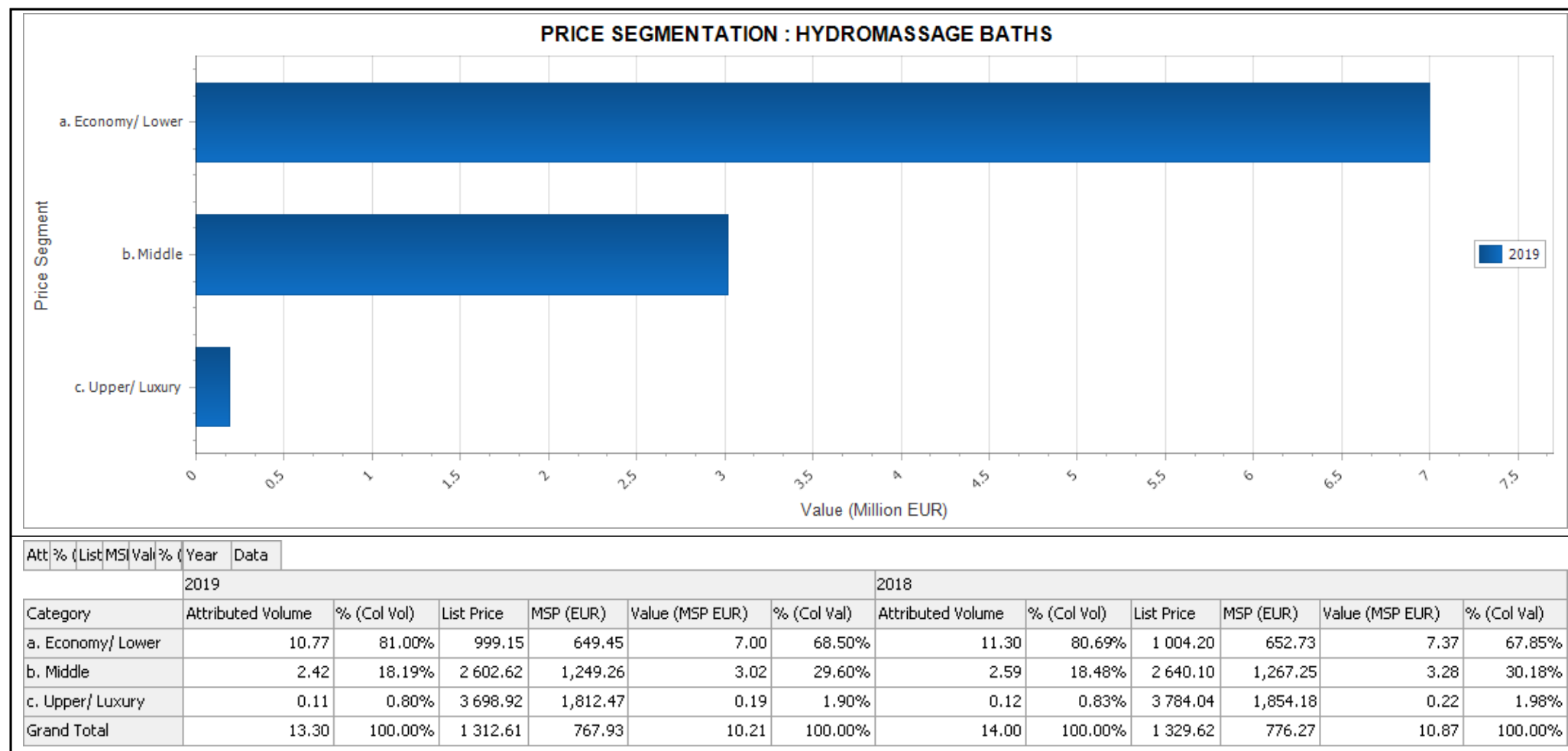


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

1.3.5 Price Segmentation : Hydromassage Baths

FR - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

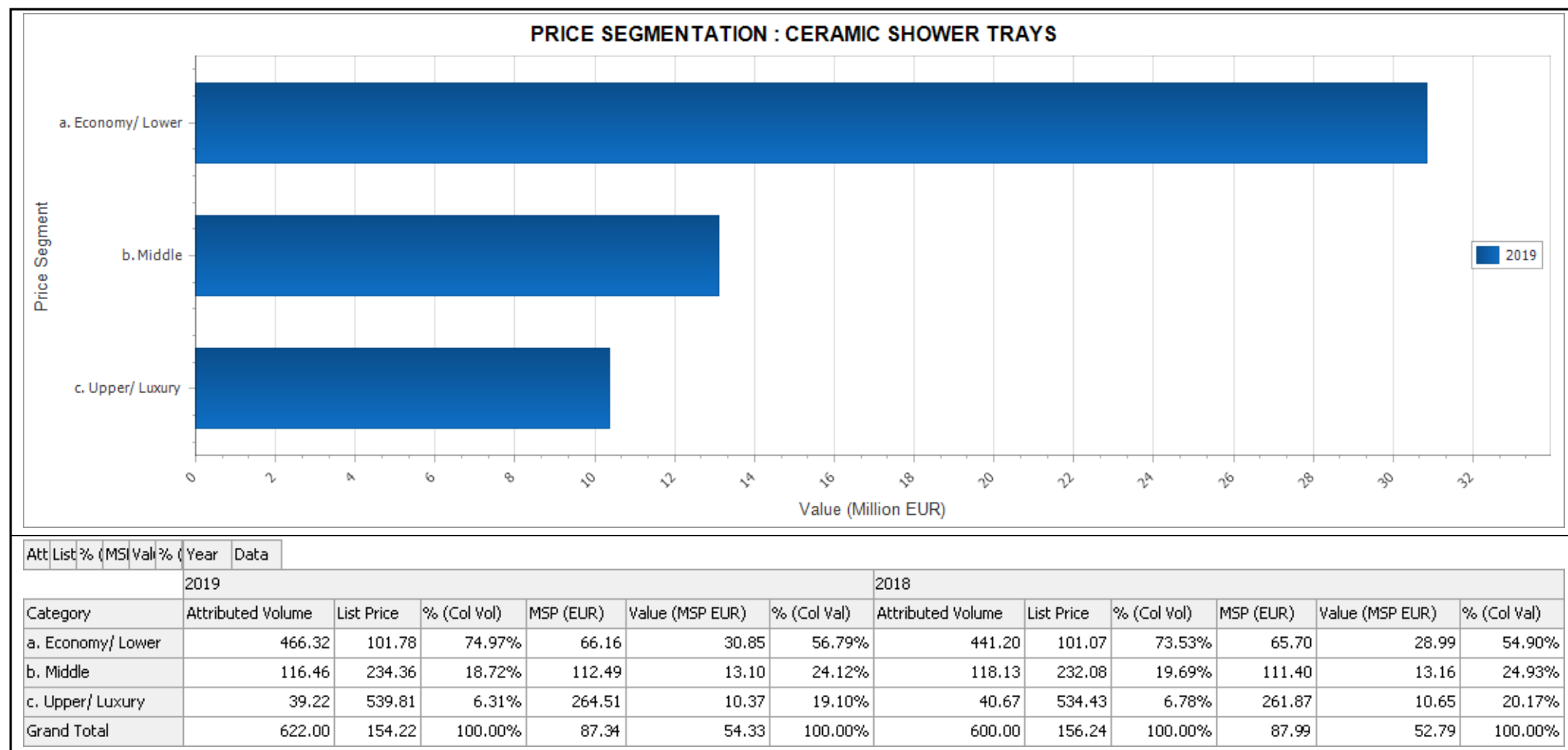


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1,500, Upper/ Luxury >€1,500

1.3.6 Price Segmentation : Ceramic Shower Trays

FR - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

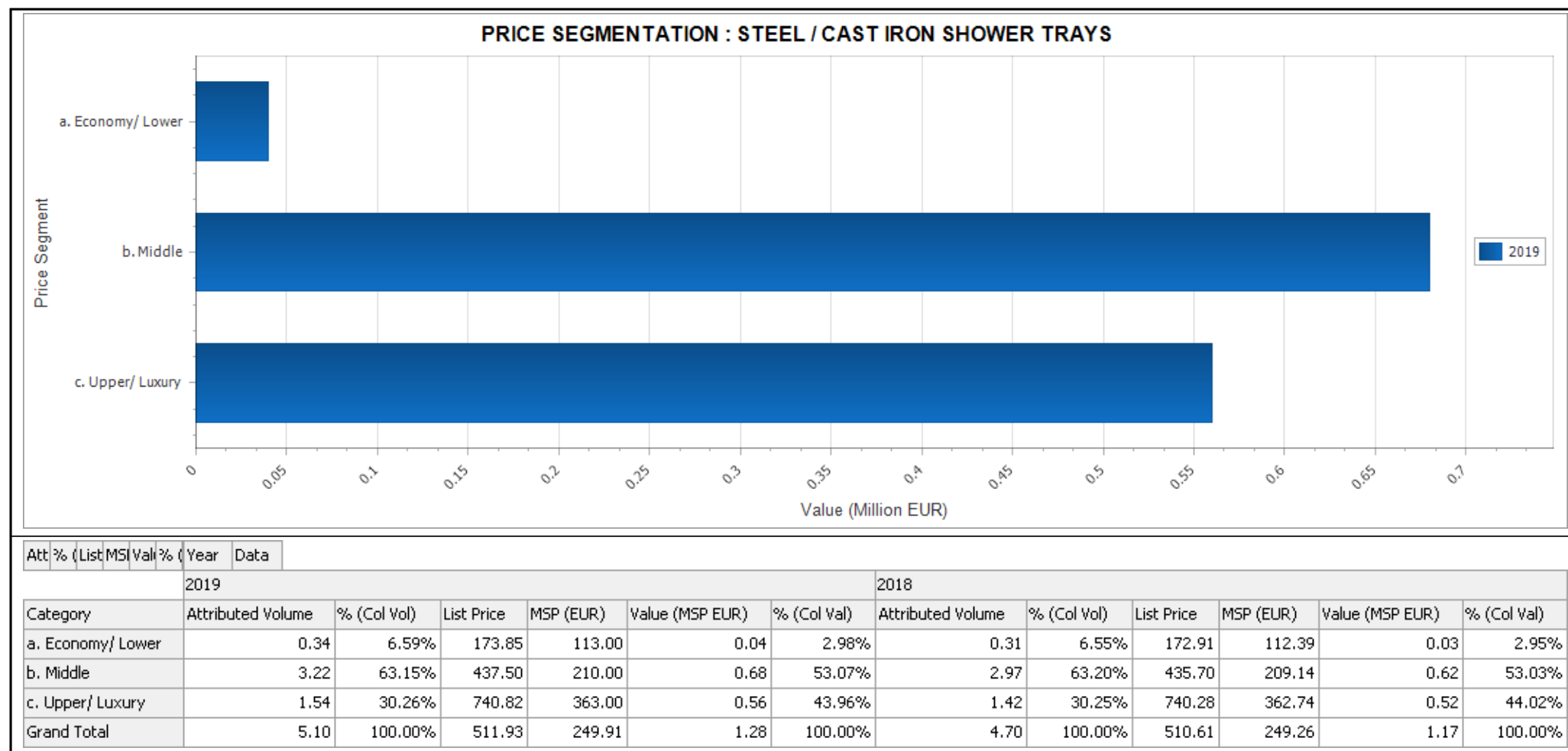


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80 Middle €80-€160, Upper/ Luxury >€160

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

FR - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

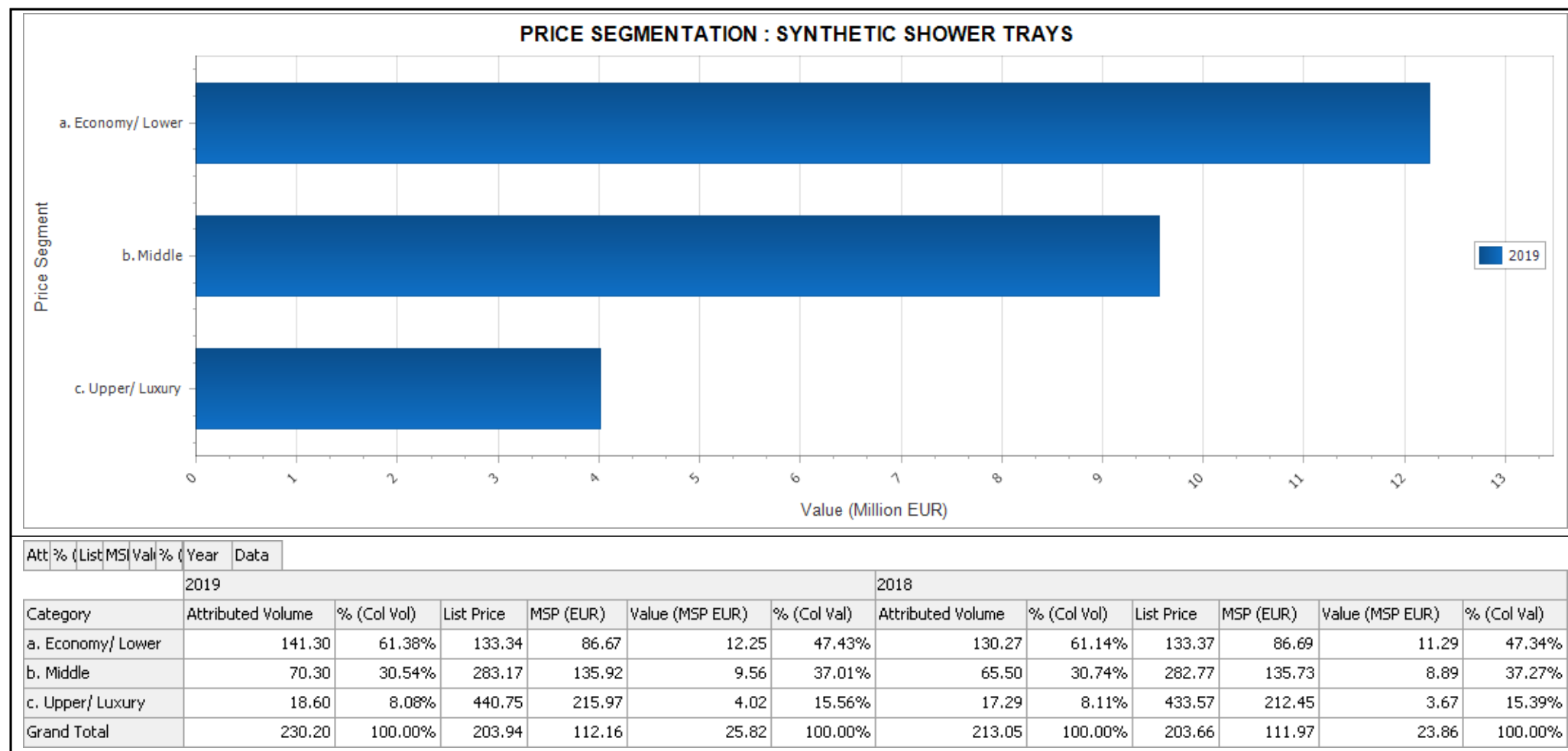


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €150-€300, Upper/ Luxury >€300

1.3.8 Price Segmentation : Synthetic Shower Trays

FR - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

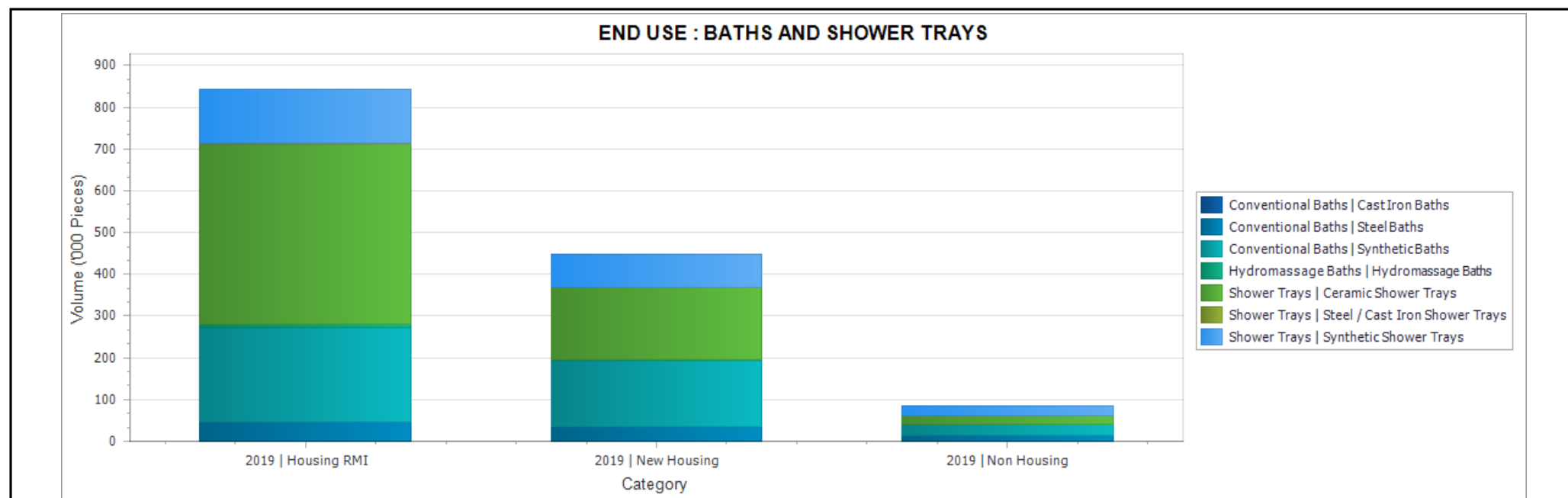


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

End Use : Base Year

FR - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)

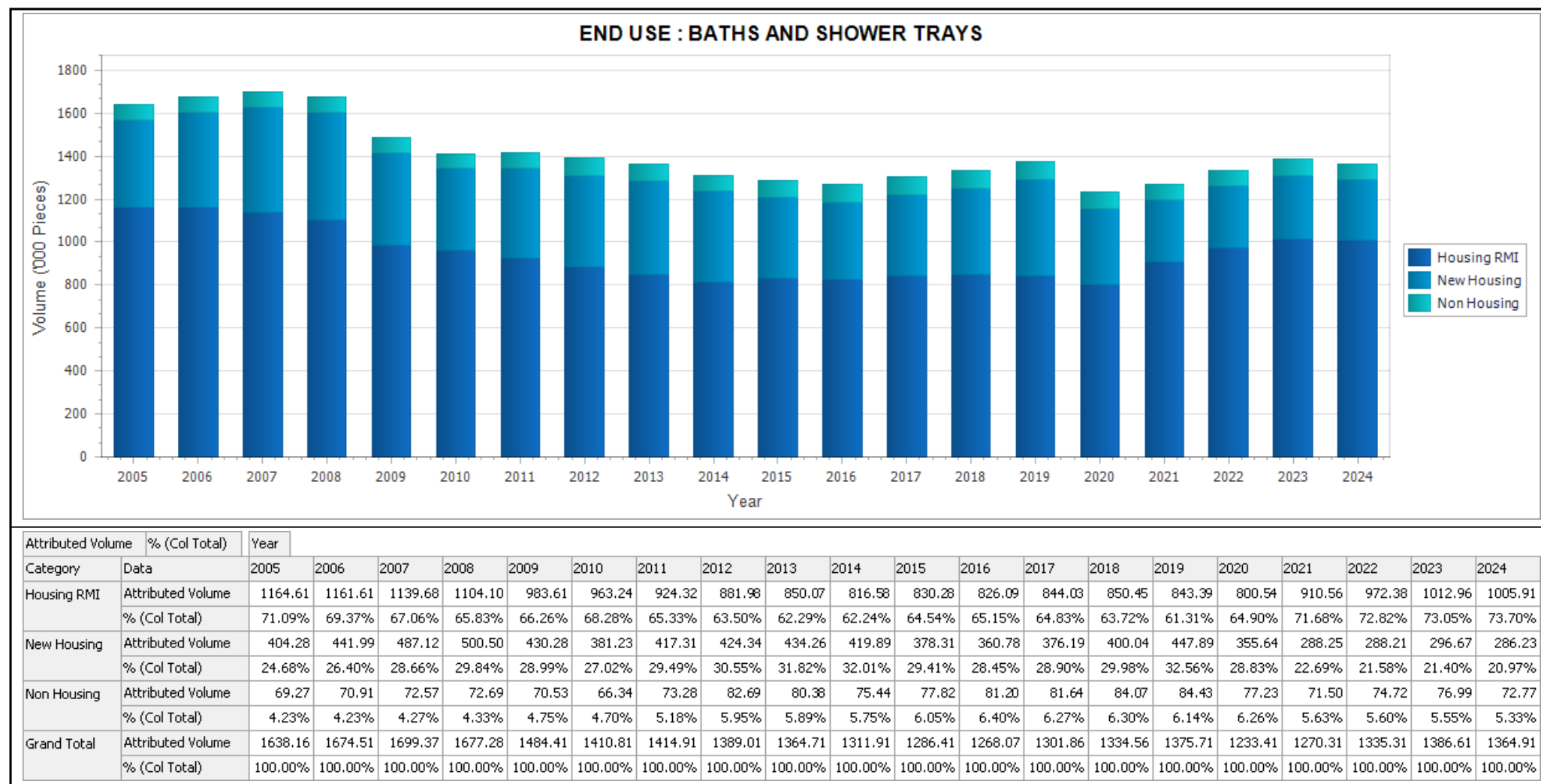


Attributed Volume		% (Col Total)	% (Row)												
				Year	Category	Data									
				2019											
				Housing RMI			New Housing			Non Housing			2019 Total		
Product Category	Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)		
Conventional Baths	Cast Iron Baths	1.40	0.17%	53.75%	0.69	0.15%	26.45%	0.52	0.61%	19.80%	2.60	0.19%	100.00%		
	Steel Baths	45.22	5.36%	48.89%	33.88	7.56%	36.62%	13.41	15.88%	14.49%	92.50	6.72%	100.00%		
	Synthetic Baths	225.23	26.71%	54.93%	158.63	35.42%	38.69%	26.14	30.96%	6.38%	410.00	29.80%	100.00%		
Hydromassage Baths	Hydromassage Baths	9.67	1.15%	72.69%	2.45	0.55%	18.39%	1.19	1.40%	8.92%	13.30	0.97%	100.00%		
Shower Trays	Ceramic Shower Trays	429.49	50.92%	69.05%	172.20	38.45%	27.68%	20.32	24.06%	3.27%	622.00	45.21%	100.00%		
	Steel / Cast Iron Shower Trays	2.47	0.29%	48.49%	1.71	0.38%	33.59%	0.91	1.08%	17.91%	5.10	0.37%	100.00%		
	Synthetic Shower Trays	129.91	15.40%	56.43%	78.33	17.49%	34.03%	21.96	26.01%	9.54%	230.20	16.73%	100.00%		
Grand Total		843.39	100.00%	61.31%	447.89	100.00%	32.56%	84.43	100.00%	6.14%	1375.71	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

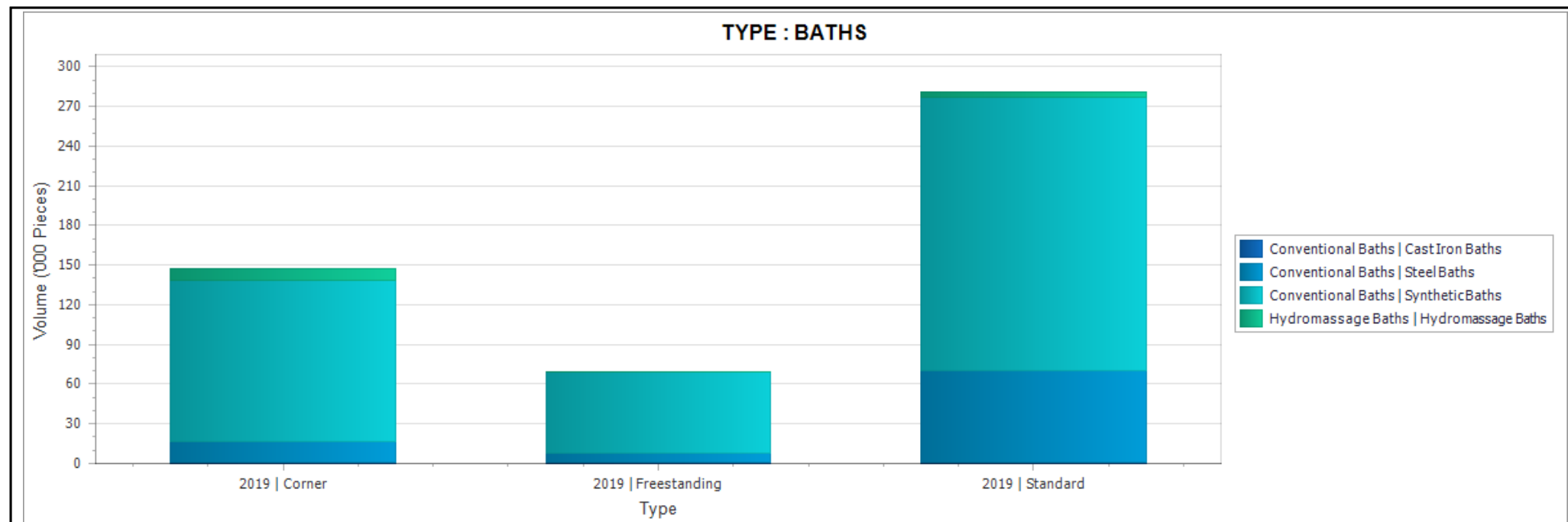
FR - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

FR - BATH SALES BY TYPE ('000 PIECES)

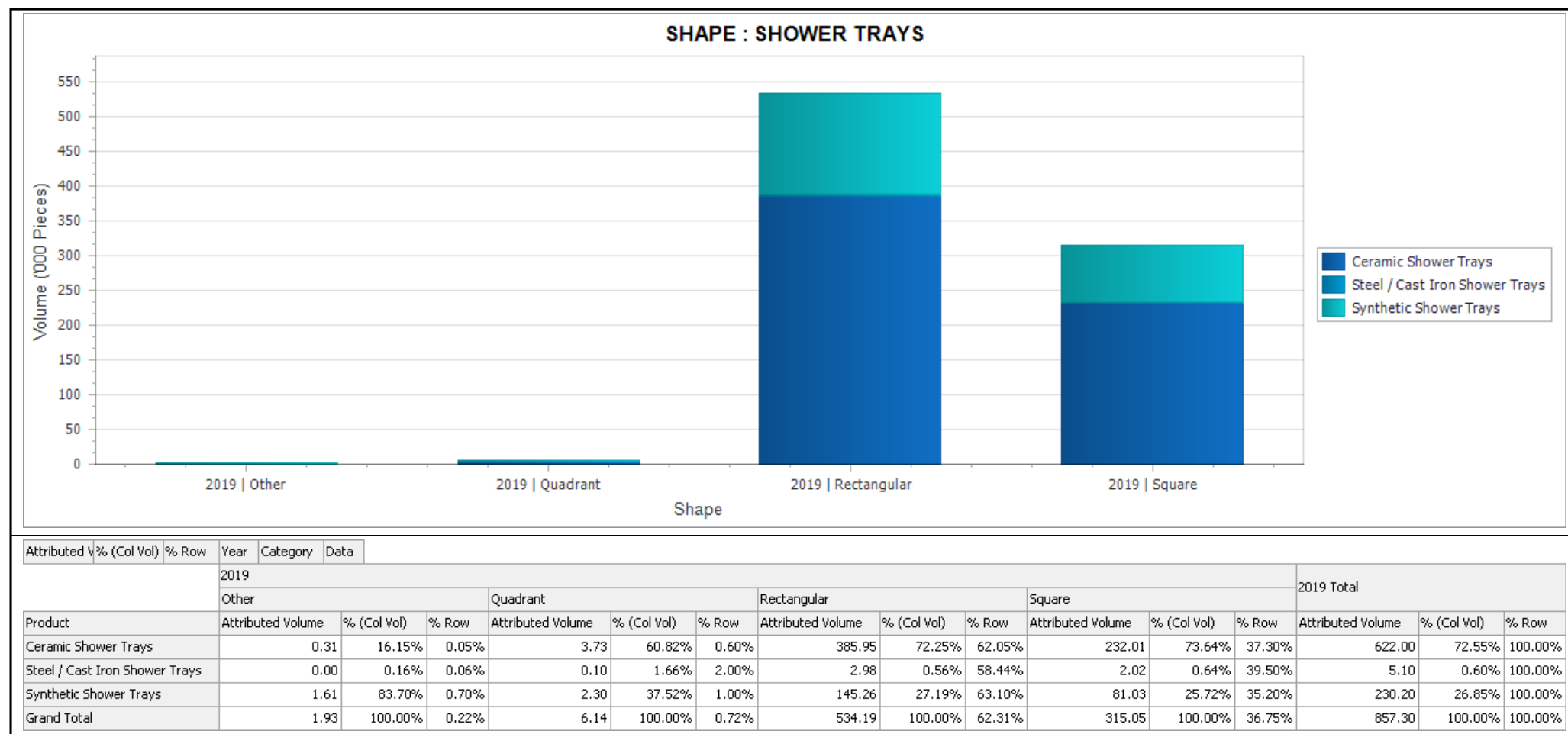


Attributed Volume			Year			Category			Data								
			2019														
			Corner			Freestanding			Other			Standard			2019 Total		
Product Category	Product		Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Conventional Baths	Cast Iron Baths		0.67	0.49%	25.86%	0.78	1.13%	29.98%	0.05	0.25%	1.96%	1.10	0.40%	42.20%	2.60	0.52%	100.00%
	Steel Baths		15.77	11.38%	17.05%	6.57	9.54%	7.10%	0.88	4.26%	0.95%	69.28	25.01%	74.90%	92.50	18.31%	100.00%
	Synthetic Baths		122.18	88.14%	29.80%	61.50	89.33%	15.00%	19.68	95.49%	4.80%	206.64	74.59%	50.40%	410.00	81.17%	100.00%
Hydromassage Baths	Hydromassage Baths		8.93	100.00%	67.11%	0.27	100.00%	2.00%	0.13	100.00%	0.99%	3.98	100.00%	29.90%	13.30	100.00%	100.00%
Grand Total			147.55	100.00%	28.46%	69.11	100.00%	13.33%	20.74	100.00%	4.00%	281.00	100.00%	54.20%	518.41	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

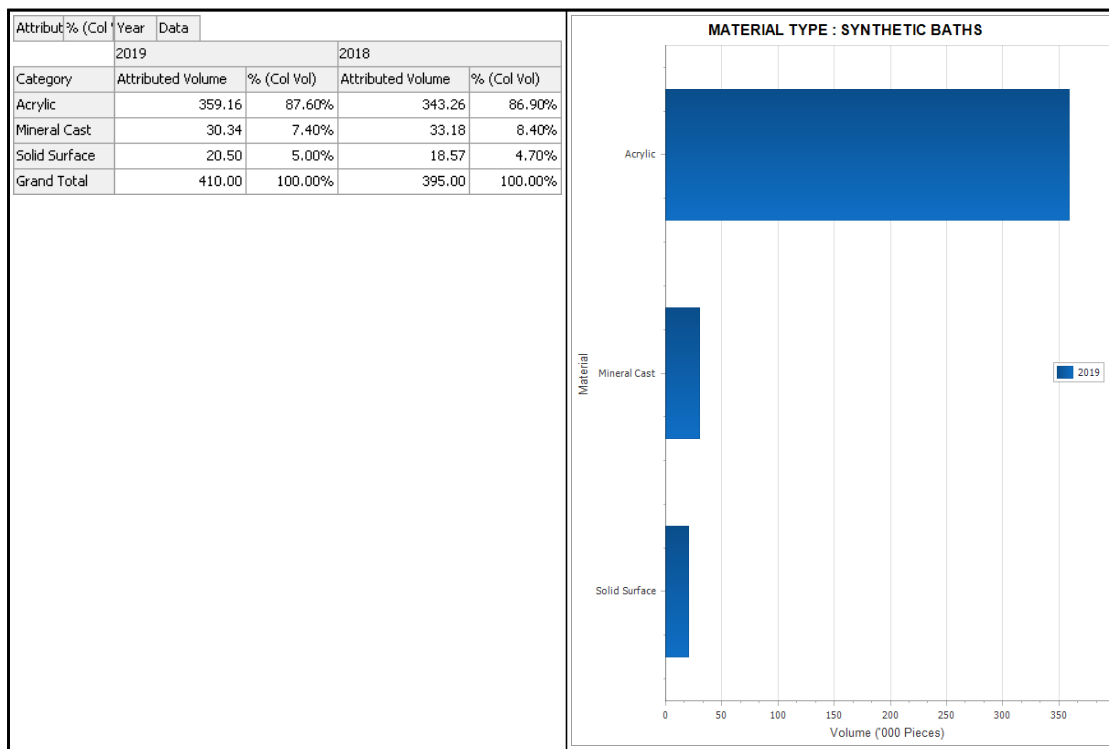
FR - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

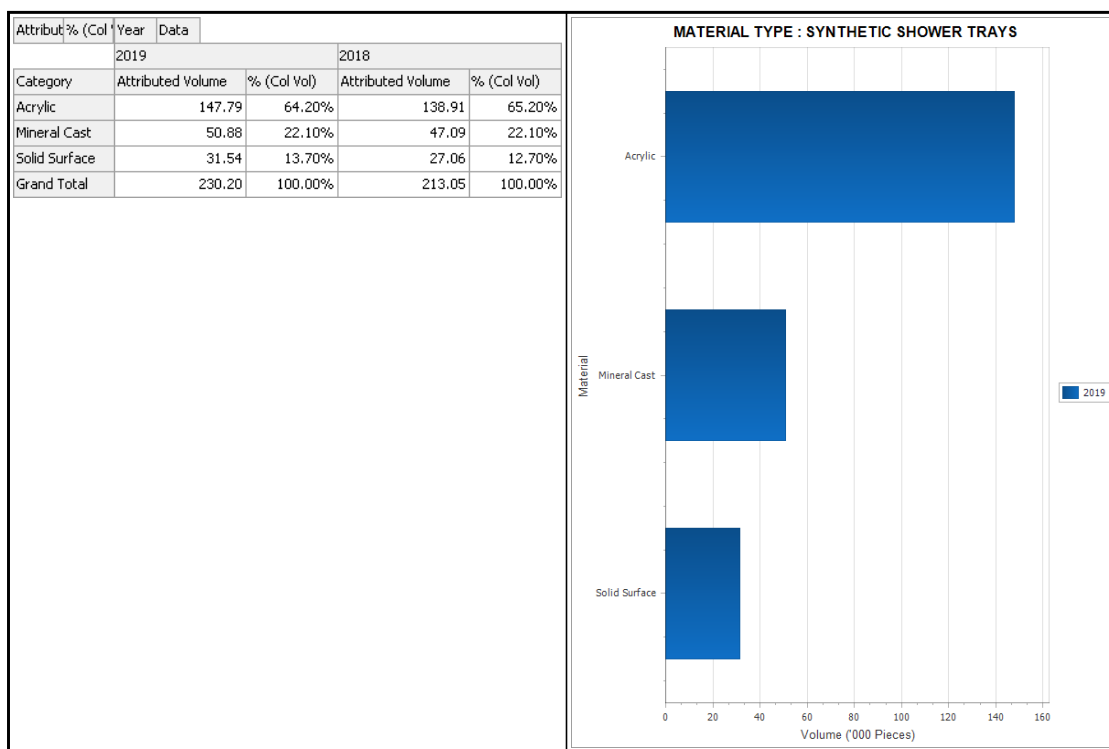
1.4.5 Sales by Material : Synthetic Baths

FR - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



1.4.6 Sales by Material : Synthetic Shower Trays

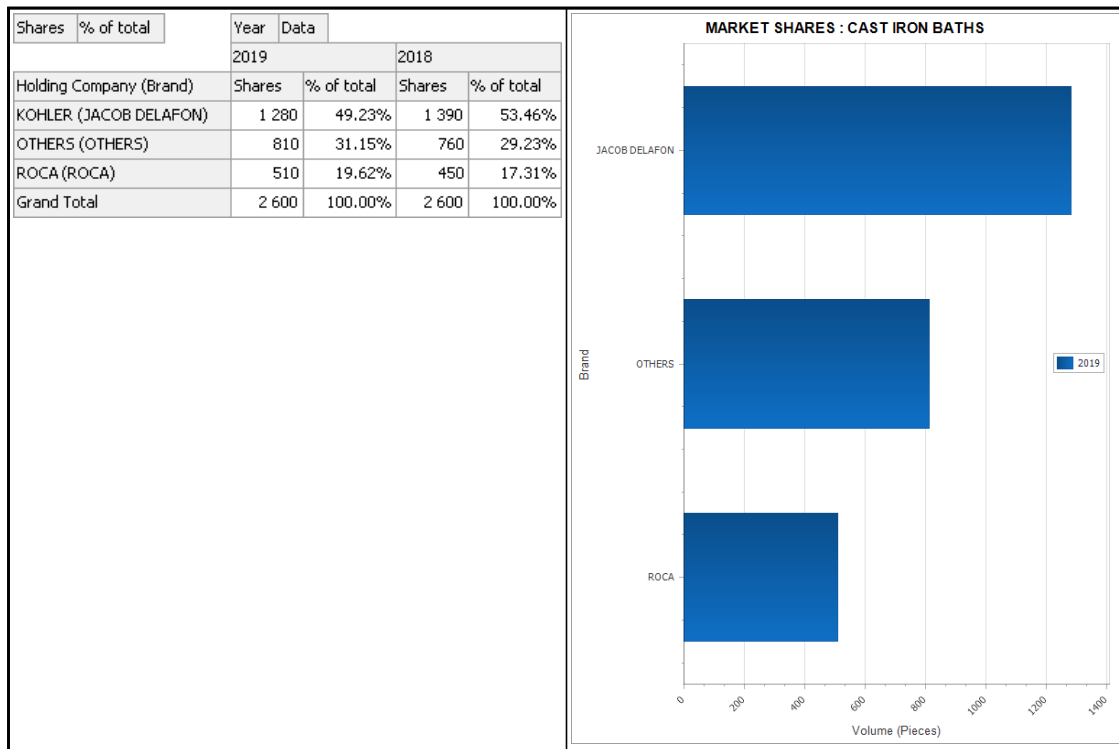
FR - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

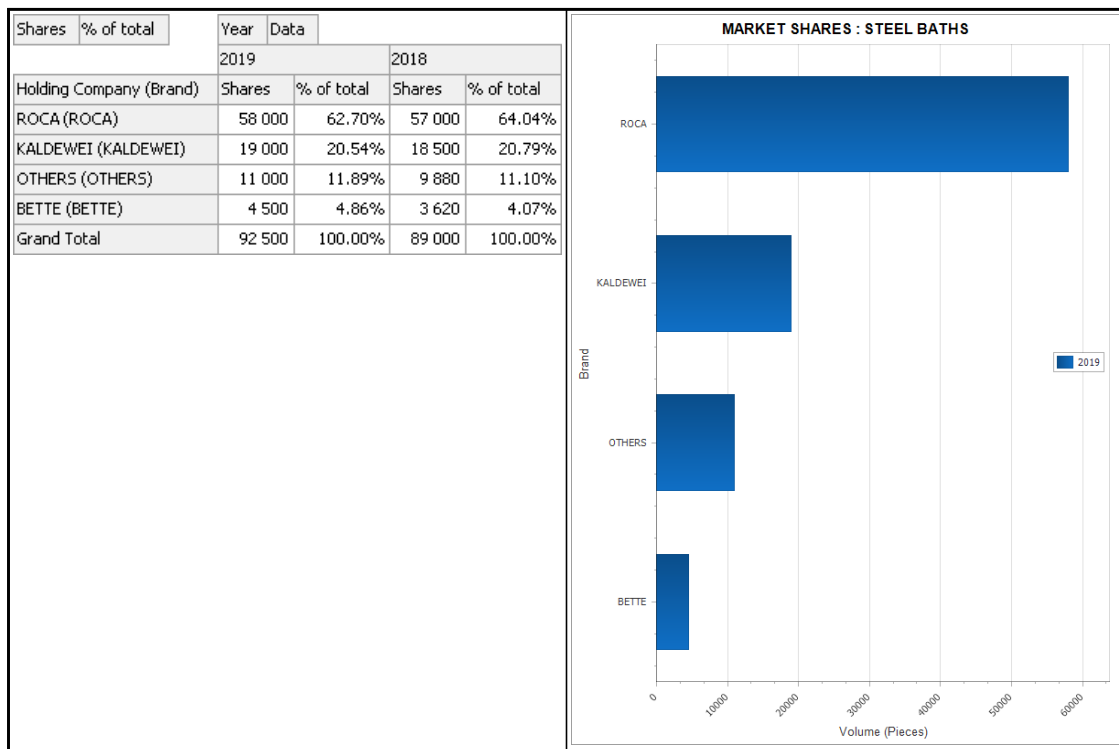
FR - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

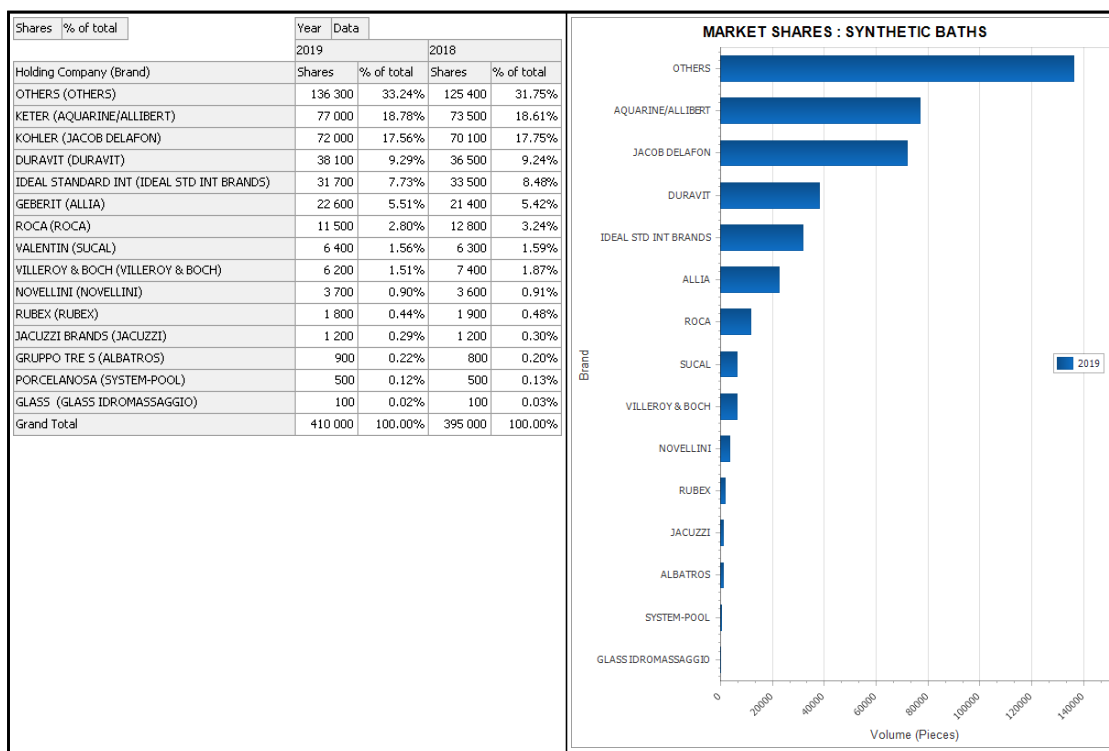
FR - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

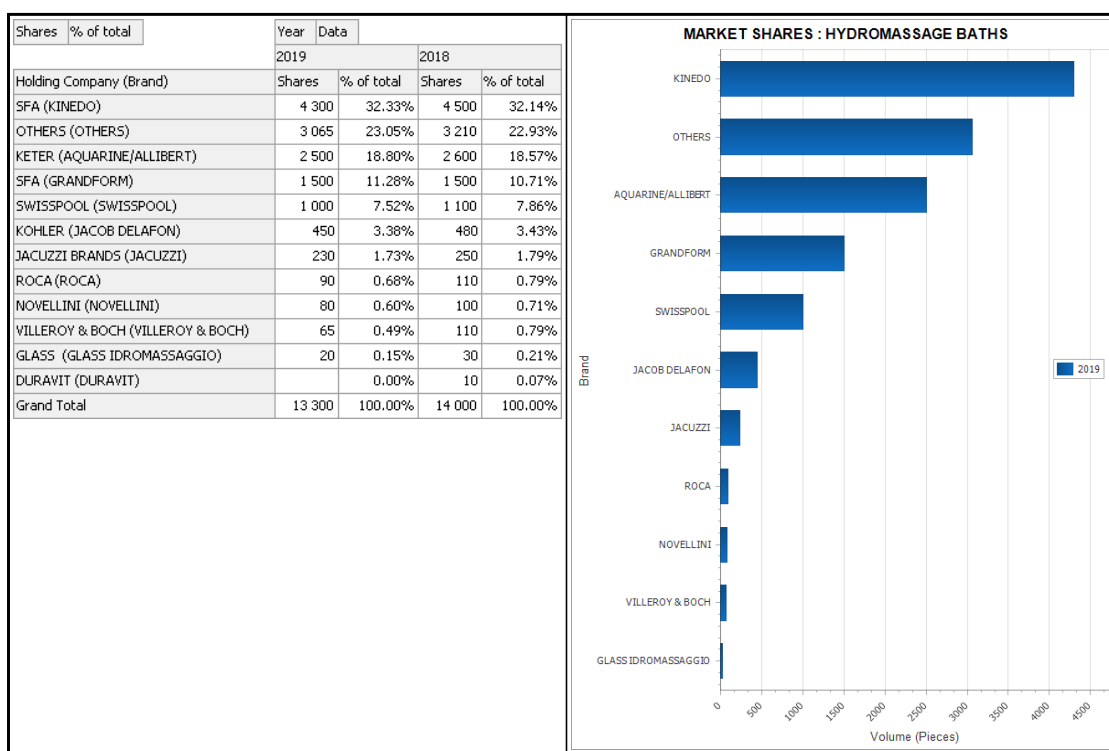
FR - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

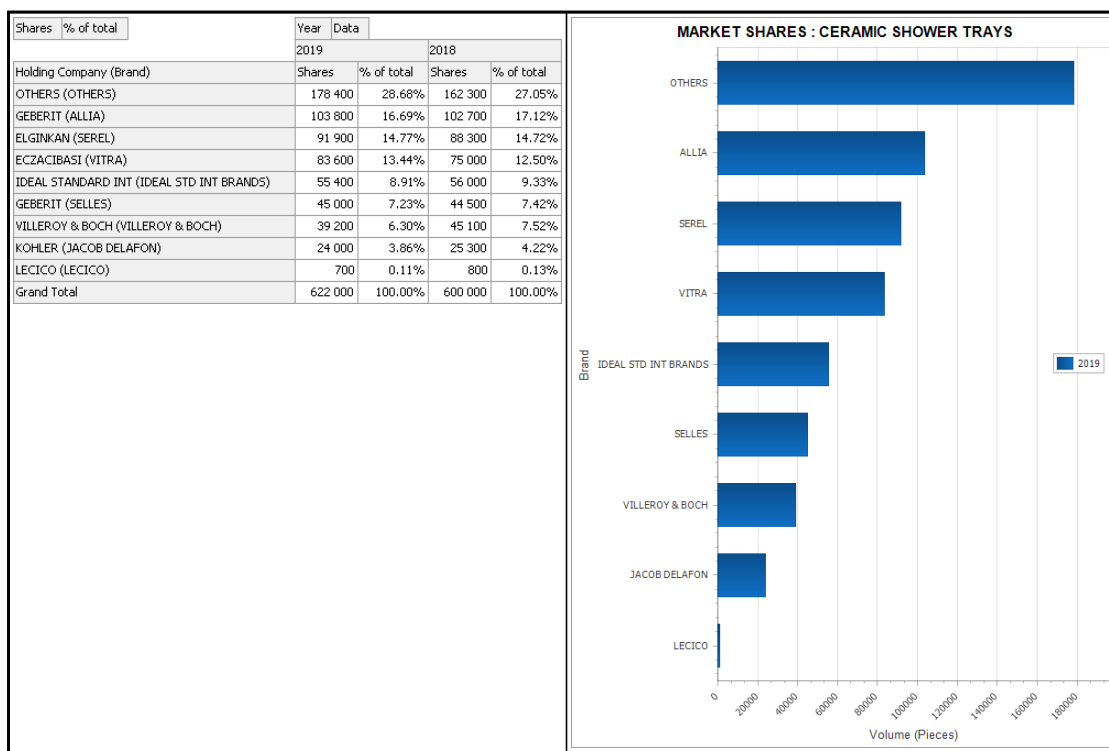
FR - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

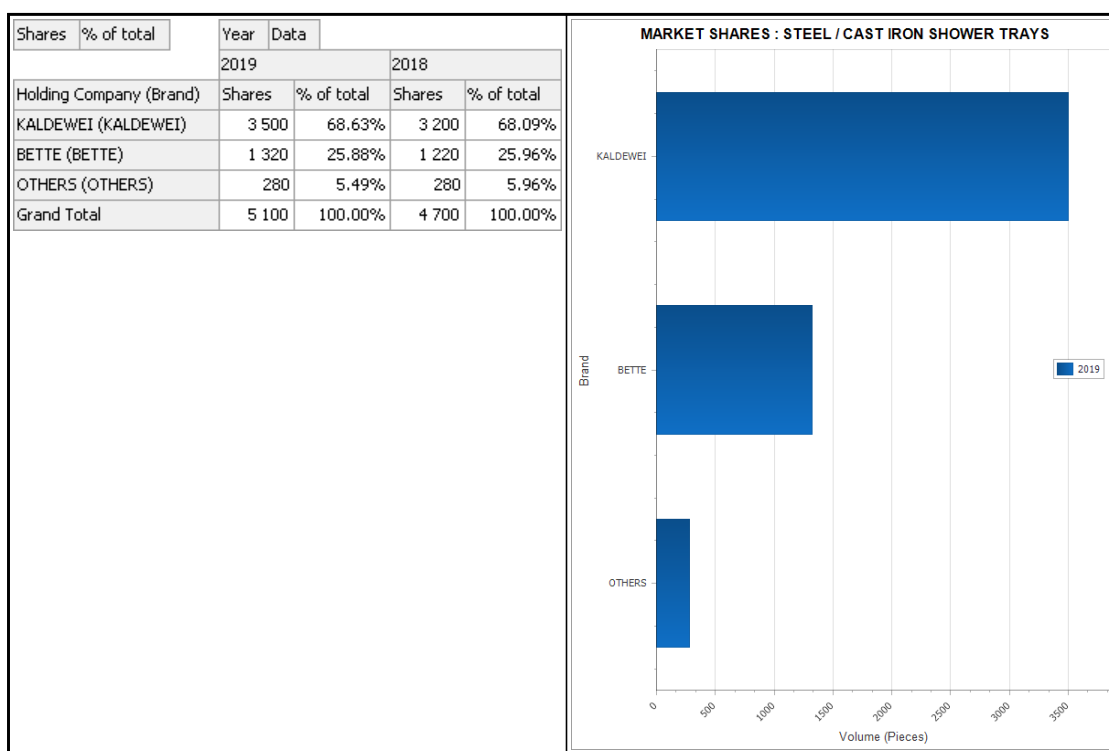
FR - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

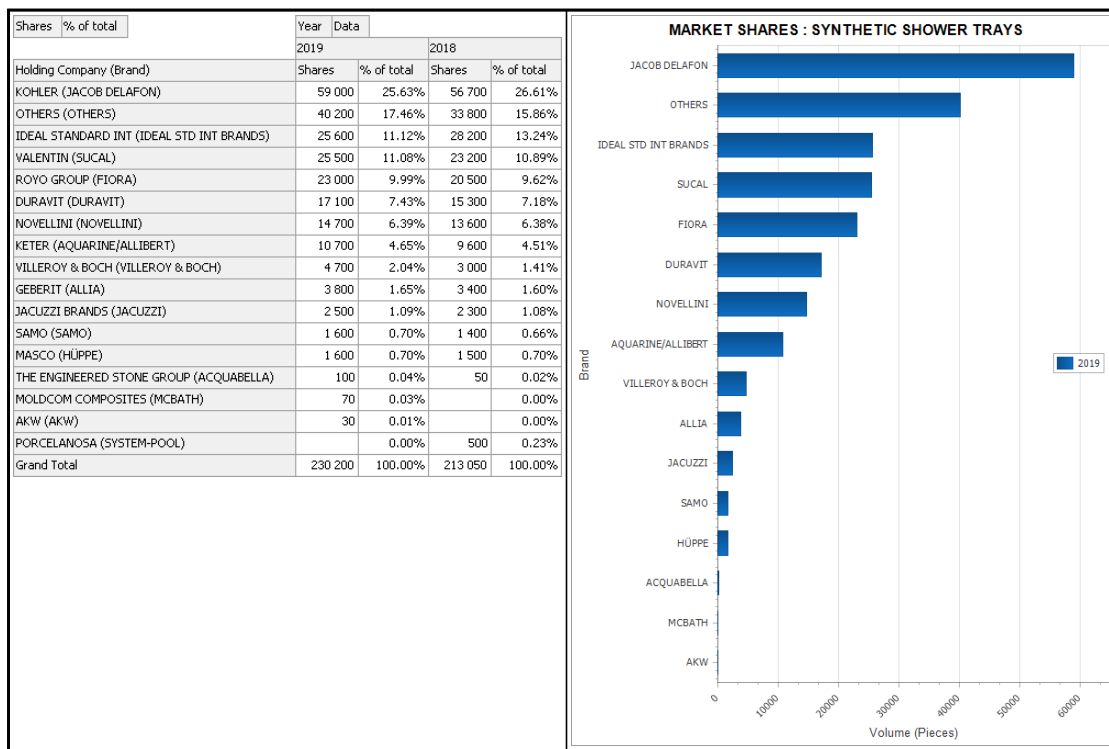
FR - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

FR - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 FR - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	355	77.7%	975	72.9%	245	69.9%	600	62.6%
Poland	49	10.8%	160	12.0%	33	9.4%	105	10.9%
Spain	24	5.3%	78	5.8%	30	8.6%	117	12.2%
Switzerland	14	3.2%	31	2.3%	27	7.6%	28	2.9%
Portugal	6	1.4%	59	4.4%	5	1.5%	37	3.9%
OTHERS	8	1.7%	34	2.5%	10	2.9%	72	7.5%
Total	456	100.0%	1 337	100.0%	350	100.0%	959	100.0%

Source : Trademap

1.6.2 FR - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Russian Federation	96	57.9%	219	48.6%	11	21.9%	28	13.9%
Ukraine	45	27.2%	105	23.3%	4	7.9%	12	5.9%
Morocco	15	8.8%	42	9.3%	1	1.3%	1	0.5%
Switzerland	4	2.2%	46	10.2%	7	13.6%	47	23.3%
Spain	3	1.6%	9	2.0%	3	6.5%	12	5.9%
OTHERS	4	2.2%	30	6.7%	25	48.8%	102	50.5%
Total	166	100.0%	451	100.0%	51	100.0%	202	100.0%

Source : Trademap

1.6.3 FR - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Spain	2 913	68.5%	5 243	59.7%	2 732	68.3%	4 799	59.5%
Germany	1 014	23.9%	2 608	29.7%	980	24.5%	2 528	31.3%
Portugal	136	3.2%	197	2.2%	119	3.0%	166	2.1%
Poland	90	2.1%	297	3.4%	93	2.3%	292	3.6%
OTHERS	97	2.3%	443	5.0%	74	1.8%	279	3.5%
Total	4 250	100.0%	8 788	100.0%	3 999	100.0%	8 064	100.0%

Source : Trademap

1.6.4 FR - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Morocco	25	38.1%	464	48.1%	1	2.0%	20	5.7%
Switzerland	8	12.1%	191	19.8%	17	45.9%	121	34.6%
Germany	7	11.3%	54	5.6%	2	6.1%	21	6.0%
Austria	2	3.7%	23	2.4%	2	5.1%	19	5.4%
United Kingdom	2	3.4%	7	0.7%	0	0.7%	3	0.9%
Spain	2	3.1%	15	1.6%	2	5.0%	18	5.1%
Italy	2	3.1%	8	0.8%	1	1.8%	5	1.4%
Russian Federation	2	2.6%	13	1.3%	2	4.3%	13	3.7%
Poland	2	2.5%	9	0.9%	0	0.3%	1	0.3%
Belgium	1	2.0%	10	1.0%	1	1.5%	5	1.4%
Finland	1	1.9%	12	1.2%	0	0.5%	3	0.9%
OTHERS	11	16.2%	158	16.4%	10	26.7%	121	34.6%
Total	65	100.0%	964	100.0%	36	100.0%	350	100.0%

Source : Trademap

1.6.5 FR - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Spain	11 851	26.3%	51 445	27.8%	9 860	25.1%	43 849	28.9%
China	7 530	16.7%	22 704	12.3%	8 321	21.2%	24 991	16.4%
Poland	6 238	13.8%	29 104	15.7%	5 006	12.8%	14 620	9.6%
Egypt	3 947	8.7%	11 630	6.3%	3 462	8.8%	10 345	6.8%
United Kingdom	3 850	8.5%	12 775	6.9%	3 793	9.7%	13 828	9.1%
Italy	2 854	6.3%	12 937	7.0%	2 252	5.7%	10 739	7.1%
Germany	2 177	4.8%	14 483	7.8%	906	2.3%	8 319	5.5%
France	1 560	3.5%	4 503	2.4%	964	2.5%	3 325	2.2%
Slovakia	940	2.1%	3 448	1.9%	431	1.1%	1 886	1.2%
Belgium	852	1.9%	3 885	2.1%	700	1.8%	3 315	2.2%
Netherlands	648	1.4%	4 029	2.2%	707	1.8%	4 538	3.0%
OTHERS	2 667	5.9%	13 938	7.5%	2 823	7.2%	12 234	8.0%
Total	45 116	100.0%	184 881	100.0%	39 225	100.0%	151 989	100.0%

Source : Trademap

1.6.6 FR - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	847	26.7%	7 542	33.0%	744	25.7%	6 438	31.1%
Belgium	752	23.7%	4 109	18.0%	646	22.3%	4 080	19.7%
United Kingdom	418	13.2%	2 103	9.2%	297	10.3%	1 625	7.9%
Spain	207	6.5%	1 527	6.7%	220	7.6%	1 485	7.2%
Poland	165	5.2%	779	3.4%	105	3.6%	583	2.8%
Italy	160	5.0%	1 233	5.4%	215	7.4%	1 550	7.5%
Switzerland	97	3.0%	1 243	5.4%	115	4.0%	848	4.1%
Russian Federation	71	2.2%	330	1.4%	122	4.2%	445	2.2%
Luxembourg	62	2.0%	1 037	4.5%	19	0.7%	461	2.2%
Romania	49	1.5%	188	0.8%	40	1.4%	141	0.7%
United Arab Emirates	48	1.5%	178	0.8%	72	2.5%	395	1.9%
OTHERS	293	9.2%	2 576	11.3%	301	10.4%	2 622	12.7%
Total	3 168	100.0%	22 845	100.0%	2 894	100.0%	20 673	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
FR - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	69.1%
	Wholesalers / Merchants
	69.1%

Retail Level	Manufacturer 2.4%	Wholesaler 1.5%
	Internet Retailers	
	3.9%	
	Manufacturer 16.6%	Wholesaler 15.4%
	DIY Retailers	
	32.0%	
	Manufacturer 4.7%	Wholesaler 5.0%
	Specialist Retailers	
	9.7%	

Manufacturer 4.9%	Wholesaler 25.0%	Internet 1.1%	DIY 5.0%	Specialist 7.6%
		Installers		
		43.6%		

End Use Level	Manufacturer 0.4%	Wholesaler 18.0%	Internet 2.8%	DIY 27.0%	Specialist 1.0%	Installer 43.0%
			Residential			
			92.0%			
		New Build		Residential RMI		
		37.7%		54.3%		
	Project	Non-Project		Project	Non-Project	
	30.0%	7.7%		6.2%	48.1%	
	Manufacturer 1.9%	Wholesaler 4.2%	Internet 0.0%	DIY 0.0%	Specialist 1.2%	Installer 0.6%
			Non-Residential			
			8.0%			
		New Build		Non-Residential RMI		
		6.1%		1.9%		
	Project	Non-Project		Project	Non-Project	
	5.1%	1.0%		1.5%	0.4%	

1.7.2 Route to Market: Baths
FR - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	68.8%
	Wholesalers / Merchants
	68.8%

Retail Level	Manufacturer 2.5%	Wholesaler 1.7%
	Internet Retailers	
	4.2%	
	Manufacturer 17.1%	Wholesaler 15.9%
	DIY Retailers	
	33.0%	
	Manufacturer 5.1%	Wholesaler 5.0%
	Specialist Retailers	
	10.1%	

Manufacturer 4.4%	Wholesaler 25.0%	Internet 1.2%	DIY 5.2%	Specialist 8.5%
		Installers		
		44.3%		

End Use Level	Manufacturer 0.0%	Wholesaler 17.3%	Internet 3.0%	DIY 27.8%	Specialist 1.0%	Installer 42.4%
			Residential			
			91.5%			
		New Build		Residential RMI		
		37.6%		53.9%		
	Project	Non-Project		Project	Non-Project	
	29.7%	7.9%		5.7%	48.2%	
	Manufacturer 2.1%	Wholesaler 3.9%	Internet 0.0%	DIY 0.0%	Specialist 0.6%	Installer 1.9%
			Non-Residential			
			8.5%			
		New Build		Non-Residential RMI		
		6.7%		1.8%		
	Project	Non-Project		Project	Non-Project	
	5.7%	1.0%		1.5%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.3 Route to Market - Consolidated View : Baths

FR - ESTIMATED DISTRIBUTION FOR BATHS : 2019

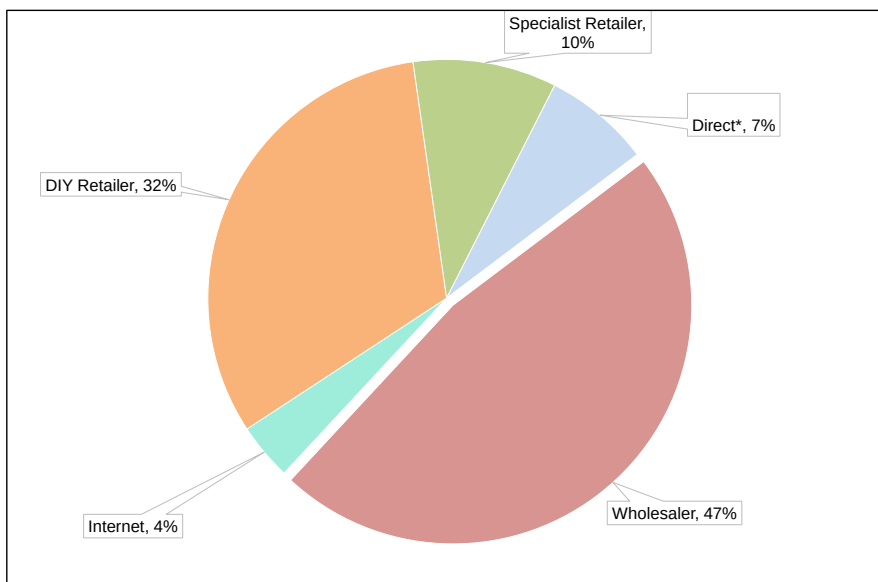
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.2%	3.9%	32.0%	9.7%	7.2%	36.2%	6.6%	55.8%	1.4%
100%					42.8%		57.2%	

1.7.4 Route to Market - Consolidated View : Baths

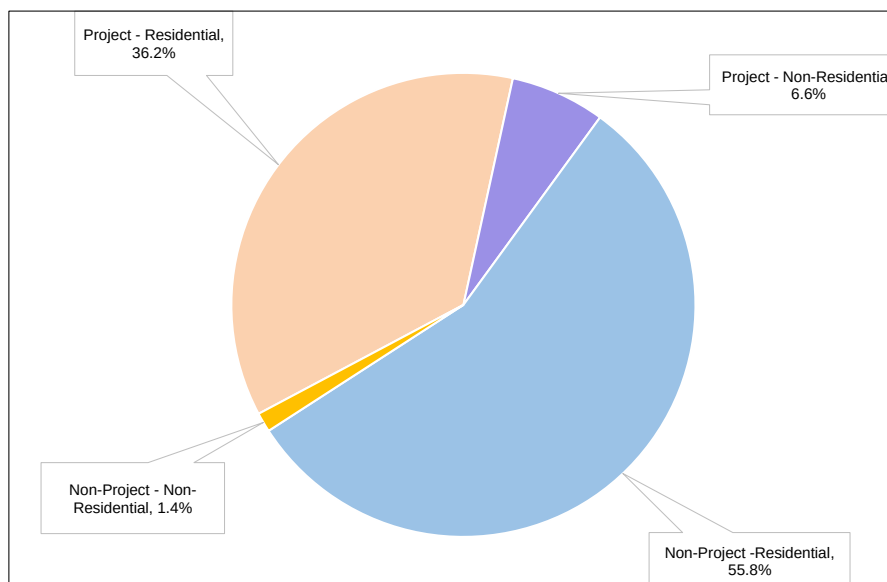
FR - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.2%	4.2%	33.0%	10.1%	6.5%	35.4%	7.2%	56.1%	1.3%
100%					42.6%		57.4%	

FR - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.2%
	Wholesalers / Merchants
	67.2%

Retail Level	Manufacturer 2.4%	Wholesaler 1.2%	Manufacturer 20.3%	Wholesaler 4.1%	Manufacturer 4.7%	Wholesaler 4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.6%		24.4%		8.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.7%	27.0%	0.0%	4.5%	6.4%
Installers				
40.6%				

End Use Level	Manufacturer 1.0%	Wholesaler 29.1%	Internet 3.6%	DIY 19.9%	Specialist 1.0%	Installer 40.3%
	Residential					
	95.0%					
	New Build		Residential RMI			
	29.4%		65.5%			
	Project	Non-Project	Project	Non-Project		
	23.5%	5.9%	10.3%	55.2%		
	Non-Residential					
	5.0%					
	New Build		Non-Residential RMI			
	4.2%		0.8%			
	Project	Non-Project	Project	Non-Project		
	3.5%	0.7%	0.8%	0.0%		

1.7.6

Route to Market: Shower Trays
FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	68.3%
	Wholesalers / Merchants
	68.3%

Retail Level	Manufacturer 2.6%	Wholesaler 1.6%	Manufacturer 20.0%	Wholesaler 4.6%	Manufacturer 3.4%	Wholesaler 4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.2%		24.6%		7.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.6%	27.0%	0.0%	4.0%	5.1%
Installers				
38.7%				

End Use Level	Manufacturer 2.6%	Wholesaler 29.4%	Internet 4.2%	DIY 20.6%	Specialist 1.0%	Installer 38.7%
	Residential					
	96.5%					
	New Build		Residential RMI			
	11.6%		84.9%			
	Project	Non-Project	Project	Non-Project		
	9.2%	2.4%	29.3%	55.6%		
	Non-Residential					
	3.5%					
	New Build		Non-Residential RMI			
	3.4%		0.1%			
	Project	Non-Project	Project	Non-Project		
	3.0%	0.4%	0.1%	0.0%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

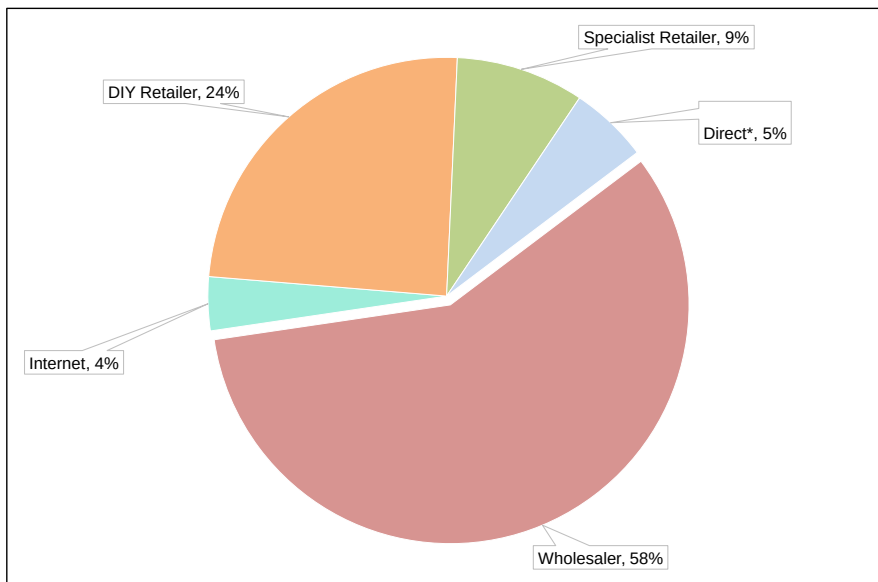
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
57.9%	3.6%	24.4%	8.7%	5.3%	33.8%	4.3%	61.2%	0.7%
100%					38.1%		61.9%	

1.7.8 Route to Market - Consolidated View : Shower Trays

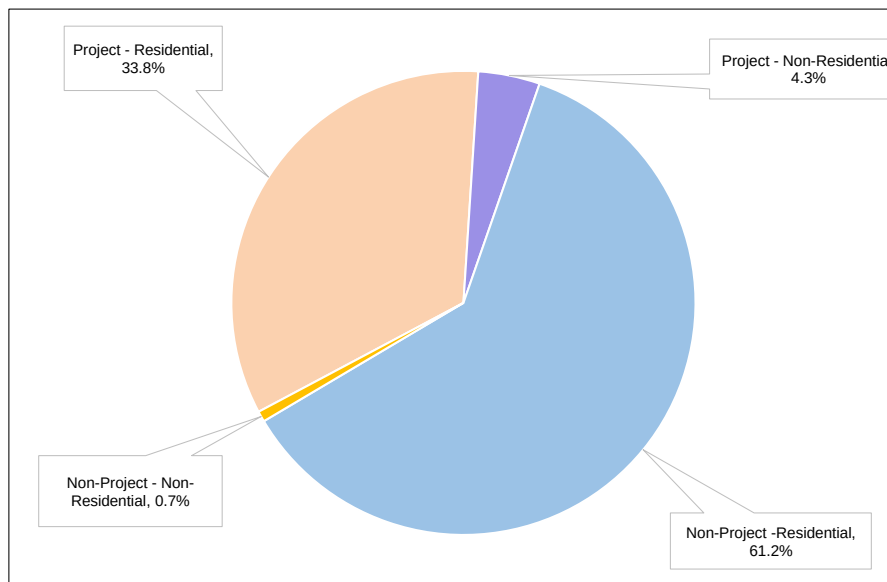
FR - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
58.1%	4.2%	24.6%	7.4%	5.7%	38.5%	3.1%	58.0%	0.4%
100%					41.6%		58.4%	

FR - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



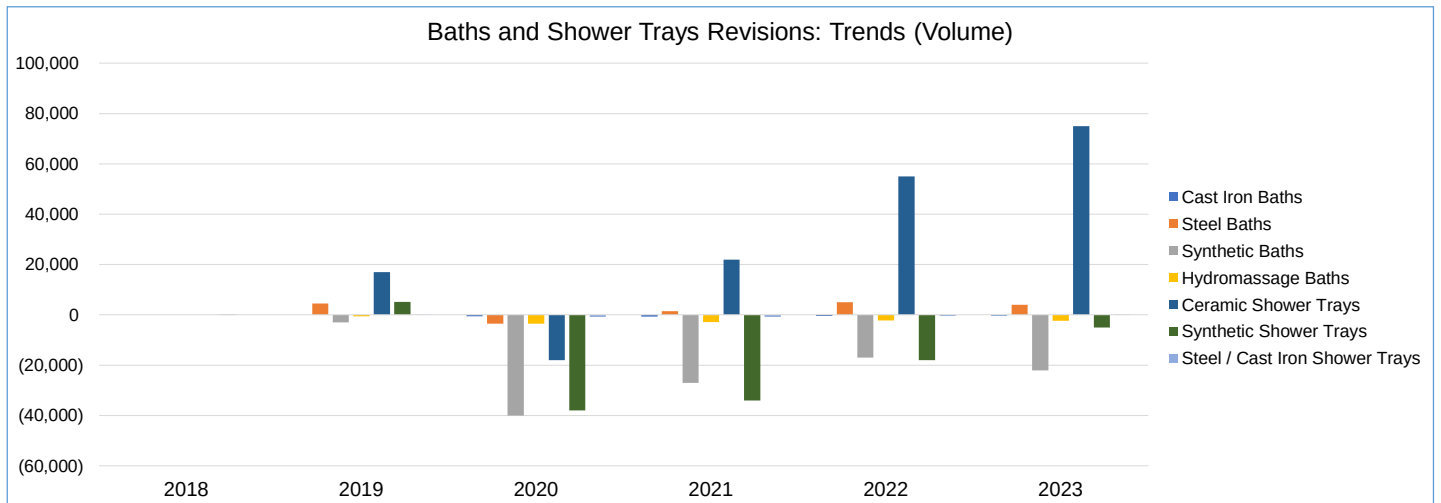
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the French Baths and Shower Trays Market (April 2020)

FR - REVISIONS IN THE FRENCH BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2019



Product Category	Alt Product	Latest Data	2018	2019	2020	2021	2022	2023
Conventional Baths	Cast Iron Baths	Vol	2,600	2,600	2,200	2,200	2,300	2,300
Conventional Baths	Cast Iron Baths	Δ Change	0	0	-600	-700	-400	-300
Conventional Baths	Steel Baths	Vol	89,000	92,500	80,500	81,500	82,000	80,000
Conventional Baths	Steel Baths	Δ Change	0	4,500	-3,500	1,500	5,000	4,000
Conventional Baths	Synthetic Baths	Vol	395,000	410,000	366,000	375,000	390,000	398,000
Conventional Baths	Synthetic Baths	Δ Change	0	-3,000	-40,000	-27,000	-17,000	-22,000
Hydromassage Baths	Hydromassage Baths	Vol	14,000	13,300	10,000	10,500	11,000	10,900
Hydromassage Baths	Hydromassage Baths	Δ Change	0	-600	-3,500	-2,800	-2,200	-2,300
Shower Trays	Ceramic Shower Trays	Vol	600,000	622,000	560,000	577,000	600,000	619,000
Shower Trays	Ceramic Shower Trays	Δ Change	0	17,000	-18,000	22,000	55,000	75,000
Shower Trays	Steel / Cast Iron Shower Trays	Vol	4,700	5,100	4,000	4,000	4,500	5,000
Shower Trays	Steel / Cast Iron Shower Trays	Δ Change	0	120	-860	-810	-390	50
Shower Trays	Synthetic Shower Trays	Vol	213,050	230,200	190,000	197,000	219,000	241,000
Shower Trays	Synthetic Shower Trays	Δ Change	50	5,200	-38,000	-34,000	-18,000	-5,000
Total	Total	Vol	1,318,350	1,375,700	1,212,700	1,247,200	1,308,800	1,356,200
Total	Total	Δ Change	50	23,220	-104,460	-41,810	22,010	49,450

No or only marginal changes have been made to historical volumes for this market.

FRANCE

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The sanitary ware market, one of the largest and most mature bathroom markets, is characterised by the consumers' desire to improve the quality and aesthetic of their sanitary ware equipment. Over the past few decades, the household penetration of sanitary ware products has increased considerably, reflecting the increasing interest of French households in the design of their bathrooms as well as solid momentum in the consumer's purchasing power. Since the beginning of the current crisis, however, the market for sanitary ware products has been unstable and continuously declined until 2016, due to its high degree of elasticity to new housing construction – as well as private consumption. As for any mature market, sanitary ware has an important dependence on the renovation market and, therefore, the general macroeconomic trend of the country represents a significant driver for this market. Construction is also a key driver, especially in ceramic sanitary ware and concealed plastic cisterns (both essential categories in new housing).

The French market for sanitary ware is largely dominated by sales of ceramic sanitary ware (CSW), of which the majority consist of water closets (WCs), both floor-standing and wall-hung, and washbasins (washbasins/countertops and hand washbasins). There are few product substitutions within the market for ceramics that have developed over the past few years in France. As far as WC sales are concerned, the French market has gradually switched towards wall-hung WCs (mainly for design and space-saving purposes) and has recently adopted rimless WC types for ease of cleaning and hygiene purposes. With regards to washbasins / bathroom sinks, countertops and, to a lesser extent, hand washbasins, these products have progressively replaced pedestals and half pedestals. Sales of bidets have notably decreased to a niche level, since French households have long since switched to shower systems instead and have stopped installing bidets in new buildings. For their part, sales of other CSW have seen regular decreases in the volume of pedestals and half pedestals, which have been declining in popularity over the years, especially in new housing (as mentioned above).

Together with the decreasing use of flashing valves for WCs, the sanitary market has seen a regular and important increase in the number of concealed plastic cisterns sold in France, to the detriment of exposed plastic cisterns; these are often perceived as being outdated in new dwellings and non-housing buildings. The strong development of concealed cisterns has been helped by the fact that concealed systems meet aesthetic requirements, while offering better acoustics (notably the reduction of the noise when filling up with water) and hygienic criteria (such as ease of cleaning). Concealed products have been developing further in the French market these last few years, following the trend for minimalist decoration and the importance of space saving.

Recent Market Trends

In 2019, the sanitary ware market continued to develop positively. The French sanitary ware market was firstly driven by the sharp growth in total completions, with both apartment buildings and family houses increasing. In addition, the market benefitted from a positive RMI demand, being primarily driven by growing household consumption combined with low interest rates throughout the year. As previously mentioned, the French sanitary ware market is rather mature and, therefore, heavily relies on sales to housing RMI. Sales to the non-housing sector increased in 2019, contributing to the overall positive market performance.

Sales in the sanitary ware market in France increased in 2019, with concealed plastic cisterns, non-ceramic washbasins and WCs recording the strongest growth. As previously described, the WC market has gradually adopted wall-hung WC models (mainly for design and space-saving purposes) and recently adopted rimless WC types, and this trend has accelerated in recent years. However, the WC market is still largely dominated by sales of standard models, floor-standing and open rim models. Since their introduction to the French market in 2011, the rimless technology has been a great success as hygiene and cleanliness have become an important concern for French households. Wall-hung WCs account for a great majority of rimless model sales, unlike floor-standing toilets. Most of the main WC manufacturers, either local or foreign ones, now offer rimless toilets, either floor-standing or wall hung models, and have launched marketing campaigns to promote their technology. In line with the uptake by French consumers of wall-hung WCs and rimless toilets, the concealed plastic cisterns market continued to increase in 2019 – to the detriment of exposed plastic cisterns. Boxed rim toilets remained marginal on the market in comparison to models with other rim types.

Even though a ceramic washbasin / bathroom sink is the most frequently sold model in France, for budgetary reasons, non-ceramic materials are becoming increasingly important. Among the synthetic washbasins / bathroom sinks, acrylic models represent the great majority of the product sold in 2019. The variety of colour available and the light-weight aspect appeal to the French population, especially since they increasingly install their own products in their households. Resin is also increasingly popular, especially in the RMI segment. However, being cheaper and easier to maintain, ceramic has numerous advantages over synthetic materials. Thus, ceramic models are believed to remain the preferred option in France.

The other CSW market increased in 2019, even though some products within this category continued to decline further (such as bidets, pedestals and half pedestals). Sales of ceramic shower trays, kitchen sinks and urinals were the key drivers behind the overall increase in sales of other CSW. The ceramic shower tray market increased in 2019 but continued to face the competition of other materials such as synthetic models, while pedestals are mostly found in social housing in a case of like-for-like replacement.

Prices and Market Values

The market value for ceramic sanitary products went up in 2019, due to the overall rise in volume sales combined with the increase in the average MSP for some products (such as ceramic washbasins, WCs and plastic cisterns). Prices for hand washbasins continued to increase in 2019 compared to the previous year, driven by the increase in popularity of countertop washbasins.

The average MSP of WCs increased in 2019, due to the fast uptake in recent years of wall-hung and rimless models that have a higher MSP than other traditional models – and despite the fact that they are now increasingly offered through the DIY channel and also, but to a lesser extent, the internet channel.

As regards concealed plastic WC cisterns, they are more often installed based on the ease and speed of installation techniques used, as well as aesthetic criteria. Prices of such models are consistently higher than those of exposed cisterns. This is mostly due to the fact that their average MSP also includes their installation modules, which represent the expensive part.

Within the other CSW product category, the average MSP in 2019 increased, driven by kitchen sink and close-coupled and despite the influx of a higher proportion of cheaper imported ceramic into the French market, the market's value went up, sustained by the rise of sales volumes in 2019.

To face fierce competition and cheap imports from Turkey and China, large manufacturers seem to have stopped somewhat their marketing strategy to integrate upselling in their product offering.

New Housing

In 2019, the new build market grew in volume terms following the strong rise of the new construction market, which in turn impacted positively the demand for sanitary ware going to the new housing sector. Sales of all products within the sanitary ware market experienced a strong increase in the new housing segment in 2019, especially plastic cisterns and non-ceramic washbasins.

Concealed plastic cisterns continue to develop rapidly in the new build segment, as they can easily be implemented during a home's design phase, while exposed cisterns continued to rise in this segment thanks to their cheap purchasing price. In 2019, sales of wall-hung WCs and rimless models increased further in this segment, taking shares from 'traditional' floor standing and open rim models. However, the market is still dominated by these classic models – especially in large housing projects, due to their low upfront cost.

Regarding the washbasin/bathroom sink market, the trend towards washbasins with base units continued in 2019 in the new housing segment, to the detriment of washbasins with pedestals. New housing also remained one of the main

destinations for sales of ceramic shower trays, while bidets almost disappeared from this segment.

Housing RMI

As with any mature market, the replacement and refurbishment segment is the main destination for ceramic sanitary ware products, comprising both replacements of old products and additions of second bathrooms. As previously mentioned, the French sanitary ware market was also driven by renovation activity in 2019, with volumes sold into this segment rising. In fact, this segment was positively supported by the increase in household private consumption, combined with the good performance in real estate transactions sustained by low interest rates throughout 2019.

As for any mature market, the WC market, and therefore the rimless segment, is reliant on the renovation sector. The market for concealed plastic cistern WCs increased in 2019 at a faster pace than other growing product categories, as French consumers seemed to have been attracted by the new offering on this market. This is confirmed by the increasing market of wall hung toilets in France. According to industry feedback, sales of rimless models are growing in the RMI sector as these products meet the need of consumers, in terms of aesthetics and hygiene, when they are willing to replace their traditional rim toilets. In fact, most rimless models are installed on wall hung WCs.

Within the other CSW product category, the ceramic shower tray market is facing the competition of other materials such as synthetic models in the RMI segment, but in 2019 these models still accounted for the bulk of sales of shower trays. Bidets are mostly found in the renovation sector, but sales continue to decline as French consumers tend to remove bidets to gain space, rather than replace them. Sales of ceramic WC exposed cisterns are believed to have increased in this sector, benefitting from the strong increase in sales of WCs in RMI, while exposed plastic cisterns followed an opposite pattern last year.

Sales of washbasins to the renovation market declined despite the good performance of the base units/vanities market, while pedestals are still found in social housing (like-for-like replacements). BRG believes that ceramic washbasins are facing the competition of other materials such as mineral cast and steel washbasins, in this end-use segment.

Non-Housing

Sales to the non-housing segment in 2019 grew across most sanitary ware products. The overall non-housing segment went up as a result of, firstly, positive macroeconomic indicators, and secondly an increase in non-residential construction. The non-housing market is primarily made up of hotels, which represent the bulk of sales for sanitary ware products, but there is also a large market in offices and commercial buildings in France for WCs and washbasins. Also, the trend towards the uptake of wall-hung WCs and concealed cisterns

observed in the past few years strengthened in this end-use market in 2019. Last year, rimless toilets were increasingly installed in the non-housing segment, especially in certain sectors (such as hospitality and healthcare), as these products meet the need in terms of aesthetics and hygiene.

An increase in concealed plastic cisterns was observed in 2019 in this end-use segment, following increasing sales of wall-hung WCs installed in the non-residential buildings. Non-housing also represents a significant market for specialist ceramic sanitary ware, such as urinals. However, CSW was the only product to decline marginally in 2019, pushed by the decrease of ceramic cistern. In fact, this drop was in line with the decline of close-coupled WC in this segment.

Supply Structure

The ceramic sanitary ware market is quite fragmented with numerous relatively significant players, such as ROCA, ECZACIBASI, DURAVIT, and ELGINKAN. The supply structure comprises the 'Big Four' traditional manufacturers, namely ALLIA (now part of GEBERIT), JACOB DELAFON, VITRA, and VILLEROY & BOCH, as well as non-affiliated and low-cost imports with little or no brand recognition. The share of Chinese imports remained high in 2019, and volume sales increased when compared to 2018. China is now the second-largest importer of ceramic in France, as Turkey recently became the number one – ECZACIBASI, with its VITRA brand, is growing rapidly. Chinese imports also include sales made by the French importer GODART DISTRIBUTION, which distributes Chinese products to DIY stores.

The supply structure of the exposed plastic cisterns market comprises mainly French subsidiaries of German, Dutch or Swiss manufacturers, and a few domestic manufacturers. The former companies, often OEM suppliers, manufacture plastic cisterns and installation modules. The main manufacturers are GEBERIT (CH), GROHE (DE), SCHWAB (DE), and WISA (NL). These companies are essentially manufacturers of flushing mechanisms and include, for instance, SIAMP, REGIPLAST, CLARA, and WIRQUIN. WIRQUIN is partly supplied by GEBERIT.

The manufacturers of concealed cisterns generally specialise in exposed plastic cisterns. However, GROHE and COMAP are specialists in concealed models. Domestic manufacturers play a minor role, since the market is dominated by three foreign manufacturers: GEBERIT, SIAMP, and GROHE, as well as one domestic manufacturer, REGIPLAST.

In 2018, RAK CERAMICS entered the French ceramic sanitary ware market, offering mainly washbasins and WCs. RAK CERAMICS is one of the biggest ceramic manufacturers worldwide, specialising in tiles and sanitary products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has

attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

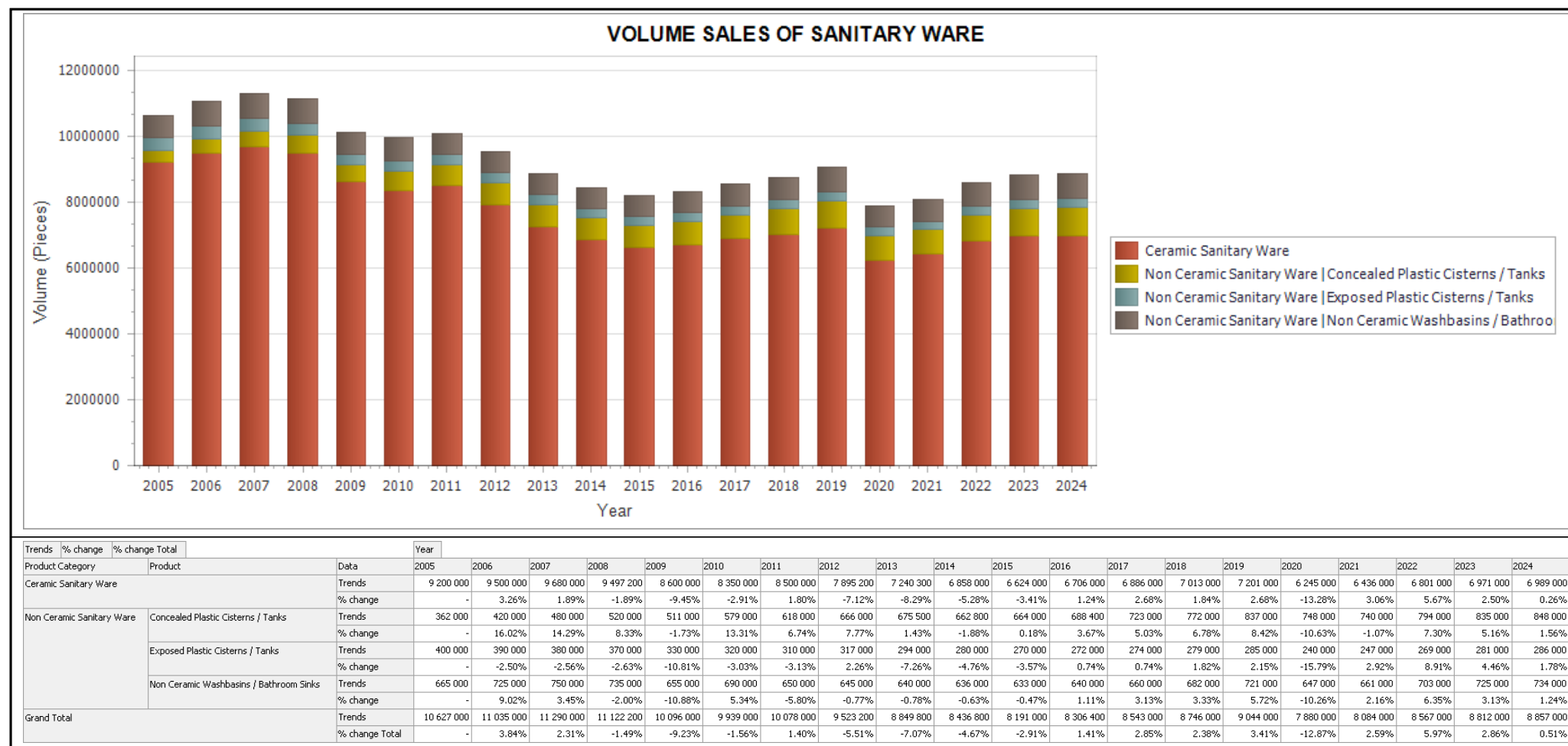
Apart from the predicted decline in 2020 and 2021 due to the sanitary crisis, BRG expects a rise in the demand of total sanitary ware products for the forecast period. From 2022 onwards, new build construction will serve as a boost to the sales.

The whole sanitary ware market is set to somewhat follow new build construction. Indeed, the declines in completions expected of the new build market in 2020 and 2021 should impact the sanitary ware market. Plus, the negative macroeconomic environment and purchasing power should encourage further the decline of the overall market. However, the market should rebound from 2022 onwards, with the improvement of new build construction performance. The specification market should remain lucrative, with new housing likely to play an important part in the overall market fluctuation over the forecast period. Additionally, the growing demand for wall-hung WCs and washbasins / bathroom sinks is set to support total sales of ceramic sanitary ware positively, while sales of concealed plastic cisterns should continue to rise during this period. The trend seen on the WC market regarding the uptake of wall-hung and rimless models is set to accelerate further during the forecast period.

The further increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, which will most likely put pressure on traditional distribution channels such as showrooms and DIY stores.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

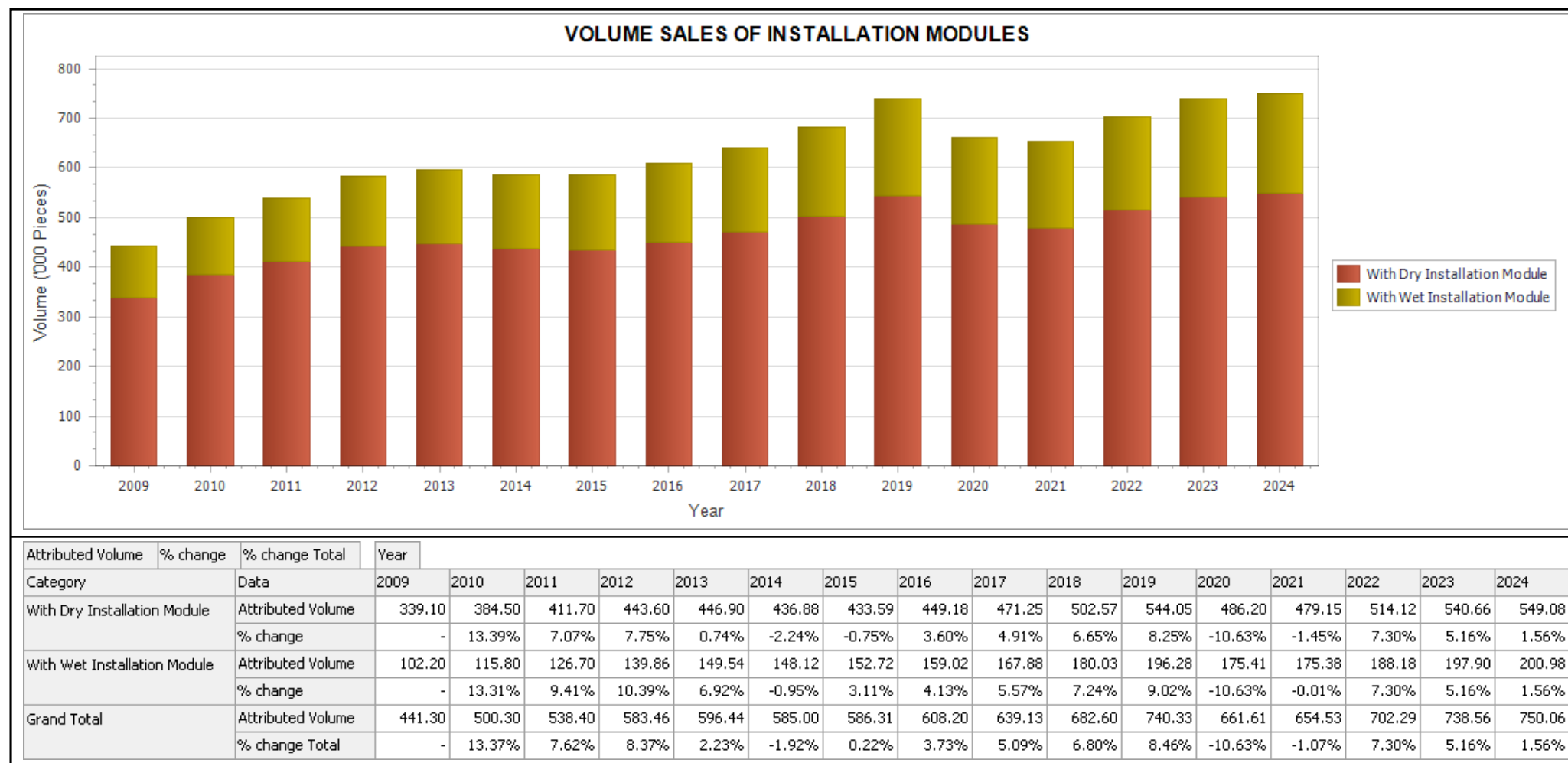
FR - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

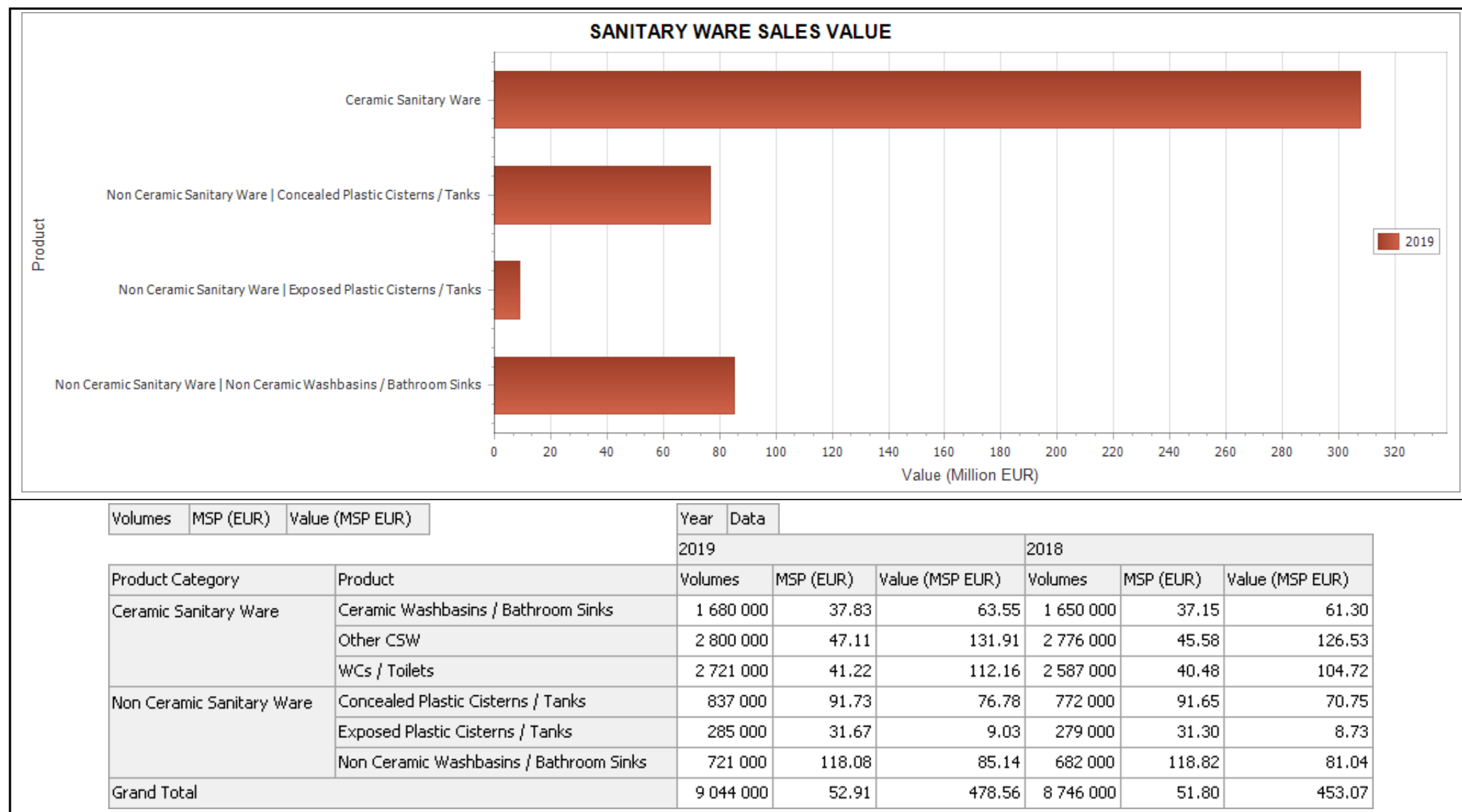
FR - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

FR - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

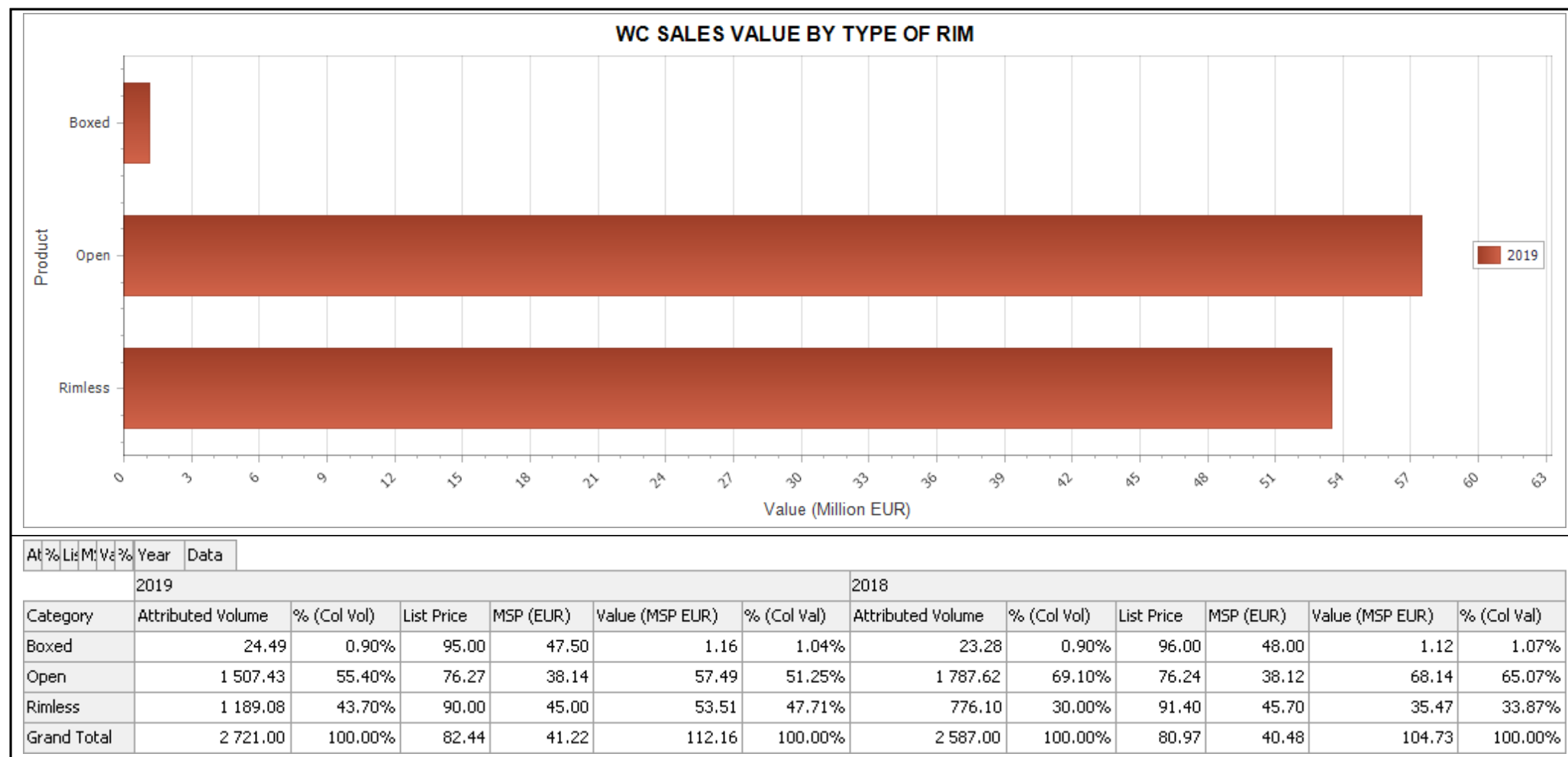
FR - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Val)	List Price	MSP (EUR)	Value (MSP)	% (Col Vol)	Year	Data								
2019								2018							
Product	Category	Attributed Volume	% (Col Val)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Val)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Vol)		
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	336.00	30.60%	178.76	57.88	19.45	20.00%	313.50	29.38%	177.49	57.45	18.01	19.00%		
	Hand Washbasins	252.00	4.37%	41.85	11.03	2.78	15.00%	245.85	4.60%	43.53	11.47	2.82	14.90%		
	Inset Washbasins	176.40	12.66%	91.19	45.60	8.04	10.50%	165.00	12.36%	91.87	45.94	7.58	10.00%		
	Pedestal Washbasins	246.39	9.92%	51.15	25.58	6.30	14.67%	249.84	10.42%	51.15	25.58	6.39	15.14%		
	Semi-Recessed Washbasins	117.60	11.47%	123.92	61.96	7.29	7.00%	112.20	11.32%	123.72	61.86	6.94	6.80%		
	Undermount Washbasins	201.60	17.34%	109.35	54.68	11.02	12.00%	189.75	17.03%	110.00	55.00	10.44	11.50%		
	Wall Hung Washbasins	350.01	13.65%	49.57	24.79	8.67	20.83%	373.86	14.88%	48.80	24.40	9.12	22.66%		
Other CSW	Bidets	35.56	0.84%	51.67	31.00	1.10	1.27%	36.09	0.56%	51.67	31.00	1.12	1.00%		
	Close-Coupled Cisterns	1 531.28	33.67%	58.00	29.00	44.41	54.69%	1 533.49	20.67%	54.00	27.00	41.40	42.44%		
	Kitchen Sinks	136.00	14.70%	285.24	142.62	19.40	4.86%	269.00	18.94%	564.15	141.04	37.94	7.44%		
	Others	124.60	6.16%	108.73	65.24	8.13	4.45%	119.37	3.93%	109.84	65.90	7.87	3.30%		
	Pedestals & Half Pedestals	246.40	1.87%	20.00	10.00	2.46	8.80%	249.84	1.18%	19.00	9.50	2.37	6.91%		
	Shower Trays	622.00	41.18%	154.22	87.33	54.32	22.21%	1 200.00	52.71%	312.45	87.99	105.58	33.21%		
	Urinals	104.16	1.58%	80.04	20.04	2.09	3.72%	205.43	2.01%	78.27	19.57	4.02	5.69%		
WCs / Toilets	Close-Coupled WC Bowls	1 088.40	39.79%	82.00	41.00	44.62	40.00%	1 014.10	38.73%	80.00	40.00	40.56	39.20%		
	Floor Standing WC Bowls	879.60	24.58%	62.68	31.34	27.57	32.33%	861.47	25.46%	61.89	30.95	26.66	33.30%		
	Wall Hung WC Bowls	753.00	35.64%	106.16	53.08	39.97	27.67%	711.43	35.81%	105.43	52.72	37.50	27.50%		
Grand Total		7 201.01	100.00%	87.46	42.72	307.62	100.00%	7 850.22	100.00%	127.64	46.66	366.33	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

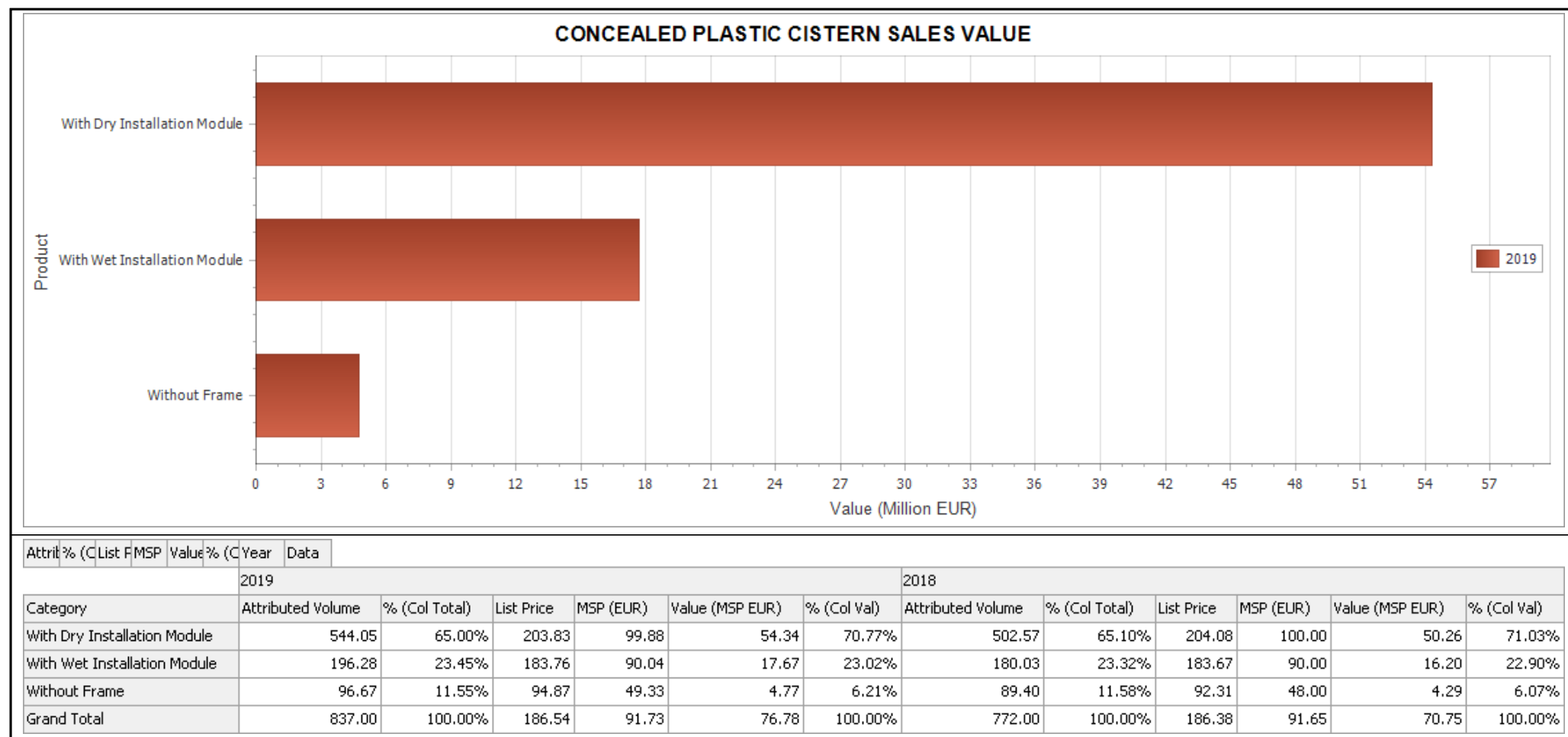
FR - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

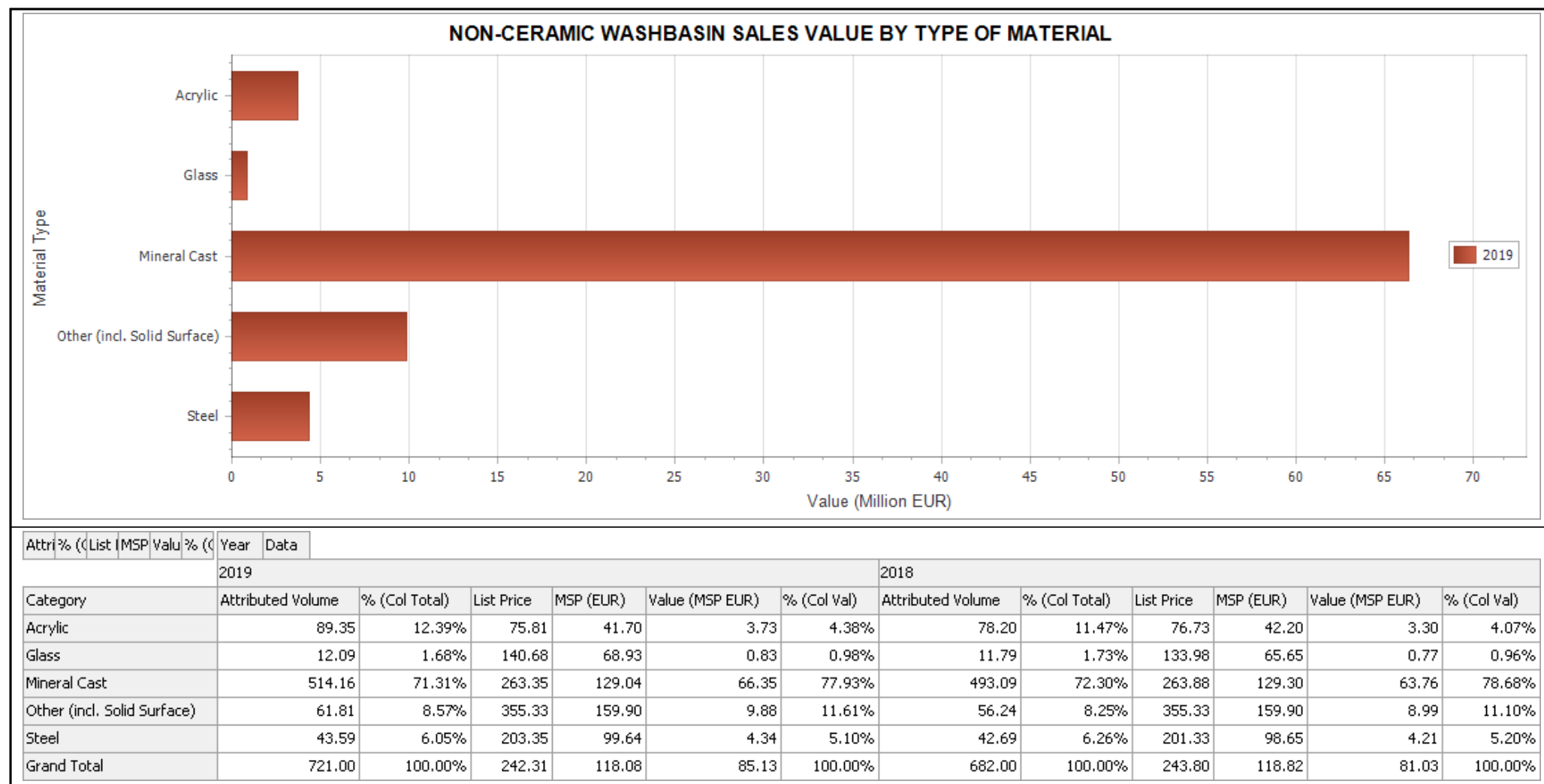
FR - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

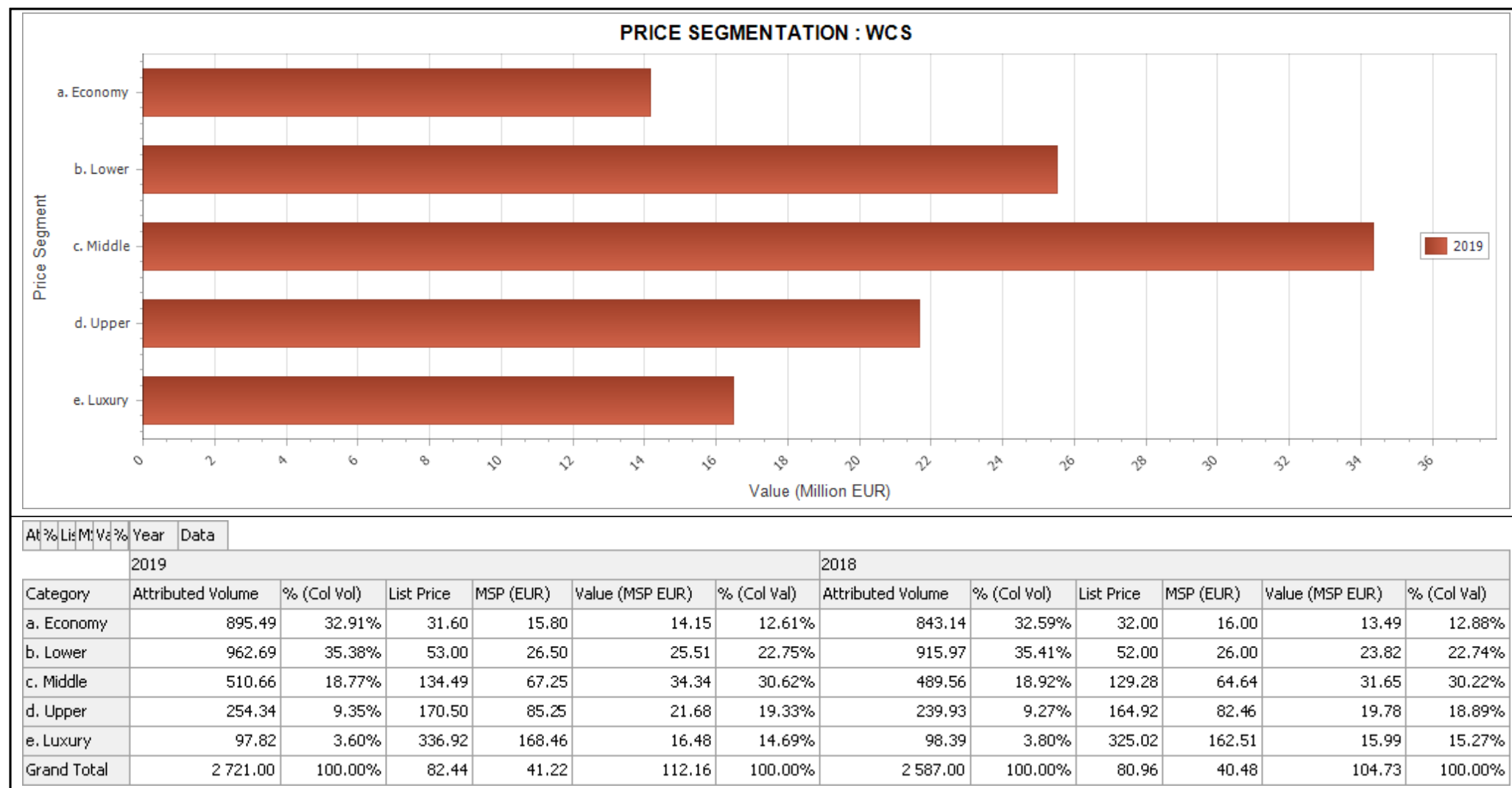
FR - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

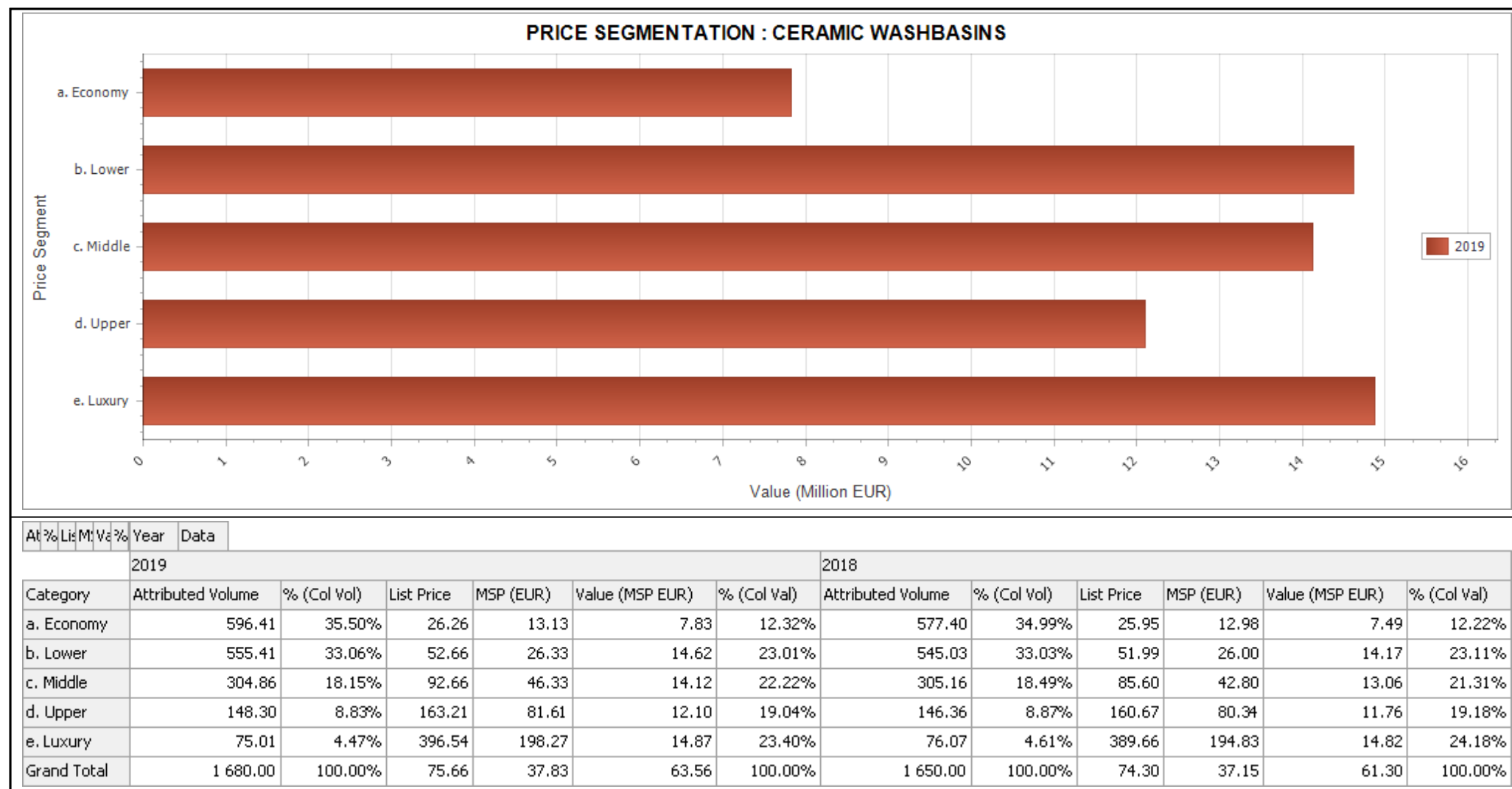
FR - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types.
 Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€50, Middle €40-€80, Upper >€80-€100, Luxury >€100

2.3.7 Price Segmentation : Ceramic Washbasins

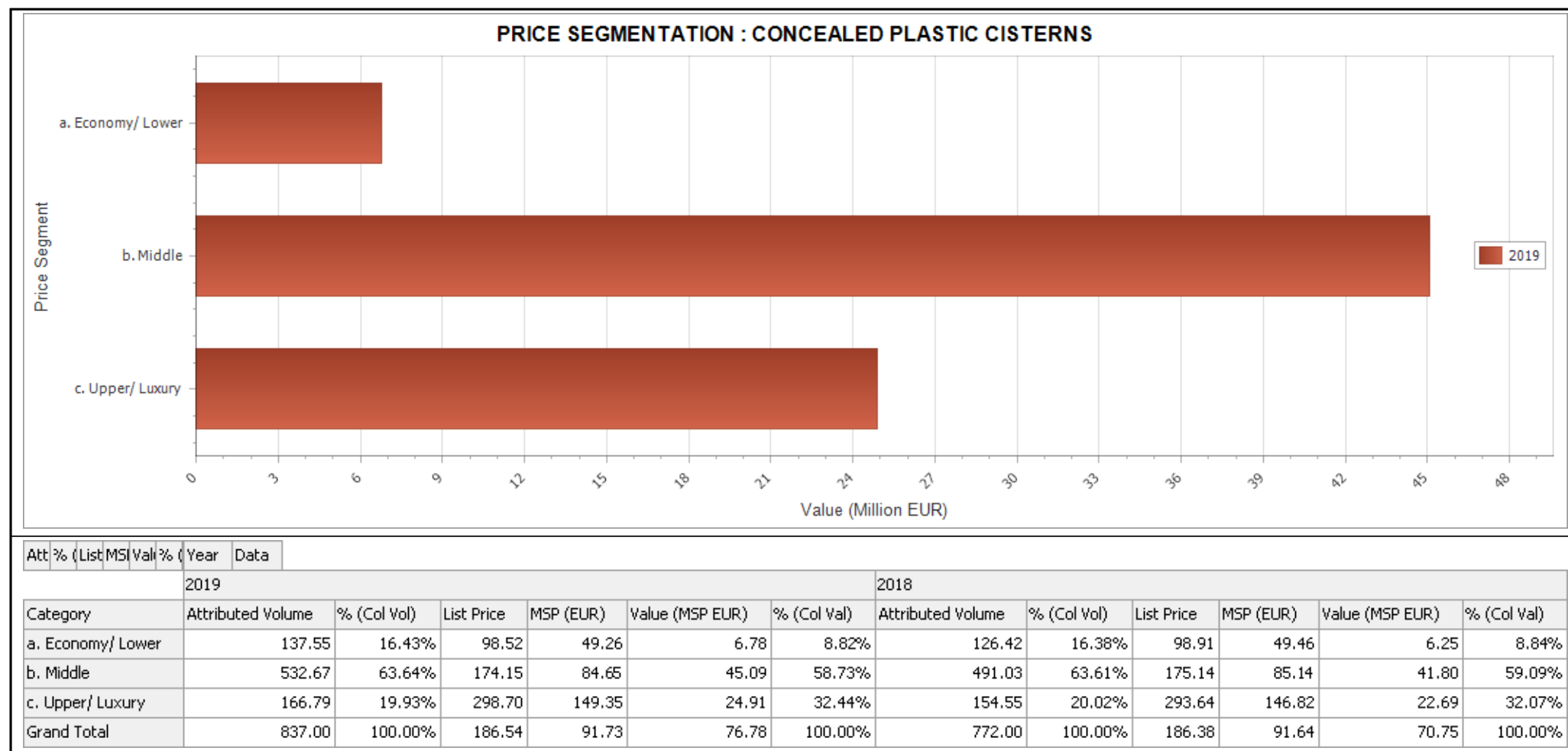
FR - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types.
 Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€25, Middle €25-€40, Upper >€40-€80, Luxury >€80

2.3.8 Price Segmentation : Concealed Plastic Cisterns

FR - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS

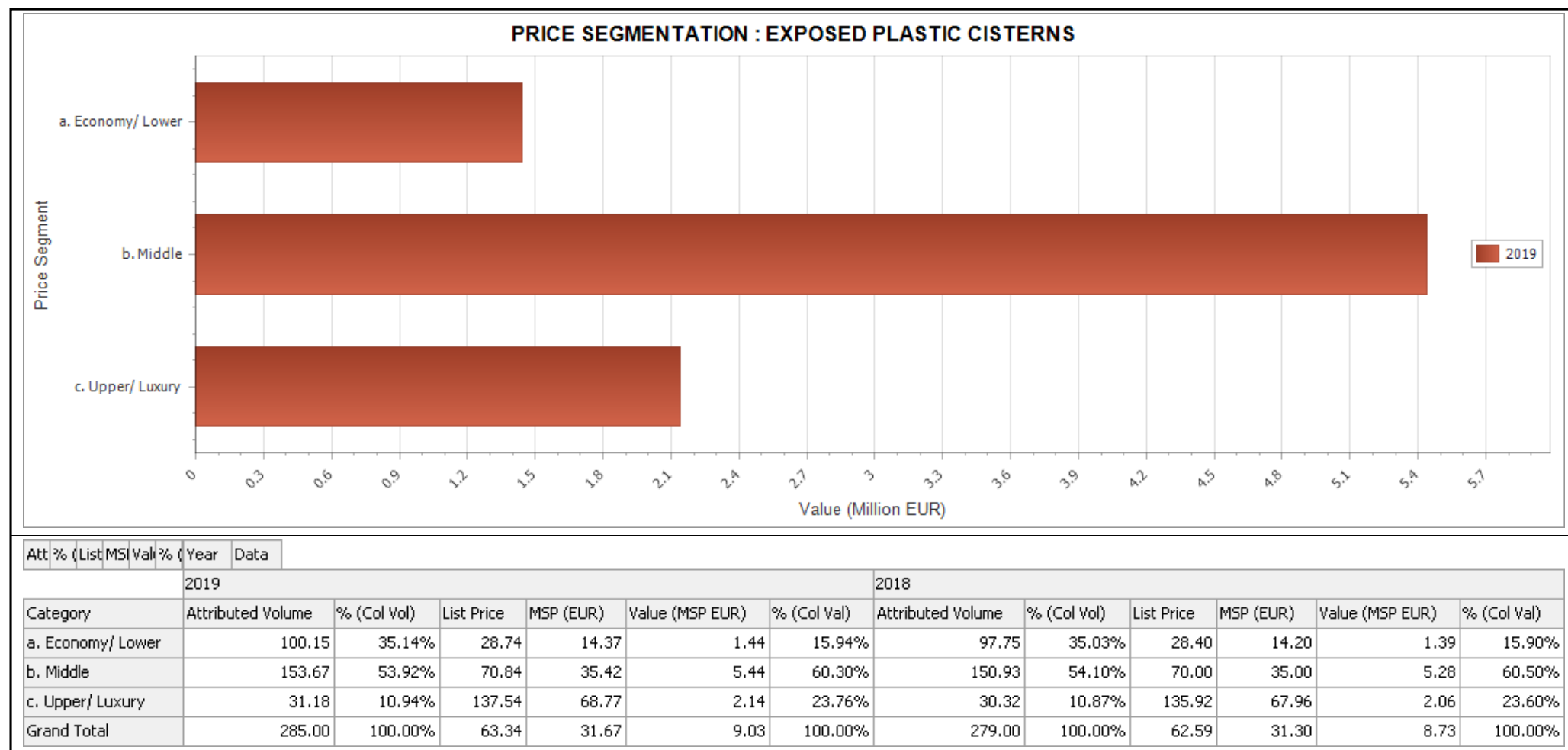


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

FR - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS

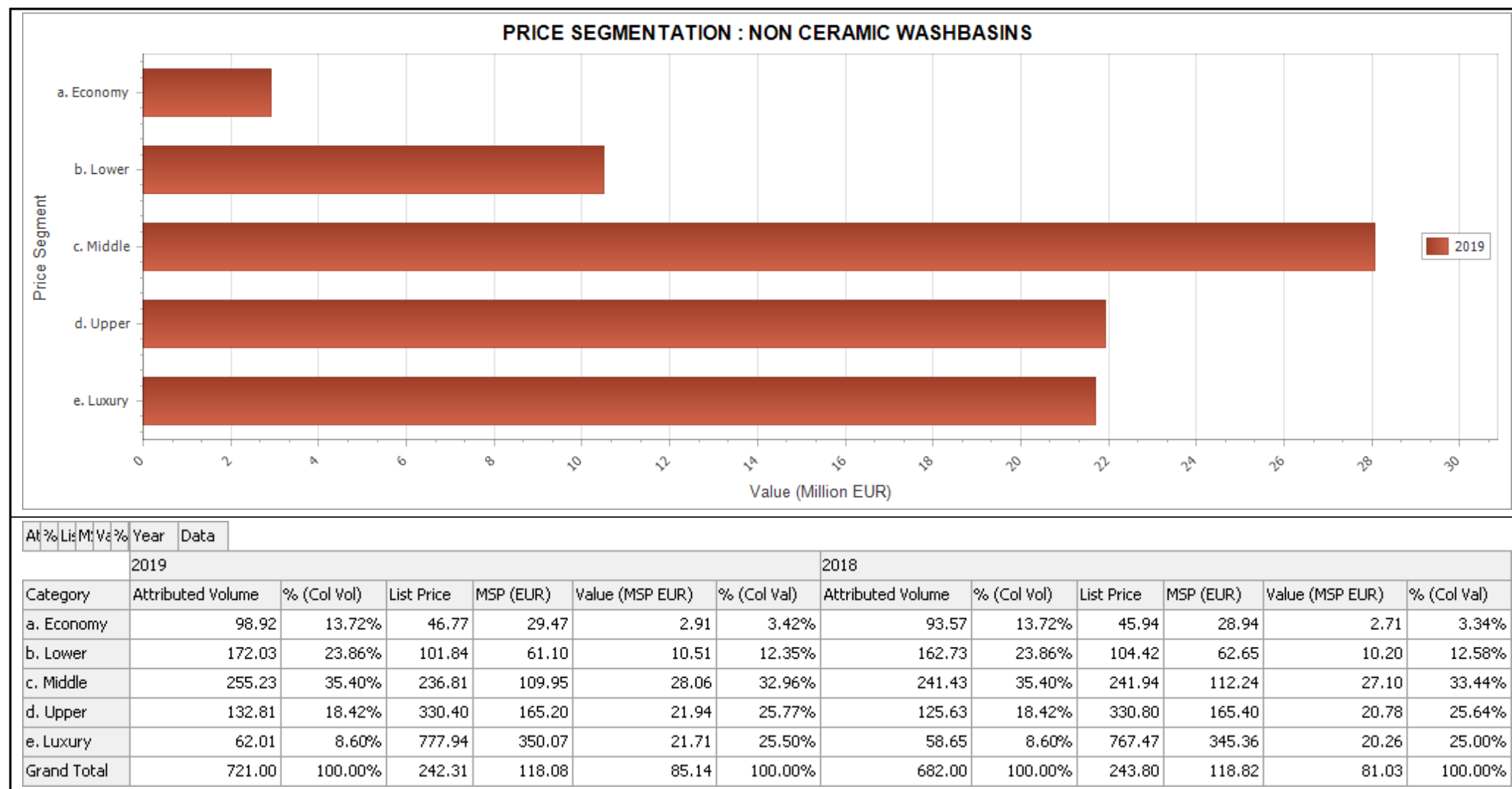


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

2.3.10 Price Segmentation : Non Ceramic Washbasins

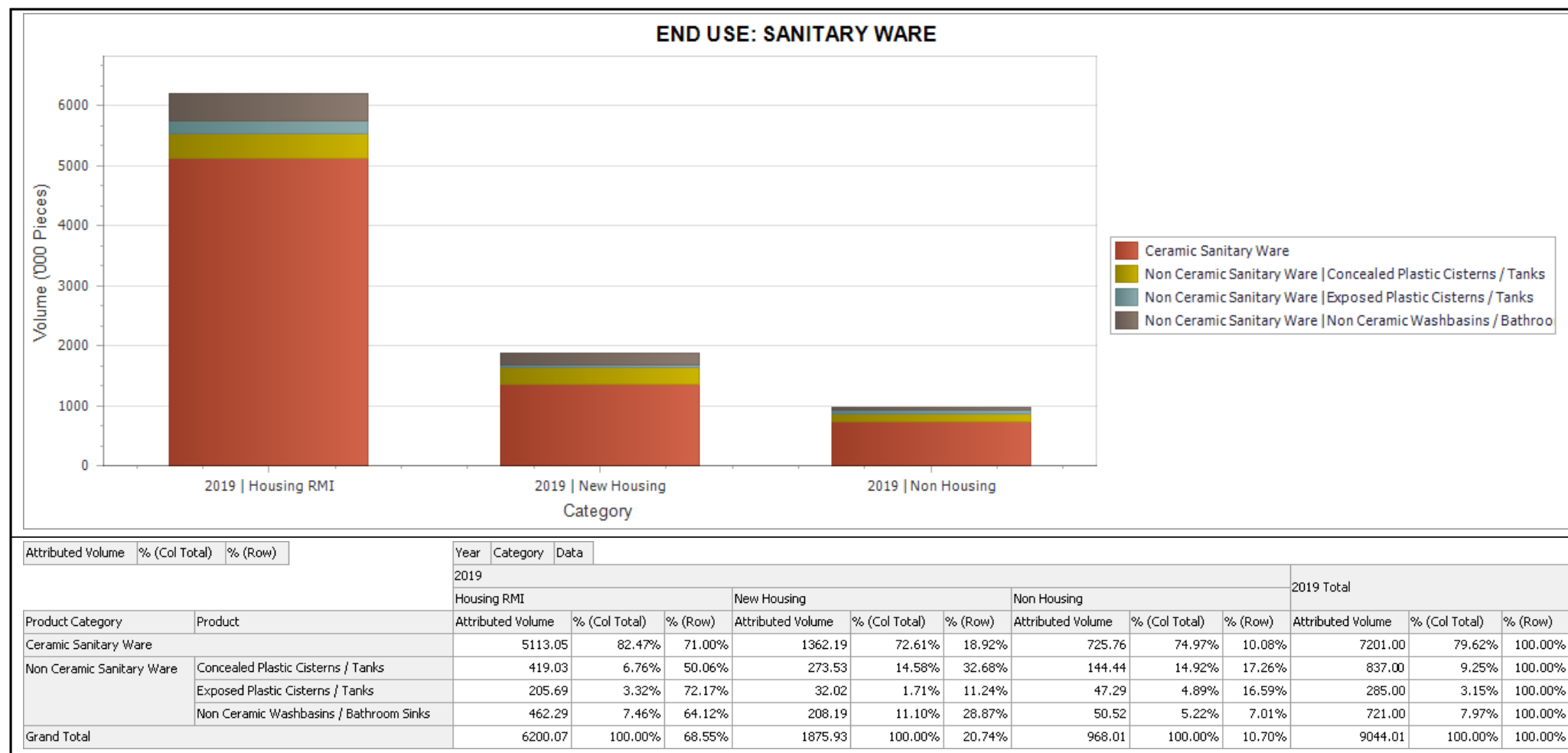
FR - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types.
 Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€80, Middle €80-€140, Upper >€140-€200, Luxury >€200

2.4.1 End Use : Base Year

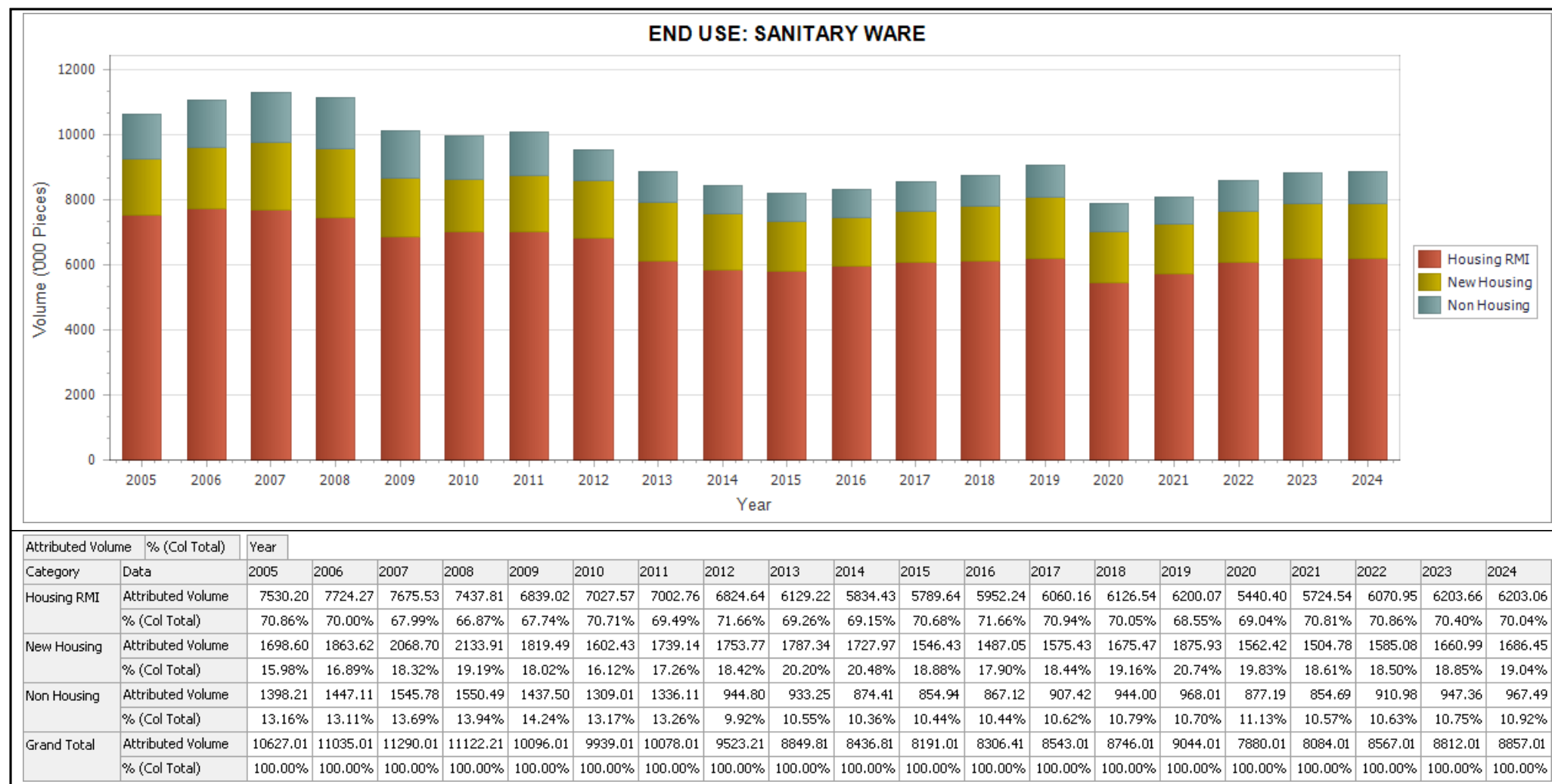
FR - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

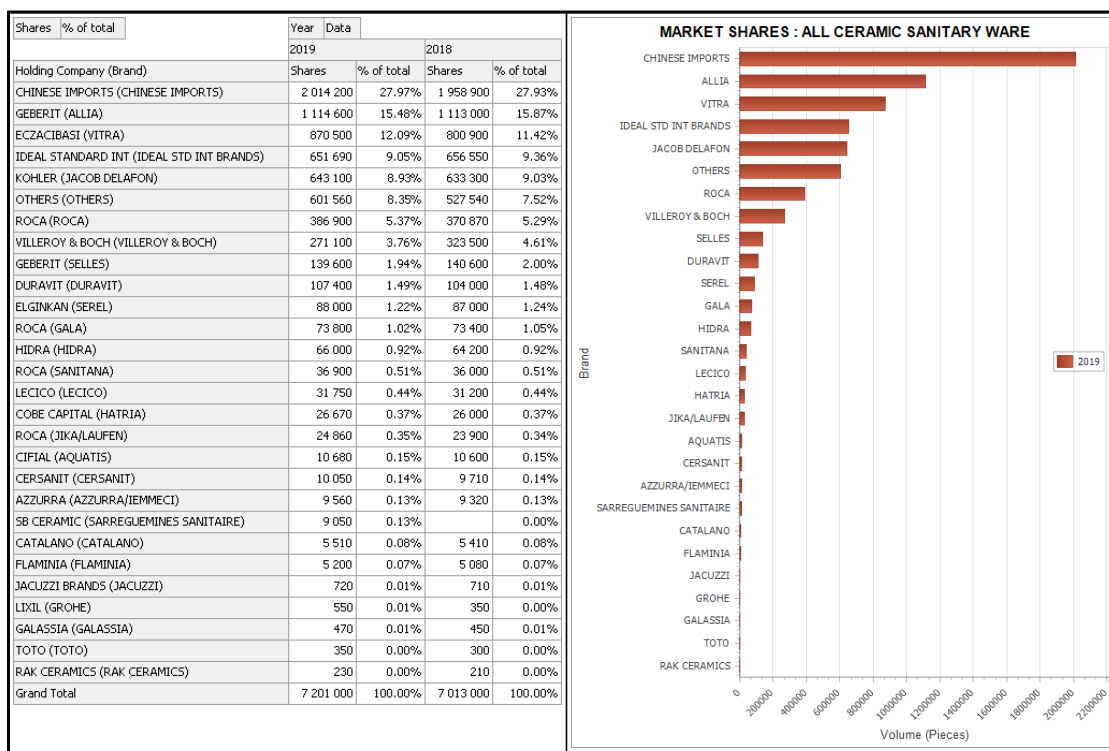
FR - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

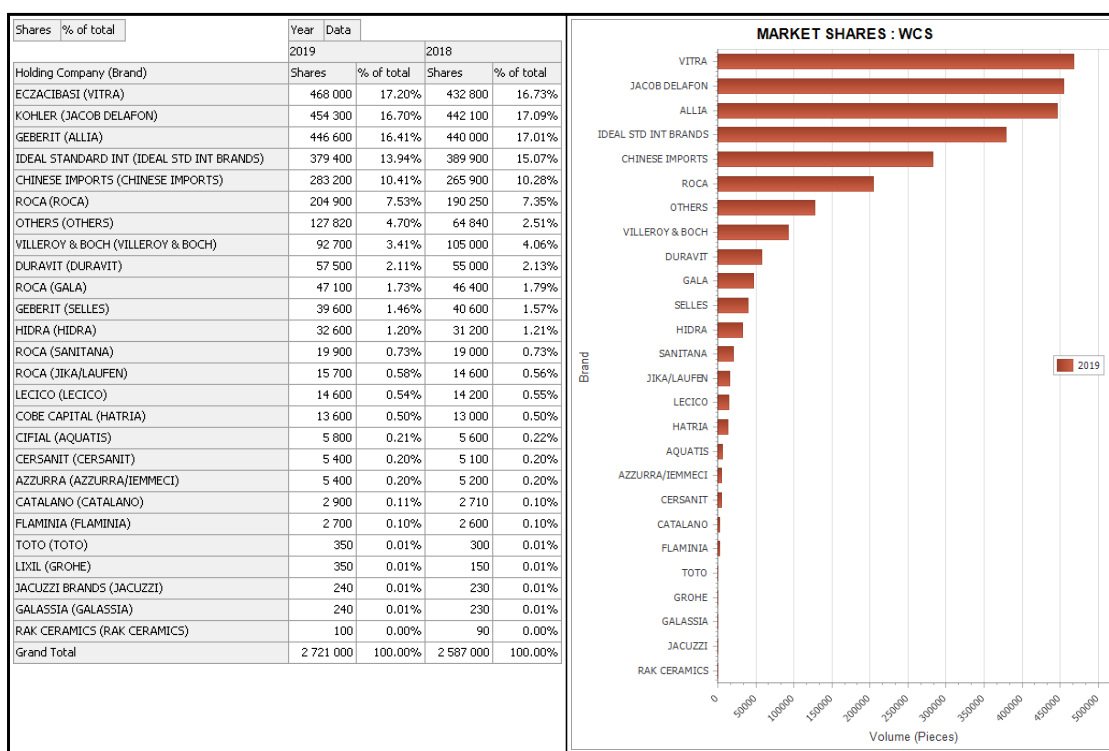
FR - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

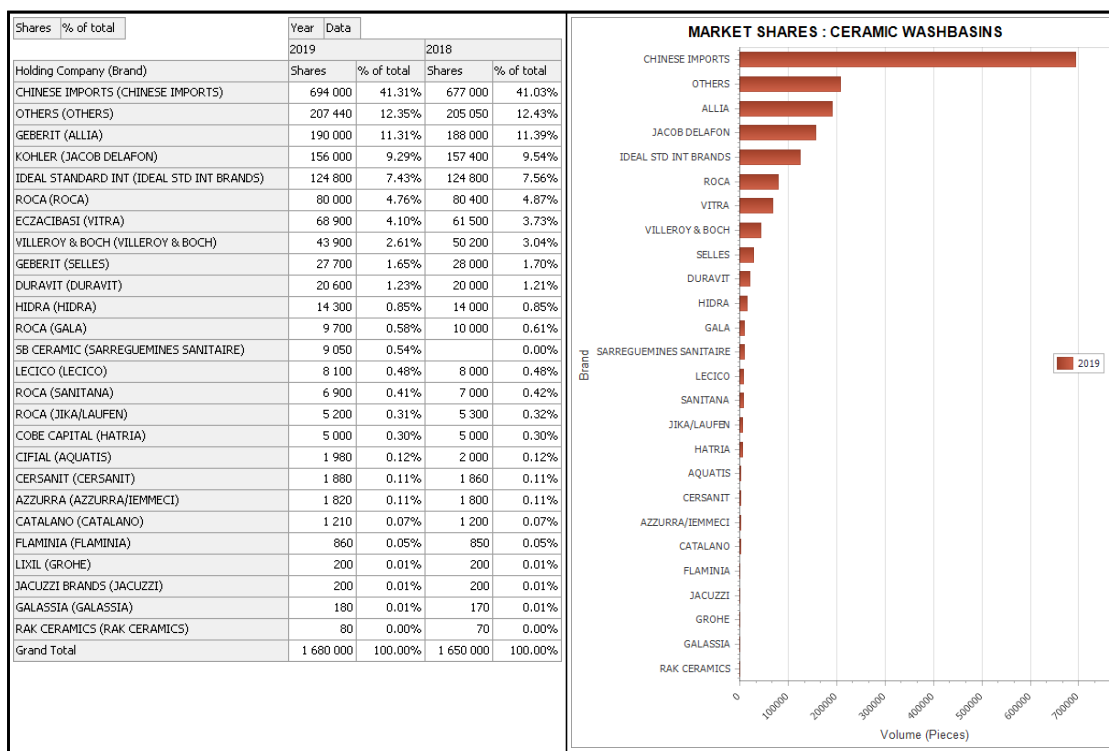
FR - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

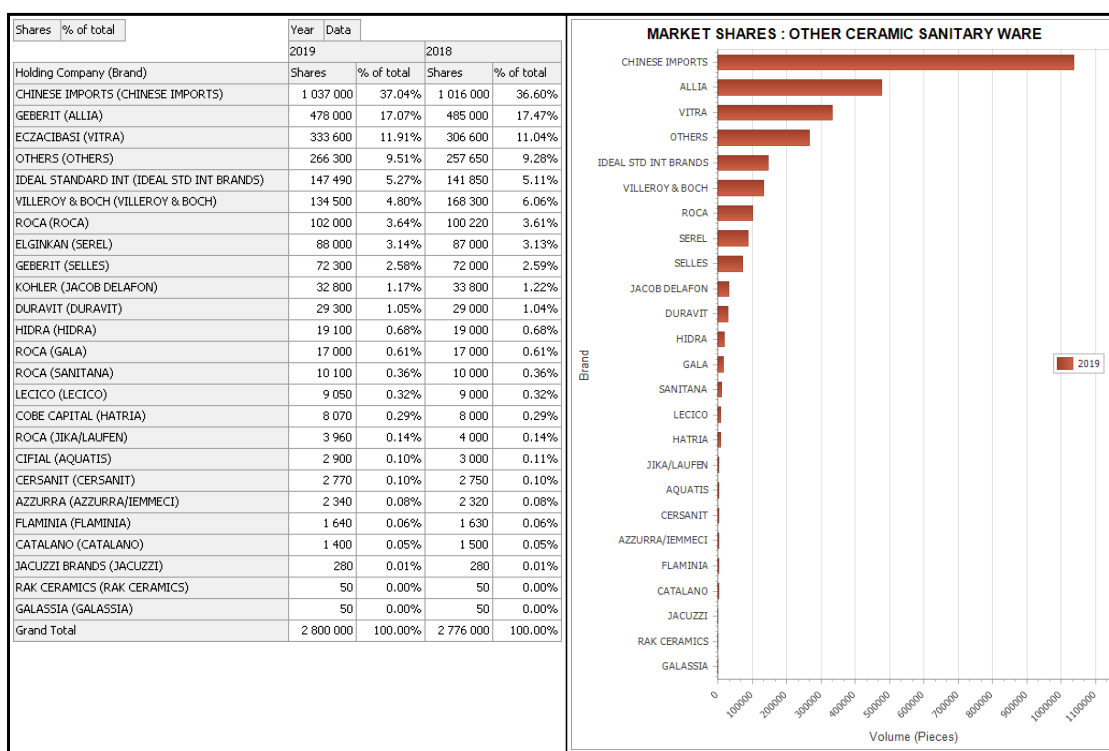
FR - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

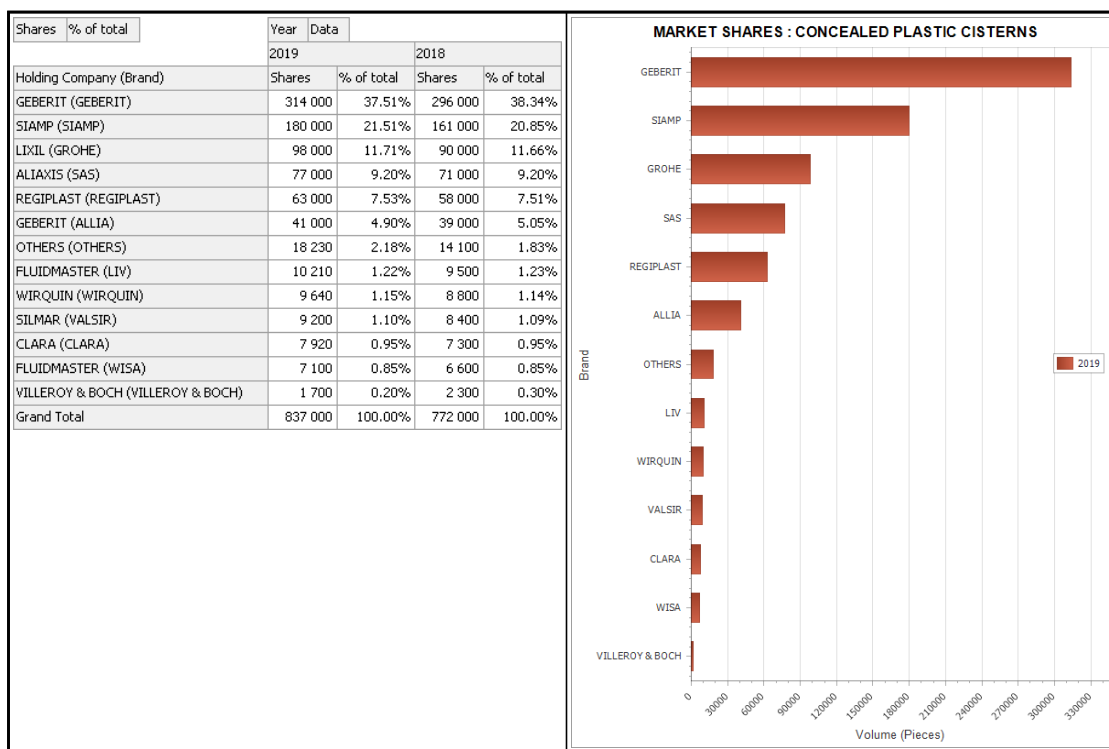
FR - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

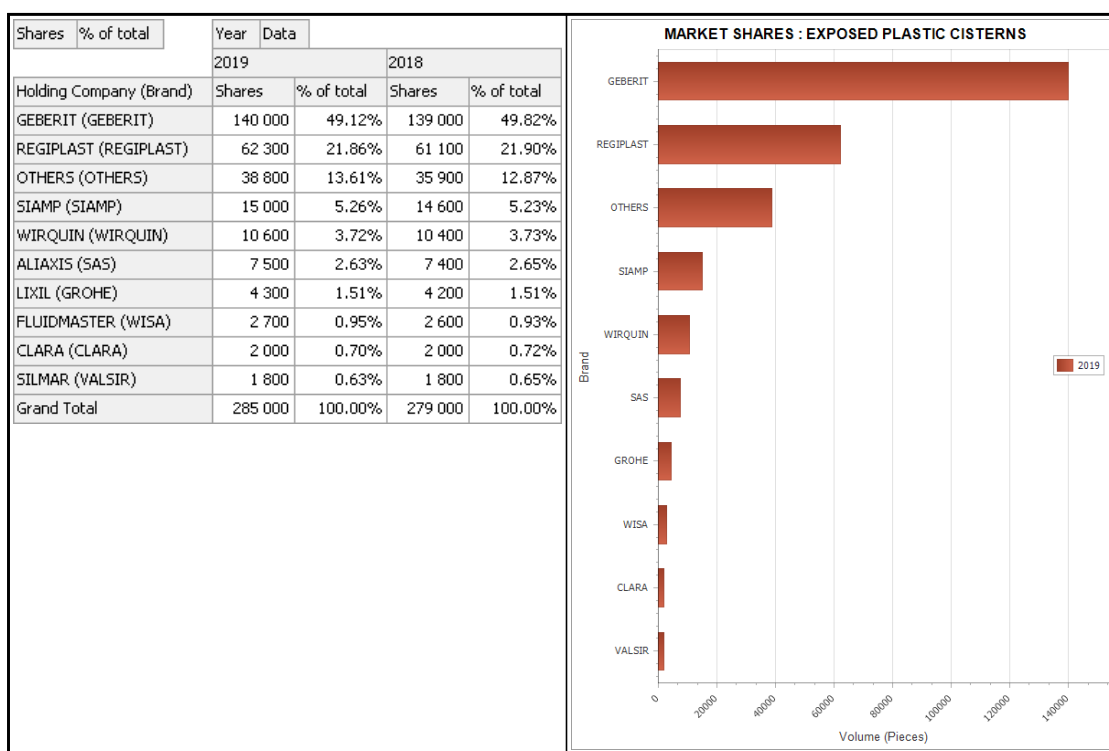
FR - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

FR - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 FR - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Turkey	26 051	19.3%	43 339	15.5%	21 126	17.6%	37 087	15.1%
China	25 013	18.6%	42 104	15.0%	16 633	13.9%	27 938	11.4%
Poland	13 523	10.0%	22 764	8.1%	12 822	10.7%	20 956	8.5%
Morocco	12 724	9.4%	21 022	7.5%	11 179	9.3%	17 249	7.0%
Germany	11 991	8.9%	41 303	14.7%	10 754	9.0%	35 783	14.6%
Portugal	11 334	8.4%	21 923	7.8%	13 158	11.0%	23 289	9.5%
Bulgaria	9 428	7.0%	16 766	6.0%	8 025	6.7%	13 752	5.6%
Italy	6 346	4.7%	20 187	7.2%	5 405	4.5%	16 499	6.7%
Spain	4 783	3.5%	13 666	4.9%	5 017	4.2%	13 494	5.5%
United Kingdom	2 944	2.2%	6 477	2.3%	3 971	3.3%	8 521	3.5%
Romania	1 722	1.3%	4 660	1.7%	1 654	1.4%	3 764	1.5%
OTHERS	8 889	6.6%	26 119	9.3%	9 975	8.3%	27 017	11.0%
Total	134 749	100.0%	280 330	100.0%	119 717	100.0%	245 349	100.0%

Source : Trademap

2.6.2 FR - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	6 587	48.0%	39 591	56.9%	6 376	42.1%	38 352	54.7%
Russian Federation	1 075	7.8%	3 061	4.4%	1 084	7.2%	3 304	4.7%
United Kingdom	1 046	7.6%	5 010	7.2%	1 729	11.4%	6 028	8.6%
Belgium	1 041	7.6%	3 919	5.6%	867	5.7%	3 413	4.9%
Spain	553	4.0%	2 583	3.7%	641	4.2%	1 949	2.8%
United States of America	434	3.2%	1 561	2.2%	508	3.4%	1 687	2.4%
Italy	395	2.9%	2 040	2.9%	322	2.1%	939	1.3%
Morocco	316	2.3%	1 274	1.8%	413	2.7%	1 335	1.9%
New Caledonia	240	1.8%	881	1.3%	234	1.5%	881	1.3%
United Arab Emirates	193	1.4%	499	0.7%	314	2.1%	1 165	1.7%
OTHERS	1 848	13.5%	9 190	13.2%	2 670	17.6%	11 110	15.8%
Total	13 728	100.0%	69 609	100.0%	15 158	100.0%	70 163	100.0%

Source : Trademap

2.6.3 FR - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	7 988	54.4%	47 219	55.0%	8 415	60.4%	50 607	58.3%
Turkey	1 295	8.8%	3 803	4.4%	1 016	7.3%	3 327	3.8%
Italy	1 046	7.1%	6 466	7.5%	787	5.7%	5 132	5.9%
China	898	6.1%	4 246	4.9%	739	5.3%	3 908	4.5%
Spain	477	3.2%	3 180	3.7%	256	1.8%	2 727	3.1%
United Kingdom	444	3.0%	4 641	5.4%	336	2.4%	3 864	4.5%
Poland	428	2.9%	1 492	1.7%	63	0.4%	743	0.9%
Romania	416	2.8%	1 418	1.7%	434	3.1%	1 458	1.7%
Portugal	406	2.8%	2 538	3.0%	421	3.0%	2 256	2.6%
Netherlands	367	2.5%	4 230	4.9%	426	3.1%	6 191	7.1%
OTHERS	910	6.2%	6 633	7.7%	1 030	7.4%	6 602	7.6%
Total	14 674	100.0%	85 866	100.0%	13 922	100.0%	86 815	100.0%

Source : Trademap

2.6.4 FR - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
United Kingdom	734	22.6%	8 386	25.7%	2 356	46.0%	6 722	20.4%
Belgium	329	10.1%	3 431	10.5%	423	8.3%	3 976	12.1%
Turkey	270	8.3%	2 294	7.0%	272	5.3%	2 587	7.9%
Switzerland	203	6.2%	1 946	6.0%	113	2.2%	1 538	4.7%
Morocco	182	5.6%	1 794	5.5%	170	3.3%	1 319	4.0%
Poland	161	5.0%	1 634	5.0%	166	3.2%	1 904	5.8%
Germany	111	3.4%	1 800	5.5%	131	2.6%	1 946	5.9%
Netherlands	107	3.3%	1 336	4.1%	162	3.2%	1 857	5.6%
Spain	96	2.9%	1 229	3.8%	113	2.2%	1 542	4.7%
Senegal	74	2.3%	630	1.9%	52	1.0%	450	1.4%
Italy	73	2.3%	898	2.8%	59	1.2%	764	2.3%
OTHERS	912	28.0%	7 207	22.1%	1 107	21.6%	8 300	25.2%
Total	3 252	100.0%	32 585	100.0%	5 124	100.0%	32 905	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	62.7%
	Wholesalers / Merchants
	62.7%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.3%	1.0%	22.0%	18.0%	10.4%	6.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.3%		40.0%		16.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	32.6%	1.0%	3.3%	15.4%
Installers				
53.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.4%	0.6%	3.3%	36.2%	1.0%	48.5%	0.2%	4.5%	0.0%	0.5%	0.0%	4.8%
	Residential						Non-Residential					
	89.9%						10.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	18.9%			71.0%			3.3%			6.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.1%		3.8%	5.2%		65.8%	2.9%		0.4%	0.9%		5.9%

2.7.2

Route to Market: Ceramic Sanitary Ware
FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	61.3%
	Wholesalers / Merchants
	61.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.6%	1.0%	22.0%	19.0%	11.1%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.6%		41.0%		16.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	31.1%	1.2%	3.9%	15.1%
Installers				
53.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.7%	3.4%	36.6%	1.0%	47.8%	0.0%	4.5%	0.0%	0.5%	0.0%	5.5%
	Residential						Non-Residential					
	89.5%						10.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.3%			72.3%			3.6%			6.9%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	12.4%		4.9%	6.3%		66.0%	3.3%		0.3%	1.0%		5.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

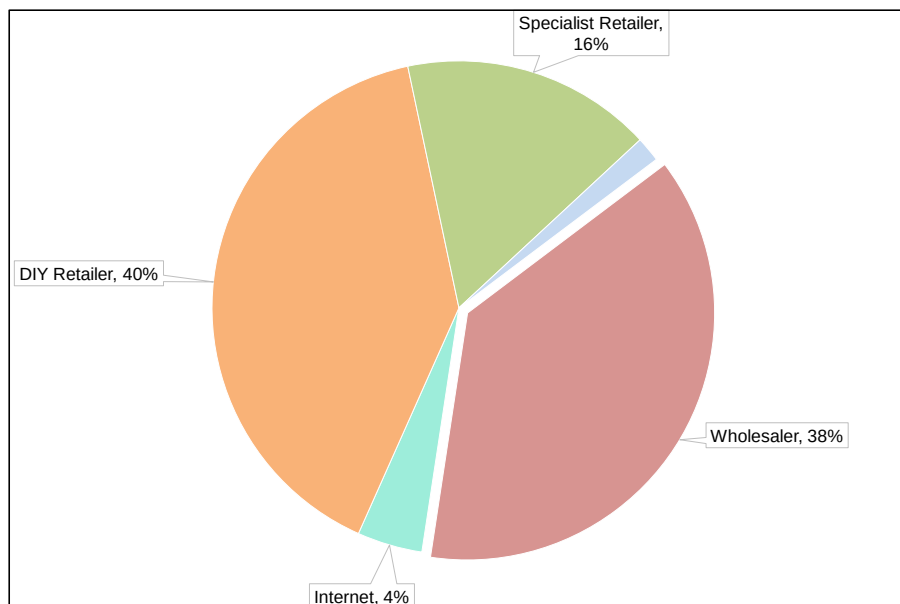
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
37.7%	4.3%	40.0%	16.4%	1.6%	20.3%	3.8%	69.6%	6.3%
100%					24.1%		75.9%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

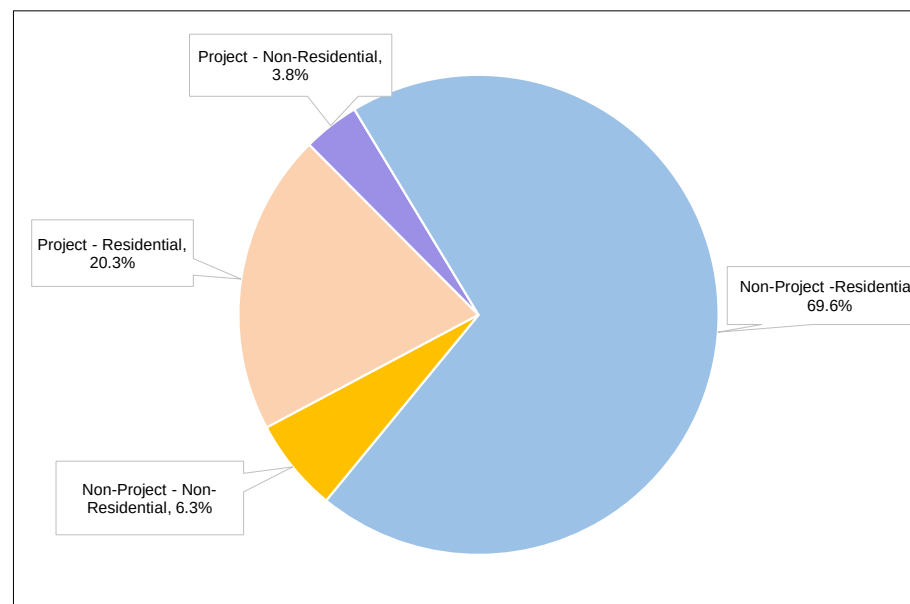
FR - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
36.3%	4.6%	41.0%	16.1%	2.0%	18.7%	4.3%	70.8%	6.2%
100%					23.0%		77.0%	

FR - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5

Route to Market: Plastic Cisterns
FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	71.5%
	Wholesalers / Merchants
	71.5%

Retail Level	Manufacturer 3.8%	Wholesaler 1.0%	Manufacturer 17.9%	Wholesaler 12.0%	Manufacturer 4.4%	Wholesaler 3.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.8%		29.9%		7.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.8%	34.0%	1.5%	3.3%	6.7%
Installers				
47.3%				

End Use Level	Manufacturer 0.4%	Wholesaler 12.8%	Internet 3.3%	DIY 26.1%	Specialist 1.0%	Installer 39.3%	Manufacturer 0.3%	Wholesaler 8.4%	Internet 0.0%	DIY 0.5%	Specialist 0.0%	Installer 7.9%
	Residential						Non-Residential					
	82.9%						17.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	27.2%			55.7%			5.5%			11.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	21.8%		5.4%	4.5%		51.2%	5.1%		0.4%	2.0%		9.6%

2.7.6

Route to Market: Plastic Cisterns
FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.2%
	Wholesalers / Merchants
	66.2%

Retail Level	Manufacturer 4.8%	Wholesaler 1.0%	Manufacturer 25.4%	Wholesaler 13.0%	Manufacturer 1.6%	Wholesaler 3.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.8%		38.4%		4.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	33.6%	1.7%	3.6%	3.9%
Installers				
44.8%				

End Use Level	Manufacturer 0.0%	Wholesaler 7.7%	Internet 4.1%	DIY 34.3%	Specialist 1.0%	Installer 36.7%	Manufacturer 0.0%	Wholesaler 7.6%	Internet 0.0%	DIY 0.5%	Specialist 0.0%	Installer 8.1%
	Residential						Non-Residential					
	83.8%						16.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	24.9%			58.9%			4.6%			11.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	18.4%		6.5%	6.1%		52.8%	4.1%		0.5%	2.7%		8.9%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

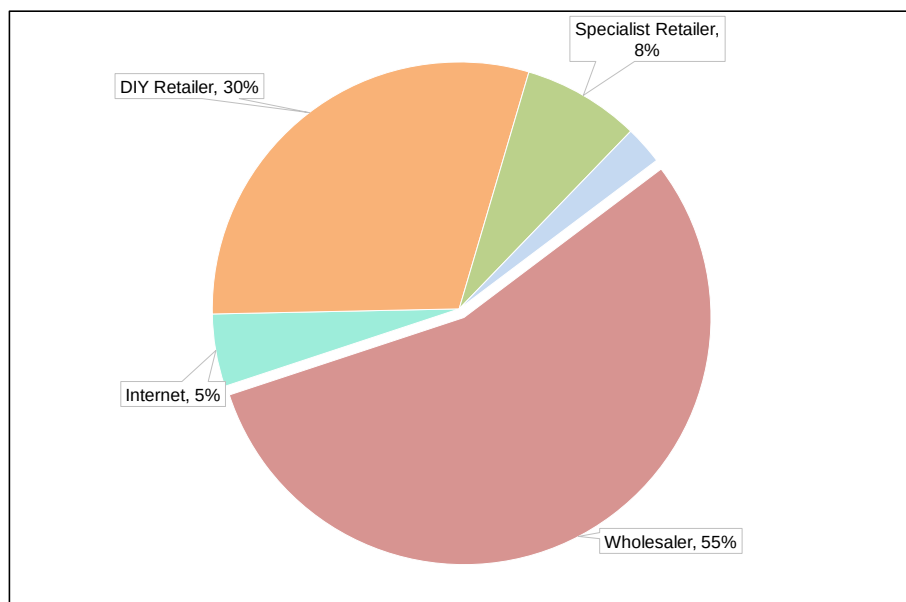
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
55.2%	4.8%	29.9%	7.7%	2.5%	26.3%	7.1%	56.6%	10.0%
100%					33.4%		66.6%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

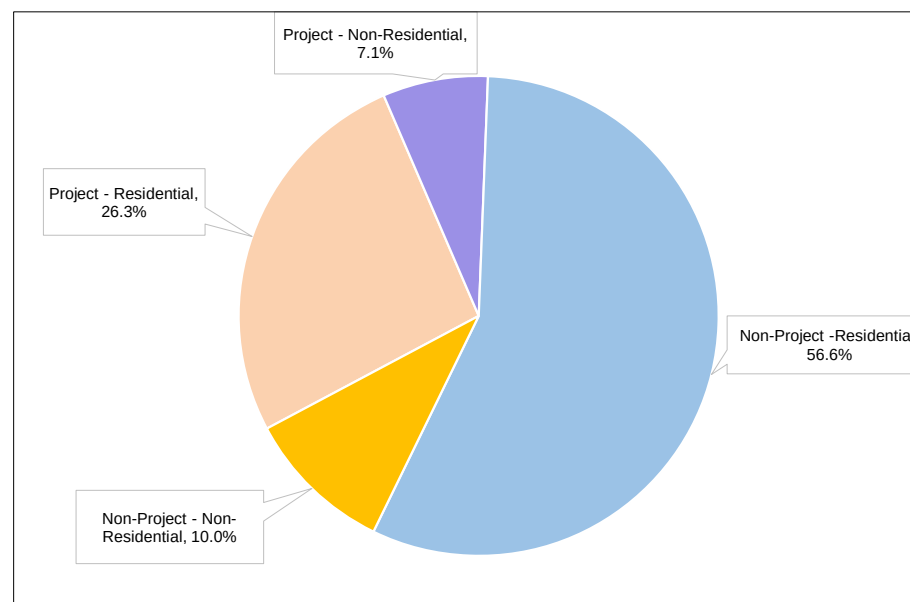
FR - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.9%	5.8%	38.4%	4.9%	2.1%	24.5%	6.8%	59.3%	9.4%
100%					31.3%		68.7%	

FR - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



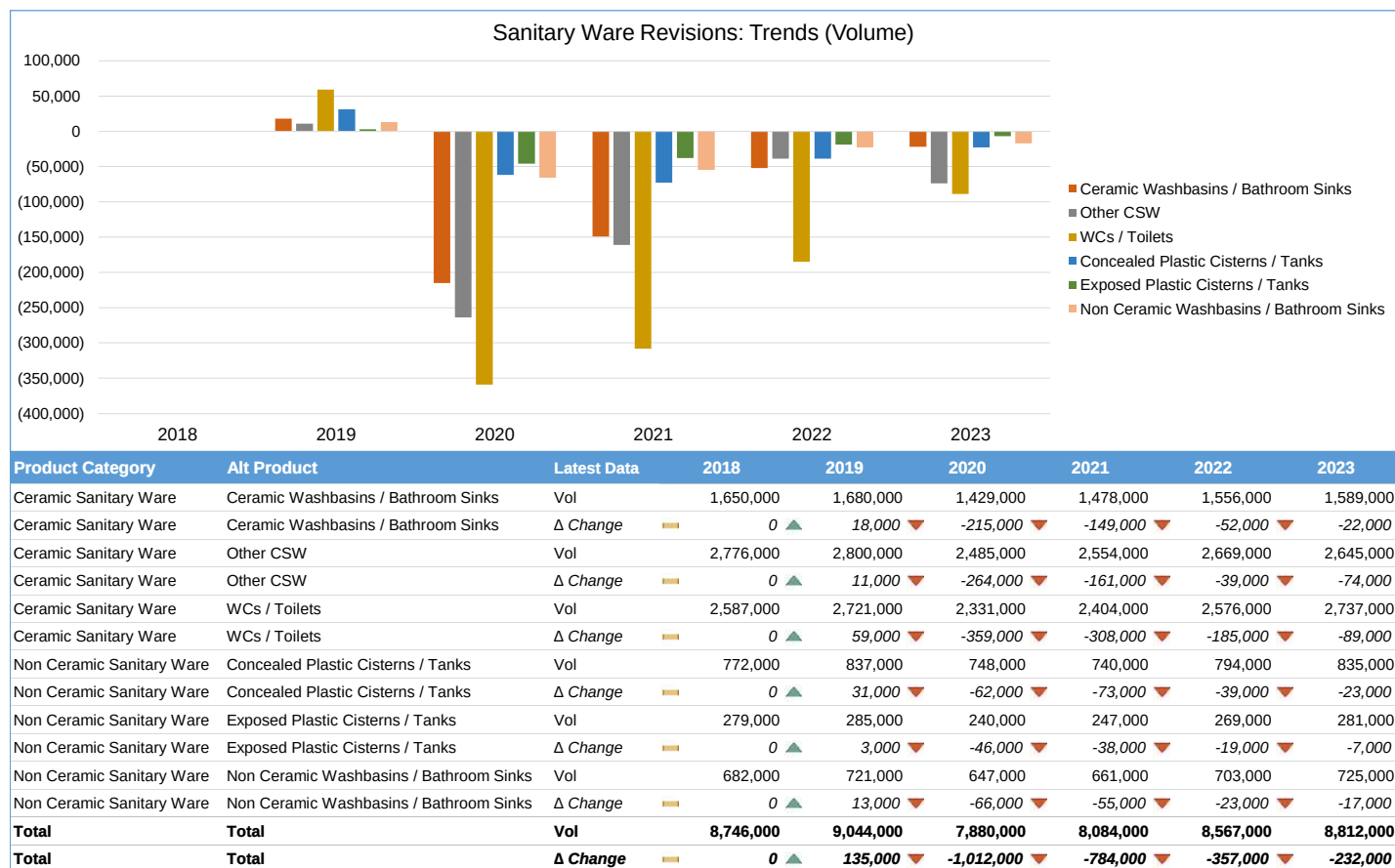
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the French Sanitary Ware Market (April 2020)

FR - REVISIONS IN THE FRENCH SANITARY WARE MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

FRANCE

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The overall taps and mixers market has benefitted from the democratisation of one head and thermostatic mixers in recent years, away from pillar taps and two head mixers. Historically, the trend shows ongoing underlying growth, positively driven by the consumers' desire to improve their taps' and mixers' efficiency and quality. However, the taps and mixers market remains highly sensitive to any changes occurring in new build, and relies partly on the dynamism of the renovation market.

The two head mixers segment (*mélangeurs*) long dominated the French market before one head mixer sales (*mitigeurs*) developed considerably, encouraged by DIY stores through low retail prices, and outstripped the volume of two head mixers sold in the late 1990s. Growth in sales of one head mixers came especially from their strategic positioning in DIY. Therefore, the development of one head mixers originally came from a move away from the upper and middle price segments towards the lower and economy price segments.

Meanwhile, the thermostatic mixers segment has enjoyed growing popularity in France over the past few years, especially due to aesthetic and water-saving concerns. Furthermore, sales of this type of mixer have benefitted from some displacement from two head mixers.

Pillar taps are mainly used in France for cold water applications (they are hardly ever fitted in pairs, unlike in the UK) and have proved not popular, since they are mostly used for water points installed in some other parts of the house (such as garages, toilets, utility rooms and bedrooms).

In addition, sales of electronic taps and mixers in public spaces are increasingly associated with good hygiene and water saving, but they have found little success in residential bathrooms so far and, therefore, have remained a niche market in France. Self-closing taps have also been historically designed for the non-housing market and installed mainly in public spaces such as commercial buildings, hospitals and schools. The particularity of self-closing taps is that they turn themselves off after a set period of time. This is especially useful in commercial situations where water saving is of the utmost importance. It also reduces the risk of people leaving the tap on and flooding the area. Originally the large majority of models were manual, but there has been a shift towards automatic or contactless models in France.

Recently, specialist manufacturers of taps and mixers, to differentiate their offer, have gradually focused their development on innovative products – not only in terms of design and colours but also with the aim of reducing the consumption of water and energy. In fact, some manufacturers have developed new tap and mixer models in order to obtain the French certification for taps and mixers (NF *robinetterie*). Initially, there was the certification C2 for one head mixers' cartridges that helped to reduce the water flow of mechanical mixers by 50%. Then, as part of

the RT 2012 (thermal legislation), the certification C3 was introduced for cartridges that, on top of being water-saving, added energy savings of up to 5% (2 kWh/m²/year) for one head and thermostatic models. Finally, on 1 January 2014, the classification CH3 was introduced for cartridges of thermostatic and one head models that help to reduce the flow of water from 9-12 litres/min to 5-6 litres/min.

Finally, flushing valves, either urinals or WCs, are substitute products for ceramic or plastic cisterns. As they are directly connected to water pipes, flushing valves require a high pressure in the pipe work that cannot be achieved in all residential dwellings. Therefore, these system types are often used in commercial and public buildings, including airports, schools and hotels, and are considered to be hygienic and water-saving solutions.

Recent Market Trends

After renewing growth in 2016, the French taps and mixers market continued to grow in 2019. The market was positively impacted by the sharp increase of the total completions, with a significant rise of both apartment and individual housing. As a mature market, replacement activity accounts for the bulk of tap and mixer sales, and the market in 2019 benefitted from increased consumer spending and discretionary remodelling. Dynamic sales were recorded in the retail (including the DIY) sector, which reflected strong consumer confidence. Sales to the non-housing sector also increased in 2019, on the back of important new non-residential buildings' activity.

Regarding the application of taps and mixers, washbasins account for the largest share in the overall installations, reflecting the highest number of washbasins having been installed in dwellings. Taps and mixers are mainly installed in the RMI segment due to the shorter lifespan of the product compared to other bathroom products. Indeed, the purchase of a new mixer is often coupled with the product of application. All the applications account for a majority of one head mixers, except for the shower segment – which has an increasing importance for thermostatic products.

The overall increase of taps and mixers was driven by washbasins and shower applications, increasing across all segments in 2019. The strong development of new housing activity pushed up the market.

Sales of kitchen taps and mixers increased in 2019, being sustained by all end use sectors, especially new housing due to the growing number of new completions. The overall increase of baths was driven by the new housing market, and a step back of the non-housing segment was recorded. As mentioned previously, non-housing activity is going toward showering at the expense of baths. Concerning the taps and mixers installed with bidets, the overall market decreased in 2019 despite the sharp increase of the new housing market.

The product mix in the French taps and mixers market continued in 2019, to be strongly dominated by sales of one head mixers, and they remained the most

popular models across all end-use sectors. On the other hand, sales of two head mixers continued to follow an opposite pattern and went down during the course of 2019. The thermostatic mixers segment recorded another growth in volume sales in France during the course of 2019, driven by sales to the new housing segment. BRG believes that thermostatic models are gradually becoming the standard in new housing and are replacing one head and two head mixers in the renovation segment for shower applications, sold alone or as part of a shower system. In addition, this trend has been supported by the wider availability of thermostatic models at affordable prices – via internet and DIY stores, for instance.

Sales of electronic taps and mixers, which have found little success in the residential bathroom market, increased in 2019 due to higher demand from the non-residential sector. However, sales of electronic taps and mixers are believed to be increasing in the residential market, despite the fact these models are still disadvantaged by an expensive retail price compared to one head and two head taps and mixers, for instance. Electronic and self-closing taps and mixers are mainly sold in collective equipment markets, such as restaurants and hotels, and are positioned in the highest price segment. Demand for self-closing model taps and mixers increased in 2019, in line with the positive year of non-residential construction activity. The self-closing growth, however, was limited by the fact that these models have not yet penetrated the kitchen taps and mixers market, where the limitation of water flow is perceived as secondary and products have higher price levels compared to one head taps and mixers, for instance.

In recent years, the concealed taps and mixers segment has gradually increased in France, taking share from exposed models and being driven by new construction markets. BRG believes that this trend was confirmed throughout 2019, but it is worth mentioning that this market is still in its infancy and mostly oriented towards the shower market. In fact, the share of concealed models is still at a low level in France, but this market is expected to surge in the next few years – since concealed models are commonly available in the DIY and e-commerce channels.

Chrome is the most popular colour installed in 2019. However, demand for this colour has been declining in recent years as it is assimilated as a cheap product. Other colours such as black, copper and white, are increasingly on trend in France. White is expected to take share over other colours in the near future. Generally speaking, there is strong consumer demand for colourful taps as they create an aesthetically pleasing look in the bathroom.

Concerning the mounting type, most of the sales were recorded in deck mounted in 2019, with an evolution toward wall mounted for most of the application. In fact, wall mounted follow the concealed trend in the bathroom that took off in recent years. French households are increasingly looking for space saving solutions, in line with the declining m² of surface area in their dwelling.

Finally, the overall flushing valve market is believed to have increased in 2019 when compared to 2018, positively supported by increased demand from the non-residential sector. In the collective residential market, press flush valves remain an

economic solution. Thus, these system types are often used in commercial and public buildings, including airports, schools and hotels.

Prices and Market Values

The total market value for taps and mixers grew in 2019, benefitting from increased sales in the largest taps and mixers segments, while the average price at MSP (manufacturers' selling price) also increased because the MSP for the largest segments, one head and thermostatic mixers, went up during the year.

French households were increasingly attracted by innovative and design products with higher quality. However, the major chunk of French consumers continued to favour the economy/lower price models at the expense of middle price models, for instance, especially in the case of one head taps and mixers. Perceived as design-orientated, two head mixers are gradually changing to become high-end products. Plus, bidet and bath taps and mixers, representing a big section of two head mixers, recorded a switch towards upper and luxury segments respectively. Thus, there is a switch in the market towards the upper/luxury price segment and economy/lower remains as the trend for the cheap existing products. In 2019, as in previous years, most sales of taps and mixers in France were located in the economy and lower price ranges, driven by the increase in those ranges for washbasin and kitchen taps and mixers. BRG believes that there was a progressive upselling seen in the offer, as seen in DIY stores, where the offer of taps and mixers was enlarged in the middle price segment, with prices slightly increasing in 2019. Finally, the market for premium taps and mixers increased slightly, with established manufacturers more commonly using showrooms to display their offers.

The internet retail market in France is growing every year and offers a wide range of products from the economy price segment to the luxury segment. The increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, and such a trend is likely to put pressure on traditional distribution channels such as independent merchants and DIY stores – but also small-sized manufacturers.

New Housing

Sales of taps and mixers to new dwellings were significant in 2019, following the strong recovery of the new construction market in France since 2017. With more than four taps and mixers per new dwelling, the level of new housing activity is always under strict scrutiny, as the number of taps and mixers sold for housing RMI purposes is believed to have already reached the level of saturation. Therefore, any contraction or increase of the new construction market would automatically have an impact on the total sales of taps and mixers.

The new housing segment is mainly led by washbasins, followed by kitchen applications. Both applications accounted for the majority of one head mixers in 2019. Indeed, one head mixers have continued to dominate the new housing

market. BRG believes that two head mixers are gradually losing share over one head and thermostatic mixers in this segment. However, sales of two head mixers increased in 2019, as they are still installed in new social housing. Moreover, two head mixers are becoming increasingly popular as a luxury product with sophisticated design, which has boosted the sales in new housing. Thermostatic models are becoming the norm for shower applications in new housing. Finally, as previously mentioned, sales of concealed taps and mixers rose in 2019 in this segment, to the detriment of exposed models.

Housing RMI

Replacement sales continued to represent the bulk of sales of taps and mixers in 2019. French households show a tendency to buy taps and mixers by themselves, especially in DIY stores, since their installation, with the exception of concealed installations (more popular in new build), is rather easy. The RMI market experienced a growth in sales during the course of 2019, due to a greater level of demand from French households on the back of not only increasing consumer confidence compared to previous years but also the good level in real estate transactions recorded in the year. Similarly, many of the sales of kitchen taps and mixers were explained by kitchen remodelling activity following the sharp increase in real estate transactions.

The RMI segment is the most important end-use for the taps and mixers market, as the lifespans of such products are shorter than those of most bathroom products. Washbasins, showers and kitchens represent the key applications of the replacement market.

Within this segment, one head mixers still accounted for the largest number of sales in 2019, although the vast majority of two head mixer sales go also into this end-use segment. Thermostatic mixers have experienced a positive development in this sector, often replacing one head and two head mixers in shower and bath applications. Sales of pillar and two head taps and mixers recorded a decline, in line with the decreasing popularity of the product in 2019. Taps and mixers' demand in the RMI sector comprises a distinct contrast, with consumers at one end opting for cheap like-for-like replacements (such as two head taps and mixers, for instance), and those at the other purchasing designer and luxury taps and mixers.

Non-Housing

Demand for taps and mixers coming from the non-housing market went up in 2019, driven by the growing non-residential activity. As for the other segments, non-housing activity was driven by sales of washbasin applications in 2019. Taps and mixers installed in baths or bidets declined, due to the respective slowdown of those markets in non-housing. On the other hand, increasing installations of showers in the non-housing segment positively affected sales of thermostatic models in 2019. Furthermore, most taps and mixers sold in the non-housing sector were one head mixers. One head mixers are believed to be the preferred solution in hospitals, hotels, offices and restaurants in France. The installation of these

products in hospitals and restaurants allows for compliance with hygiene standards, whilst also providing luxury features for offices and hotels.

Non-housing is also an end-use sector wherein newer product types, such as electronic and self-closing, are increasingly being installed as a result of an increasing drive towards minimising water waste and reducing costs at the same time.

Supply Structure

In France, the taps and mixers market is quite fragmented and remains in the hands of GROHE, IDEAL STANDARD, HANSGROHE, the WTS GROUP, and KOHLER. GROHE and HANSGROHE largely dominate the market for one head and thermostatic taps and mixers.

An international market, the French taps and mixers market has in recent years seen some former French manufacturing plants being relocated to countries such as Portugal, Spain, Italy, Turkey and Egypt. KOHLER (JACOB DELAFON), the last company to manufacture taps and mixers in France, also sources taps and mixers from KOHLER's manufacturing plants in Morocco and China. For its part, OTTONE MELODA has specialised in taps and mixers for the construction (national agreement with KAUFMAN & BROAD) and luxury markets. Finally, GROUPE OTTOFOND, with its two brands OZE and O'DESIGN, is believed to only source from its Asian factory.

A few domestic players are present too. These heterogenic companies mainly specialise in the premium market, including the 'retro design' market. The main domestic manufacturers are TETARD HAUDIQUEZ GRISONI (THG), MAITRES ROBINETIERS DE FRANCE (which acquired MARGOT in 2004), HORUS, the KRAMER GROUP (previously mentioned), and CHAVONNET (part of DELSA), which specialises in the institutional sector (hospitals).

The flushing valve market is dominated by local specialists, led by DELABIE and PRESTO. Other manufacturers in this market are SHELL, GROHE, FRANKE, SANITAC, and KOHLER. Some manufacturers are particularly interested in this complementary niche market. GROHE plays the niche market game by offering electronic flushing valves in the tertiary sector. KOHLER is developing a complete range of products by offering electronic flushing valves as well and is also likely to sell design products dedicated to the hotel industry and the residential sector. GEBERIT is already offering different ranges of electronic flushing valves. DELABIE only sells to professionals, local governments, tertiary activities and industries.

The official import and export data for sanitary taps and mixers must always be read with some caution, as there is a certain amount of product misallocation. Most imports come from: China; Germany (DORNBRACHT, KLUDI, and VILLEROY & BOCH), which mainly targets the middle and upper price segments, selling directly to installers whilst trying to position in DIY; and Italy (OTTONE MELODA,

NOBILI, ZUCCHETTI, PAINI, CRISTINA, HUBER, NEWFORM, MAMOLI, TEOREMA, and EURORAMA, which specialise in thermostatic mixers). Among Spanish imports, there are ROCA, RAMON SOLER, and TEBISA.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The taps and mixers market is a mature market, in which rapid growth usually is difficult to achieve. For 2020 it is expected that the market will drop significantly as a result of the sanitary crisis. While in 2021 the aftereffects of the COVID-19 outbreak are likely to continue to influence the total market, it is expected that in 2022 a boost in sales will be triggered by postponed new housing and renovation activities. The market is believed to have the potential to recover quickly to its original size from 2022 onwards.

In terms of product mix, trends in the taps and mixers market over the forecast period are likely to be largely consistent with those witnessed throughout 2019 – with one head mixers comprising the bulk of sales of taps and mixers, while thermostatic models should continue to be favoured for shower and bath applications. Sales of electronic taps and mixers should remain at a low level due to their high upfront costs. The trend towards the uptake of concealed mixers is expected to continue over the forecast period, mainly because these products are now widely offered on the internet and DIY channels.

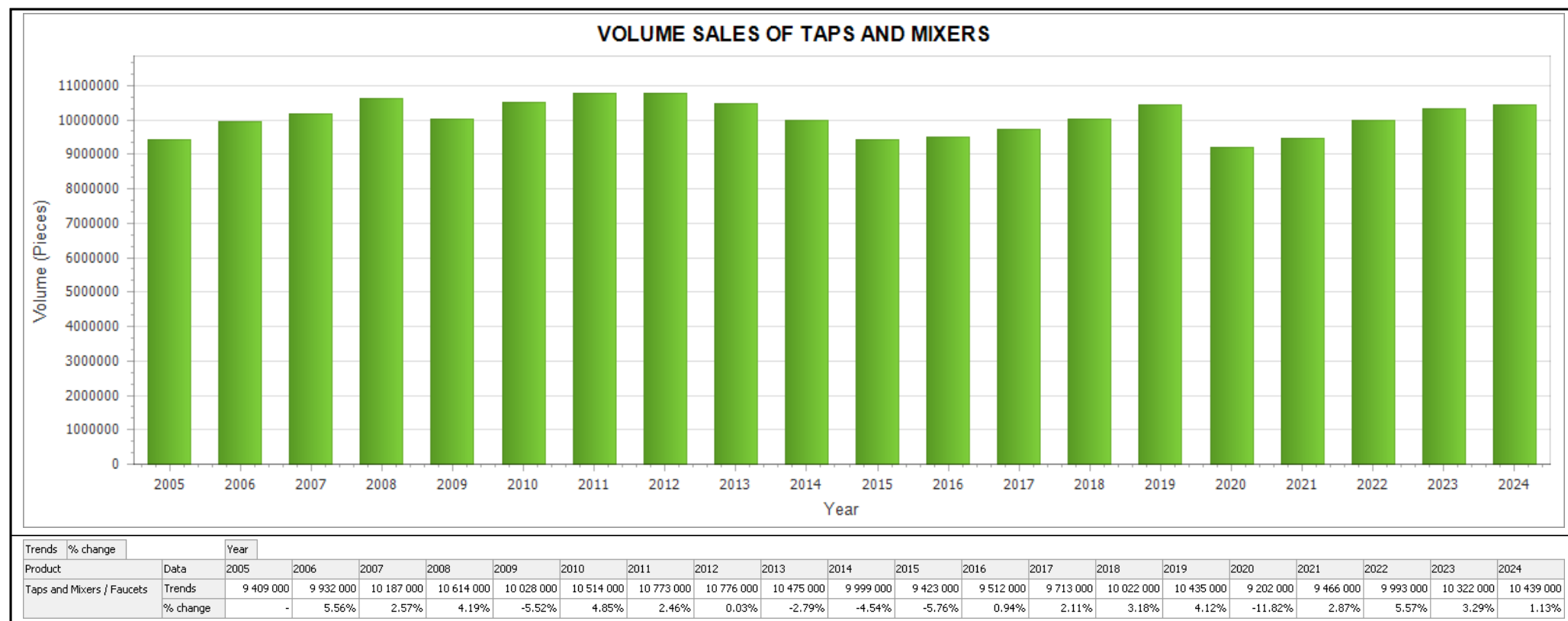
BRG believes that the share of internet sales will continue to increase exponentially, enabling consumers to obtain higher-quality products at lower prices, and such a trend is likely to put pressure not only on traditional distribution channels (such as independent merchants and DIY stores) but also small-sized manufacturers, as previously mentioned. Besides the question of water savings and the increased communication around 'WELL', a water efficiency label, the main concern is the issue of water quality and the requirement to avoid lead and nickel contamination. This trend is developing in anticipation of new European directives that focus on a dramatic reduction of lead concentration levels in water – either for water distribution or taps and mixers. The increase in the use of the internet as a distribution channel is likely to enable consumers to obtain higher quality products at lower prices, which will put pressure on traditional distribution channels.

The taps and mixers market is more sensitive to technological developments than those of other bathroom products, due to the recent influx of modern products that are slowly shifting consumer attitudes towards the product mix. As is normal with

many bathroom markets, taps and mixers also rely heavily on construction output and households' willingness to spend.

3.2 Historical Trends and Forecasts : Taps and Mixers

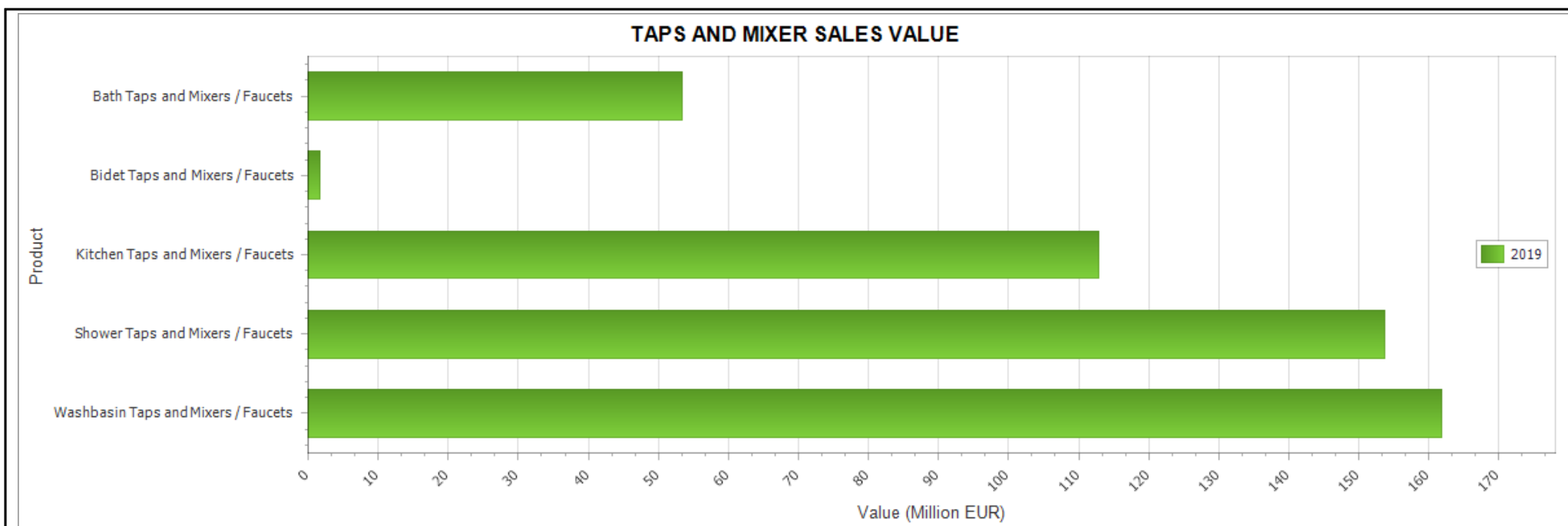
FR - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

FR - ESTIMATED VALUES OF THE TAP AND MIXER MARKET

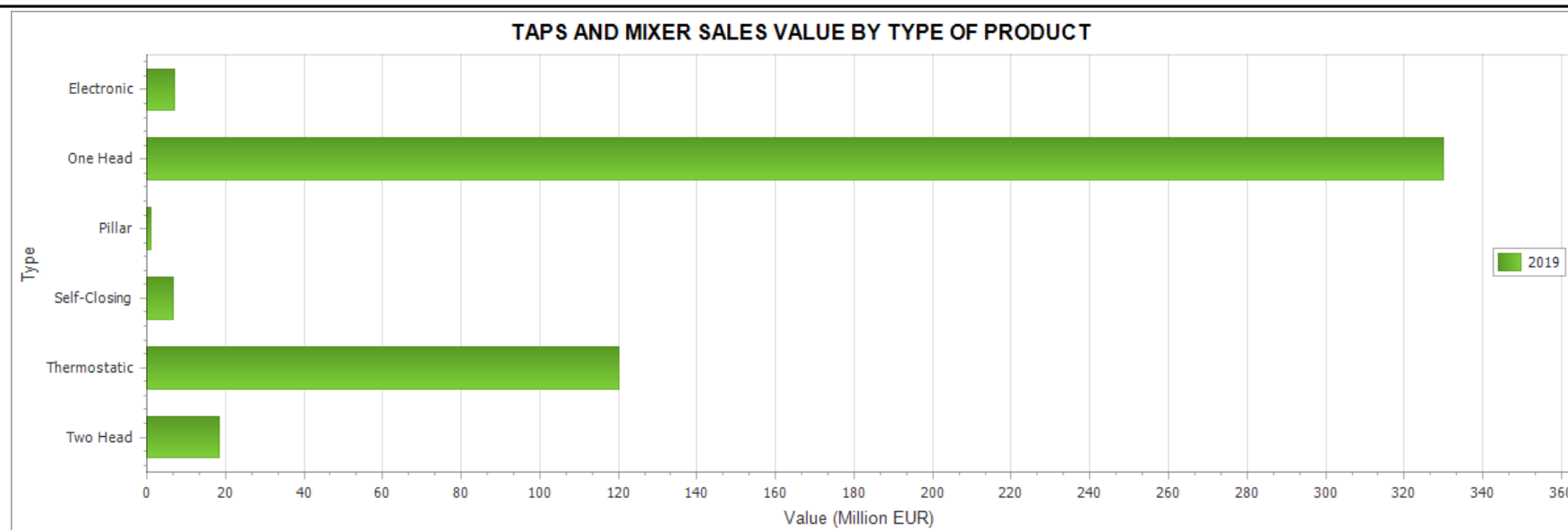


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data		
			2019	2018		
Alt Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Bath Taps and Mixers / Faucets	876 400	60.83	53.31	859 500	61.03	52.46
Bidet Taps and Mixers / Faucets	52 600	30.20	1.59	53 500	30.22	1.62
Kitchen Taps and Mixers / Faucets	2 527 000	44.69	112.93	2 442 000	44.71	109.18
Shower Taps and Mixers / Faucets	2 758 000	55.75	153.76	2 619 000	54.64	143.10
Washbasin Taps and Mixers / Faucets	4 221 000	38.35	161.88	4 048 000	38.07	154.11
Grand Total	10 435 000	46.33	483.47	10 022 000	45.95	460.46

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

FR - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT

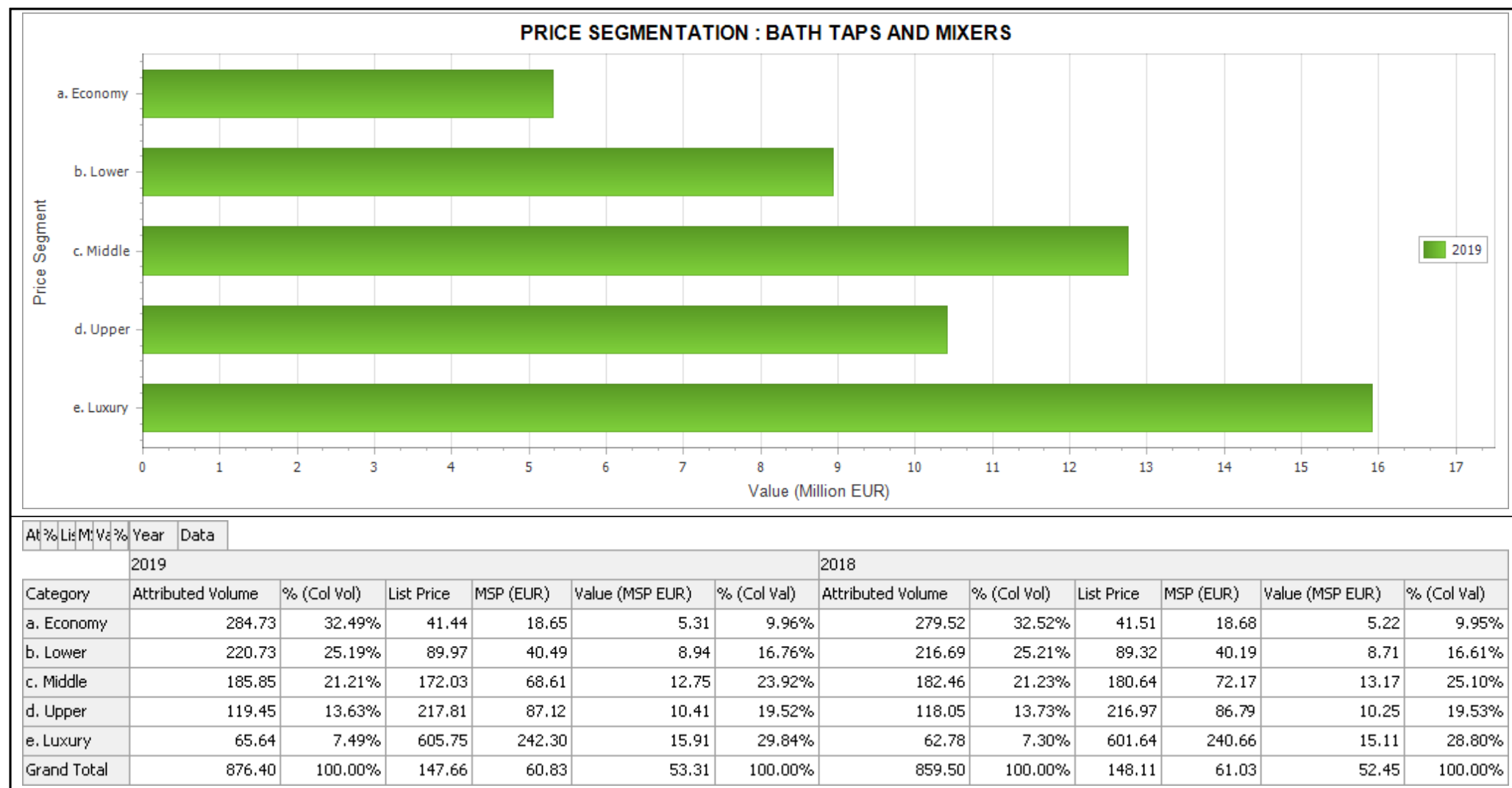


At %	MS Va %	Year	Data								
		2019				2018					
Category	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Electronic	59.90	0.57%	119.49	7.16	1.48%	58.52	0.58%	117.37	6.87	1.49%	
One Head	7 892.11	75.63%	41.82	330.04	68.27%	7 615.30	75.99%	41.69	317.45	68.94%	
Pillar	43.80	0.42%	25.85	1.13	0.23%	44.99	0.45%	23.56	1.06	0.23%	
Self-Closing	138.08	1.32%	48.80	6.74	1.39%	130.02	1.30%	48.54	6.31	1.37%	
Thermostatic	1 847.28	17.70%	64.94	119.96	24.82%	1 710.37	17.07%	64.20	109.80	23.85%	
Two Head	453.85	4.35%	40.51	18.39	3.80%	462.81	4.62%	40.97	18.96	4.12%	
Grand Total	10 435.01	100.00%	46.33	483.41	100.00%	10 022.01	100.00%	45.94	460.46	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

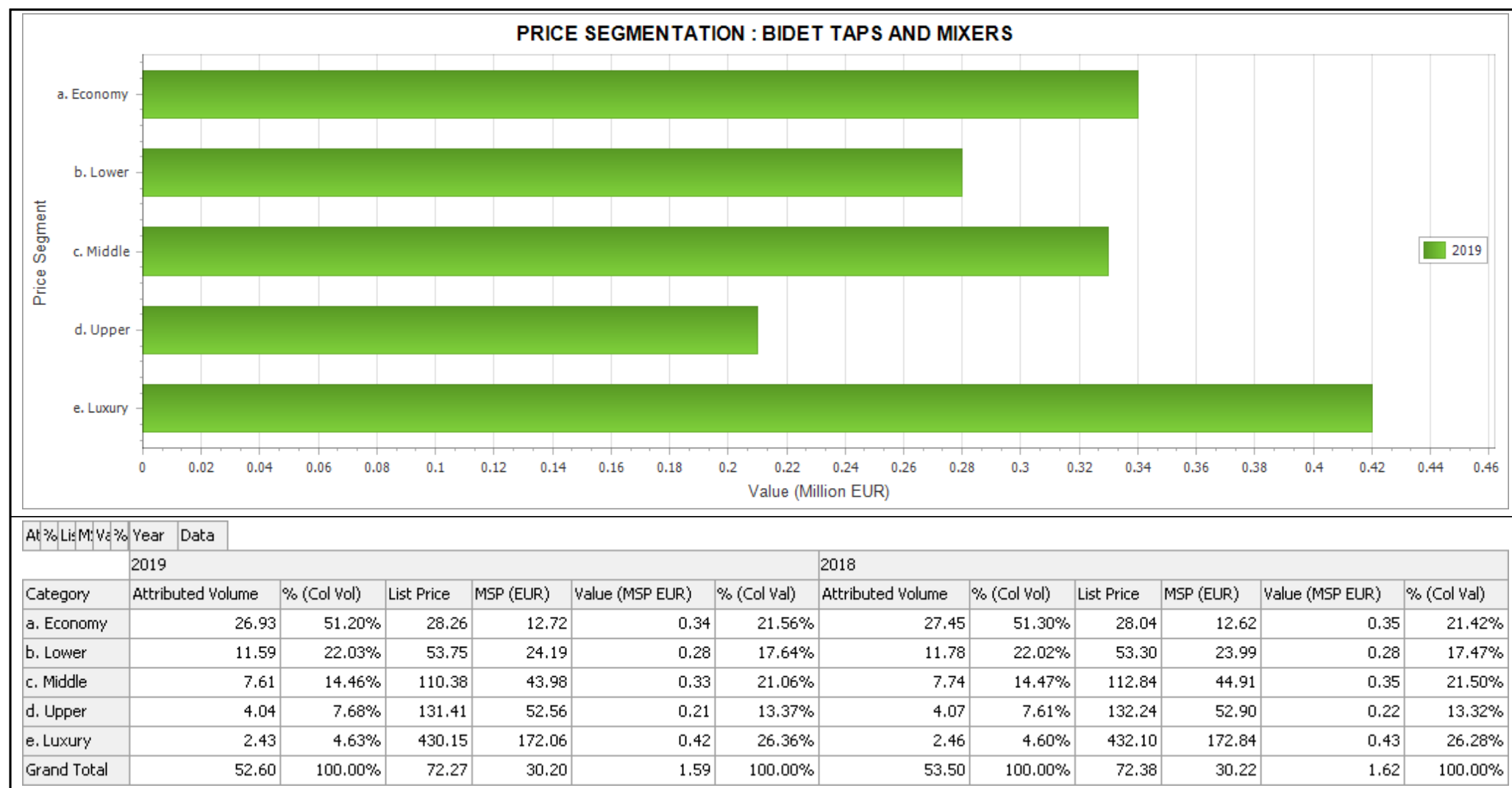
FR - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80- €120 and Luxury >€120

3.3.4 Price Segmentation : Bidet Taps and Mixers

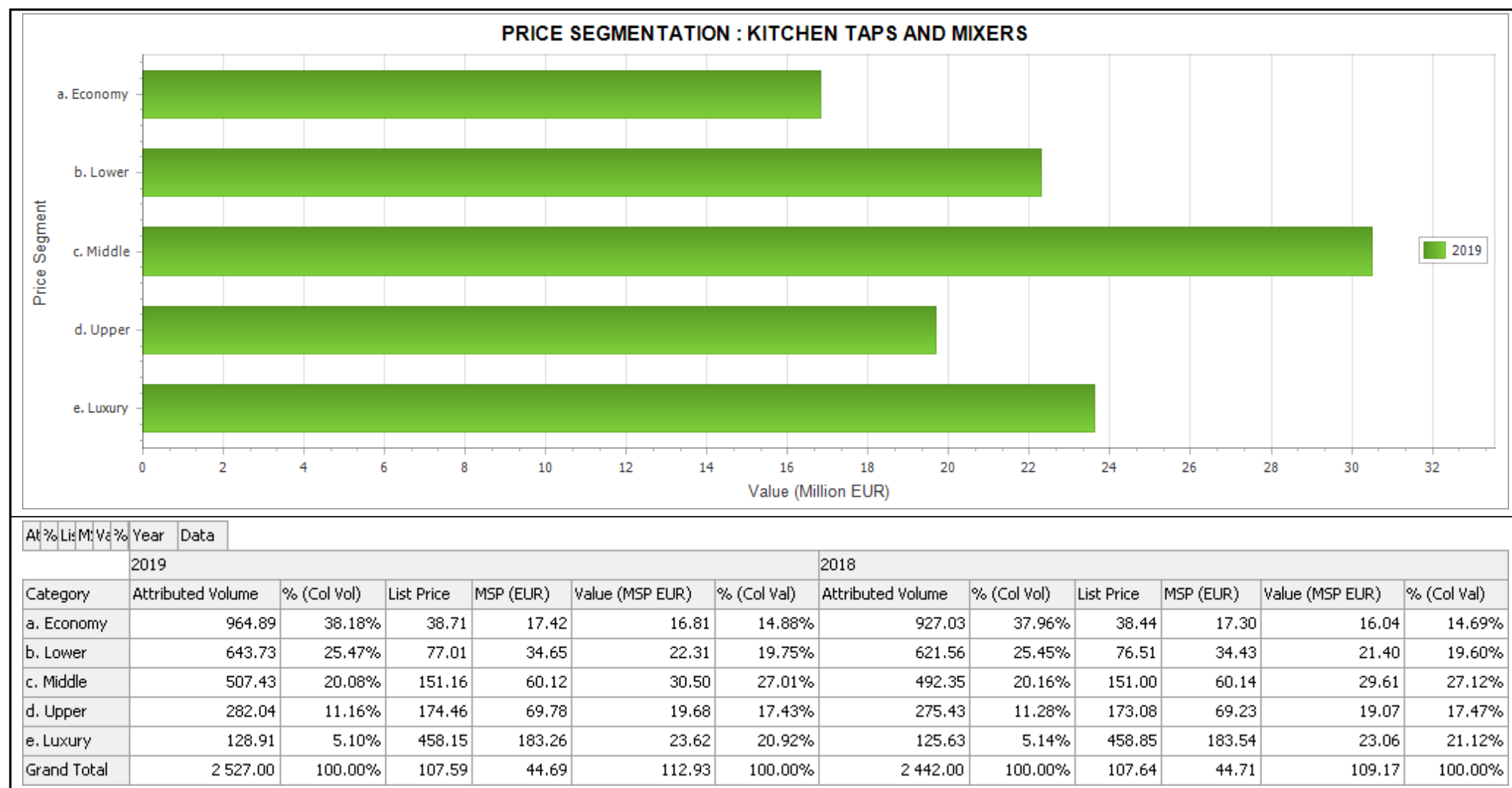
FR - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

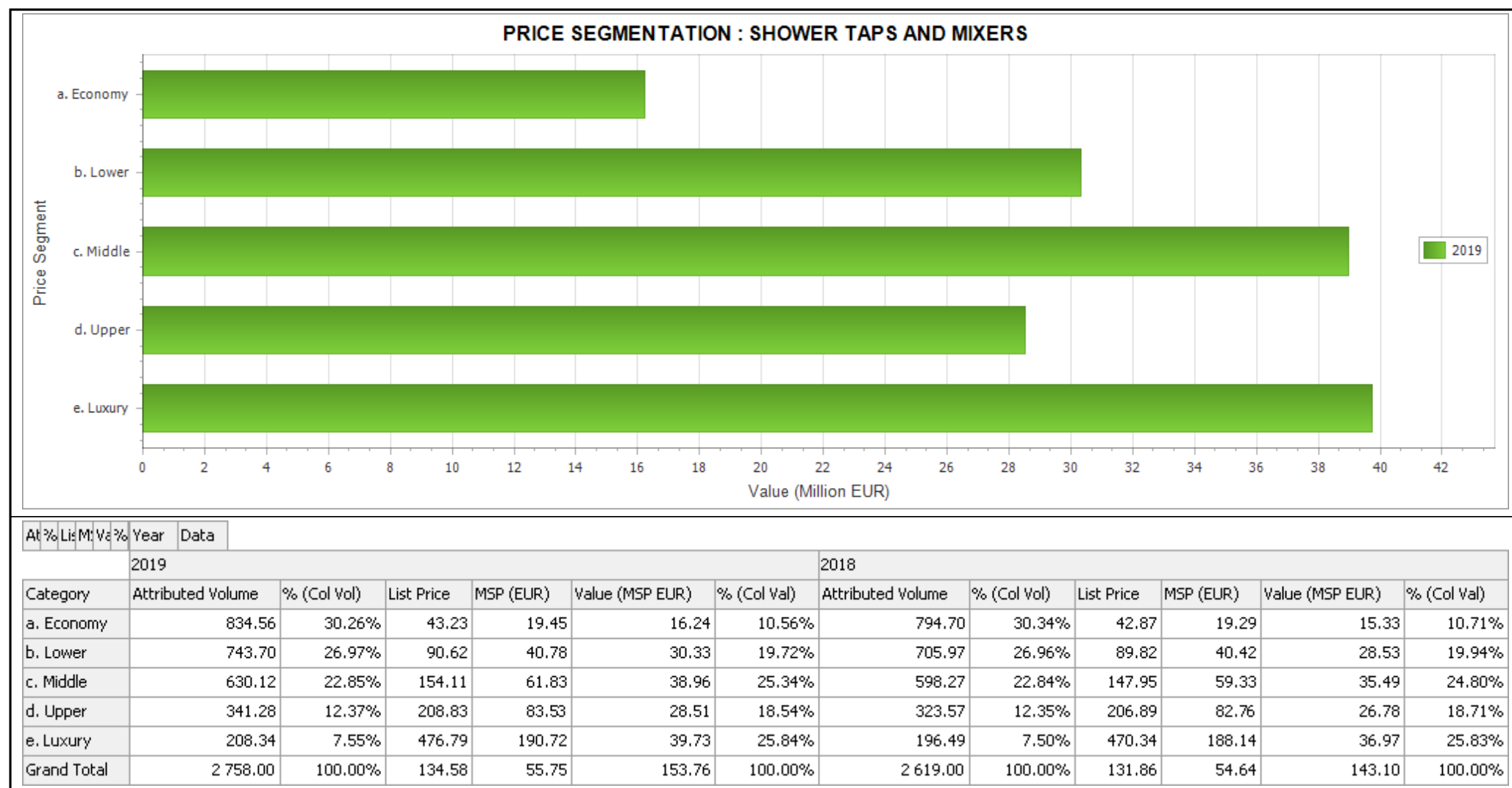
FR - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.6 Price Segmentation : Shower Taps and Mixers

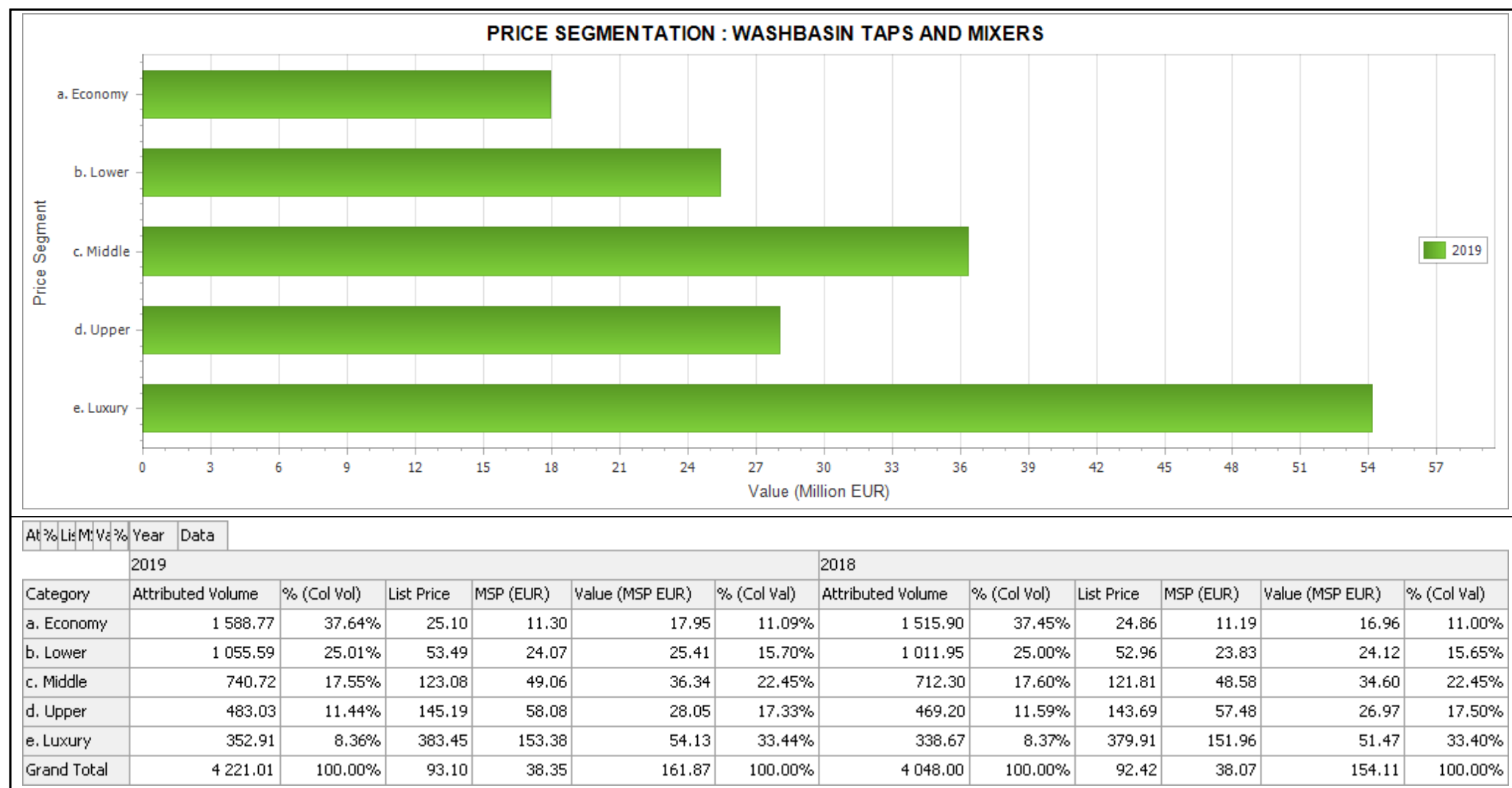
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€80, Upper €80-€120 and Luxury >€120

3.3.7 Price Segmentation : Washbasin Taps and Mixers

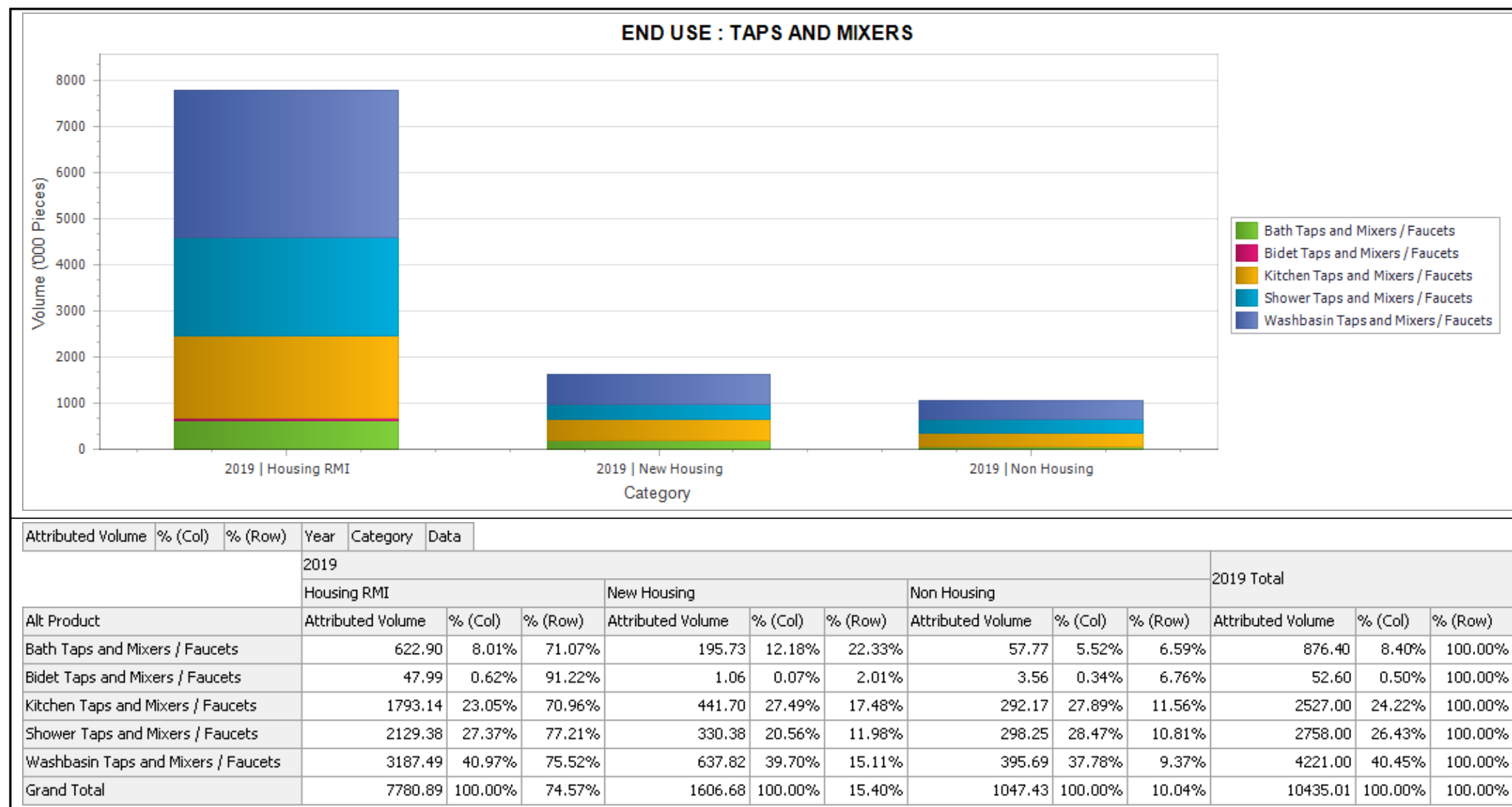
FR - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.4.1 End Use : Base Year

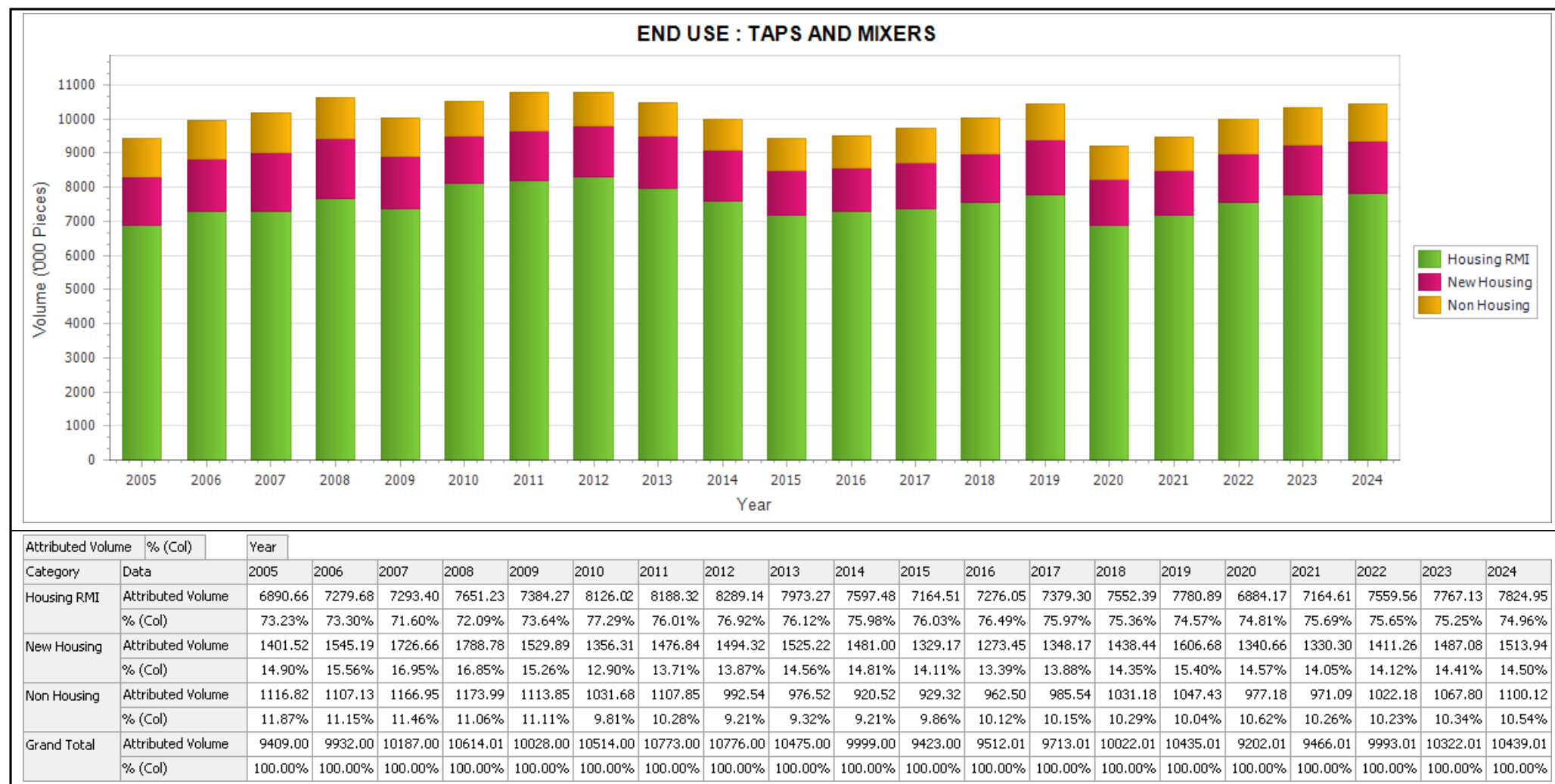
FR - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

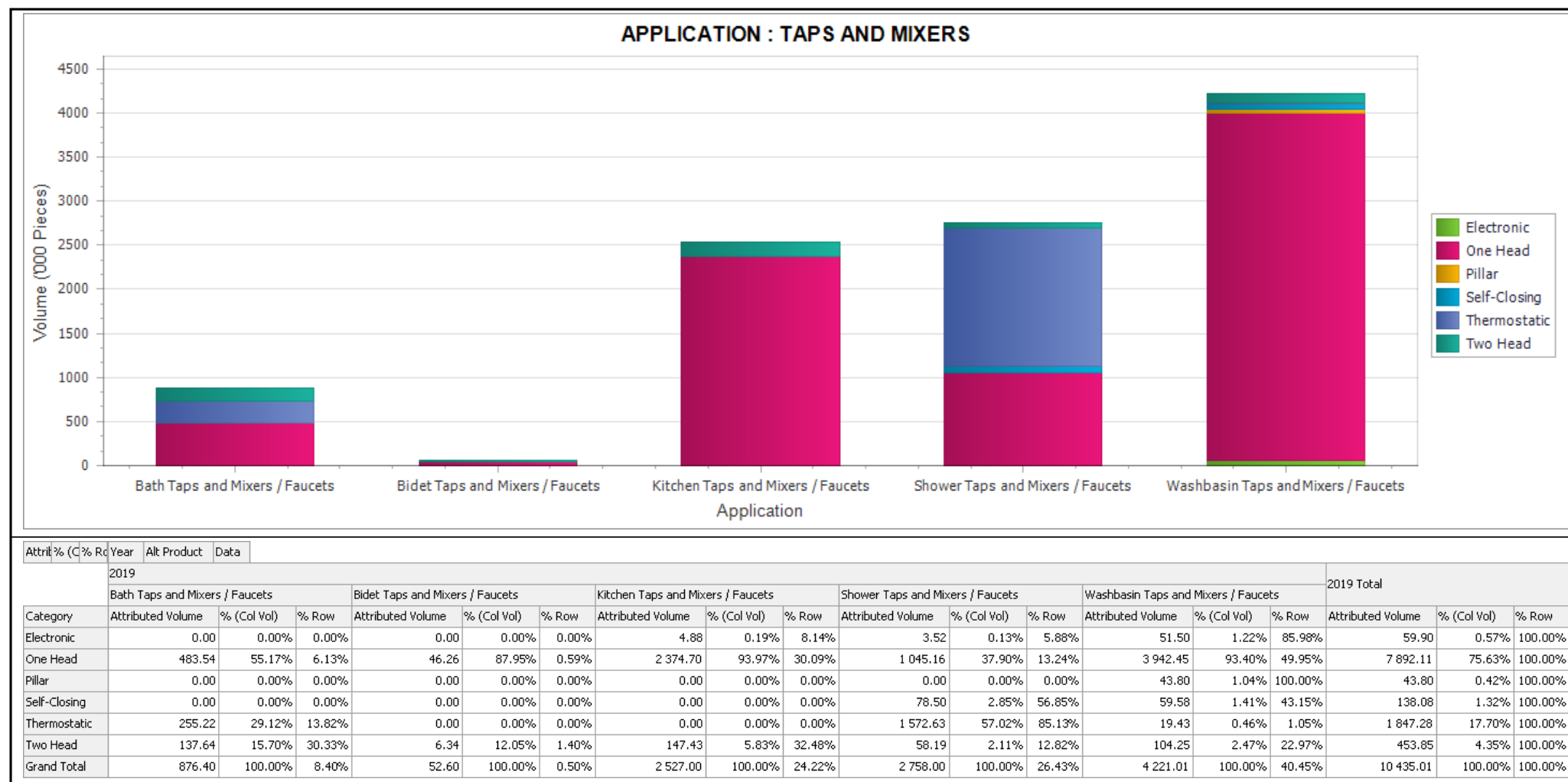
FR - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

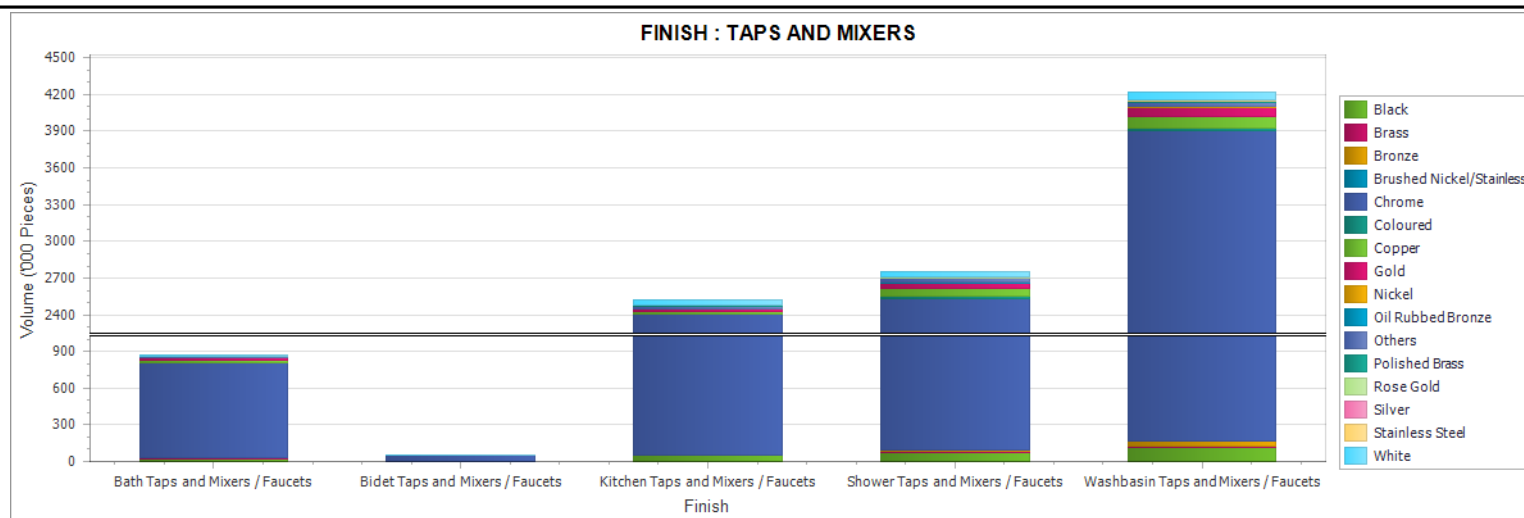
FR - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

FR - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

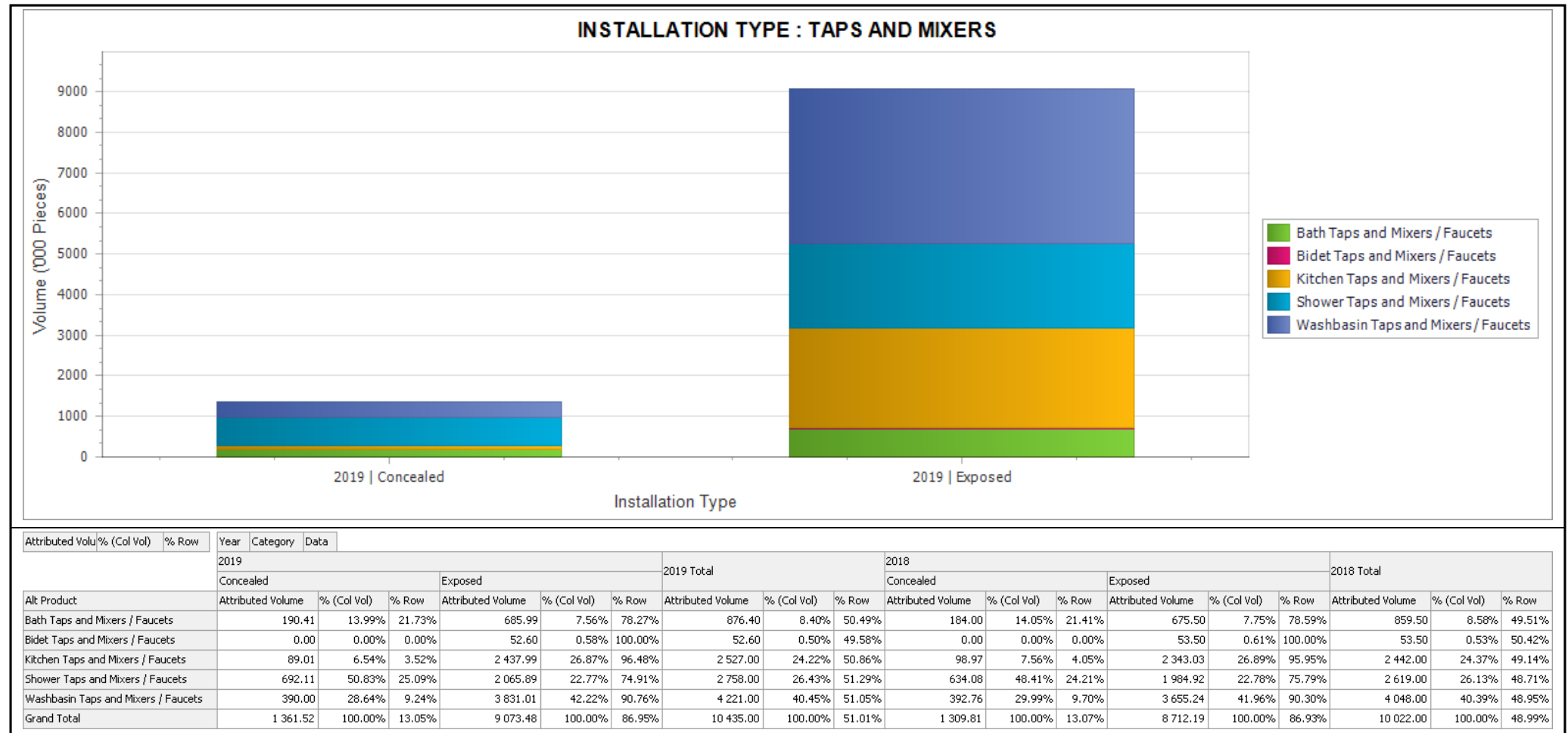


Attributed Vol	% (Col Vol)	Year	Alt Product	Data								
		2019									2019 Total	
		Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets		
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)
Black	23.66	2.70%	0.95	1.80%	48.01	1.90%	74.47	2.70%	113.97	2.70%	261.06	2.50%
Brass	3.51	0.40%	0.21	0.40%	5.05	0.20%	11.03	0.40%	16.88	0.40%	36.69	0.35%
Bronze	2.63	0.30%	0.16	0.30%	0.38	0.02%	8.27	0.30%	33.77	0.80%	45.21	0.43%
Brushed Nickel/Stainless	0.88	0.10%	0.05	0.10%	1.26	0.05%	2.76	0.10%	4.22	0.10%	9.17	0.09%
Chrome	775.61	88.50%	47.87	90.99%	2 350.11	93.00%	2 440.83	88.50%	3 735.59	88.50%	9 350.01	89.60%
Coloured	5.26	0.60%	0.32	0.60%	7.58	0.30%	16.55	0.60%	25.33	0.60%	55.03	0.53%
Copper	19.28	2.20%	0.79	1.50%	15.16	0.60%	60.68	2.20%	92.86	2.20%	188.77	1.81%
Gold	14.90	1.70%	0.58	1.10%	22.74	0.90%	46.89	1.70%	71.76	1.70%	156.87	1.50%
Nickel	0.88	0.10%	0.05	0.10%	1.26	0.05%	2.76	0.10%	4.22	0.10%	9.17	0.09%
Oil Rubbed Bronze	0.88	0.10%	0.05	0.10%	1.26	0.05%	2.76	0.10%	4.22	0.10%	9.17	0.09%
Others	11.39	1.30%	0.53	1.00%	23.63	0.94%	35.85	1.30%	33.77	0.80%	105.17	1.01%
Polished Brass	0.88	0.10%	0.05	0.10%	1.26	0.05%	2.76	0.10%	4.22	0.10%	9.17	0.09%
Rose Gold	0.88	0.10%	0.05	0.10%	1.26	0.05%	2.76	0.10%	4.22	0.10%	9.17	0.09%
Silver	0.88	0.10%	0.05	0.10%	1.26	0.05%	2.76	0.10%	4.22	0.10%	9.17	0.09%
Stainless Steel	0.88	0.10%	0.05	0.10%	1.26	0.05%	2.76	0.10%	4.22	0.10%	9.17	0.09%
White	14.02	1.60%	0.84	1.60%	45.49	1.80%	44.13	1.60%	67.54	1.60%	172.02	1.65%
Grand Total	876.41	100.00%	52.61	100.00%	2 527.01	100.00%	2 758.00	100.00%	4 221.00	100.00%	10 435.02	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

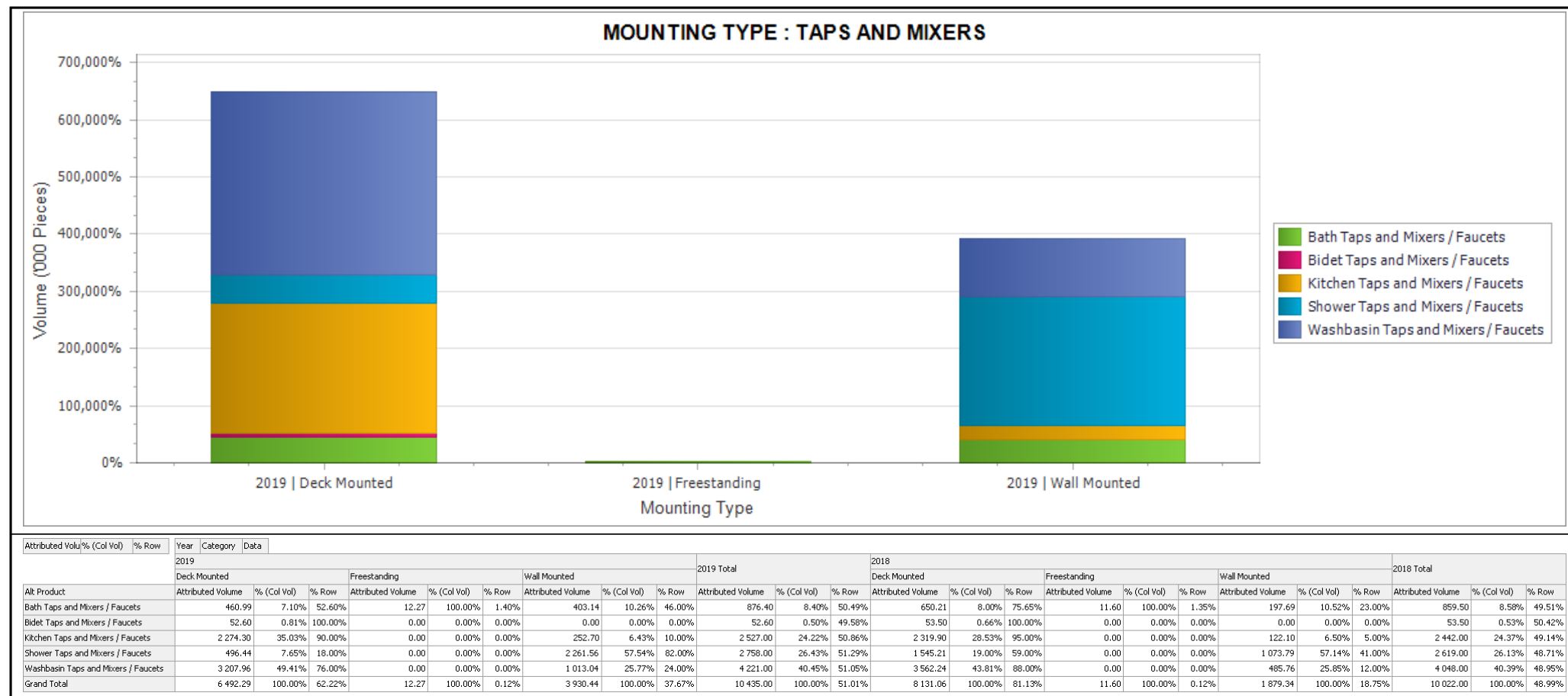
FR - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

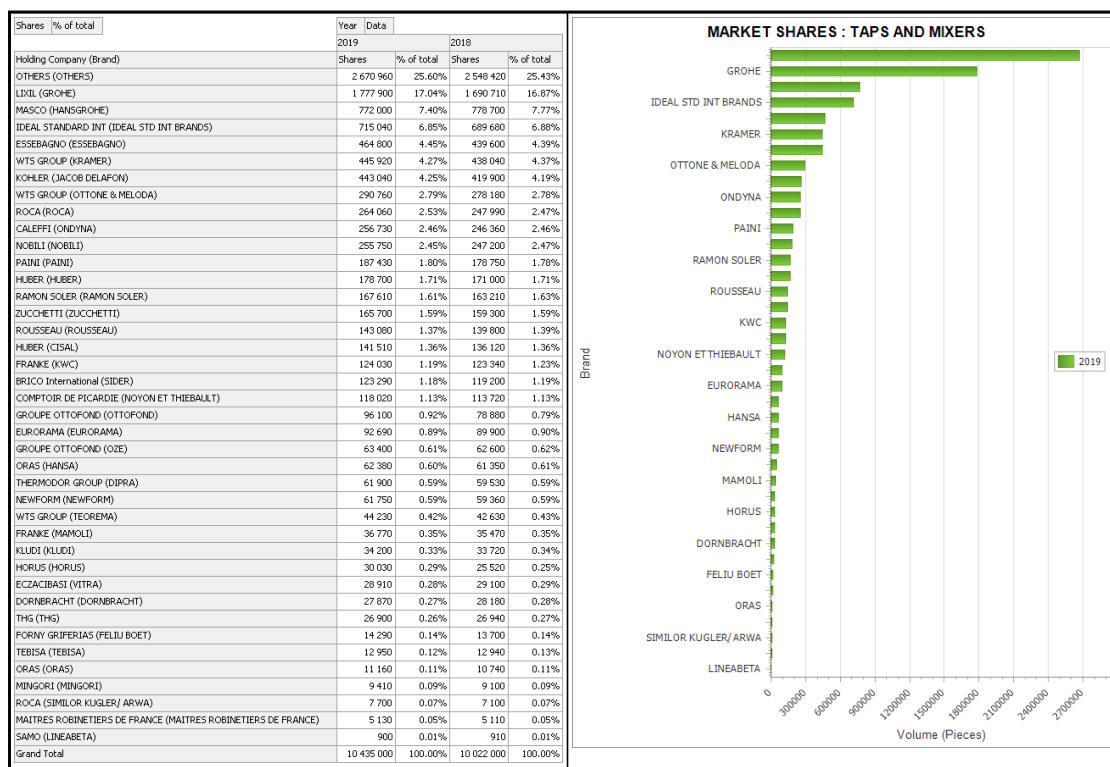
FR - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

FR - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 FR - IMPORTS OF MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	12 775	45.3%	127 715	27.6%	11 613	42.8%	107 913	24.2%
Germany	8 833	31.3%	181 698	39.3%	8 612	31.8%	175 759	39.5%
Italy	3 301	11.7%	85 038	18.4%	3 885	14.3%	98 283	22.1%
Bulgaria	880	3.1%	12 766	2.8%	897	3.3%	12 634	2.8%
Spain	803	2.8%	15 531	3.4%	605	2.2%	13 770	3.1%
Czech Republic	389	1.4%	5 686	1.2%	308	1.1%	4 516	1.0%
OTHERS	1 204	4.3%	34 148	7.4%	1 200	4.4%	32 181	7.2%
Total	28 185	100.0%	462 582	100.0%	27 121	100.0%	445 056	100.0%

Source : Trademap

3.6.2 FR - EXPORTS OF MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Belgium	416	21.1%	5 432	11.0%	141	8.2%	3 672	8.6%
Germany	267	13.5%	10 485	21.2%	243	14.1%	9 426	22.2%
Spain	113	5.7%	3 364	6.8%	101	5.8%	2 888	6.8%
Netherlands	111	5.6%	1 745	3.5%	27	1.6%	852	2.0%
Russian Federation	104	5.3%	1 956	3.9%	183	10.6%	2 921	6.9%
United Kingdom	93	4.7%	3 193	6.4%	90	5.2%	2 874	6.8%
Morocco	87	4.4%	1 518	3.1%	118	6.8%	1 161	2.7%
Bulgaria	81	4.1%	1 684	3.4%	100	5.8%	1 938	4.6%
French Polynesia	73	3.7%	540	1.1%	24	1.4%	317	0.7%
New Caledonia	72	3.7%	859	1.7%	74	4.3%	903	2.1%
Madagascar	67	3.4%	377	0.8%	126	7.3%	349	0.8%
OTHERS	488	24.8%	18 373	37.1%	496	28.8%	15 238	35.8%
Total	1 972	100.0%	49 526	100.0%	1 723	100.0%	42 539	100.0%

Source : Trademap

3.6.3 FR - IMPORTS OF TAPS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	2 494	40.3%	16 525	20.2%	2 098	42.3%	16 187	22.8%
Italy	795	12.8%	16 249	19.9%	475	9.6%	12 765	18.0%
Germany	622	10.1%	14 774	18.1%	564	11.4%	13 431	18.9%
Spain	435	7.0%	3 601	4.4%	508	10.3%	3 045	4.3%
Portugal	404	6.5%	6 055	7.4%	485	9.8%	6 650	9.4%
Denmark	386	6.2%	3 009	3.7%	89	1.8%	1 406	2.0%
Turkey	216	3.5%	2 432	3.0%	42	0.9%	393	0.6%
France	213	3.4%	2 022	2.5%	206	4.2%	1 776	2.5%
Belgium	197	3.2%	5 199	6.4%	60	1.2%	2 695	3.8%
United States of America	71	1.2%	5 038	6.2%	52	1.0%	5 556	7.8%
Croatia	65	1.1%	528	0.6%	66	1.3%	600	0.8%
OTHERS	287	4.6%	6 207	7.6%	315	6.4%	6 487	9.1%
Total	6 186	100.0%	81 639	100.0%	4 959	100.0%	70 991	100.0%

Source : Trademap

3.6.4 FR - EXPORTS OF TAPS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Russian Federation	604	27.5%	5 662	10.0%	632	30.2%	5 878	10.9%
Germany	212	9.7%	6 646	11.7%	187	8.9%	5 601	10.4%
Belgium	178	8.1%	3 198	5.6%	164	7.8%	3 130	5.8%
United States of America	152	6.9%	9 877	17.4%	136	6.5%	9 714	18.0%
Spain	76	3.5%	2 258	4.0%	32	1.5%	1 223	2.3%
Côte d'Ivoire	58	2.7%	848	1.5%	16	0.8%	312	0.6%
United Kingdom	53	2.4%	2 529	4.4%	57	2.7%	2 964	5.5%
New Caledonia	47	2.1%	596	1.0%	22	1.1%	379	0.7%
Italy	42	1.9%	1 881	3.3%	54	2.6%	2 232	4.1%
Morocco	42	1.9%	983	1.7%	59	2.8%	1 163	2.1%
Turkmenistan	40	1.8%	211	0.4%	8	0.4%	129	0.2%
OTHERS	688	31.4%	22 176	39.0%	725	34.6%	21 382	39.5%
Total	2 194	100.0%	56 865	100.0%	2 093	100.0%	54 107	100.0%

Source : Trademap

3.7.1

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers					
	100.0%					
Wholesale Level	66.6%					
	Wholesalers / Merchants					
	66.6%					
Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.6%	3.9%	18.2%	16.5%	4.2%	12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.5%		34.7%		16.2%	

3.7.2

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers					
	100.0%					
Wholesale Level	61.2%					
	Wholesalers / Merchants					
	61.2%					
Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	8.6%	4.7%	25.6%	9.5%	1.7%	12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.3%		35.1%		13.7%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	
	1.5%	11.0%	2.0%	8.3%	1.1%	
	Installers					
	23.9%					
End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.4%	12.7%	11.3%	26.8%	12.6%	22.5%
	Residential					
	87.3%					
	New Build			Residential RMI		
	16.7%			70.6%		
	Project	Non-Project		Project	Non-Project	
	11.7%	5.0%		16.9%	53.7%	
	New Build			Non-Residential RMI		
	7.5%			5.2%		
	Project	Non-Project		Project	Non-Project	
	7.5%	0.0%		1.9%	3.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

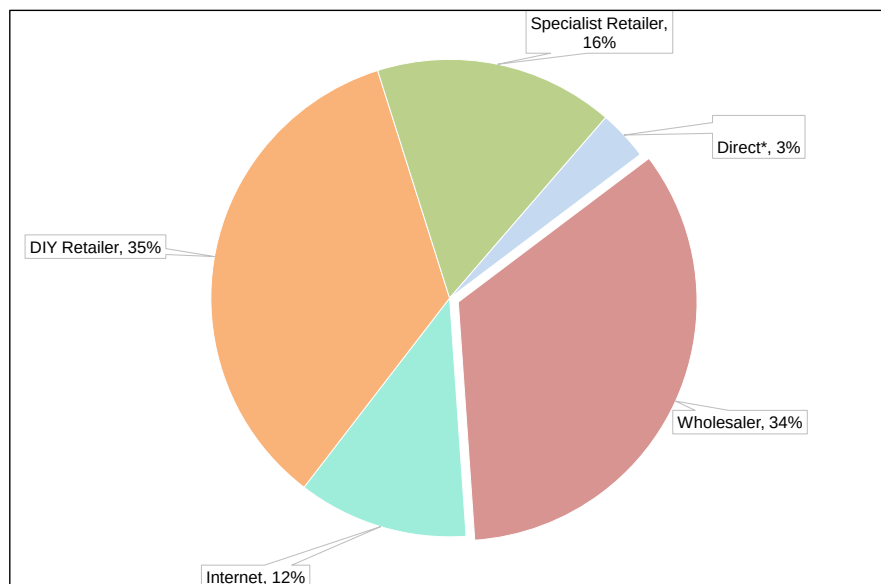
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.2%	11.5%	34.7%	16.2%	3.4%	30.5%	9.4%	57.9%	2.2%
100%					39.9%		60.1%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

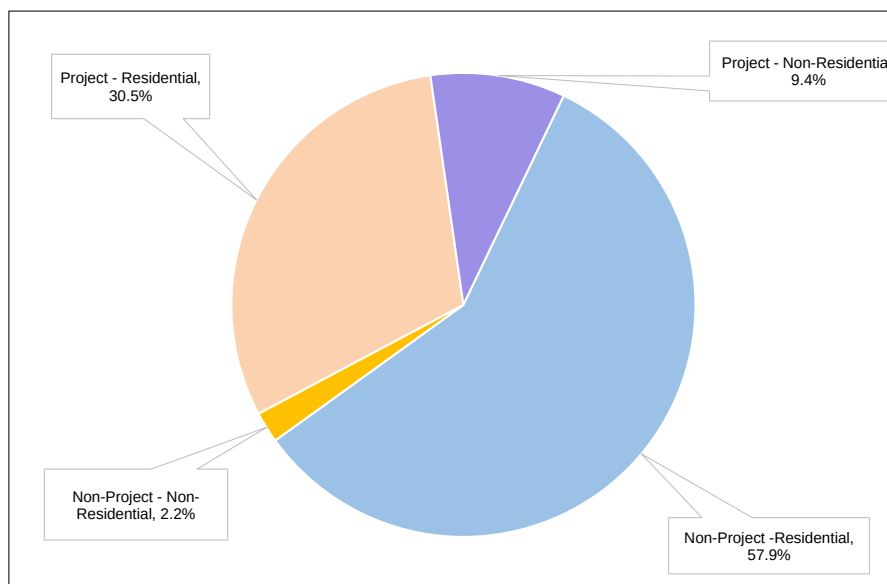
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.0%	13.3%	35.1%	13.7%	2.9%	28.6%	9.4%	58.7%	3.3%
100%					38.0%		62.0%	

FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers								
	100.0%								
Wholesale Level	59.9%								
	Wholesalers / Merchants								
	59.9%								
Retail Level	Manufacturer		Wholesaler						
	10.1%		4.3%						
	Internet Retailers								
	14.4%								
	Manufacturer		Wholesaler						
	22.1%		18.3%						
	DIY Retailers								
	40.4%								
	Manufacturer		Wholesaler						
	4.4%		3.0%						
Specialist Retailers									
7.4%									
End Use Level	Manufacturer		Wholesaler		Internet	DIY	Specialist		
	1.2%		12.0%		2.0%	9.5%	6.3%		
	Installers								
	31.0%								
	Manufacturer		Wholesaler		Internet	DIY	Specialist	Installer	
	1.7%		16.1%		12.4%	30.9%	1.1%	28.2%	
	Residential								
	90.4%								
	New Build				Residential RMI				
	14.7%				75.7%				
Project		Non-Project		Project		Non-Project			
11.8%		2.9%		9.0%		66.7%			
Manufacturer		Wholesaler		Internet		DIY		Specialist	Installer
0.5%		6.2%		0.0%		0.0%		0.0%	2.8%
Non-Residential									
9.6%									
New Build					Non-Residential RMI				
4.5%					5.1%				
Project		Non-Project			Project		Non-Project		
2.5%		2.0%			0.5%		4.6%		

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	62.7%				
	Wholesalers / Merchants				
	62.7%				
Retail Level	Manufacturer		Wholesaler		
	9.9%		4.5%		
	Internet Retailers				
	14.4%				
	Manufacturer		Wholesaler		
	20.2%		19.3%		
	DIY Retailers				
	39.5%				
	Manufacturer		Wholesaler		
	4.0%		3.0%		
Specialist Retailers					
7.0%					
</					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

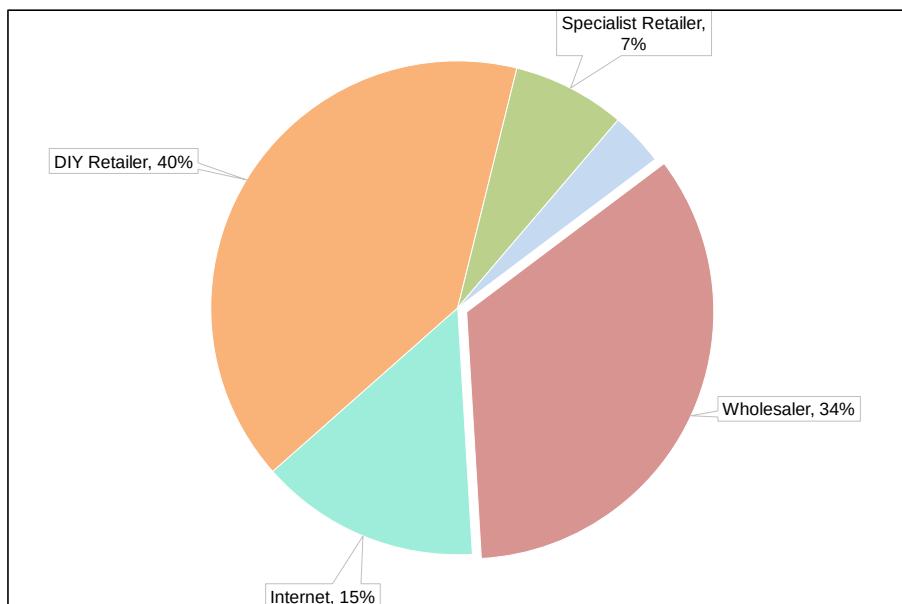
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.3%	14.4%	40.4%	7.4%	3.5%	20.8%	3.0%	69.6%	6.6%
100%					23.8%		76.2%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

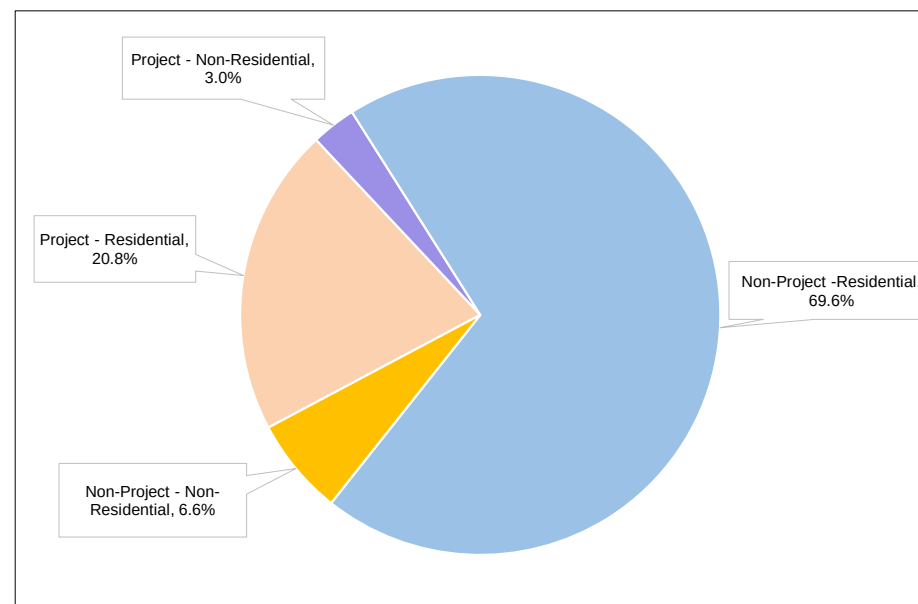
FR - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.9%	14.4%	39.5%	7.0%	3.2%	19.0%	3.0%	71.1%	6.9%
100%					22.0%		78.0%	

FR - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



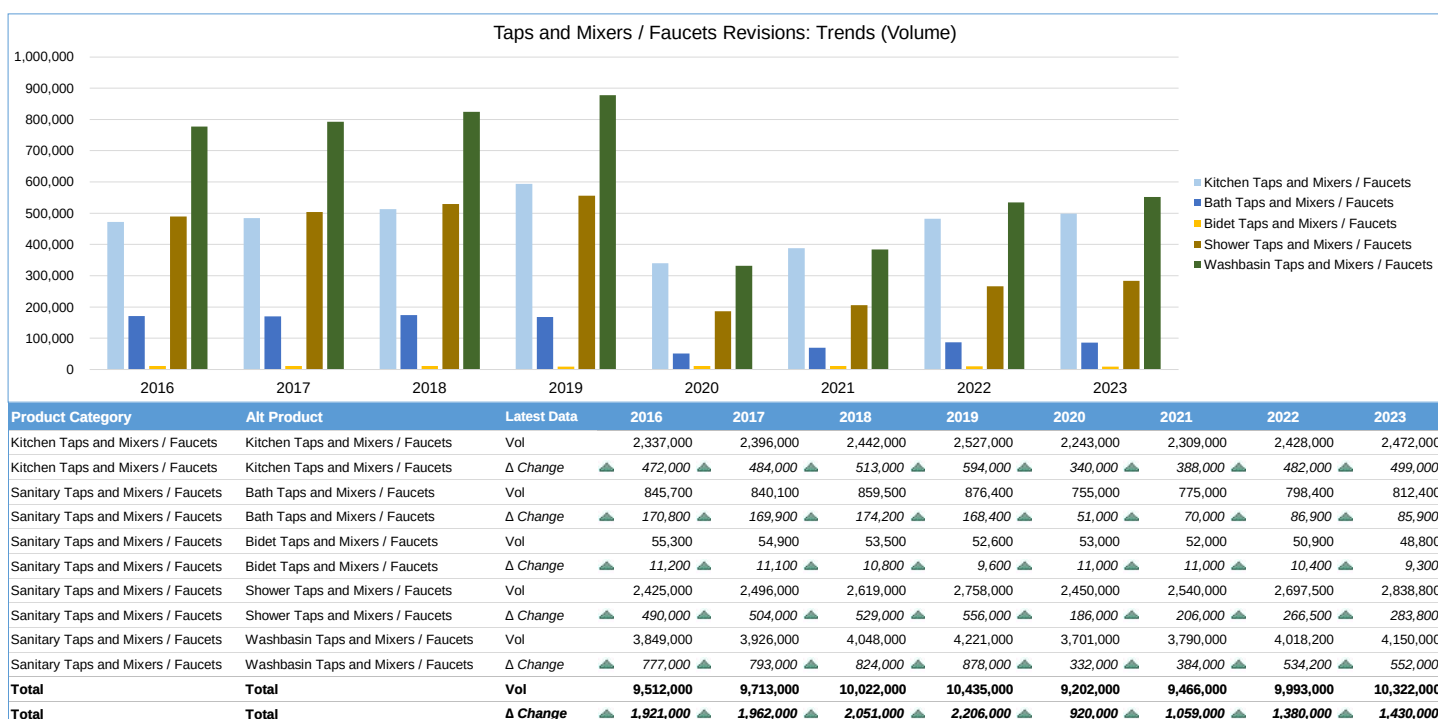
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the French Taps and Mixers / Faucets Market (April 2020)

FR - REVISIONS IN THE FRENCH TAPS AND MIXERS / FAUCETS MARKET

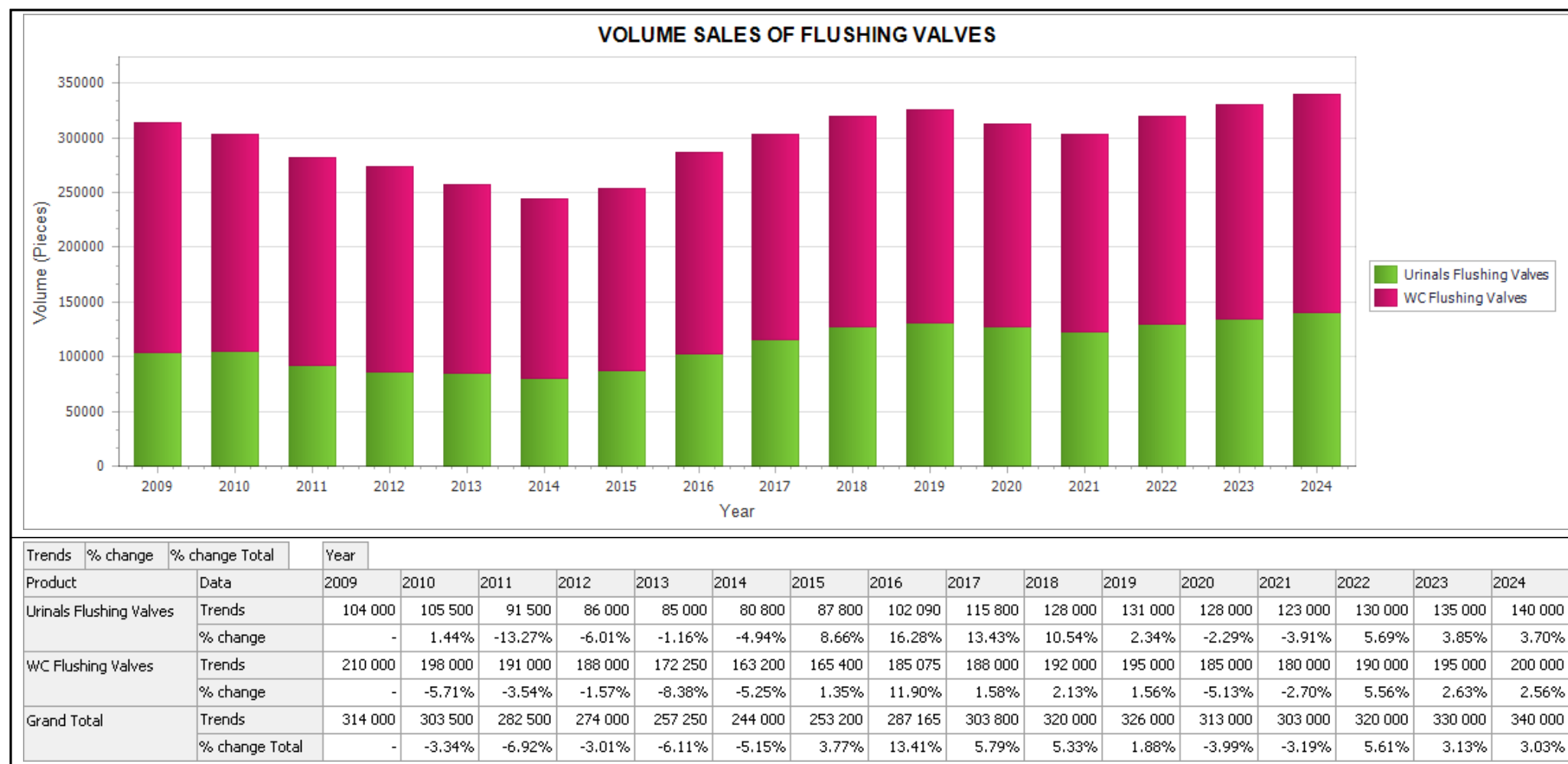
Data Comparison: April 2019



Sales in all applications were revised upwards historically due to updated imports statistics and industry feedbacks. Taps and mixers have one of the highest shares in the replacement segment among all bathroom products due to a short lifespan and low sales price. French consumers appear to be more willing to replace taps and mixers for aesthetic reasons as well.

3.9.1 Historical Trends and Forecasts : Flushing Valves

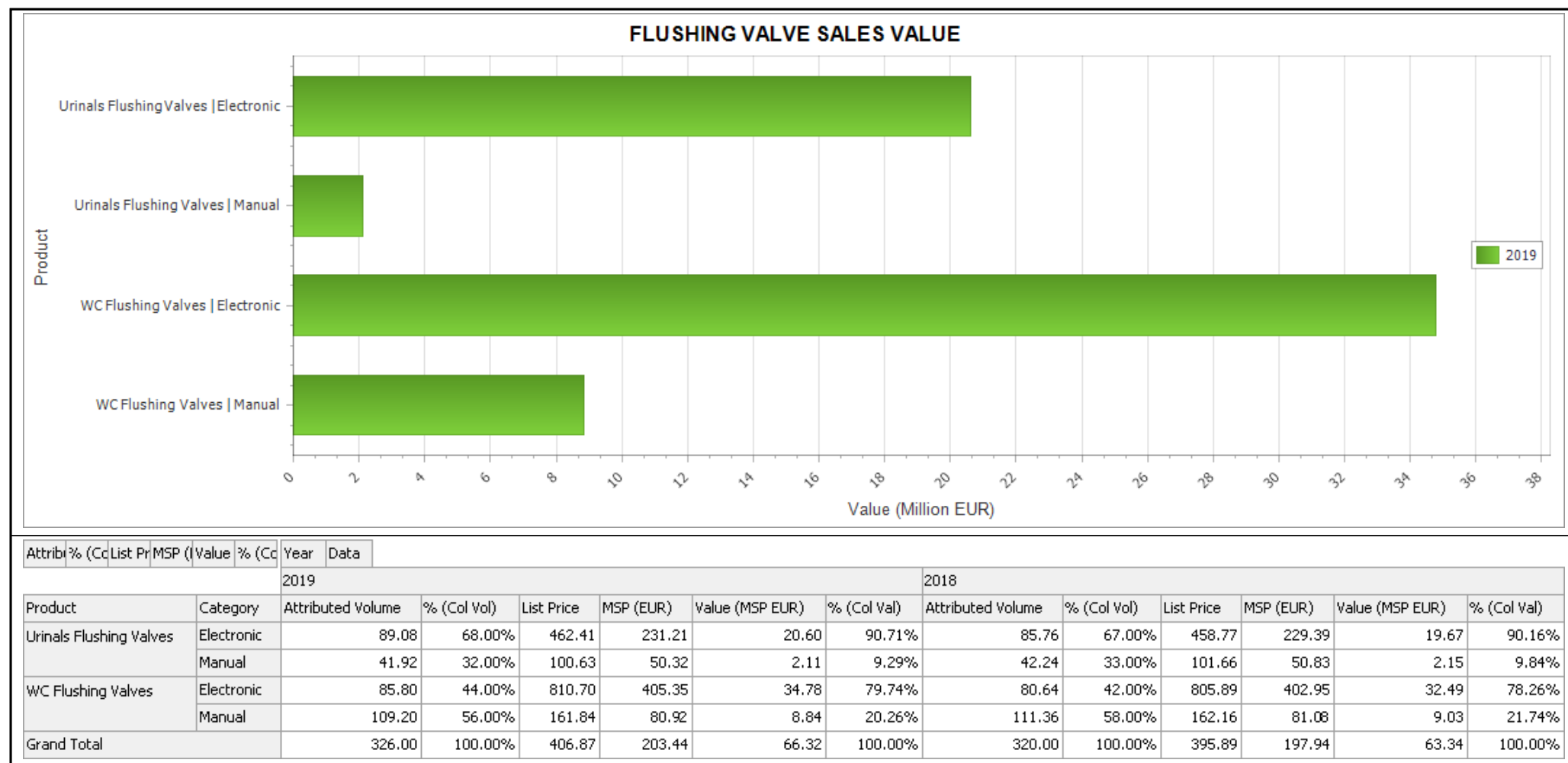
FR - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

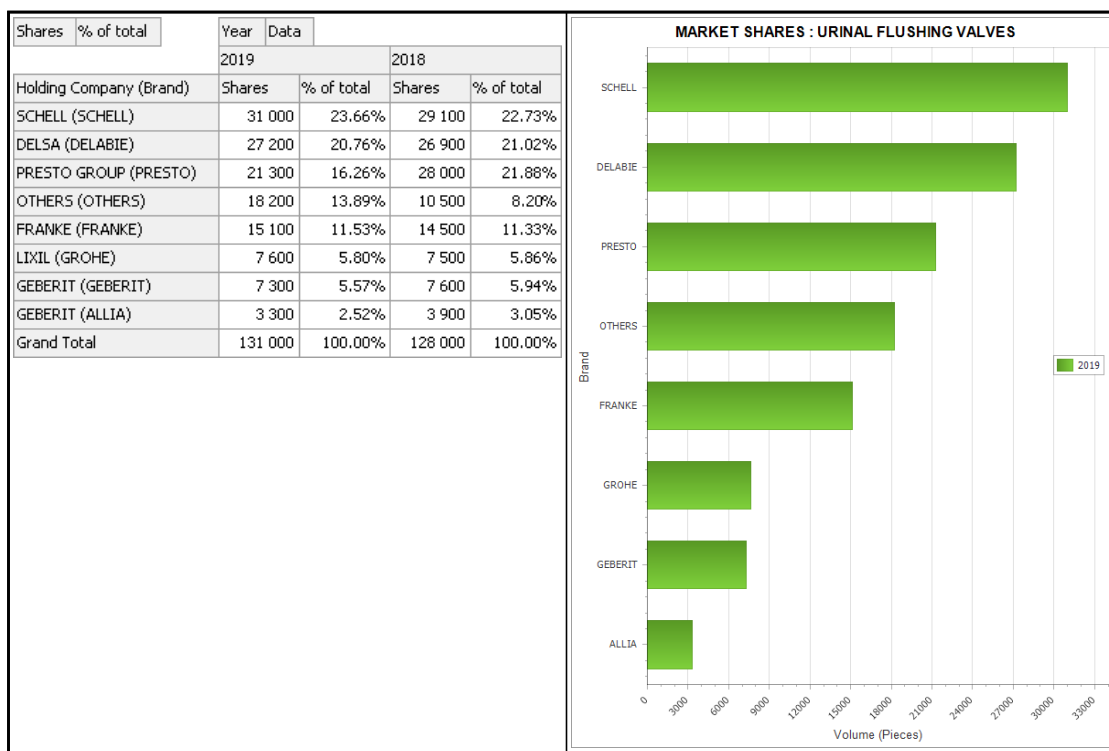
FR - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding.

3.9.3 Market Shares : Urinal Flushing Valves

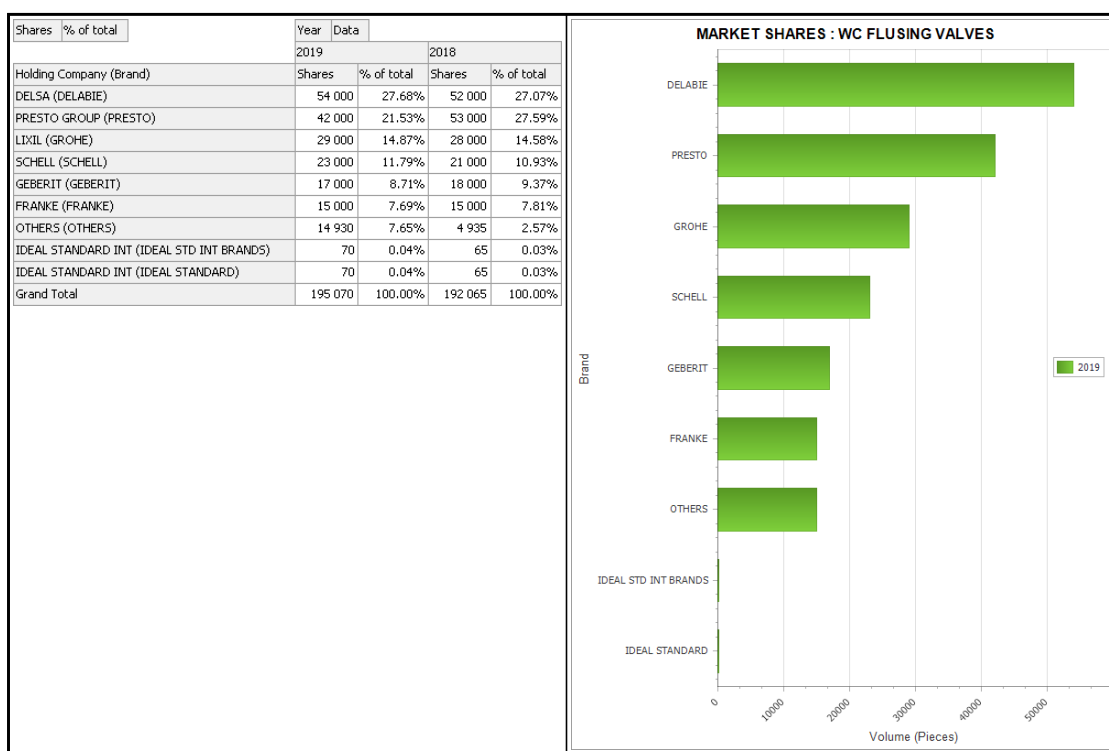
FR - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

FR - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

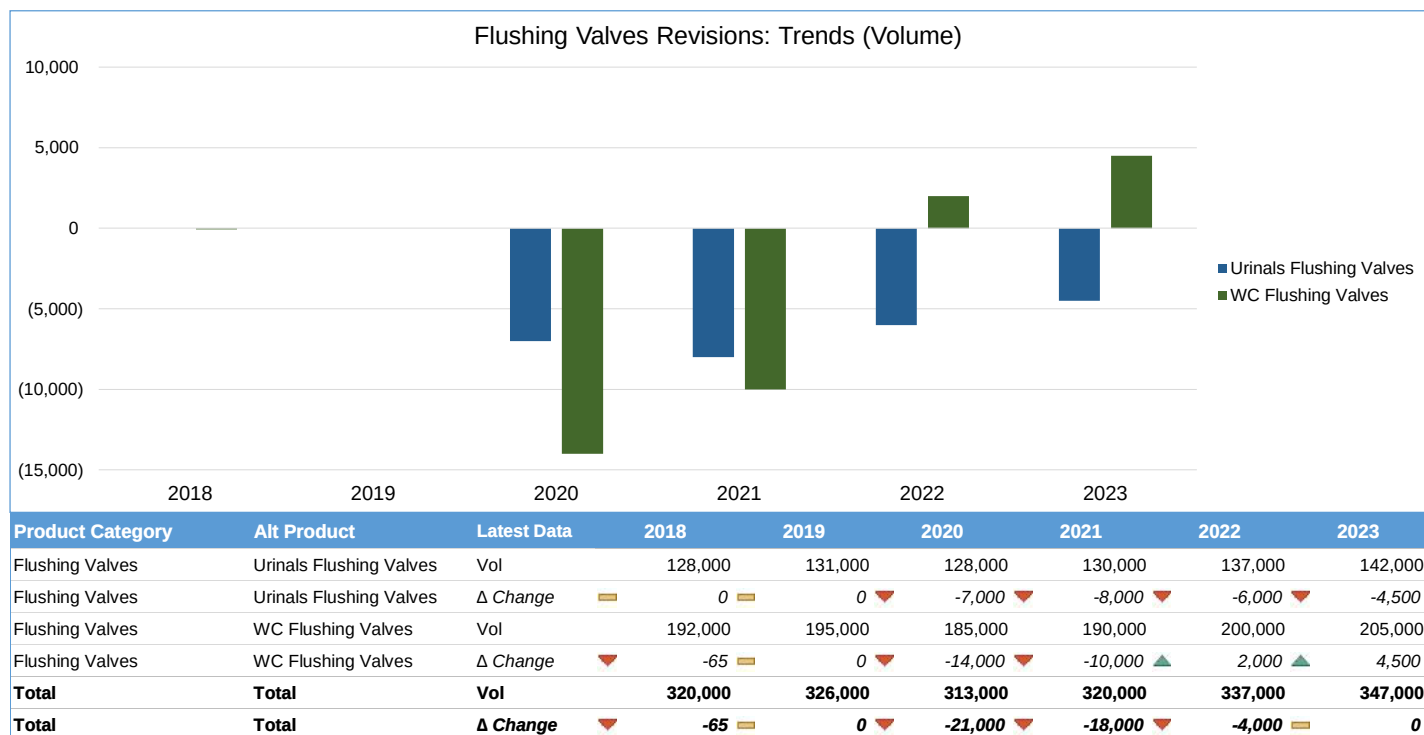


Source: BRG based on industry interviews.

3.10 Revisions in the French Flushing Valves Market (April 2020)

FR - REVISIONS IN THE FRENCH FLUSHING VALVES MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

FRANCE

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower wall market in France has historically not shown a significant dependency on the new build market, but rather on housing RMI demand. Generally speaking, the overall shower wall market has followed a similar trend to the shower tray market, due to French households favouring showering over bathing; a trend which has intensified since the early 2000s and is still ongoing.

Over the last decade, the share of conventional shower cubicles has decreased steadily, while BRG has noted a slow but progressive shift from bath screens towards shower enclosures, the development of which is linked to that of shower trays. Nevertheless, conventional shower cubicles remain relatively popular in France, like in neighbouring Belgium, and have long been designed for studio flats and small social dwellings, making them perfect contract market products. Sales of these cubicles, however, have suffered from fierce competition from entry/lower price ranges of hydrotherapy products and shower enclosures with shower trays, due to their lesser space requirements.

The hydrotherapy market has long been supported by the increasing interest of French consumers in comfort and relaxation, which increased strongly before the start of the economic crisis. However, sales of hydrotherapy shower cubicles started to decline from 2008 onwards, with the first significant decline occurring in 2009. This suggests that the hydrotherapy cubicles market reached its peak in 2007, before heavily declining from 2009 onwards due to low demand and acceptance among French consumers. In fact, sales have been dropping strongly over the last couple of years and, within the bathroom products market, hydrotherapy products, and therefore hydrotherapy shower cubicles have recorded the fastest and highest decrease. Hydrotherapy products, nowadays, have difficulties in profiting from the trend of creating and organising bathrooms for comfort and relaxation. This decline in sales of hydrotherapy shower cubicle products in France rather suggests that demand for such products has become limited and that consumers turn their interest to other bathroom products instead, such as showers trays installed with shower pipes or shower heads with multiple functions, for instance.

Besides comfort issues, the development of shower enclosure sales has been directly linked to attractive prices and aesthetic issues, as shower enclosures are also design elements in bathrooms. A new category of shower enclosure, used for wet rooms, emerged a few years ago and is expected to penetrate the market further – especially in new build, since wet rooms are gradually attracting an increasing number of consumers. This product has been mainly characterised by a more expensive price than that of other shower enclosure types. These shower enclosures, for the wet shower rooms, seem to meet the needs of the elderly French population. Even though their development has been so far fairly limited in France when compared to some other European countries such as the Netherlands, BRG believes that it is a fundamental issue for the future

development of the shower trays market in new dwellings, but could benefit the demand for shower enclosures. Manufacturers of shower enclosures offer vast product ranges and also some flexibility. Door types often need to match specific requirements, such as the type of system (either fixed or recess), the position of fittings (either in the centre or to one side), the number of panels (one or more), and the shape (e.g. curved or rectangular).

The development of sales of bath screens has been directly linked to the exposure of these products in DIY, where impulse purchases are believed to have played a major role. The market for bath screens has developed better in recent years than the baths market. Often seen as complementary products and in direct competition with simple curtains, sales of bath screens have been boosted by high construction activity in recent years. The bath screen segment is characterised by upselling and an increasing quality of products within the DIY sector, as well as an obvious ease of installation.

The negative development of the bath screen segment coming from poor housing RMI activity seen in recent years was reversed in 2015, and this trend has been reinforced in recent years since sales of bath screens started to grow – reflecting an increased demand for this product type in housing RMI, as there is still an estimated residual park of baths equipped with curtains or no showering option at all (baths only).

Recent Market Trends

Following an unceasing positive trend from 2017, the overall French shower walls market continued to go up in 2019, which confirmed that French households favour showering over bathing. In addition, BRG believes that showers have continued to take shares from baths, even if bath sales increased in 2019. A substantial number of dwellings in France are today only equipped with a shower.

The French shower wall market was primarily driven by the strong growth in total completions in 2019, with both apartment buildings and family houses increasing. Almost all the shower trays installed in new housing were equipped with a shower enclosure, while the number of baths installed with a bath screen also increased in 2019 in this segment. The French shower wall market was also largely driven by sales to the RMI segment last year, positively influenced by the increase of household private consumption. Finally, it is worth mentioning that sales to non-housing also increased in 2019, with the demand mainly coming from the new non-residential market.

Shower enclosures still account for the bulk of shower wall sales, followed by bath screens. As previously mentioned, the demand for bath screens in new housing also went up in 2019, which suggests that French households want to keep the option of both bathing and showering. Sales of conventional shower enclosures have suffered in recent years, as the market increasingly favours shower enclosures with door or side wall units, mostly for their space-saving benefits. In fact, sales of conventional shower cubicles decreased in 2019, despite a positive

renovation demand as there is a large park of products in France that need to be replaced.

The market for hydrotherapy shower cubicles continued to decline in 2019. The market seems to suffer from a poor image in terms of quality, maintenance and noise. In addition, French consumers seem to favour other installations such as shower trays and walk-in showers. Conventional shower and bath technology has improved in recent years and has become the first choice for French consumers, since it can provide more features and offers great price variants that satisfy the needs of French households.

In small bathrooms, sales of bath screens tend to be towards fixed models. When the size of the bathroom is larger, pivoting and sliding systems are preferred. The share of shower enclosures by door type slightly evolved in 2019 compared to the previous year, with shares of no doors, sliding and pivoting doors increasing at the detriment of folding and hinged doors. With the strong advantage of gaining space, single door is the most popular options in the French bath screens market.

With regards to the shower enclosure's door mix, shares were estimated to have remained fairly unchanged in 2019 – with doors comprising the bulk of installations.

Prices and Market Values

The total market value for shower wall products increased in 2019 when compared to 2018, benefitting from higher volume sales. However, average prices went down in 2019 across all product categories. In fact, intense competition between manufacturers that tried to maintain shares in a competitive market added even more price pressure. As regards bath screens and shower enclosures, MSPs (manufacturers' selling prices) continued to decrease in 2019, since these products are increasingly available in DIY stores and often offered at discounted prices

Sales of bath screens and conventional shower cubicles were driven by the economy/lower price segment in 2019. On the other hand, the middle price segment is dominant for the shower enclosure. BRG believes that this was certainly related to the fact that European manufacturers seem to have stopped their investments in this area, hence also pushing the retail prices down.

The average price for hydrotherapy shower cubicles also continued to decrease in 2019. This came as sales of all hydrotherapy products moved further towards lower price levels. Most products sold were within the economy/lower price range. The average manufacturers' selling price is also estimated to have decreased, due to the increasing sales of hydrotherapy products through the DIY channel, with low-cost products coming from China, for instance.

New Housing

Completions of apartments and one- and two-family homes increased in France in 2019, which automatically impacted sales of shower walls positively. Sales of

shower wall products in new housing have always been a relatively small percentage of total shower wall sales. However, the penetration rate of shower wall products in new housing is growing as a result of French households favouring showering over bathing.

Sales of shower wall products to new housing are logically dominated by sales of shower enclosures since, as previously mentioned, they account for the bulk of sales of shower walls. In 2019, overall sales of shower walls to new housing grew, due to the rise in the number of new dwelling completions. Sales of bath screens also recorded positive development in the new housing segment, and BRG believes that an important share of baths installed in this segment were equipped with a bath screen rather than a curtain – or no barrier at all.

The installation of hydrotherapy shower cubicles is often far easier when included at the very first conception of new dwellings. In contrast to the pre-recession years, hydrotherapy products are no longer in favour in the new housing segment, with the sector now preferring shower trays and walk-in showers. Therefore, sales of hydrotherapy cubicles and conventional shower cubicles continued to decline during the course of 2019.

Housing RMI

Replacement demand accounts for the vast majority of sales in the shower wall market in France. This is the key end-use sector across all shower wall products, with most of the volume being made up of sales of shower enclosures. In 2019, the proportion of sales to housing RMI declined when compared to 2018, despite the increasing volume sold in the segment. Sales of conventional shower cubicles to this segment also increased in 2019, as there is a large park of products that need to be replaced. In the meantime, sales of hydrotherapy models went down, showing the disinterest of French people for the solutions.

France's heightened consumer confidence and solid spending throughout the year – on the back of low interest rates and increasing purchasing power – has boosted growth in this segment, with consumer preference still firmly pointing towards design-oriented products at affordable prices.

Non-Housing

Sales to the non-housing sector continued to develop positively in 2019, but remained limited. Shower enclosures remain the most popular in the hotel-dominated non housing shower wall sector, due partly to the general popularity of the product.

Sales of hydrotherapy shower cubicles to non-housing remained fairly limited in 2019, and increased when compared to 2018 thanks to the improvement of non-housing construction. The non-housing sector, in particular hotels, is indeed more likely to opt for other bathroom products such as shower trays or even wet rooms.

Supply Structure

In 2019, the French market remained very fragmented but fairly stable, with the presence of both domestic and international players. As opposed to other sanitary products, a high number of companies supply shower wall products directly to installers and via the DIY channel.

NOVELLINI largely dominates the shower enclosure market, with the other main manufacturers being SFA, SANSWISS, ROTH and SCHULTE.

Sales of conventional shower cubicles are in the hands of just a few manufacturers, including SANPLAST (under its LEDA brand), SFA, and NOVELLINI. The supply for the French market for bath screens is dominated by foreign suppliers, such as JACUZZI BRANDS and NOVELLINI.

BRG believes that DIY and wholesaler brands hold a key position in the shower wall market in France. The internet is also taking shares in the distribution channel, due to an increasing interest of the French population in installing and customising their houses.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

With the impact of the sanitary crisis in 2020, the number of accumulated new housing projects increased. It is difficult to predict how the slowdown of the economy will impact the new housing in the short term. It is expected that new housing will decline significantly in 2020 and that the effects will still be carried over into 2021. However, from 2022 a rebound in new housing completions is expected, which will boost demand for shower walls. However, although the market is expected to recover, overall levels are expected to remain lower than the pre-crisis output.

The ongoing shift away from bathing towards showering is set to enhance all sales of shower enclosures and bath screens during the whole of 2020. Sales of hydrotherapy shower cubicles should continue to experience negative growth rates. Hydrotherapy products are currently not very popular in France, often due to higher retail prices and, with the increasing use of shower trays, French households show some resistance to using pure hydrotherapy products that are perceived as too expensive and not necessary. Thus, sales of hydrotherapy shower cubicles should

decrease over the forecast period. The main reason behind this market trend comes from the fact that conventional shower cubicles are losing popularity steadily in France, since they seem to suffer from a poor image and reputation.

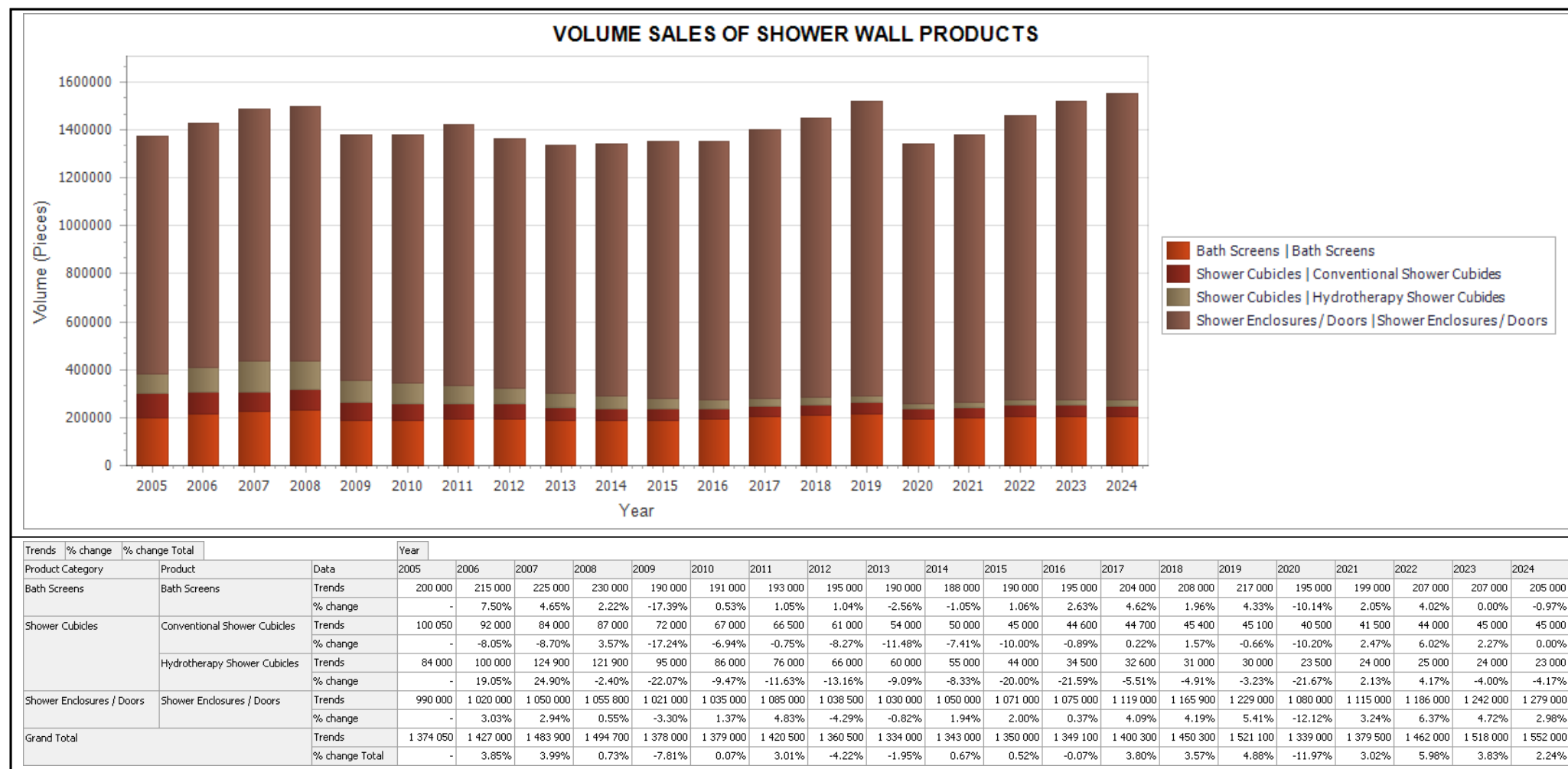
From 2022 onwards, the overall market may rebound, with all end use segments recording a positive performance.

The increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, which will put pressure on traditional distribution channels such as wholesale, independent merchants and DIY.

The development of wet rooms in the new collective dwellings should impact marginally the shower wall market. Indeed, the majority of the French households are looking for relatively cheap and space saving solutions in their bathroom, opting for shower enclosures.

4.2 Historical Trends and Forecasts : Shower Wall

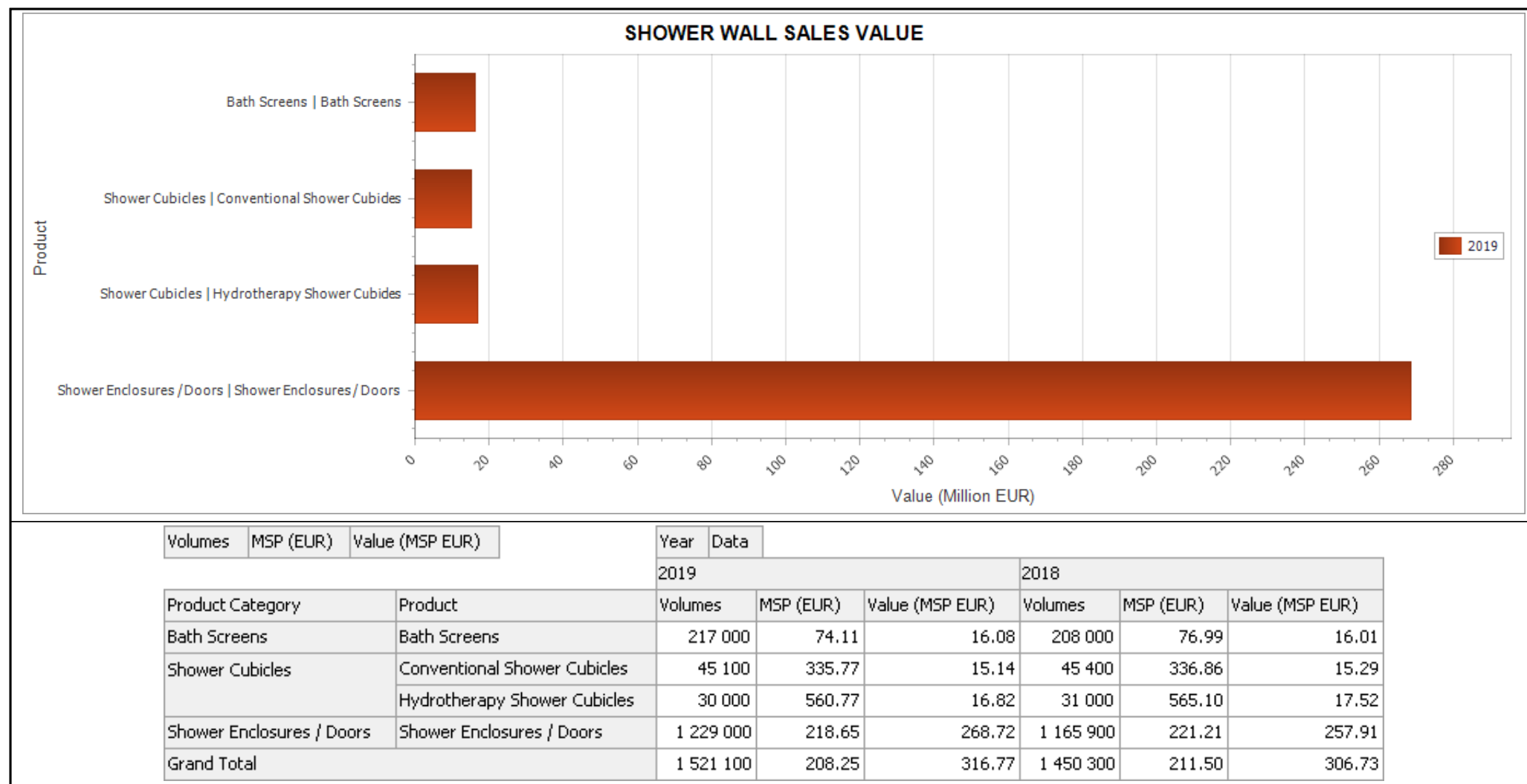
FR - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

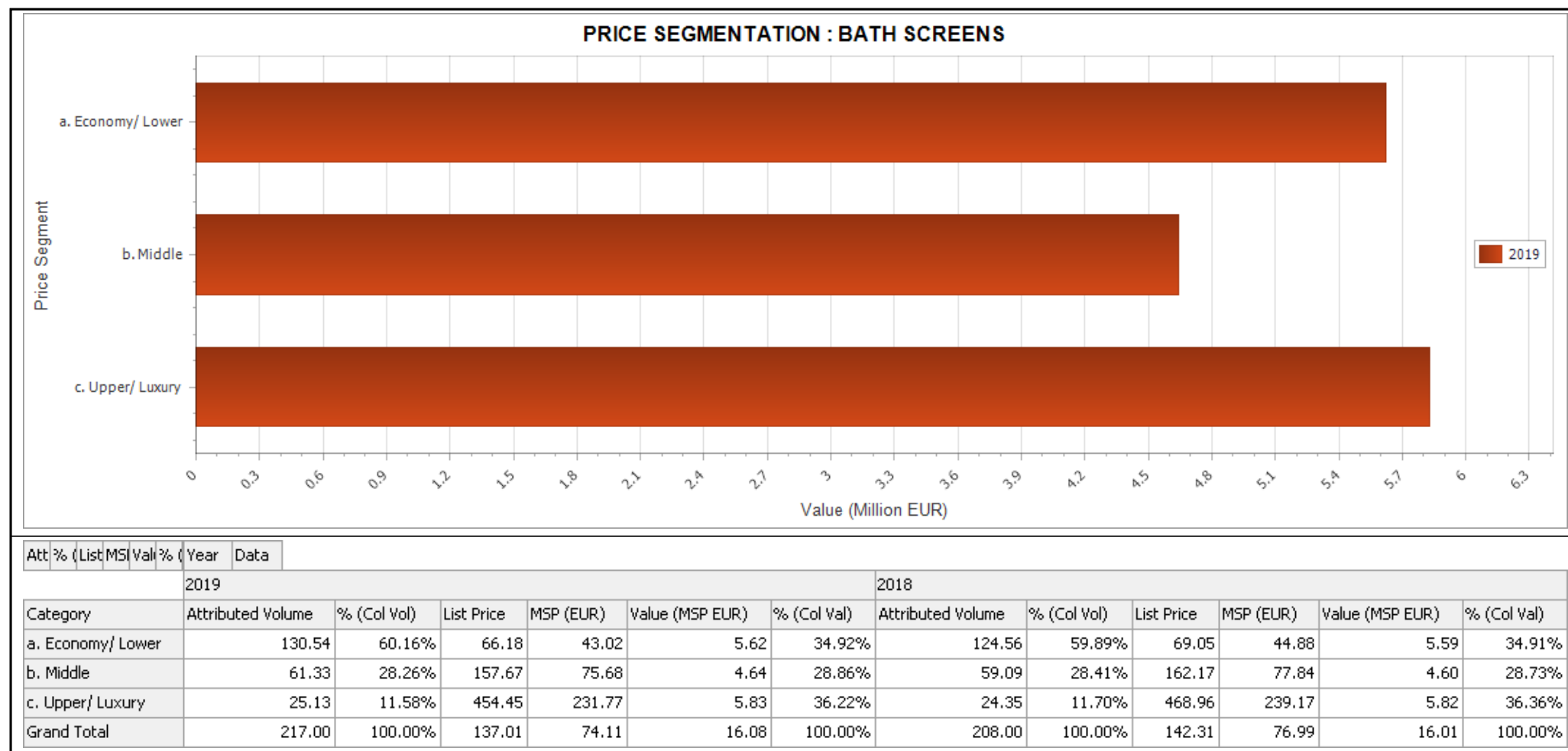
FR - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

FR - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

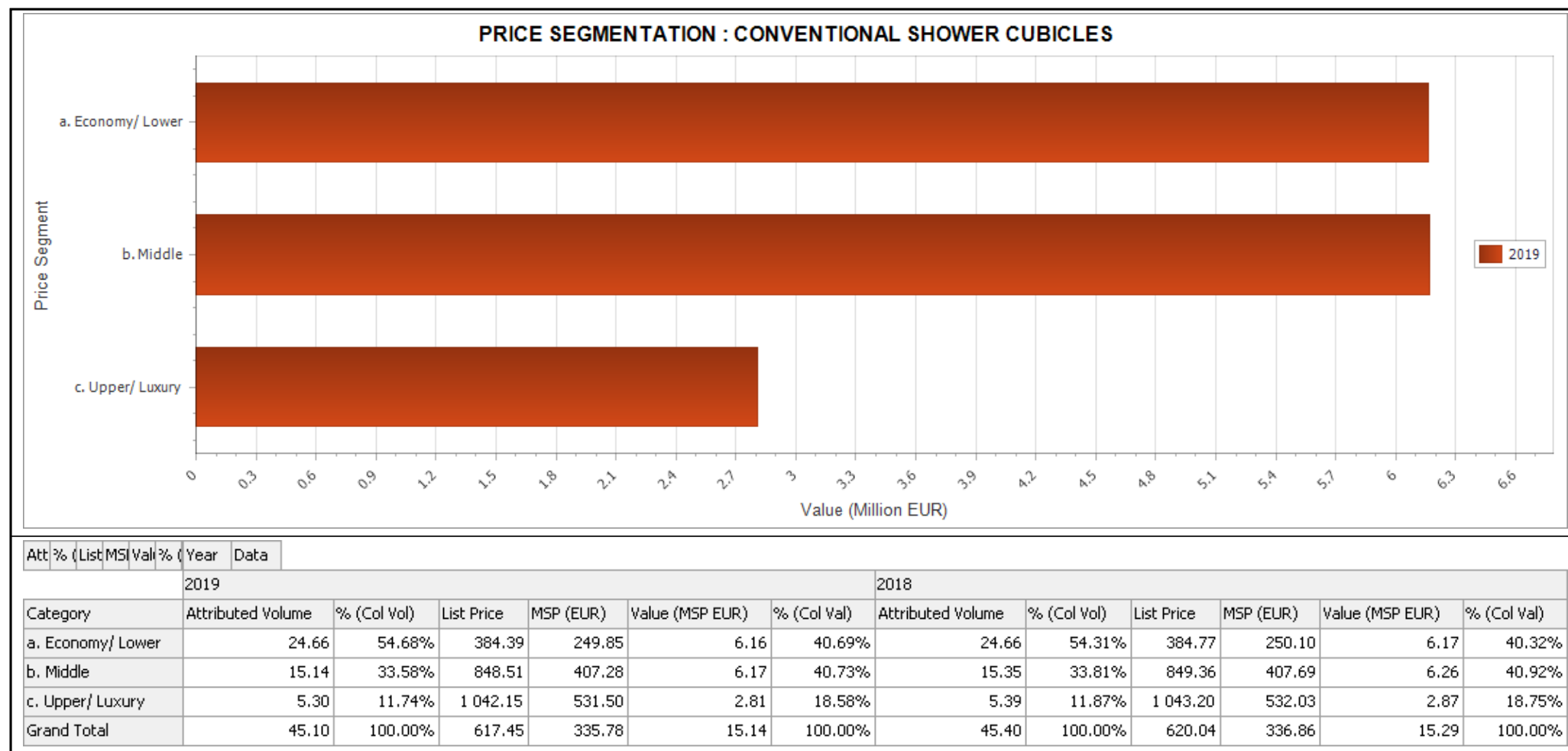


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

FR - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

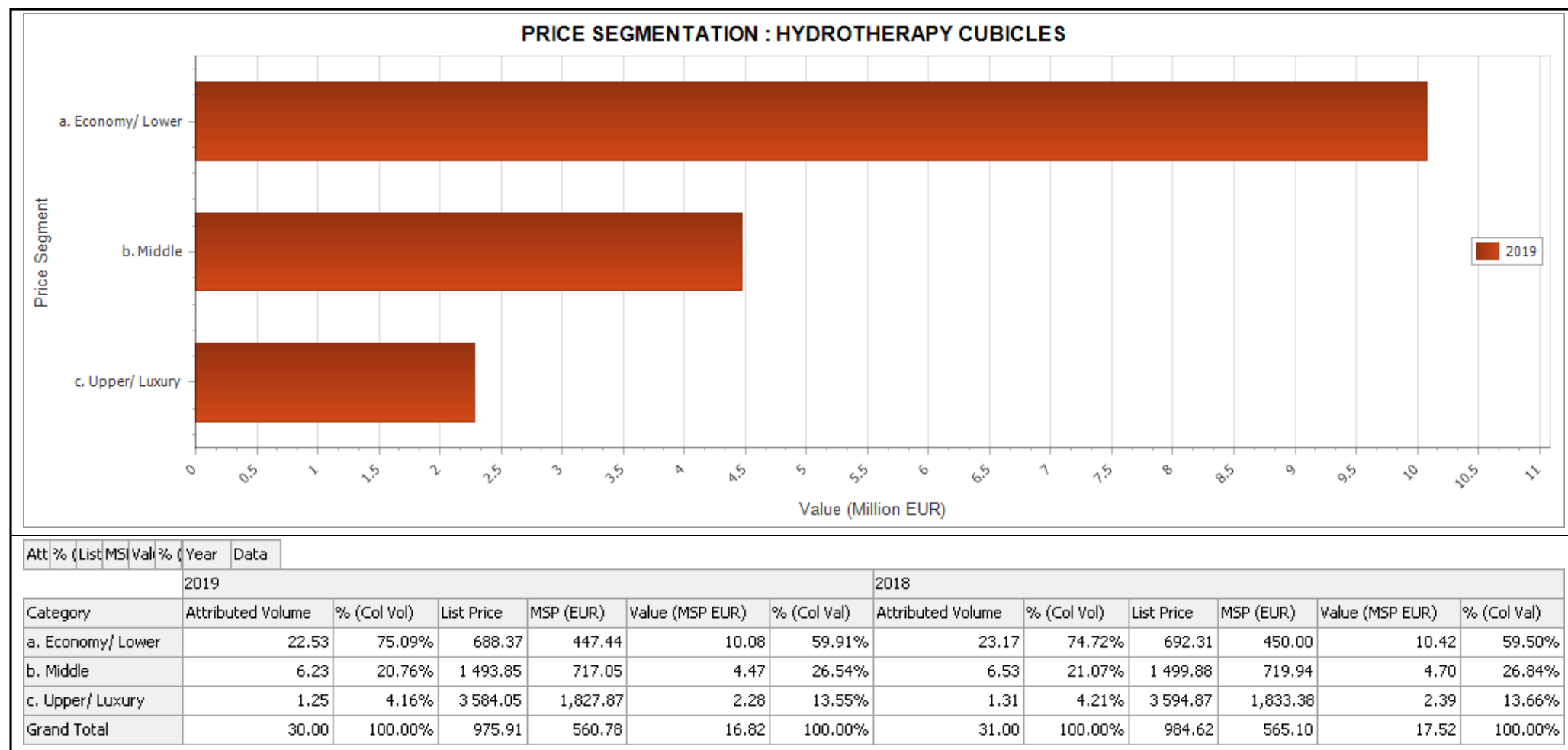


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€500, Upper/ Luxury >€500

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

FR - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

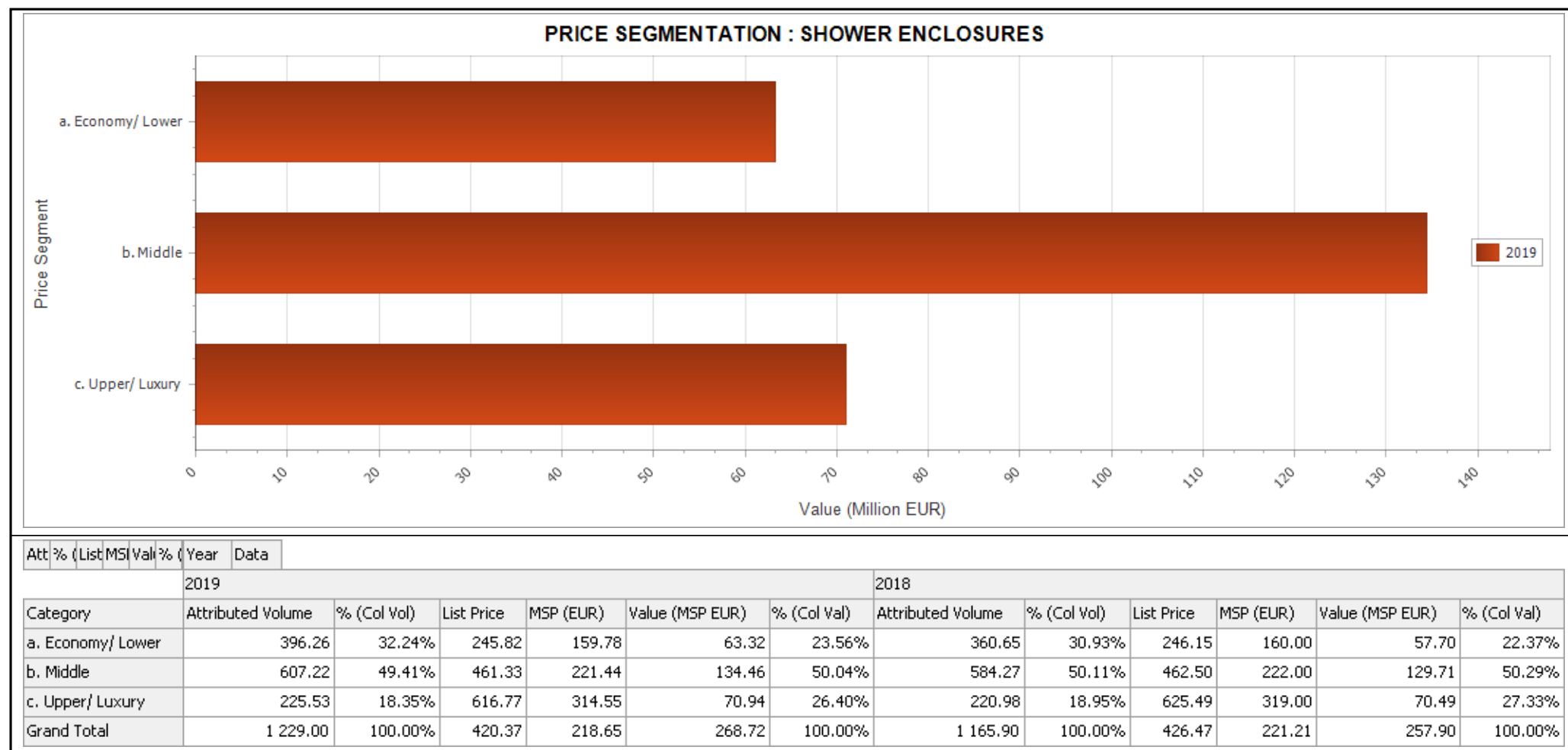


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

4.3.5 Price Segmentation : Shower Enclosures

FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

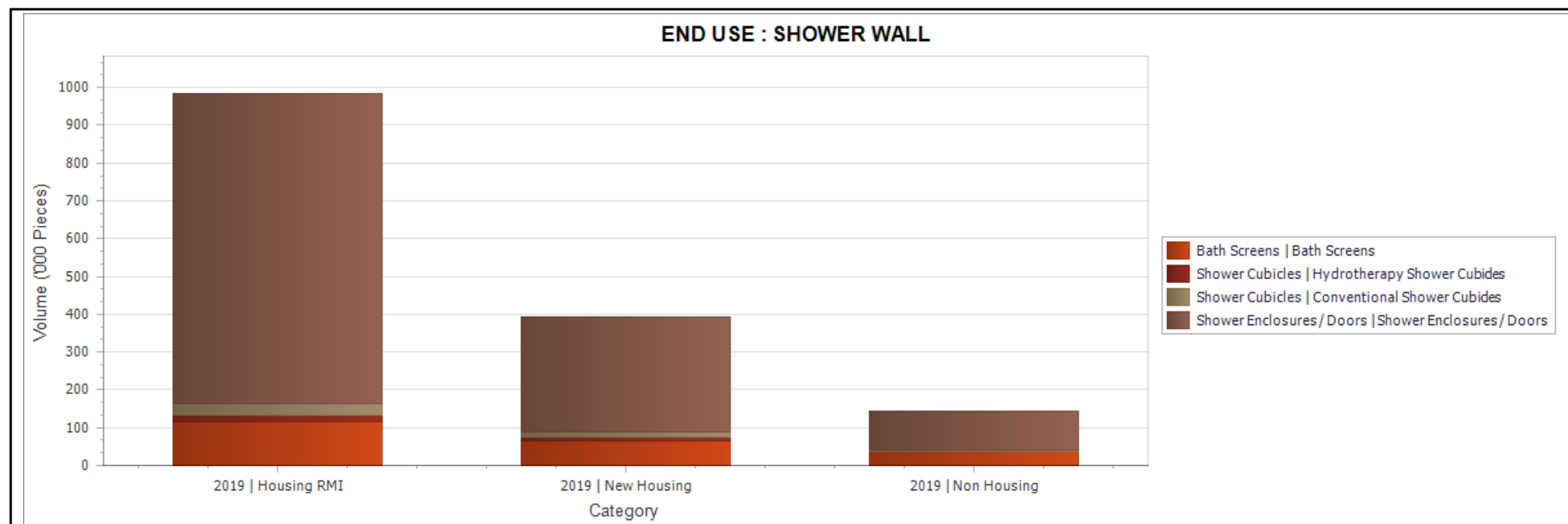


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

4.4.1 End Use : Base Year

FR - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)

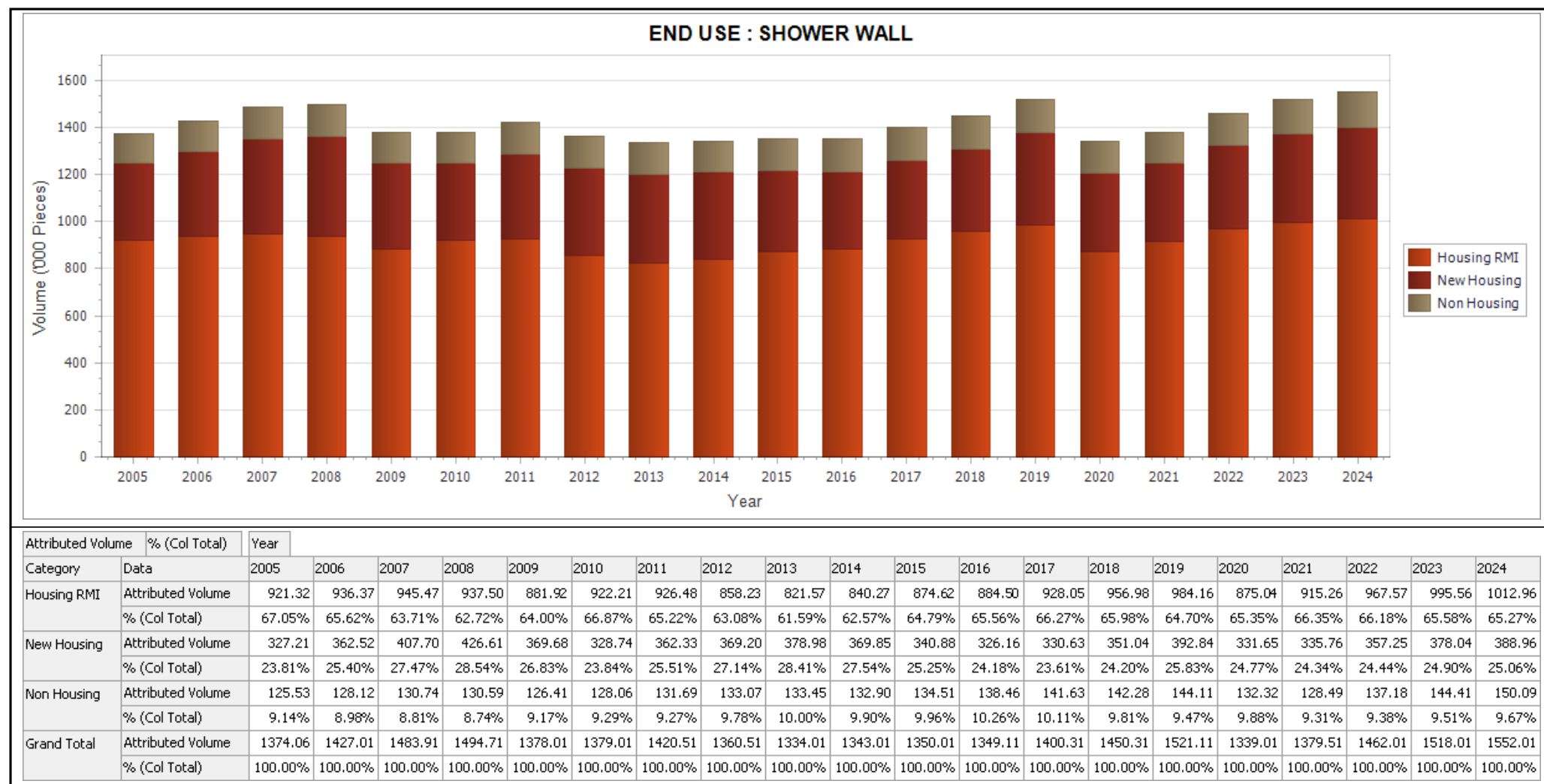


Attributed Volume		% (Col Total)		% (Row)		Year	Category	Data										
						2019												
		Housing RMI			New Housing			Non Housing			2019 Total							
Product Category	Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)					
Bath Screens	Bath Screens	115.57	11.74%	53.26%	65.54	16.68%	30.20%	35.89	24.91%	16.54%	217.00	14.27%	100.00%					
Shower Cubicles	Conventional Shower Cubicles	30.47	3.10%	67.55%	13.05	3.32%	28.94%	1.58	1.10%	3.51%	45.10	2.97%	100.00%					
	Hydrotherapy Shower Cubicles	18.35	1.86%	61.15%	8.92	2.27%	29.74%	2.73	1.90%	9.11%	30.00	1.97%	100.00%					
Shower Enclosures / Doors	Shower Enclosures / Doors	819.78	83.30%	66.70%	305.33	77.72%	24.84%	103.90	72.10%	8.45%	1229.00	80.80%	100.00%					
Grand Total		984.16	100.00%	64.70%	392.84	100.00%	25.83%	144.11	100.00%	9.47%	1521.11	100.00%	100.00%					

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

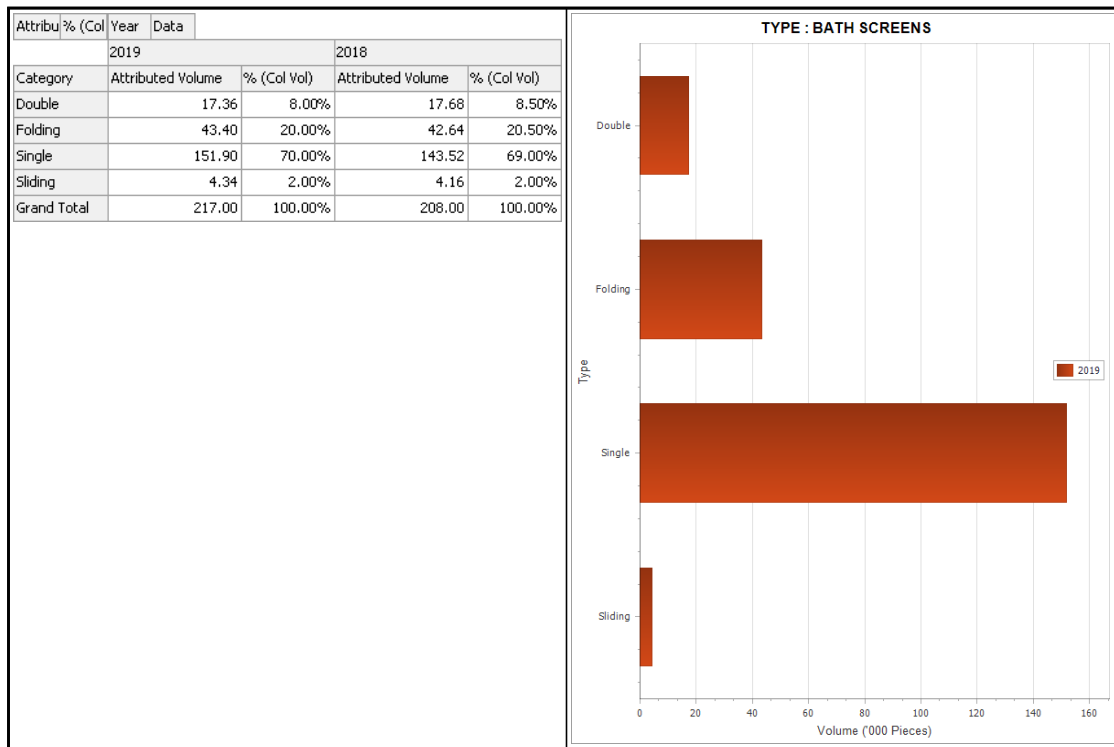
FR - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

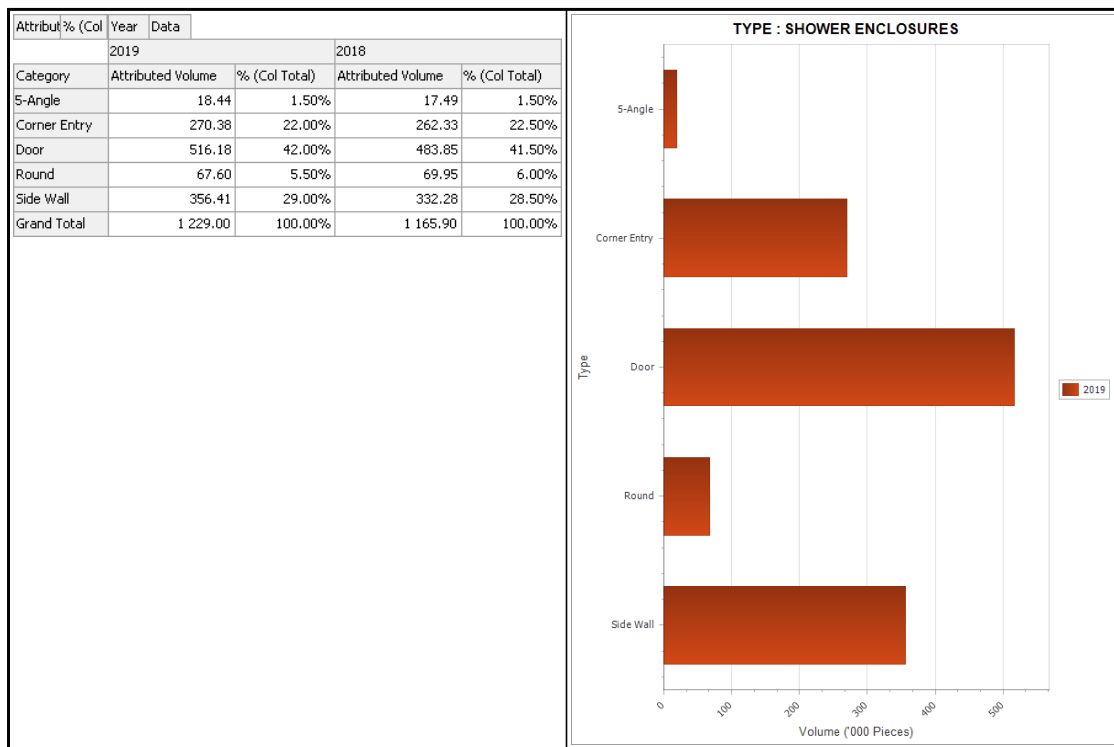
FR - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

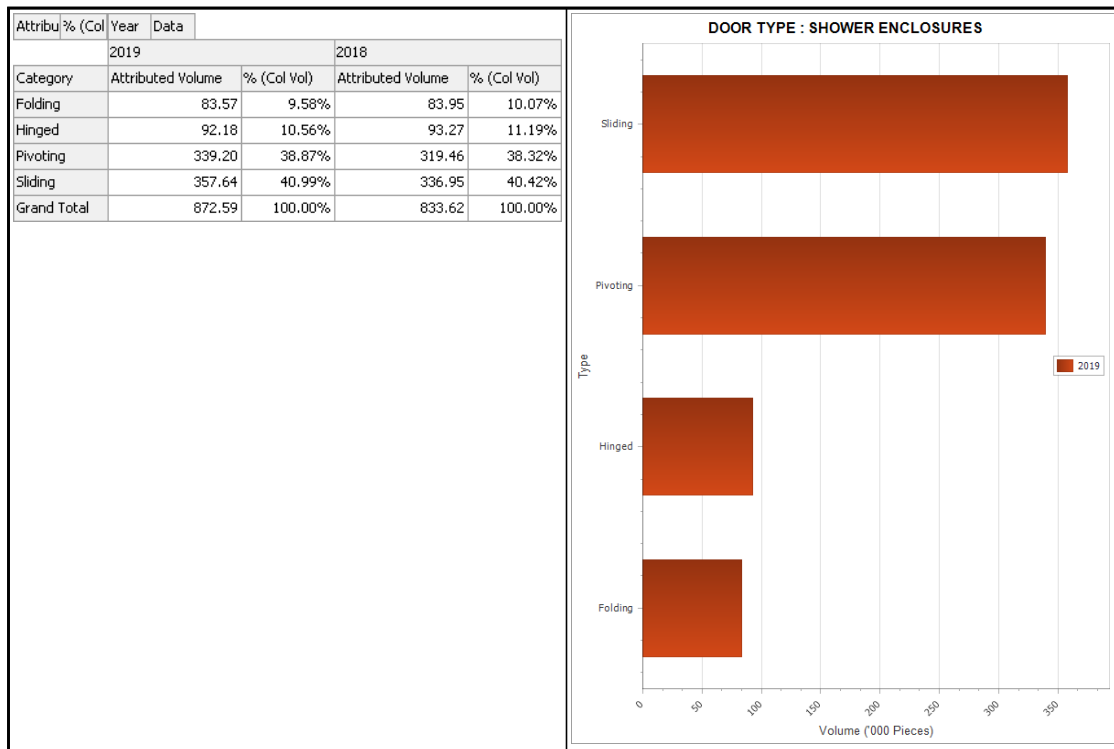
FR - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

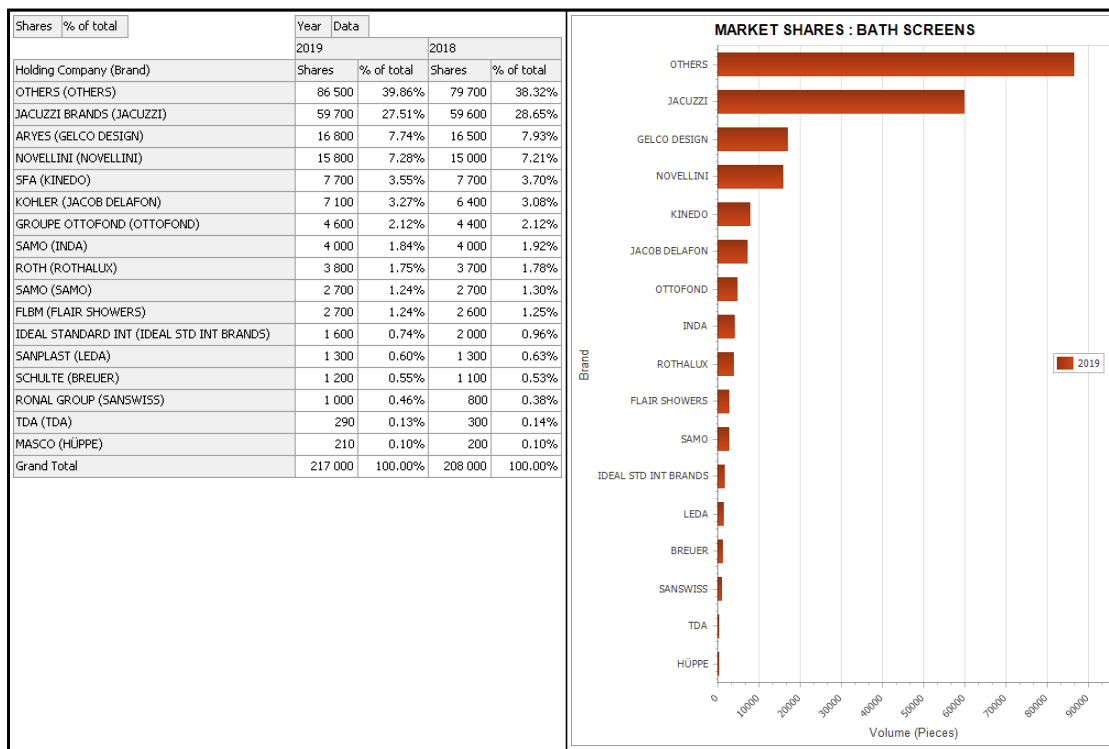
FR - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

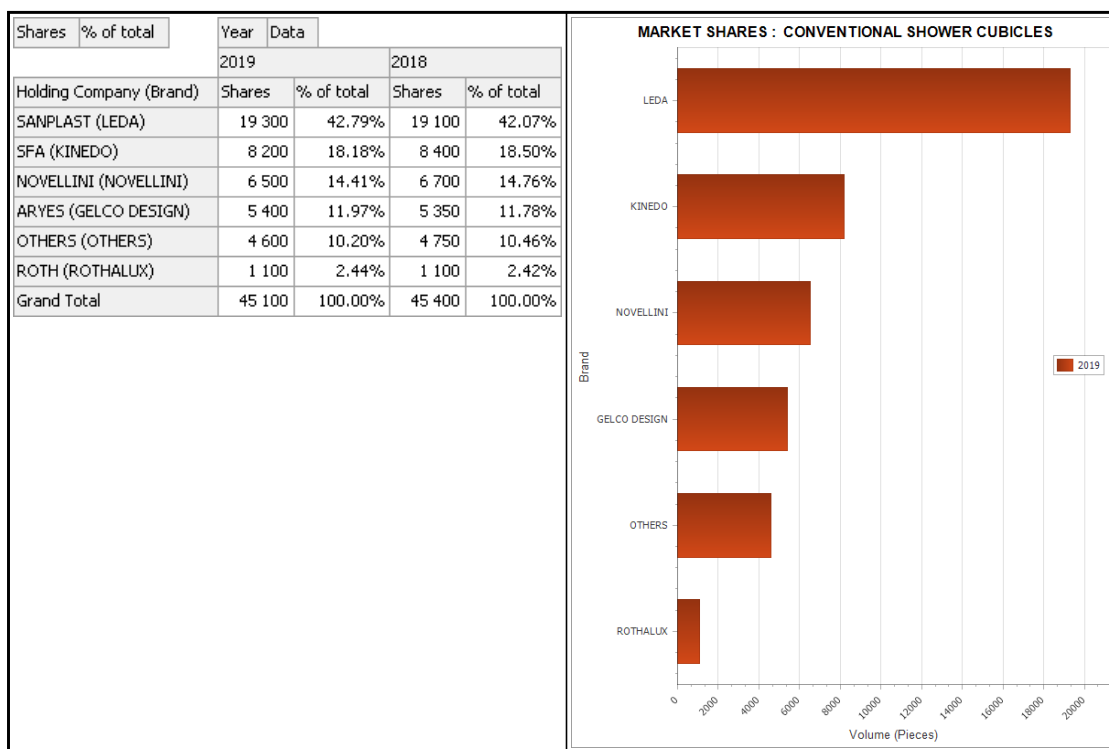
FR - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

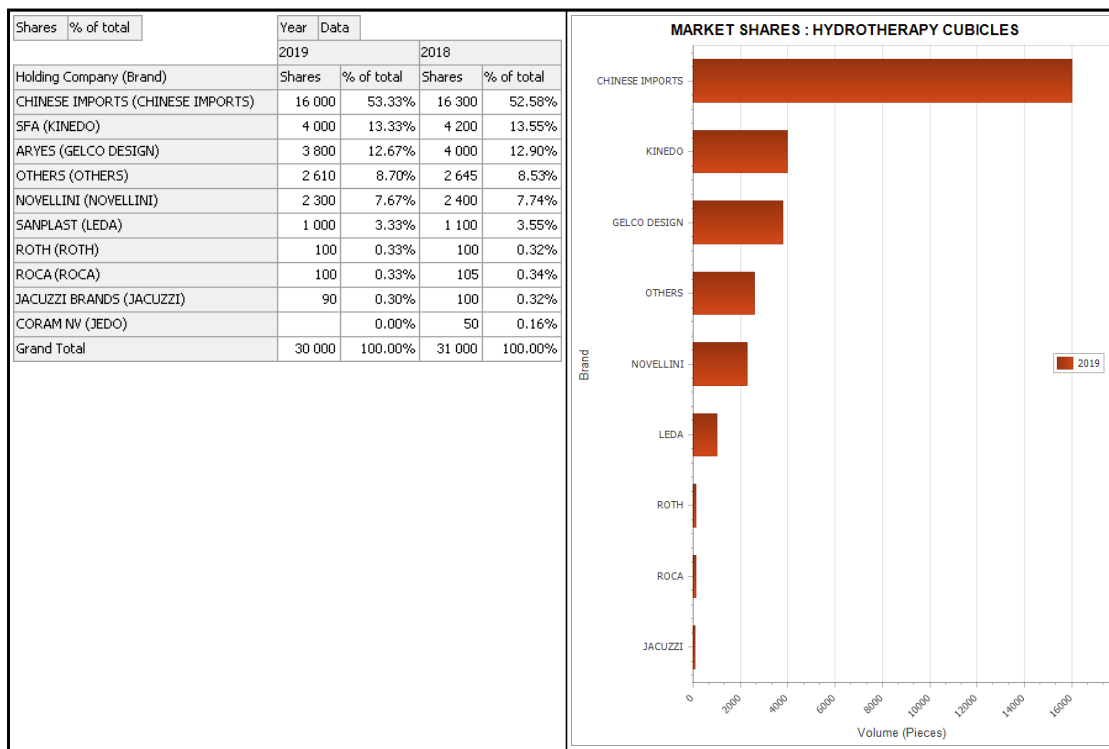
FR - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

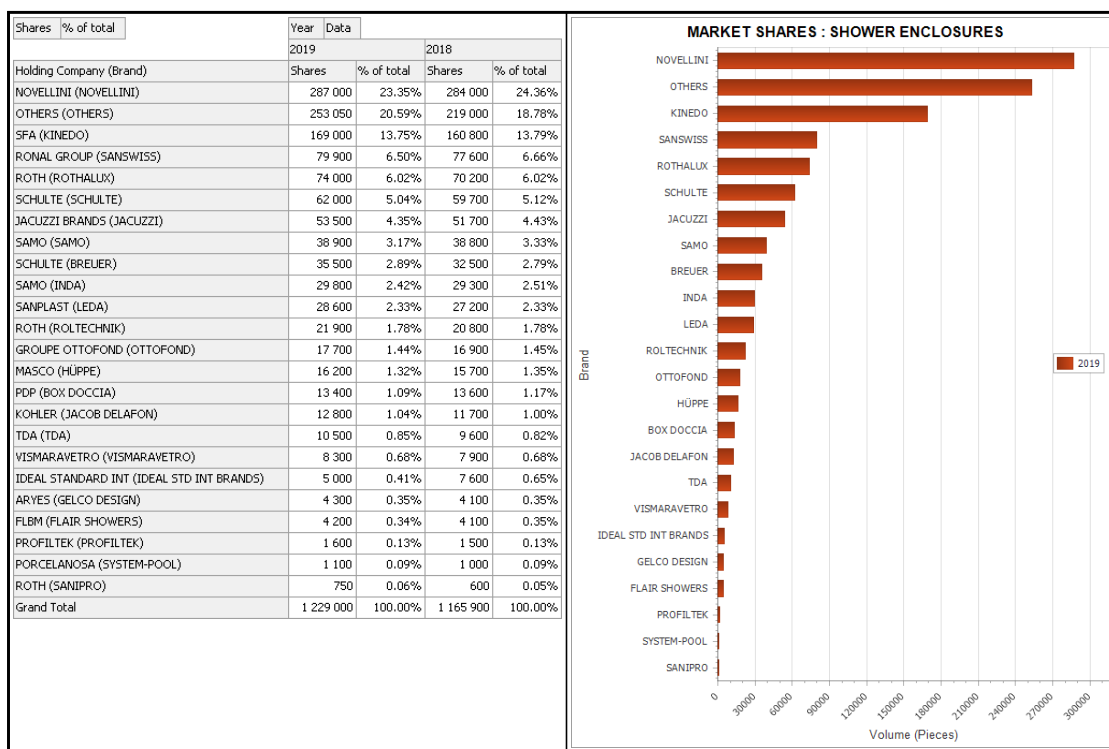
FR - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

FR - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	64.9%
	Wholesalers / Merchants
	64.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.8%	0.0%		22.6%		10.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.8%		33.1%		8.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.2%	30.1%	0.0%	10.0%	6.7%
Installers				
48.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer											
	0.1%	16.3%	4.8%	22.6%	1.0%	45.8%	0.8%	4.0%	0.0%	0.5%	1.0%	3.1%											
	Residential						Non-Residential																
	90.5%						9.5%																
New Build						Residential RMI						New Build						Non-Residential RMI					
25.8%						64.7%						4.7%						4.8%					
Project			Non-Project			Project			Non-Project			Project			Non-Project			Project			Non-Project		
20.6%			5.2%			6.7%			58.0%			4.5%			0.2%			1.0%			3.8%		

4.6.2 Route to Market: Shower Wall
FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.3%
	65.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.0%	0.0%		23.0%		11.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		34.5%		6.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.3%	30.5%	0.0%	10.0%	4.9%
Installers				
47.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.5%	15.3%	5.0%	24.0%	1.0%	44.5%	1.0%	4.0%	0.0%	0.5%	1.0%	3.2%
	Residential						Non-Residential					
	90.3%						9.7%					
New Build						Residential RMI						
25.1%						65.3%						
Project		Non-Project		Project		Non-Project		Project		Non-Project		
18.6%		6.5%		7.7%		57.6%		4.8%		0.2%		

New Build						Non-Residential RMI					
5.0%						4.7%					
Project		Non-Project		Project		Non-Project		Project		Non-Project	
4.8%		0.2%		2.5%		2.2%					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

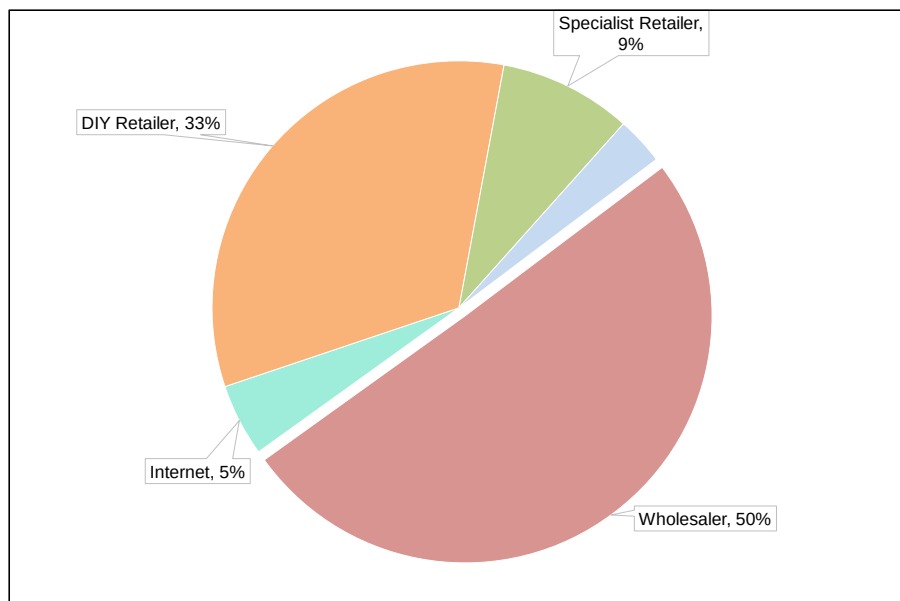
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.4%	4.8%	33.1%	8.7%	3.1%	27.3%	5.5%	63.2%	4.0%
100%					32.8%		67.2%	

4.6.4 Route to Market - Consolidated View : Shower Wall

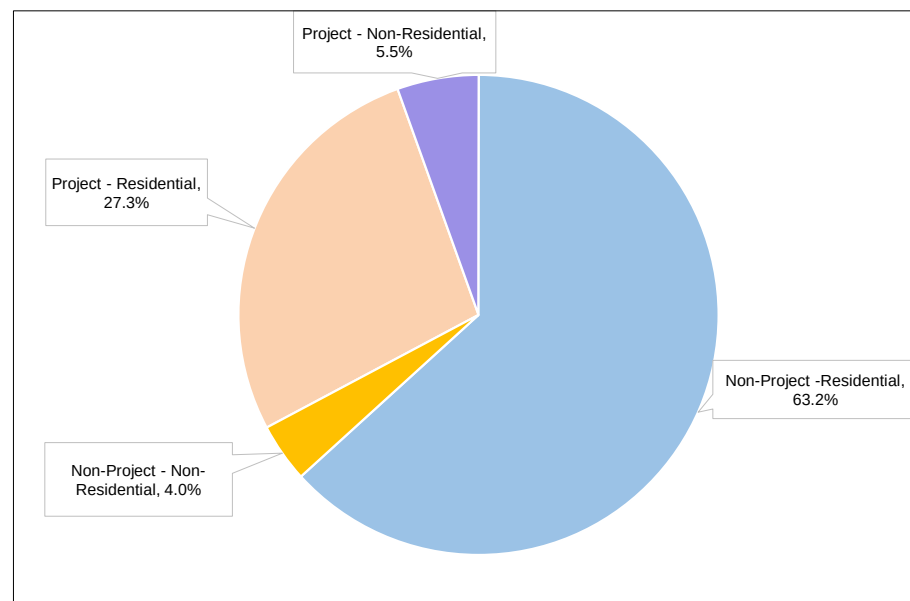
FR - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.8%	5.0%	34.5%	6.9%	3.8%	26.3%	7.3%	64.0%	2.4%
100%					33.6%		66.4%	

FR - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



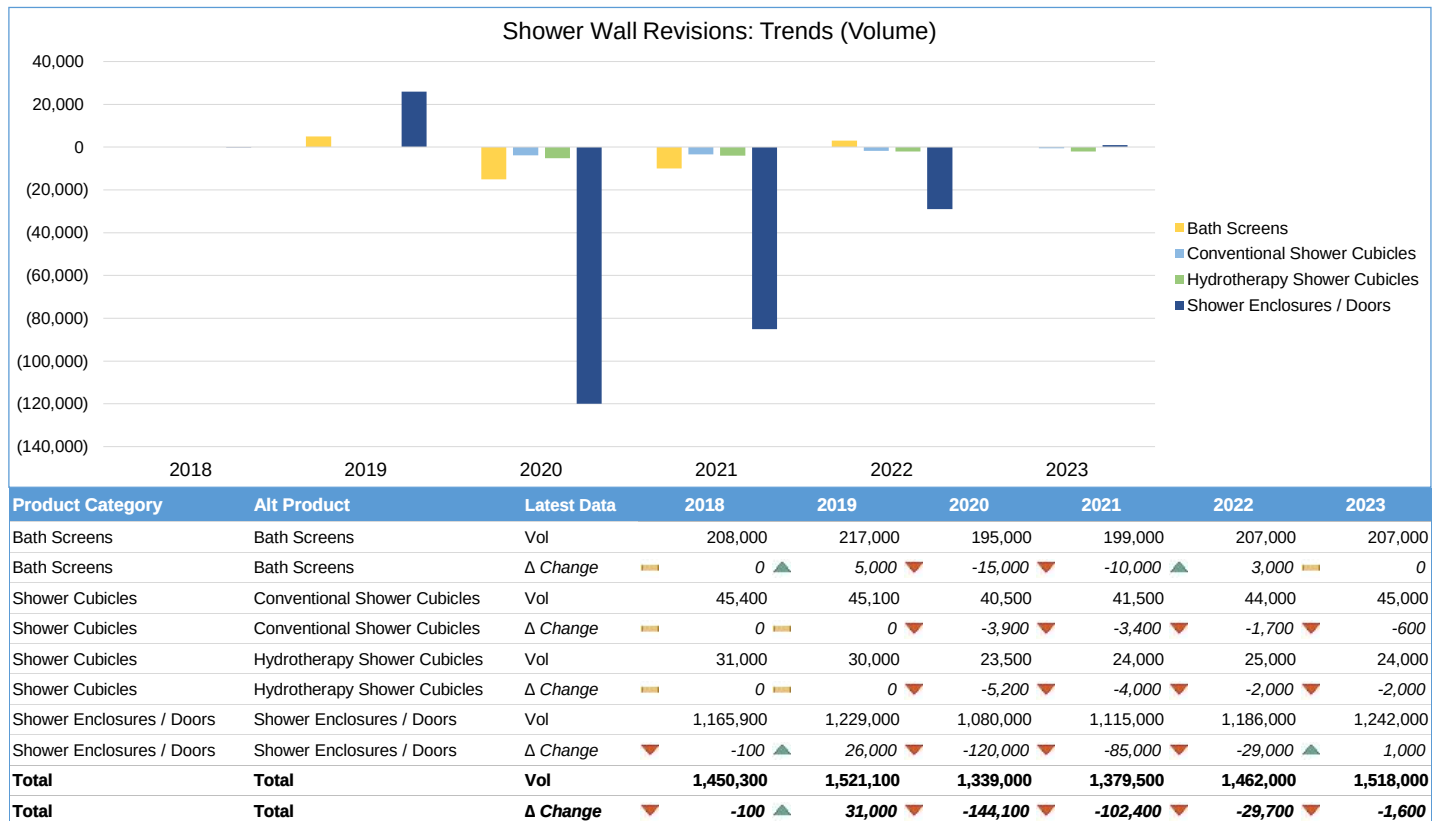
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the French Shower Wall Market (April 2020)

FR - REVISIONS IN THE FRENCH SHOWER WALL MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

FRANCE

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

One of the most important factors behind the growth in the bathroom furniture market before the start of the crisis had been the growing interest of French consumers in the comfort, decoration and design of their bathrooms. This resulted in the increasing penetration of bathroom furniture in new build and, to a lesser extent, housing RMI. Since 2007, however, French households have reduced the value of their purchases and also bought cheaper products – neglecting the bathroom – while new build activity remained subdued in 2009 and 2010. Therefore, the overall market is highly dependent on the level of investment of consumers and the developments of the new housing sector.

The trend towards wider homogeneity in the offer and style ranges in the French bathroom furniture market has resulted in the repositioning of domestic and specialist manufacturers in the middle and luxury price segments to escape the mass market, where the number of imports has risen steadily in recent years. A clear increase in imports from Eastern European countries, in particular Poland and Romania, has been noticeable, although China, Germany and Italy have remained the main suppliers in this market. Since 2010, imports from southern Europe, especially Spain, have also developed significantly.

Regarding the base unit/vanities segment, sales of ceramic countertops have been historically significant – due to the importance of imports and the ongoing high levels of investments made by manufacturers to reposition themselves in higher ceramic product price ranges through offering a wider choice of colours, shapes and quality. In the last decade, however, the French market has tended rather to focus on polyconcrete/concrete, Corian, and synthetic materials.

The casing of all types of bathroom furniture is traditionally mainly made of MDF (medium-density fibreboard), which offers a number of advantages over chipboard, although it is slightly more expensive. However, the price of MDF in the French market is characterised by a downward trend as MDF is increasingly used for the economy and middle price ranges (generally polymer) and the premium price range (lacquered). This material, however, is perceived to be of low quality, due to the fact that it is not very resistant to moisture and that there are issues regarding how the connecting joints are fitted and assembled together. Historically, most base units were monobloc/countertop basins, but a recent trend towards more designer products has led the countertops segment to develop.

Recent Market Trends

The bathroom furniture market continued to grow in 2019, with sales increasing across all product categories. The French bathroom furniture market was positively impacted by the recovery of new housing activity, with new completions increasing for both apartment buildings and family houses. Confirming the trend started in 2017, professionals in the sector ensured consumer demand and traffic in stores

even if bathroom furniture is often considered by French households to be non-essential items as opposed to extra-flat shower trays or even wet shower rooms, or other rooms in the dwelling such as the living room and the kitchen.

In terms of product mix, in 2019, mirror and mirror/medicine cabinets continued to represent the largest product segment and the strongest growth when compared to 2018. BRG believes that sales continued to be driven by on trend and fashionable, affordable products, which reflected a trend towards functional bathroom furniture.

Prices and Market Values

The overall value of the bathroom furniture market went up in 2019, compared to 2018, benefitting from higher sales volumes. Furthermore, average prices increased despite the decrease of MSPs for mirror and separate cabinets in all segments. The growing popularity of the DIY and wholesaler channels has caused lower prices of products than those of the specialist retailer channel. Strong competition between manufacturers that tried to maintain their shares and sales volumes in a declining market added even more price pressure. More units were sold in the upper/luxury price segments of the market, to the detriment of the other segments – thanks to the increase in consumer confidence combined with wage increases. Indeed, specialist manufacturers have launched ranges of products with a greater added value, and have re-focused on the showroom distribution channel.

The MSP (manufacturers' selling price) for base units/vanities went up in 2019, despite the success of ceramic and synthetic materials, while the total share of the more expensive materials such as marble, MDF and plywood (situated in the 'others' category) continued to decline further. The MSP for separate cupboards decreased in 2019, with decreasing price levels as far as wall hung models were concerned. The same downwards trend was seen for mirror/medicine cabinets last year, impacting the average MSP of this product.

New Housing

New build traditionally plays a relatively important role in the bathroom furniture market, and BRG estimates that the penetration rates of the various segments of the bathroom furniture market will not evolve significantly year after year. The importance of the new build sector in driving market development seems to place pressure on market value, as house builders in France opt most of the time for cheaper products, and bulk purchases by contractors often necessitate significant discounts and, therefore, produce low margins.

Sales to the new housing sector increased in 2019, following the strong recovery of new housing activity in France. In 2019, sales to new housing remained significantly more important for the base units/vanities, especially when combined with countertops' washbasins, than for other bathroom furniture segments (as they offer optimal space-saving benefits). Indeed, separate cabinets and mirror/medicine cabinets generally come last on the list of bathroom equipment, and are more for housing RMI products.

Housing RMI

Replacement demand accounts for the clear majority of sales in the bathroom furniture market in France, although sales of base units/vanities rely slightly more on new build (as mentioned above) than other products. Overall residential RMI activities experienced a decline in 2019, despite the improvement of French households' level of private consumption. Base units/vanities are the only products that recorded an increase of the average price, which could represent a barrier to refurbishment for consumers. Sales of separate cabinets rely slightly more on RMI activity than other products, as they are often bought as an additional fixture or before the refurbishment of the entire bathroom.

Non-Housing

Sales to non-housing slightly increased in 2019 compared to the previous year. Sales to this end-use sector mainly comprise demand coming from the hospitality sector, which explains the limited share of non-housing sales with regards to the total bathroom furniture market. However, the demand for bathroom furniture in this segment confirmed the bounce back from 2017, in line with the positive development of new non-housing activity. In terms of bathroom furniture product mix, installations of base units/vanities are presently popular in the non-housing segment, especially in the hospitality and office sectors.

Supply Structure

The French bathroom furniture market is extremely fragmented, and comprises both domestic and foreign manufacturers.

In recent years, the base unit segment has been characterised by a certain repositioning of manufacturers within the real estate market in order to develop their growth potential. As an example, DELPHA increasingly works on strengthening its business relationship with the real estate market and retail merchants. SANIJURA, for its part, has chosen to focus on both the real estate and hotel industries. Its commercial and marketing strategy consists of participating in regular specialist exhibitions such as ARCHIVISION or EQUIP`HOTEL.

Another clear trend has been towards the use of more technologically-advanced services. Geo-localisation services, to locate the distributors of a given manufacturer as well as the available product stock, have experienced growing success. Lastly, domestic manufacturers have been looking to develop internationally. This has been the case of SANIJURA in areas such as the Benelux countries, Switzerland and Germany, and DECOTEC, which estimates that the German market offers an attractive outlet, with an estimated eight-year replacement cycle against 15 years for France.

The base unit segment is characterised by a high degree of fragmentation and a rising number of imports. Imports from Spain have developed significantly since

2010. Of the OEM sales going into DIY, BRG has identified MOBILIARIO ROYO, EXPORTMOBLE and SALGAR. Many of the imports are believed to come from Asia, especially China, as well as Italy, Germany, Poland, and to a lesser extent Romania.

There are no significant differences in the supply structure of the mirrors / mirror cabinets and separate cabinets segments, since most players, whether they are specialist or generalist manufacturers, aim to have a complete offering that includes base units, mirrors and mirror cabinets – as well as separate cabinets – in their catalogues. One main difference, however, lies in the distribution of separate cabinets, which mainly relies on the DIY channel, where great quantities of individual cabinets (not part of a set) are sold.

GROUPE PARISOT, one of the main players on the French bathroom furniture market, was acquired in 2017 by the holding P3G, which had previously purchased some of GROUP PARISOT's subsidiaries. In the context of a French entry-level furniture market where consumption is low and distribution concentrated, with big players negotiating prices at the tightest level such as GROUPE FOURNIER, some brands have suffered or disappeared in recent years in France and the market has been characterised by a trend towards concentration. For instance, NEFORM has recently acquired NEOVA and PYRAM, two important players on the French bathroom furniture market.

Forecasts

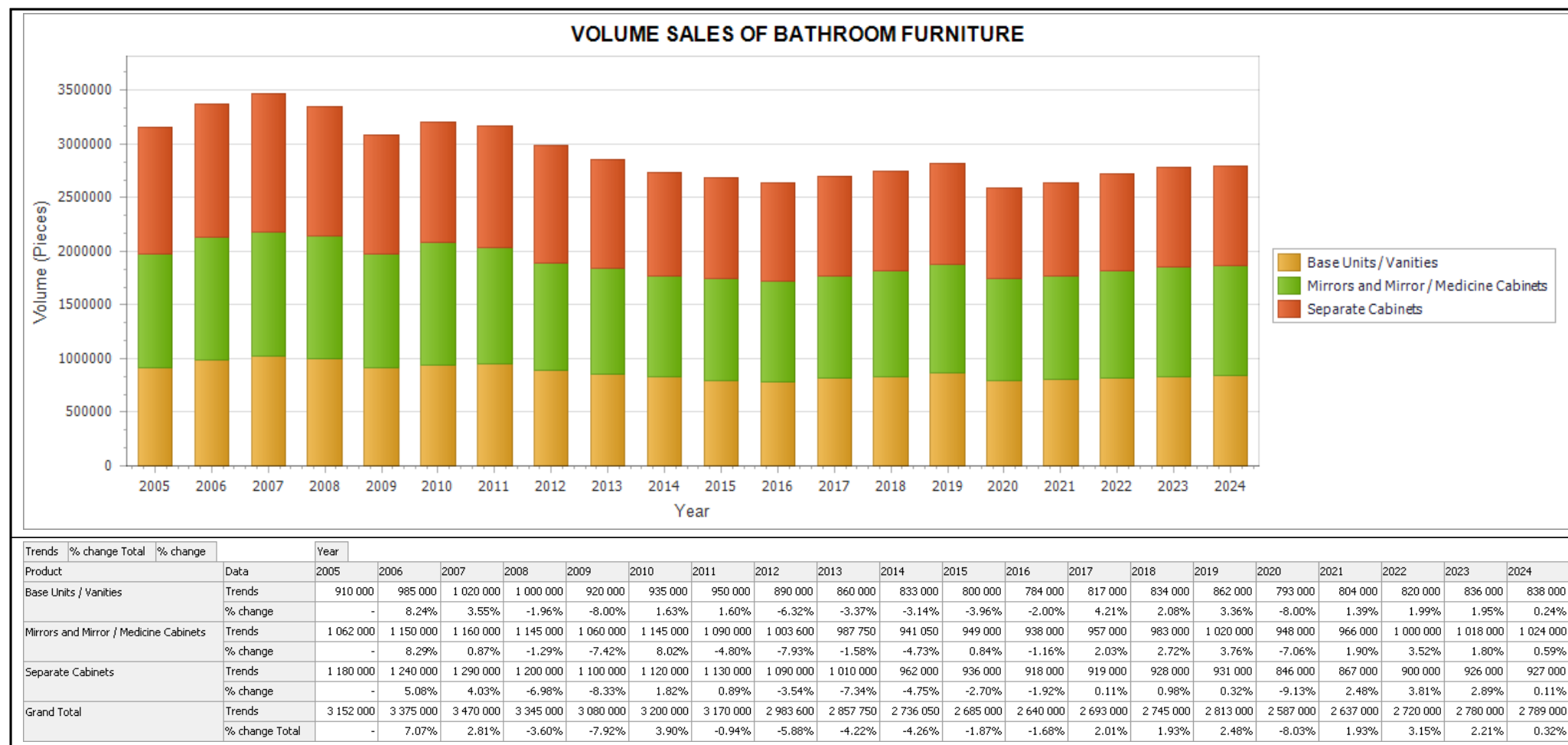
Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The bathroom furniture market is forecast to experience a decline in 2020. All products should decrease in 2020 and 2021 due to the COVID-19 outbreak. The construction market is expected to be impacted negatively. The renovation and non-housing segments are also expected to be negatively impacted by the sanitary crisis in 2020. In fact, macroeconomic indicators are set to decrease significantly in 2020, followed by the consumer confidence and purchasing power.

Mirrors and mirror/medicine cabinets and separate cabinets are anticipated to account for the greatest proportion of sales. New housing is likely to play an important part in the overall market fluctuation over the next few years, as new housing completions are anticipated to decline significantly until 2021 and then return to growth. As the bathroom furniture market has not yet reached maturity, the renovation sector should remain the key driver of the market. RMI is anticipated to record a decrease in 2020 and 2021 due to the COVID-19 outbreak.

5.2 Historical Trends & Forecasts : Bathroom Furniture

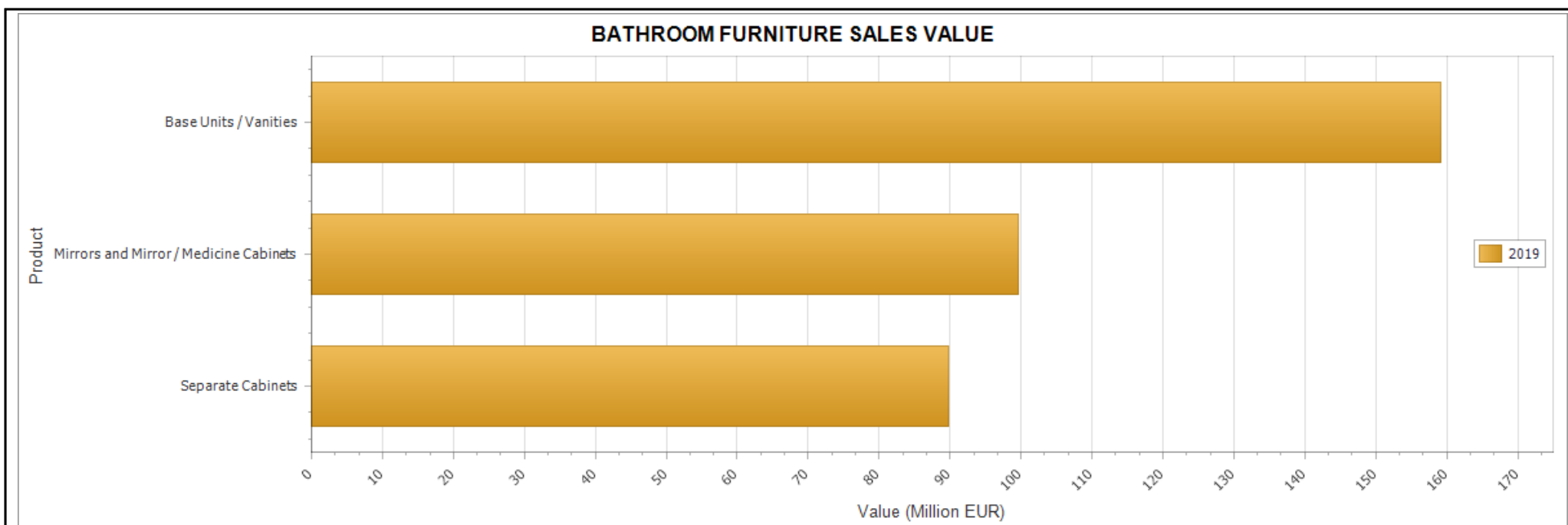
FR - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

FR - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET

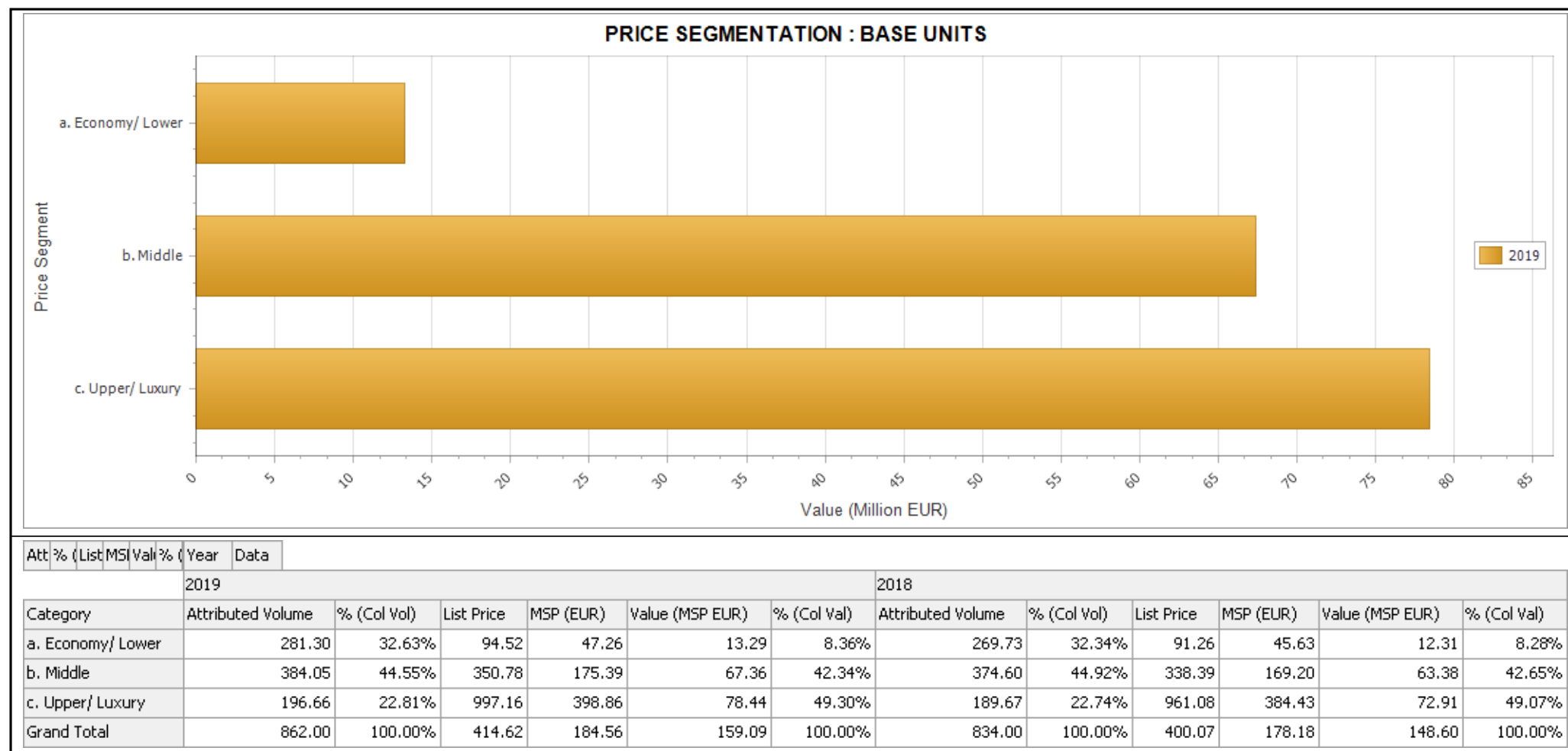


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data		
			2019	2018		
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Base Units / Vanities	862 000	184.56	159.09	834 000	178.18	148.60
Mirrors and Mirror / Medicine Cabinets	1 020 000	97.68	99.63	983 000	98.27	96.60
Separate Cabinets	931 000	96.47	89.81	928 000	97.35	90.34
Grand Total	2 813 000	123.90	348.54	2 745 000	122.24	335.54

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

FR - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

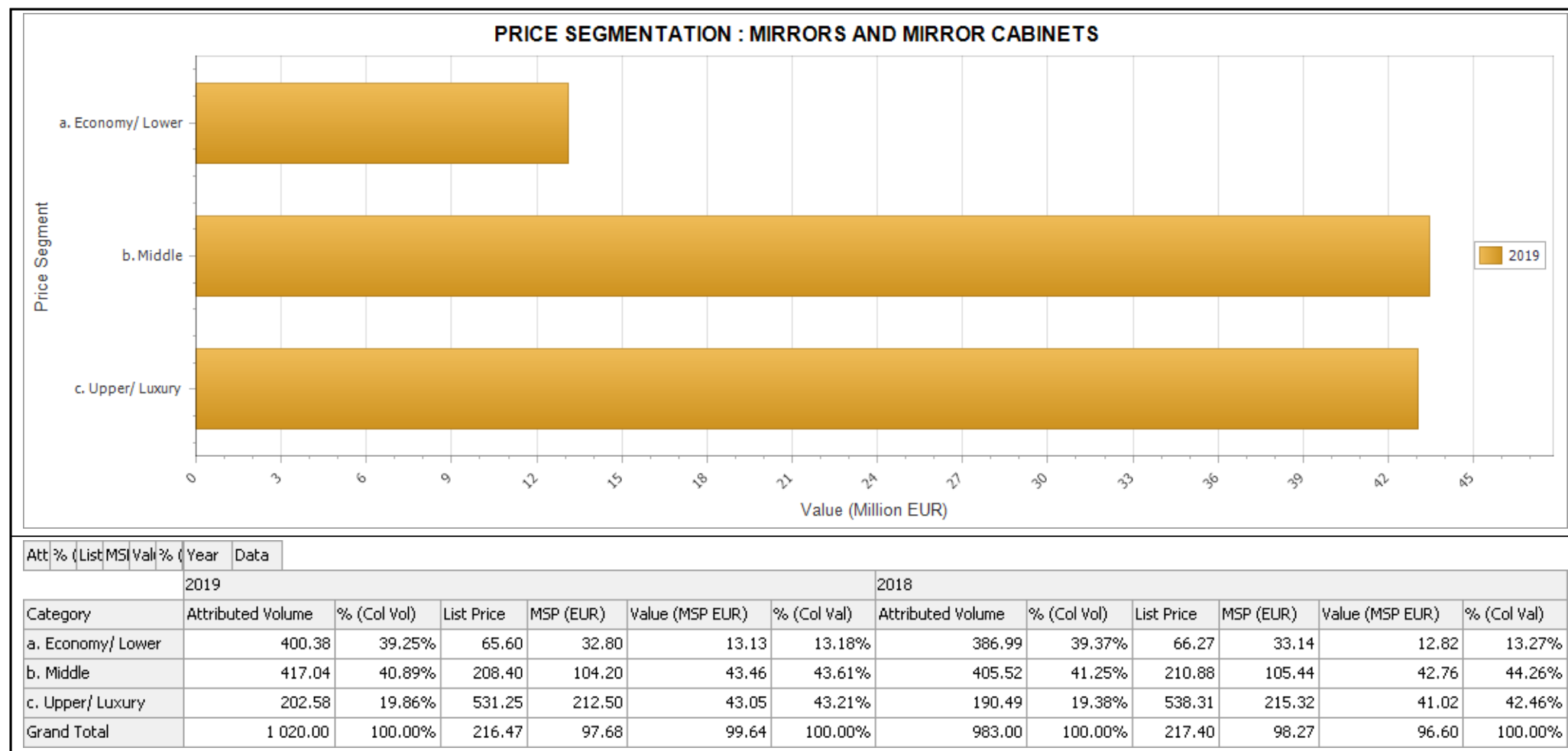


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

FR - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

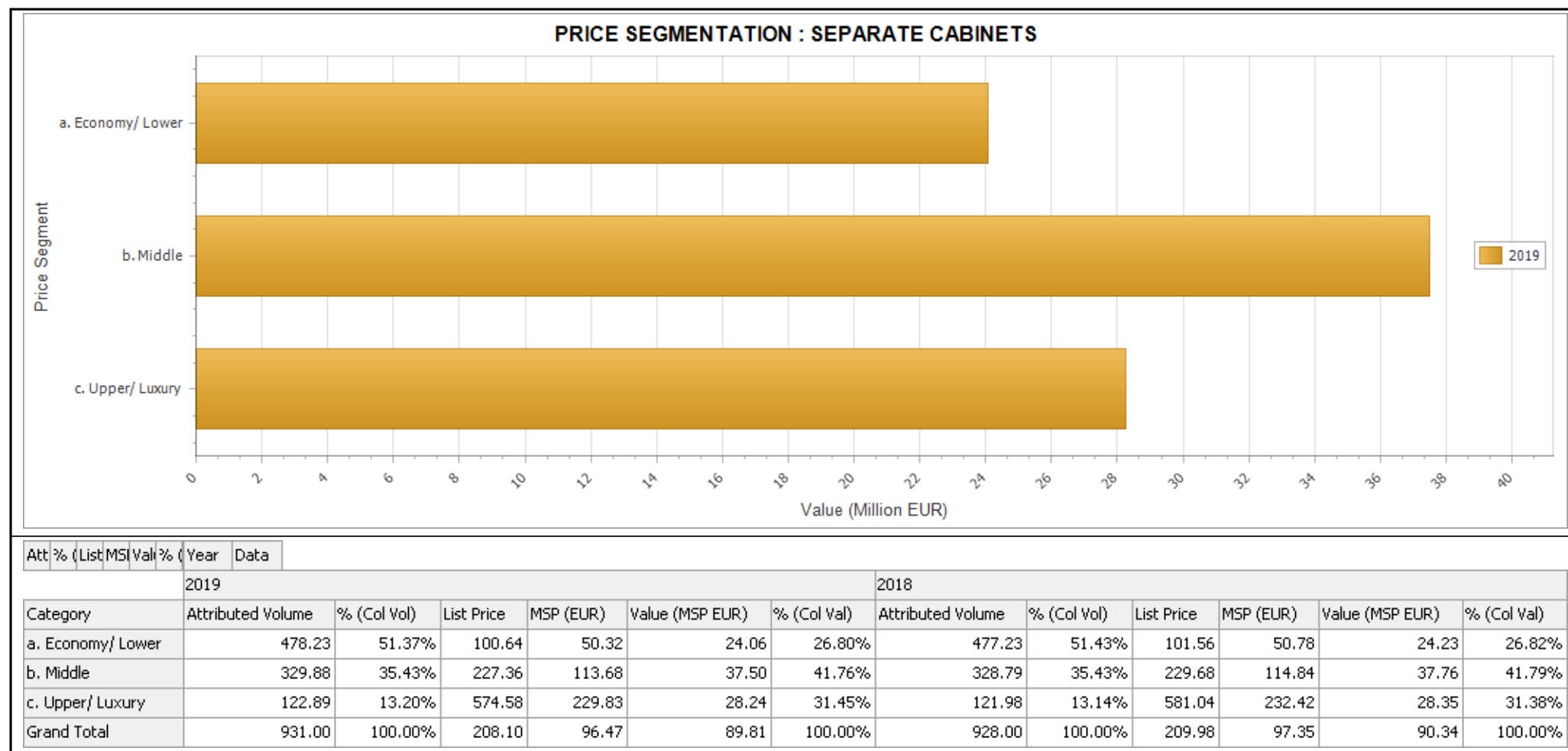


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

5.3.4 Price Segmentation : Separate Cabinets

FR - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

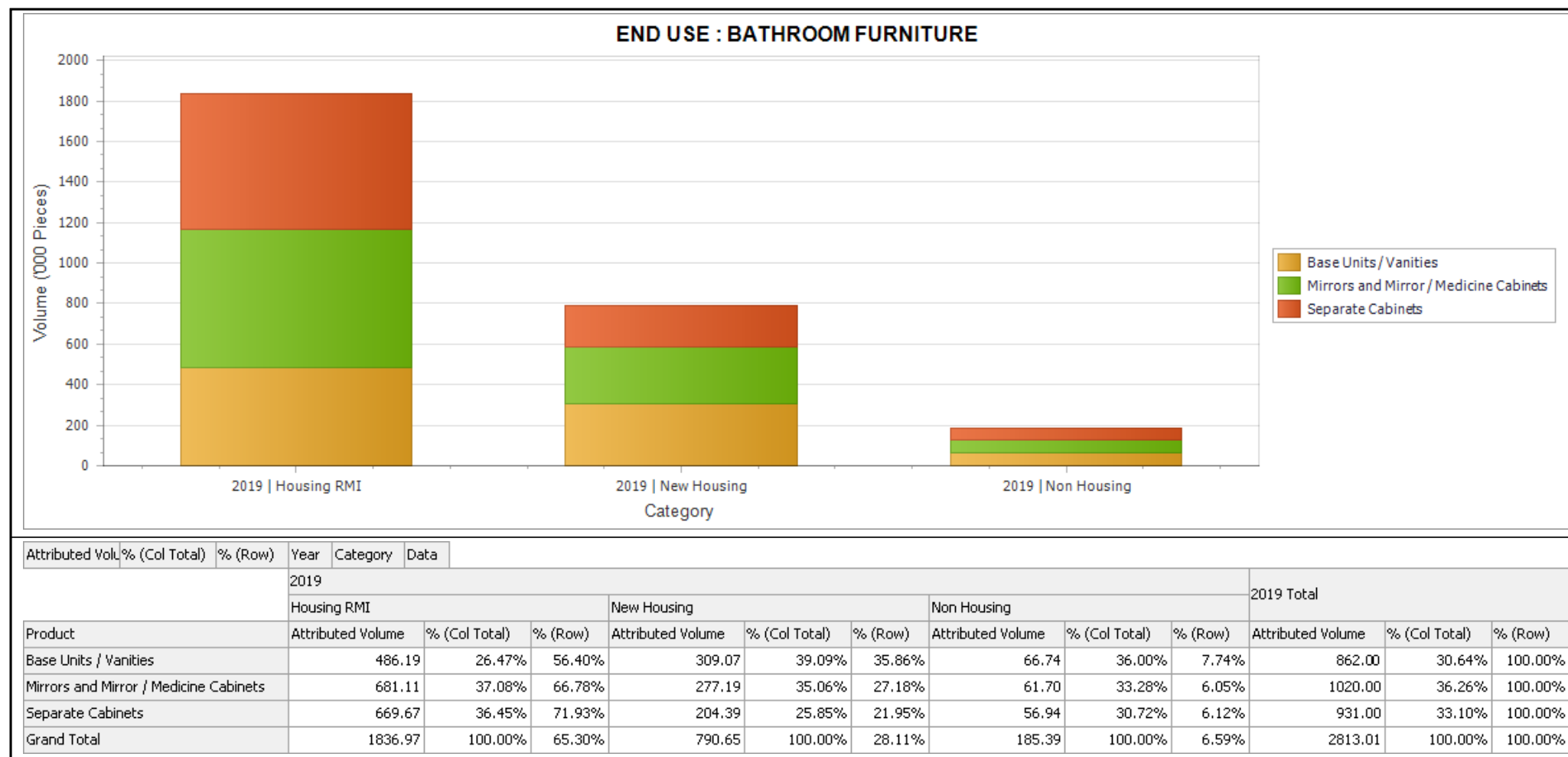


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €80-€150, Upper/ Luxury >€150

5.4.1 End Use : Base Year

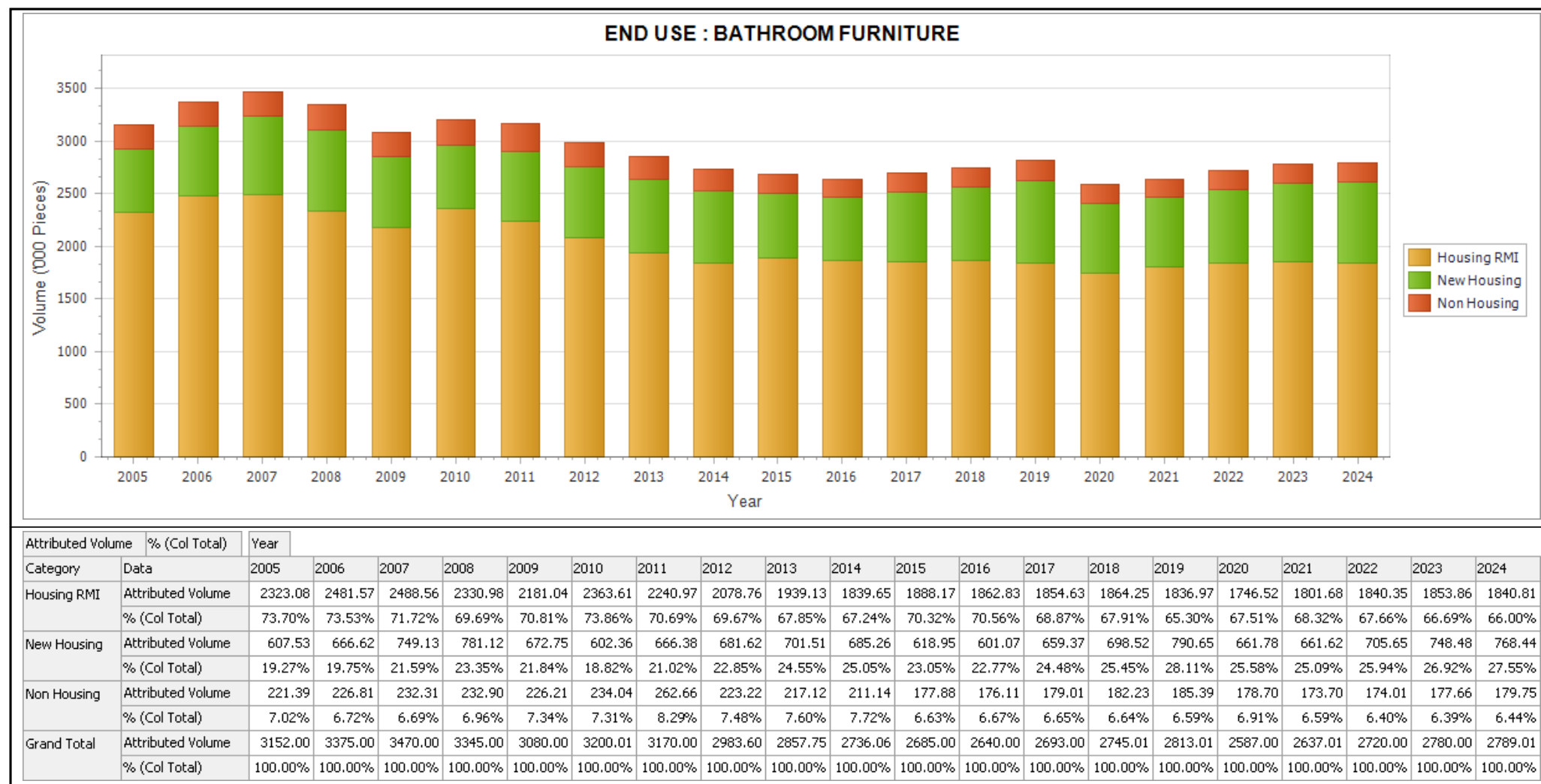
FR - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

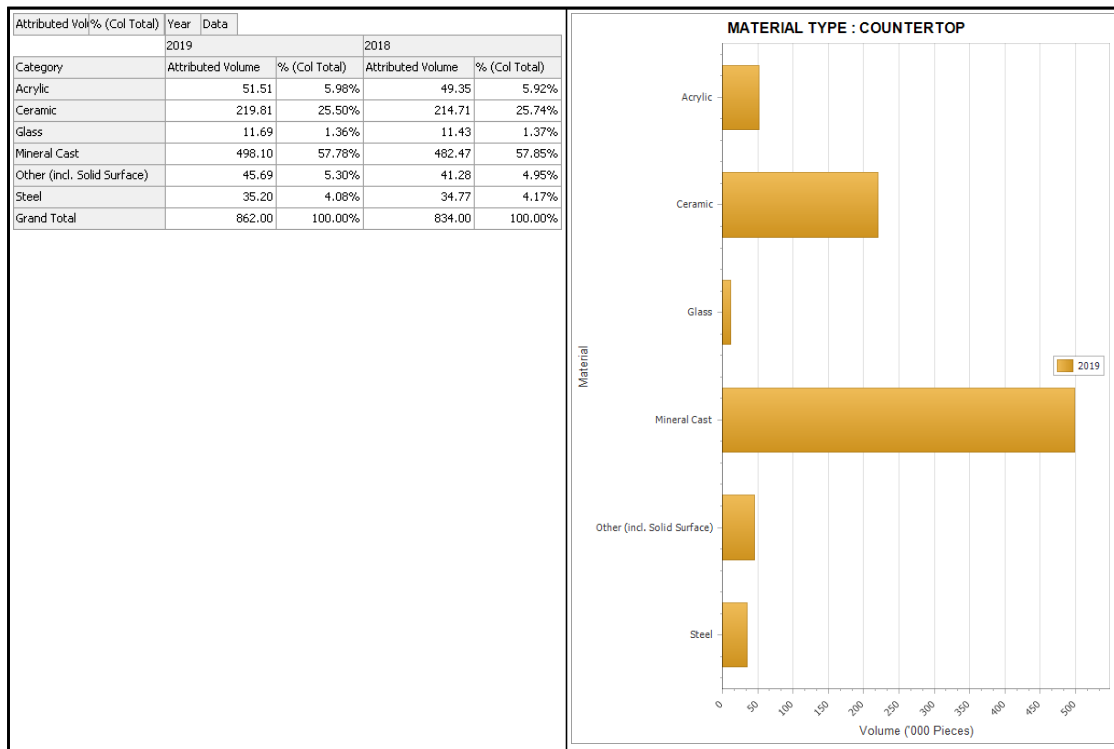
FR - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

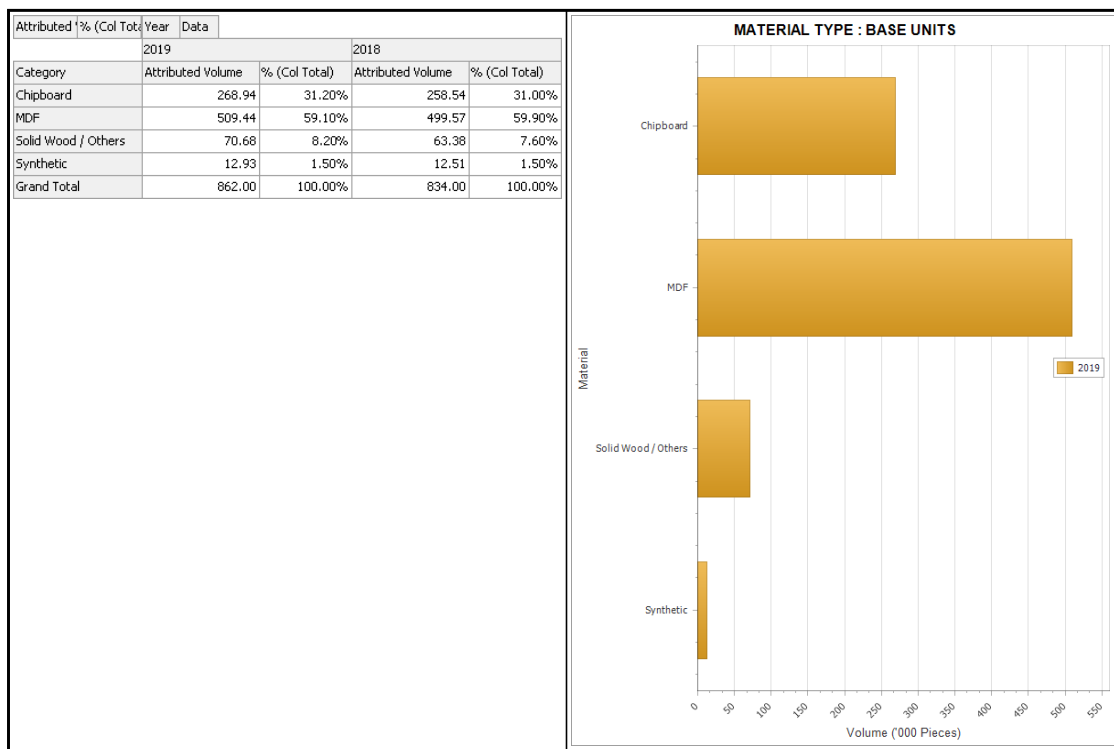
5.4.3 Sales by Type of Washbasin Material : Base Units

FR - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



5.4.4 Sales by Type of Material : Base Units

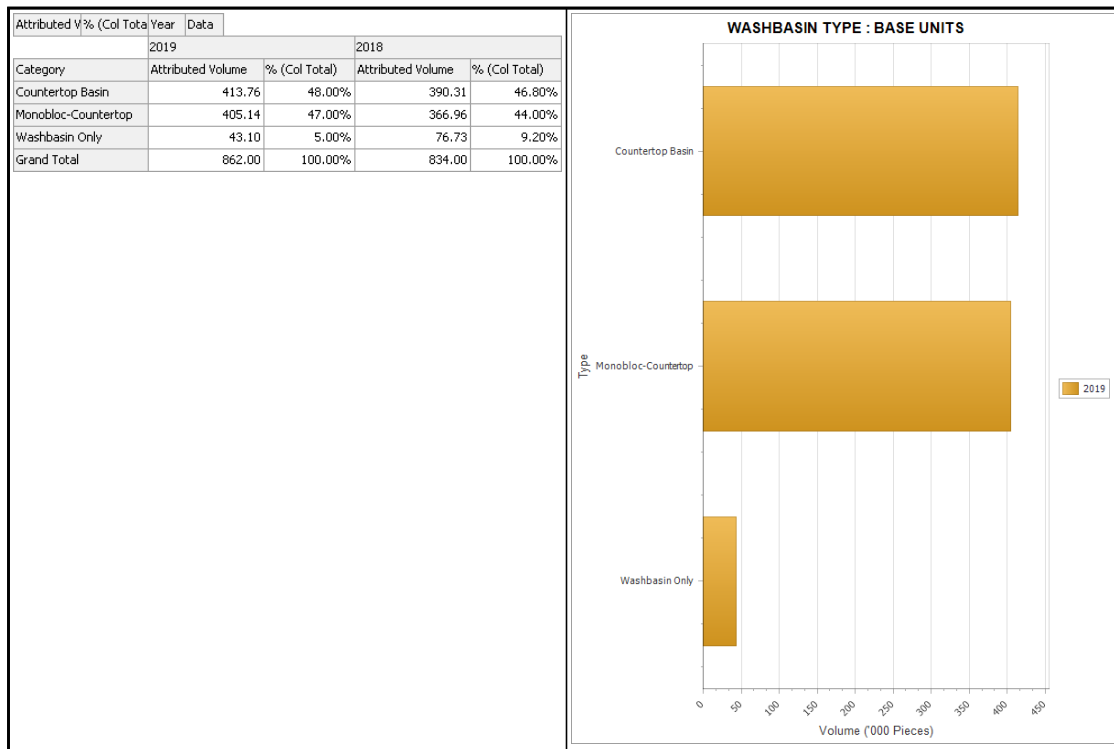
FR - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

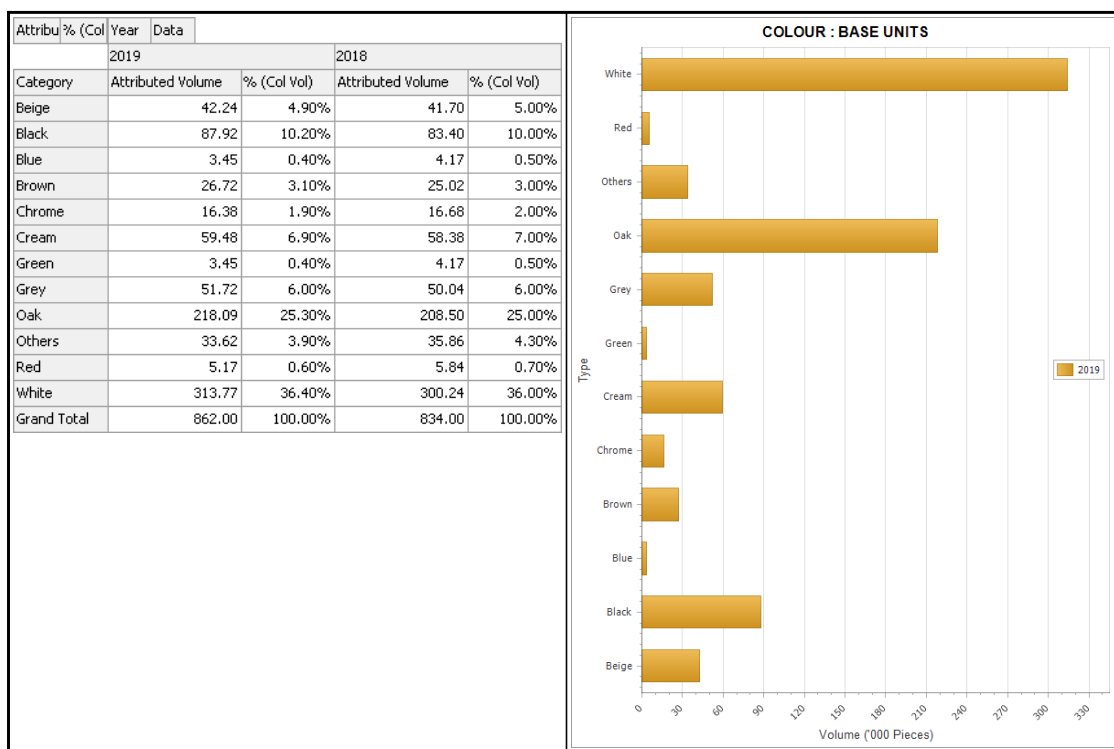
FR - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

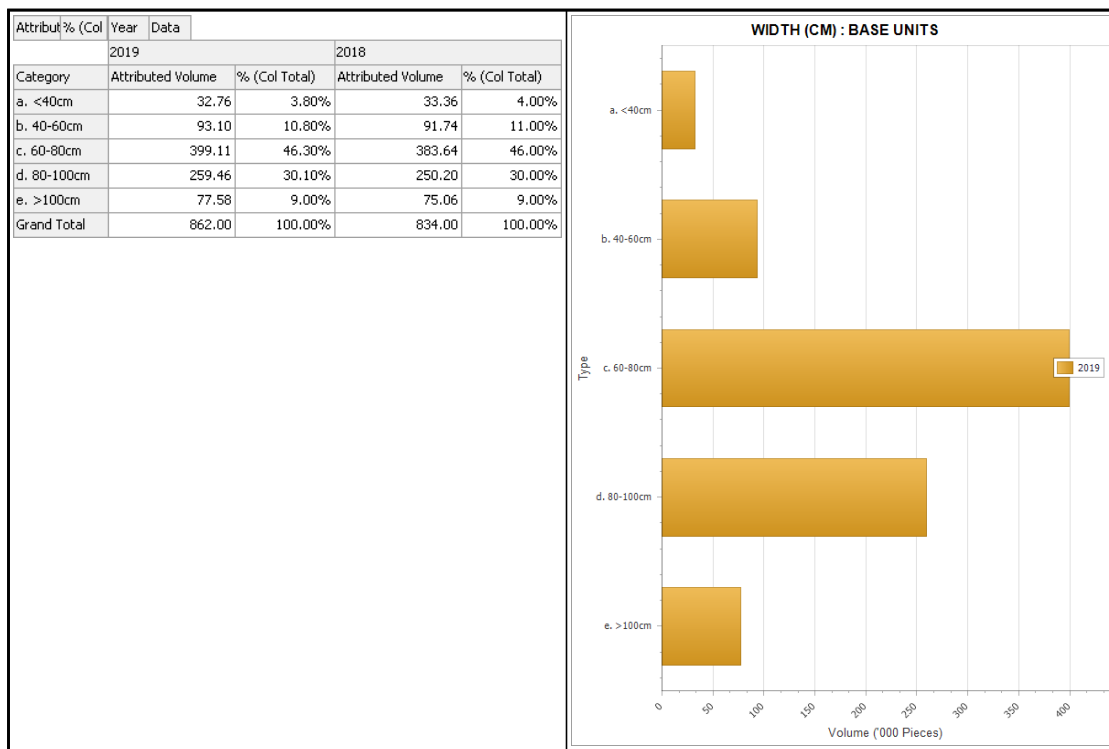
FR - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

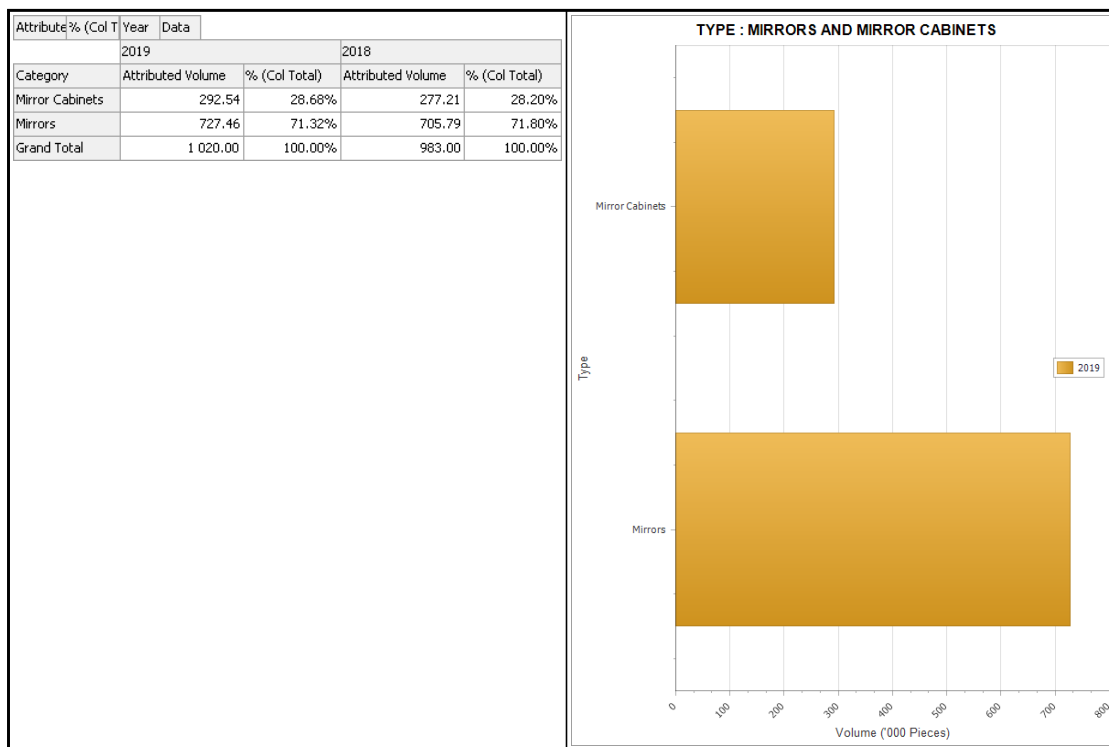
5.4.7 Sales by Width : Base Units

FR - BASE UNIT SALES BY WIDTH ('000 PIECES)



5.4.8 Sales by Type : Mirror and Mirror Cabinets

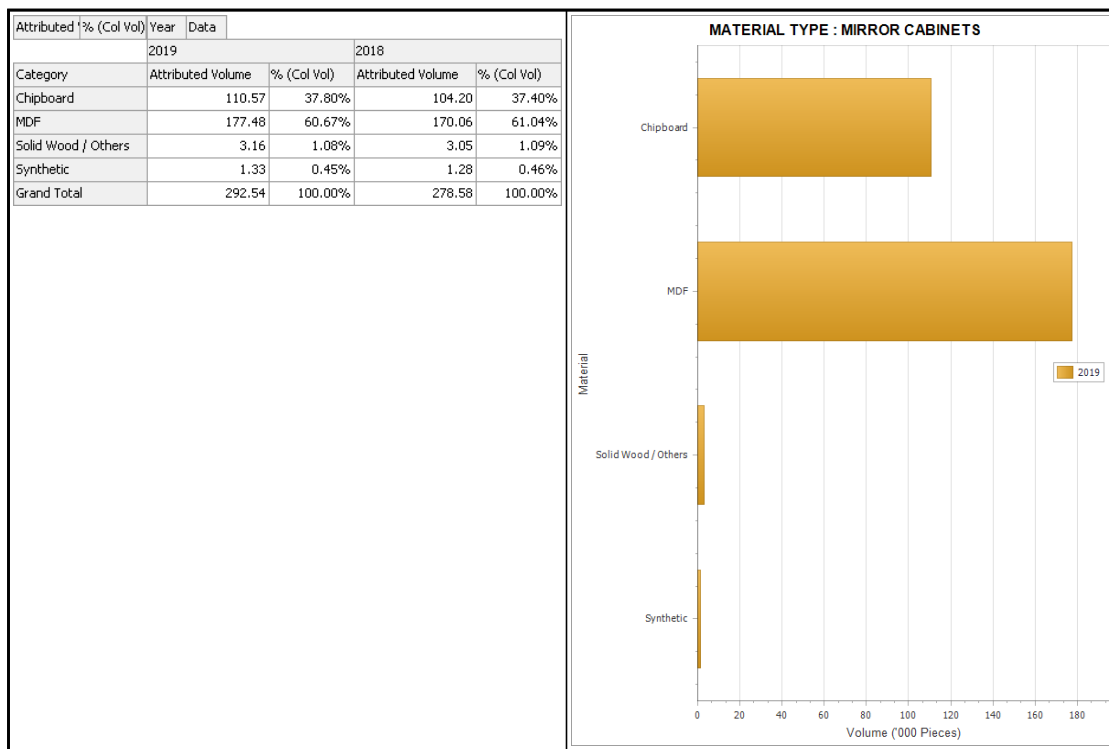
FR - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Mirror Cabinets

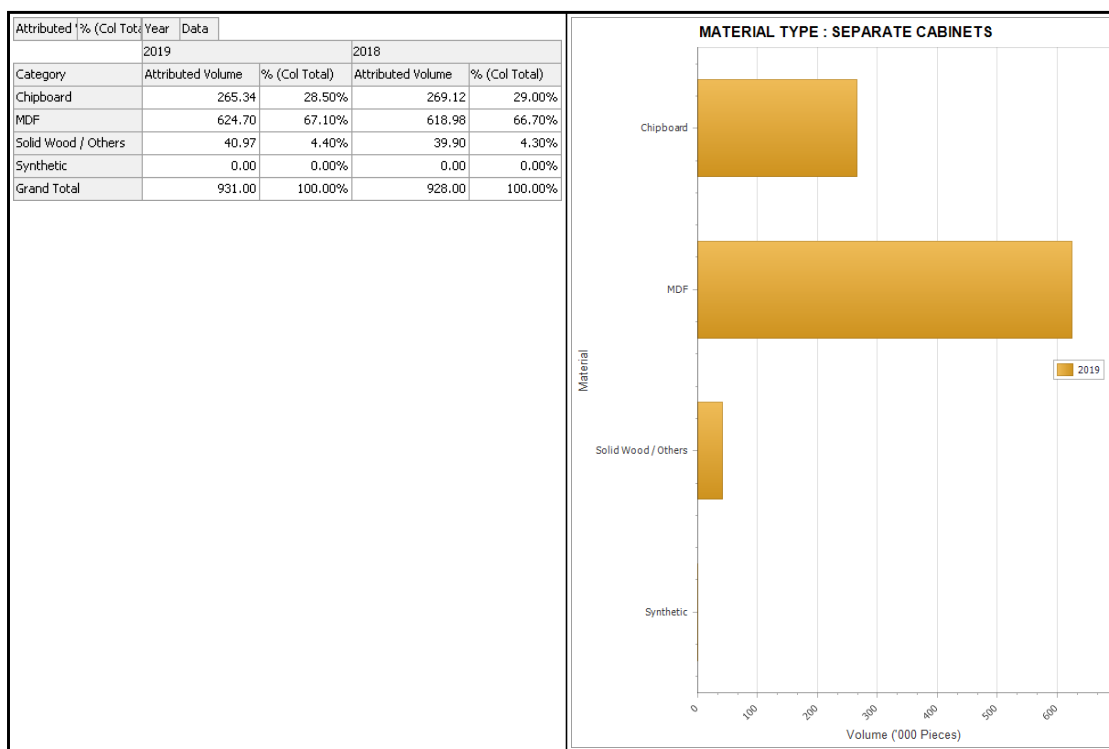
FR - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.10 Sales by Type of Material : Separate Cabinets

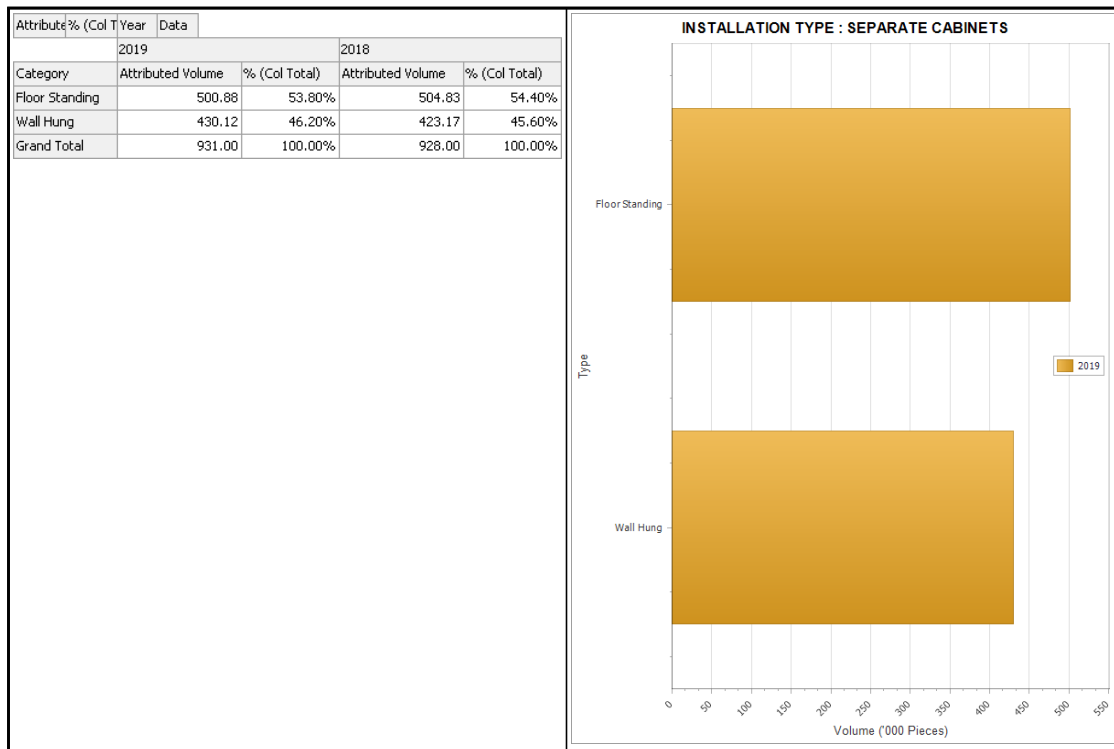
FR - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

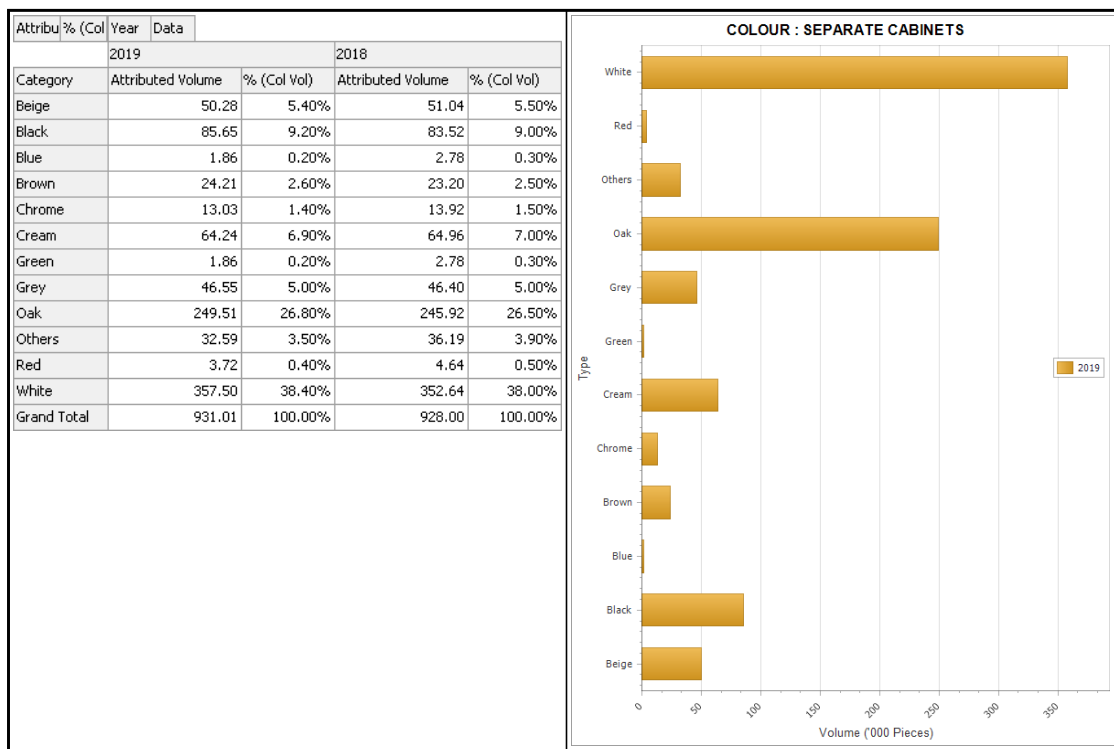
5.4.11 Sales by Type of Installation : Separate Cabinets

FR - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



5.4.12 Sales by Type of Colour : Separate Cabinets

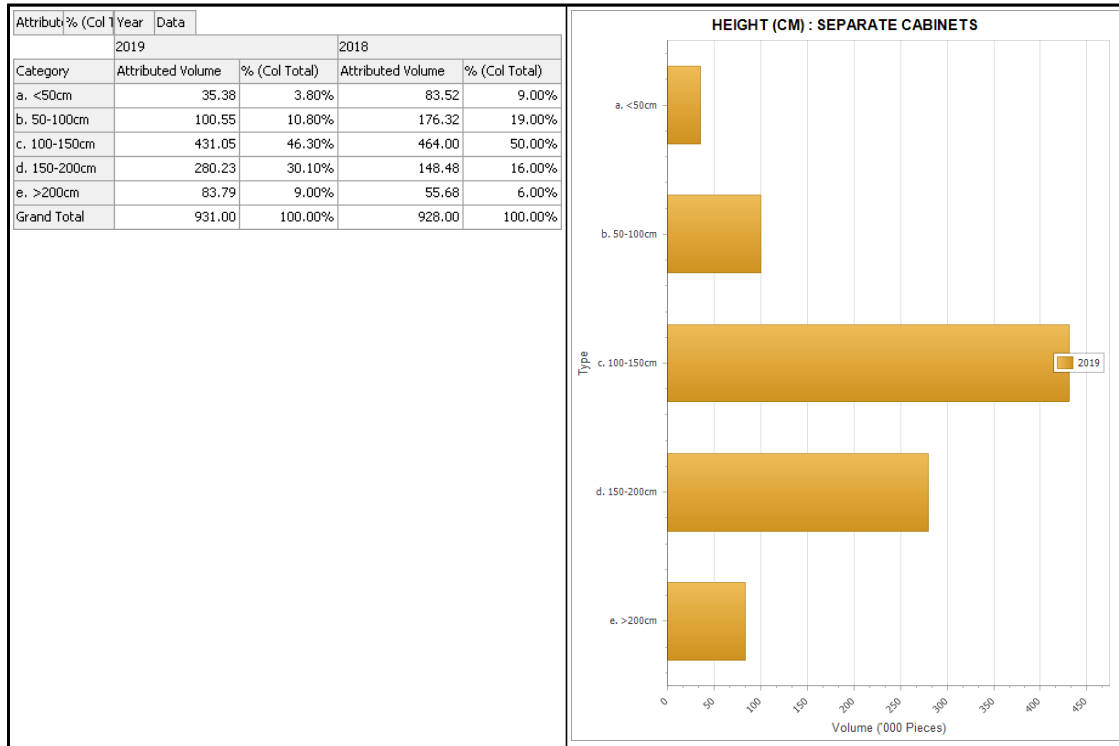
FR - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

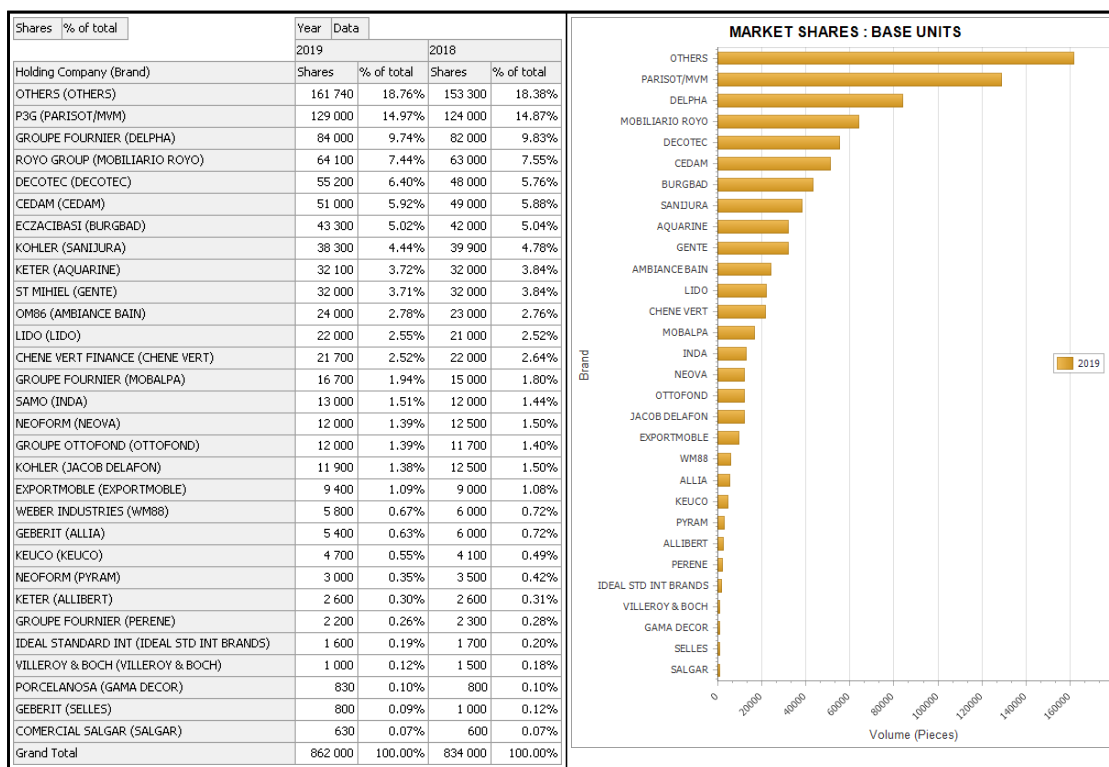
FR - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

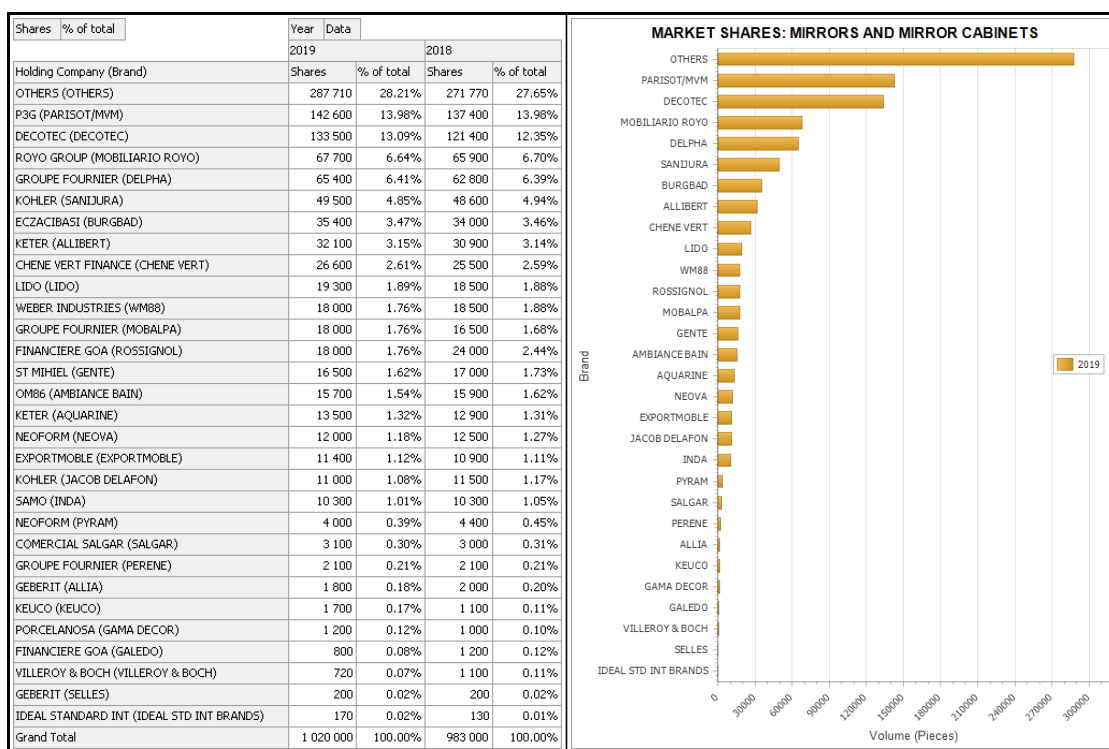
FR - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

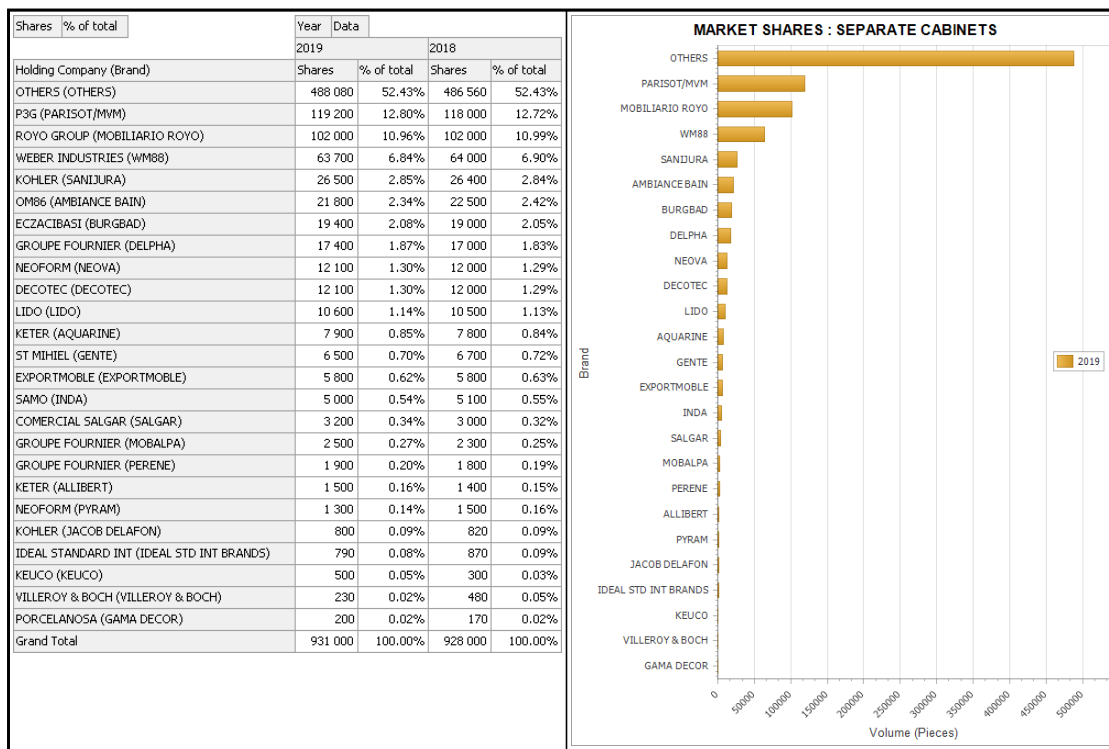
FR - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

FR - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1

Route to Market: Bathroom Furniture
FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	40.6%
	Wholesalers / Merchants
	40.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.8%	4.6%		32.3%		3.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.4%		35.5%		28.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
6.4%	4.4%	0.0%	6.0%	9.6%
Installers				
26.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	4.3%	7.0%	9.4%	29.0%	18.2%	25.5%
	Residential					
	93.4%					
	New Build			Residential RMI		
	28.1%			65.3%		
	Project	Non-Project		Project	Non-Project	
	18.1%	10.0%		14.2%	51.1%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.0%	3.1%	0.0%	0.5%	1.0%	0.9%
	Non-Residential					
	6.6%					
	New Build			Non-Residential RMI		
	4.0%			2.6%		
	Project	Non-Project		Project	Non-Project	
	4.0%	0.0%		1.6%	1.0%	

5.6.2

Route to Market: Bathroom Furniture
FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	42.2%
	Wholesalers / Merchants
	42.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.2%	5.6%		32.5%		4.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.8%		36.7%		27.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.9%	3.4%	0.0%	6.0%	10.6%
Installers				
25.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	2.7%	8.7%	10.8%	30.2%	16.2%	25.0%
	Residential					
	93.6%					
	New Build			Residential RMI		
	27.6%			66.0%		
	Project	Non-Project		Project	Non-Project	
	16.7%	10.9%		13.2%	52.8%	
	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.0%	3.0%	0.0%	0.5%	1.0%	0.9%
	Non-Residential					
	6.4%					
	New Build			Non-Residential RMI		
	4.0%			2.4%		
	Project	Non-Project		Project	Non-Project	
	4.0%	0.0%		1.7%	0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2019

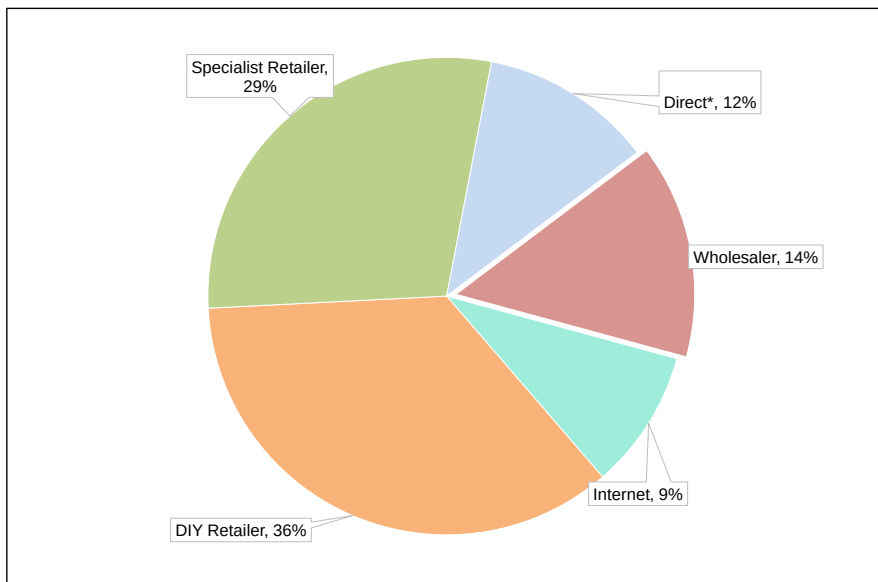
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.5%	9.4%	35.5%	28.8%	11.7%	32.3%	5.6%	61.1%	1.0%
100%					37.9%		62.1%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

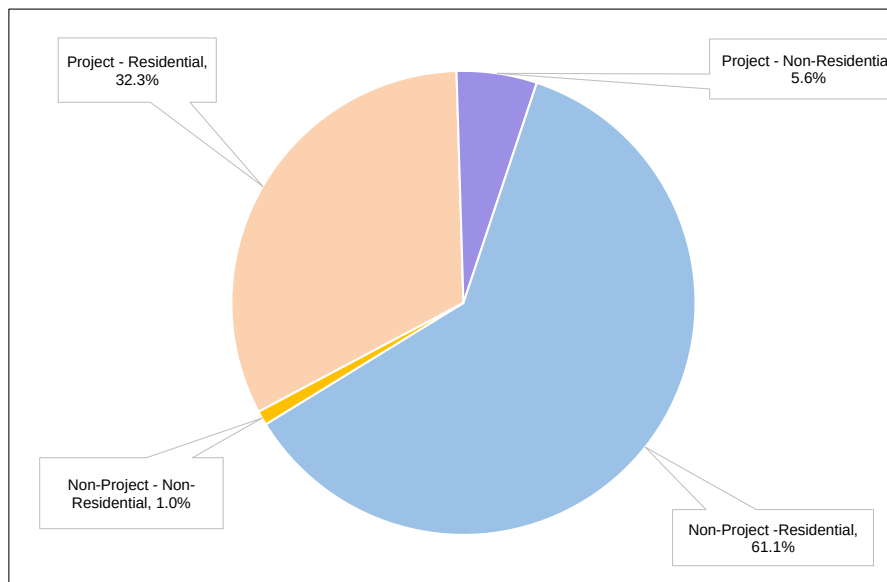
FR - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.1%	10.8%	36.7%	27.8%	9.6%	29.9%	5.7%	63.7%	0.7%
100%					35.6%		64.4%	

FR - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2019



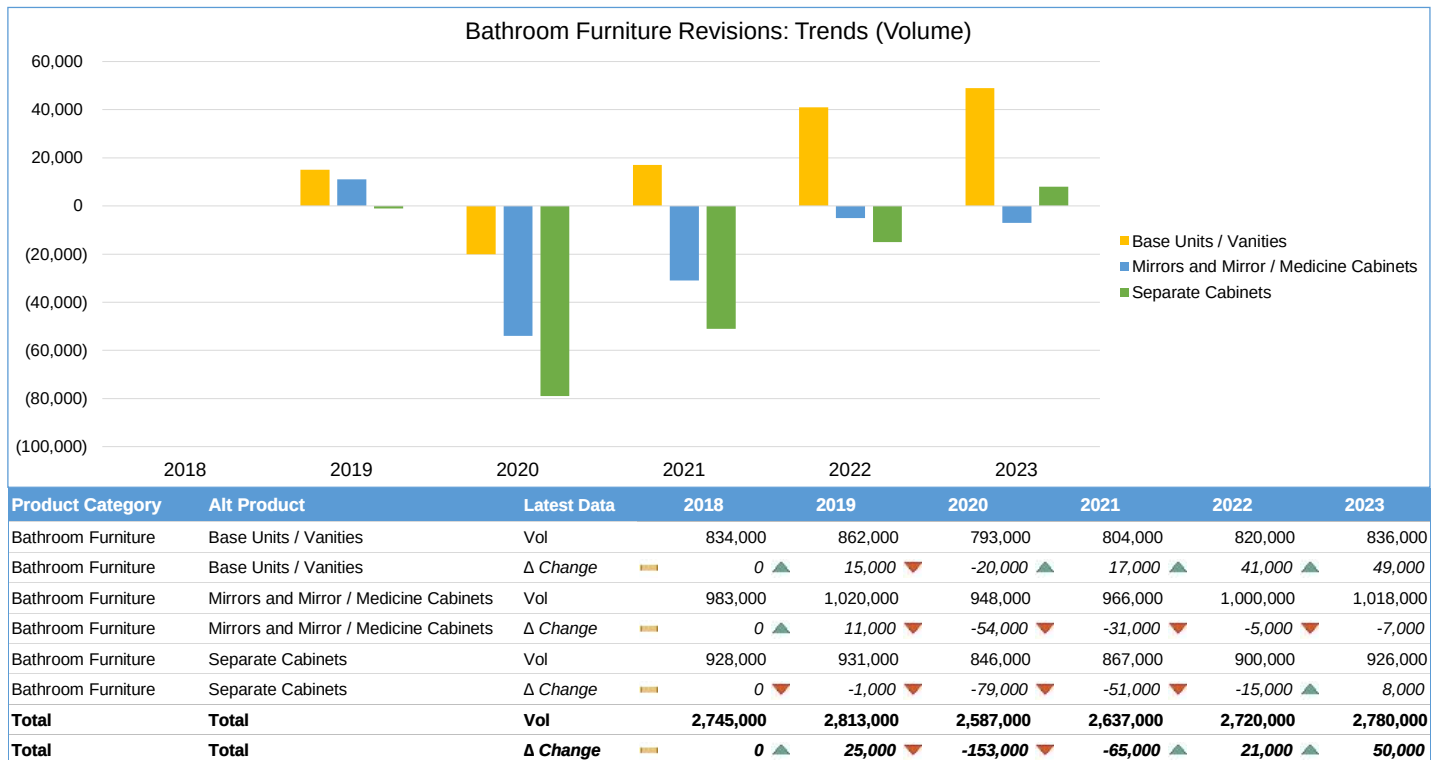
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the French Bathroom Furniture Market (April 2020)

FR - REVISIONS IN THE FRENCH BATHROOM FURNITURE MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

FRANCE

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The bathroom accessories market value is characterised by a low degree of elasticity in some drivers, such as price or product mix, the impact of which on other bathroom markets is fundamental. The value of the volatile bathroom accessories market has long been dependent on DIY stores and supermarkets' own-brand bathroom accessories (purchased through private labels), where consumers tend to be rather irrational in their decision-making process. Over the last decade, however, sales of bathroom accessories in the French market have been enhanced by the development of specialist retailers such as IKEA, whose development primarily focuses on triggering impulse purchases among consumers. This certainly explains the various phases of fluctuations and the general slowdown seen in the French market for bathroom accessories since 2008.

French consumers tend to focus on the lower end of the product offering and purchase inexpensive products imported from Asia, for instance, which explains the success and the importance of DIY stores and specialist retailers, such as IKEA, on the bathroom accessories market. On the other hand, specialist bathroom manufacturers have been struggling to compete and maintain their market shares in a market characterised by low prices and margins.

In recent years, the French market for bathroom accessories has been characterised by a growing trend away from synthetic towards metal materials (brass, stainless steel, chrome and nickel). Thus, French households have also showed interest in minimalist design and colour, with elegant metal designs, although sales of synthetic materials have remained strong due to the variety of shapes that these are allowing. In addition, the product mix has continued the shift towards the autonomous accessories segment – to the detriment of accessories that need to be attached. The most popular bathroom accessories have historically been towel holders (in particular free-standing and fixed bars), toilet paper holders, toilet brushes, waste paper bins, soap holders and shelves.

Recent Market Trends

The French bathroom accessories market experienced a positive development in value in 2019, positively impacted by the dynamism of the new housing activity, for both family houses and apartment buildings. In the meantime, the market in value benefitted also from strong private consumption levels on the back of dynamic household purchasing power. This positive development can also be associated with the willingness of French households to invest more in their bathrooms in 2019. Sales of bathroom accessories often do not follow any specific driver, but BRG believes that dynamic private consumption – combined with the positive development of the real estate market – contributed to the market growth, in both value and volume terms. Normally, sales of most bathroom accessories are of price- and aesthetic-driven products, and French consumers have continued to show a growing interest in creating a certain degree of stylistic uniformity in the

bathroom.

Prices and Market Values

The MSP of bathroom accessories decreased only slightly for some items in 2019, as a result of, firstly, a strong price pressure due to high competition within the bathroom accessories market, and secondly because of increasing sales in the DIY and specialist retailer distribution channels – which mostly offer inexpensive products imported from Asian suppliers. On top of this, the decline of some bathroom accessories' average MSPs came from the shift towards products in the lower and economy price segments, at the expense of the upper and middle price segments.

New Housing

New housing remains an important market for bathroom accessories, since most French dwellings are equipped with one bathroom and one toilet at least. Every new dwelling is expected to be equipped with at least one toilet brush, towel holder and toilet paper holder. Volume sales to this sector increased in 2019 compared to 2018, due to the ongoing positive performance of new dwelling construction in France.

Among the various products that are sold to new build are toilet brushes. Such products represent some of the most popular purchases in the French bathroom accessories market. They are popular because they are perceived as convenient and functional; they play the role of two-in-one accessories and save space in the bathroom. These products are sometimes found with additional functions: for instance, when they stand between the WC and basin, they can include a space on top for holding soap.

Housing RMI

Most sales of bathroom accessories are going to housing RMI, as this end use concentrates the largest part of the demand. Toilet products are reportedly the products for which the replacement rate is the highest, since they have much shorter lifespans than most of the other bathroom products. Volume sales grew in 2019 compared to 2018, due to an increase of replacement decisions and investment from French households on the back of dynamic private consumption. In addition, the good level of real estate transactions triggered bathroom accessories' sales because new owners, in general, prefer to purchase their own accessories when refurbishing the bathroom.

The second most important bathroom accessories market is believed to be towel holders in France. There are various types of towel holders, from free-standing to ring models, through to units fixed to the wall.

Non-Housing

Sales in the non-housing segment increased in 2019. This positive trend should remain unchanged over the forecast period. The non-housing sector comprises hotels and restaurants, offices, and health buildings. Increased demand from the hotels and accommodation segment affected the most sales to this end use segment, while office construction also provided some scope for uptake. Sales into this segment, as well as the commercial buildings sector, are anticipated to rise over the forecast period. The non-housing sector also includes specific sales of accessories for disabled people. Among the products sold to the non-residential sector are mostly toilet paper holders that are usually sold with a complete or partial cover. A few models are still offered without any cover, but these are becoming very rare. Complete covers are reported to be increasingly popular, as they protect the toilet paper – mainly from dust and water.

Supply Structure

The market for bathroom accessories in France is very fragmented, with a large domination of domestic manufacturers. These especially include ARYES, which comprises the GELCO DESIGN and OLFA. The French brand ALLIBERT is well-known in France and is one of the historical leaders of the bathroom accessories market. Other significant domestic players include GALEDO, WIRQUIN, and GILAC.

On the import side, imports mainly come from Italy, Spain, Germany and the Netherlands. Relevant players are KEUCO, a German manufacturer of bathroom accessories and furniture and the leader in the upper price segment in the bathroom accessories market, and HEWI, a German company with a subsidiary in France, which manufactures synthetic and chrome accessories. HEWI specialises in barrier-free products and other accessories for disabled people. It mostly supplies accessories in the upper price range. ROCA also holds a good position in the French bathroom accessories market, selling under several brands: ROCA FRANCE, INDUSTRIAL COSMIC, and POM D'OR.

HANSGROHE and HANSA, the German taps and mixers specialist manufacturers, are also present in the bathroom accessories market but with relatively low turnovers. It should also be mentioned that BISK, the leader in the Polish bathroom accessories market, sells products in France that are distributed by GALEDO.

Specialist retailers such as IKEA and DIY shops have performed well on the bathroom accessories market in France. Their development primarily focuses on triggering impulse purchases among consumers, as previously mentioned.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are

based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Demand of bathroom accessories is likely to plunge due to the effect of the sanitary crisis in 2020 and –to a lesser extent – in 2021. Being a mature market, demand for shower accessories depends heavily on replacement sales. Apart from the years 2020 and 2021, demand for all three end-use segments is expected to rebound throughout the forecast period. Although the growth rate of housing completions is expected to weaken, demand from new housing is likely to remain on a high level. Sales of bathroom accessories products are believed to continue growing in the replacement segment in accordance with high demand for bathroom renovations (although sales of most bathroom accessories do not always follow any specific driver, as previously mentioned) from 2022 onwards.

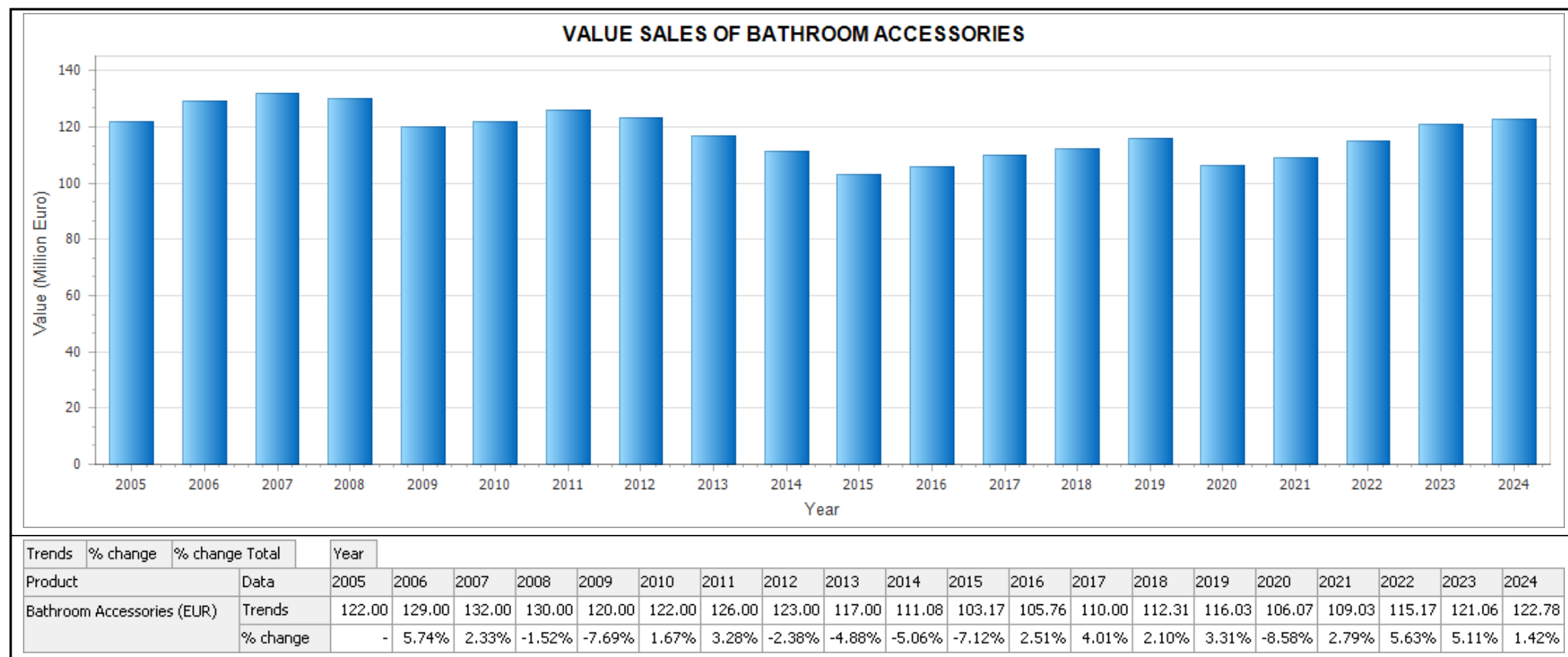
Bathroom accessories are rather price- and aesthetics-driven products, and rely partly on the non-negligible share of impulse purchases. French consumers should return to show an interest in creating a certain degree of stylistic uniformity in the bathroom from 2022 onwards. Cheap imports sold via internet retailers and DIY shops are likely to result in the continuing decline of the average MSP of some bathroom accessories.

Considering the long-term factors, BRG believes that there should be room for further development of the sales of bathroom accessories over the forecast period, even though BRG does not expect the market for bathroom accessories to return to the value it achieved before the sanitary crisis of 2020. The French bathroom accessories market recovery, in value terms, is likely to be sustained and supported by the increase in RMI activity, as consumer discretionary spending increases, combined with the rise in the number of new housing units delivered over the long run. The increase in internet distribution is likely to enable consumers to obtain higher quality bathroom accessories at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY.

Among the main trends identified in this market is the rising share of free-standing and multiple-function accessories. BRG believes that metal material will continue to gain popularity over the forecast period.

6.2 Historical Trends and Forecasts : Bathroom Acces.

FR - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

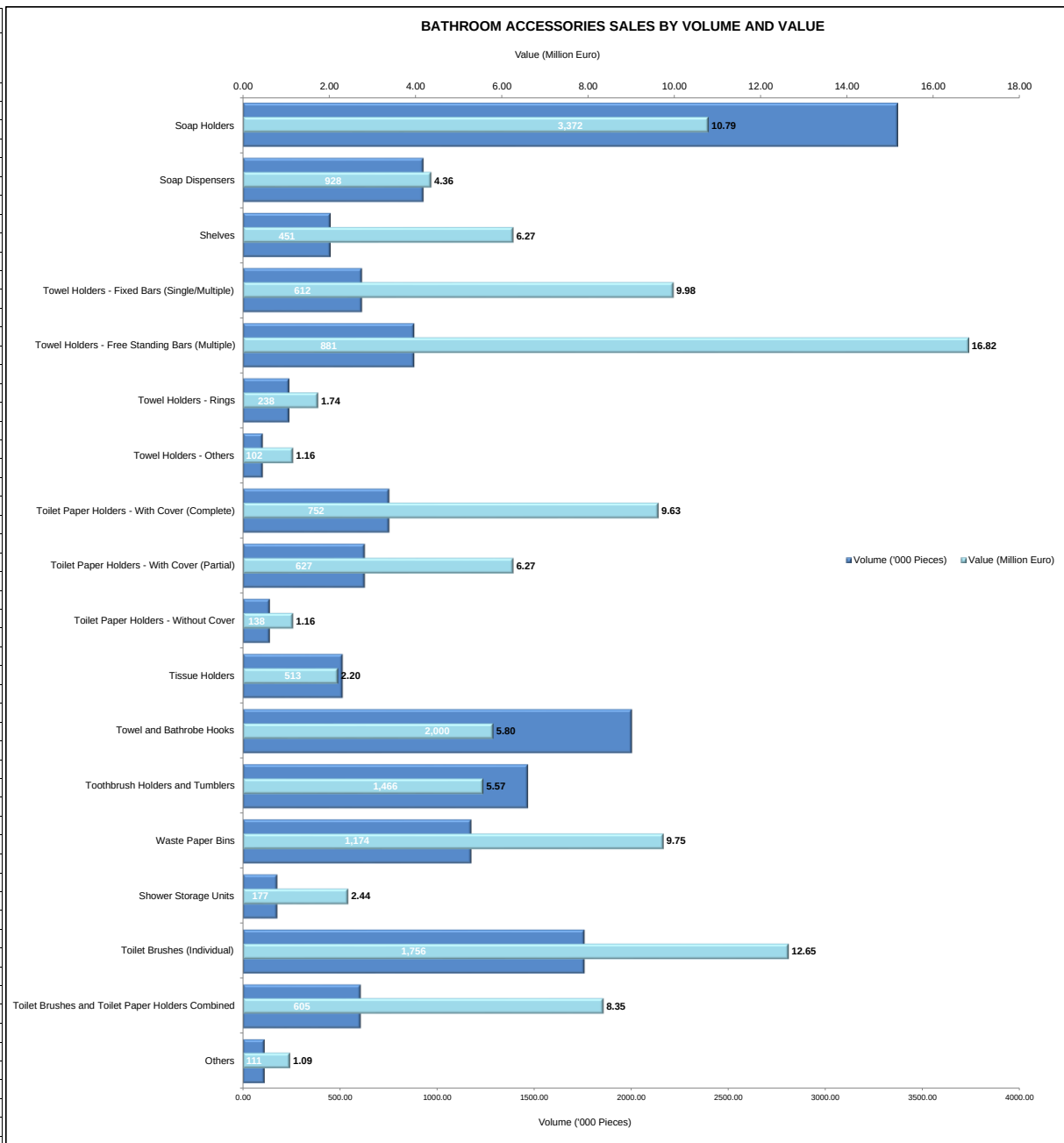
6.3 Detailed Prices and Market Values : Bathroom Accessories

FR - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2019	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	3 372.0	10.8
	Share	21.2%	9.3%
	Average Price (EUR)		3.2
Soap Dispensers	Volume / Value	928.2	4.4
	Share	5.8%	3.8%
	Average Price (EUR)		4.7
Shelves	Volume / Value	450.7	6.3
	Share	2.8%	5.4%
	Average Price (EUR)		13.9
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	612.2	10.0
	Share	3.8%	8.6%
	Average Price (EUR)		16.3
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	880.8	16.8
	Share	5.5%	14.5%
	Average Price (EUR)		19.1
Towel Holders: Rings	Volume / Value	238.4	1.7
	Share	1.5%	1.5%
	Average Price (EUR)		7.3
Towel Holders: Others	Volume / Value	101.8	1.2
	Share	0.6%	1.0%
	Average Price (EUR)		11.4
Toilet Paper Holders: With Cover (Complete)	Volume / Value	752.3	9.6
	Share	4.7%	8.3%
	Average Price (EUR)		12.8
Toilet Paper Holders: With Cover (Partial)	Volume / Value	626.5	6.3
	Share	3.9%	5.4%
	Average Price (EUR)		10.0
Toilet Paper Holders: Without Cover	Volume / Value	138.1	1.2
	Share	0.9%	1.0%
	Average Price (EUR)		8.4
Tissue Holders	Volume / Value	512.7	2.2
	Share	3.2%	1.9%
	Average Price (EUR)		4.3
Towel and Bathrobe Hooks	Volume / Value	2 000.4	5.8
	Share	12.6%	5.0%
	Average Price (EUR)		2.9
Toothbrush Holders and Tumblers	Volume / Value	1 465.6	5.6
	Share	9.2%	4.8%
	Average Price (EUR)		3.8
Waste Paper Bins	Volume / Value	1 174.2	9.7
	Share	7.4%	8.4%
	Average Price (EUR)		8.3
Shower Storage Units	Volume / Value	176.6	2.4
	Share	1.1%	2.1%
	Average Price (EUR)		13.8
Toilet Brushes (Individual)	Volume / Value	1 756.5	12.6
	Share	11.0%	10.9%
	Average Price (EUR)		7.2
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	605.3	8.4
	Share	3.8%	7.2%
	Average Price (EUR)		13.8
Others	Volume / Value	111.3	1.1
	Share	0.7%	0.9%
	Average Price (EUR)		9.8
TOTAL	Volume in '000/Value in Million	15 903.7	116.0
	Share	100.0%	100.0%
	Average Price (EUR)		7.3

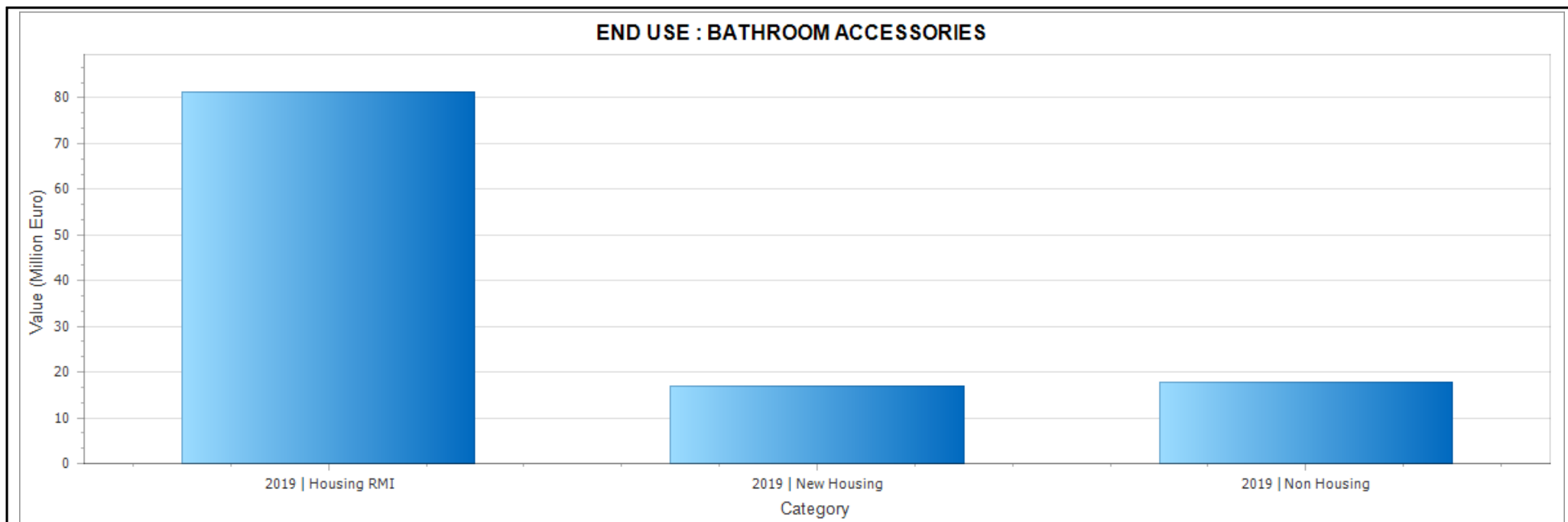
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

FR - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)

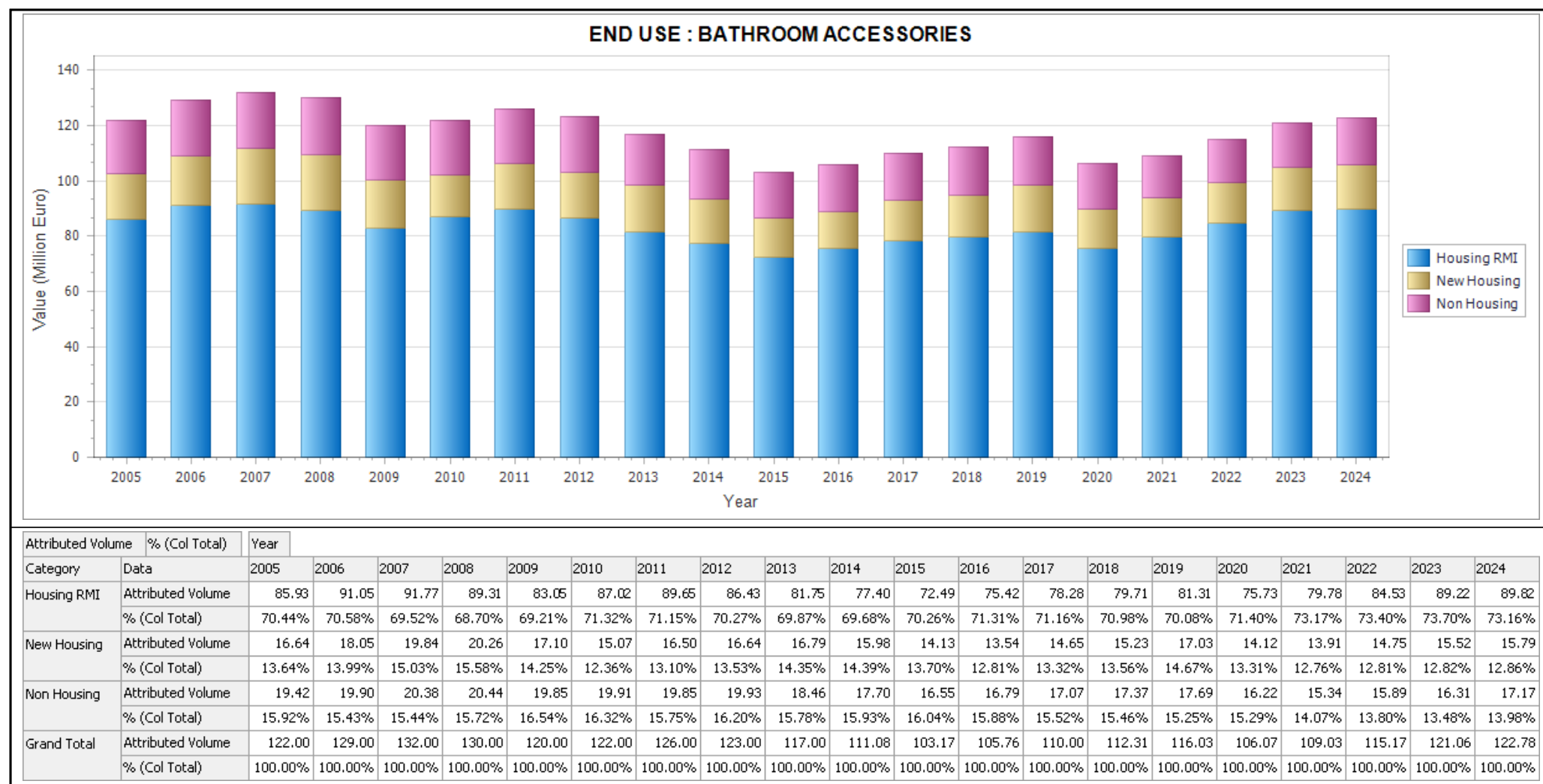


Attributed Volume	% (Row)	Year	Category	Data					
		2019						2019 Total	
		Housing RMI		New Housing		Non Housing			
Product		Attributed Volume	% (Row)	Attributed Volume	% (Row)	Attributed Volume	% (Row)	Attributed Volume	% (Row)
Bathroom Accessories (EUR)		81.31	70.08%	17.03	14.67%	17.69	15.25%	116.03	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

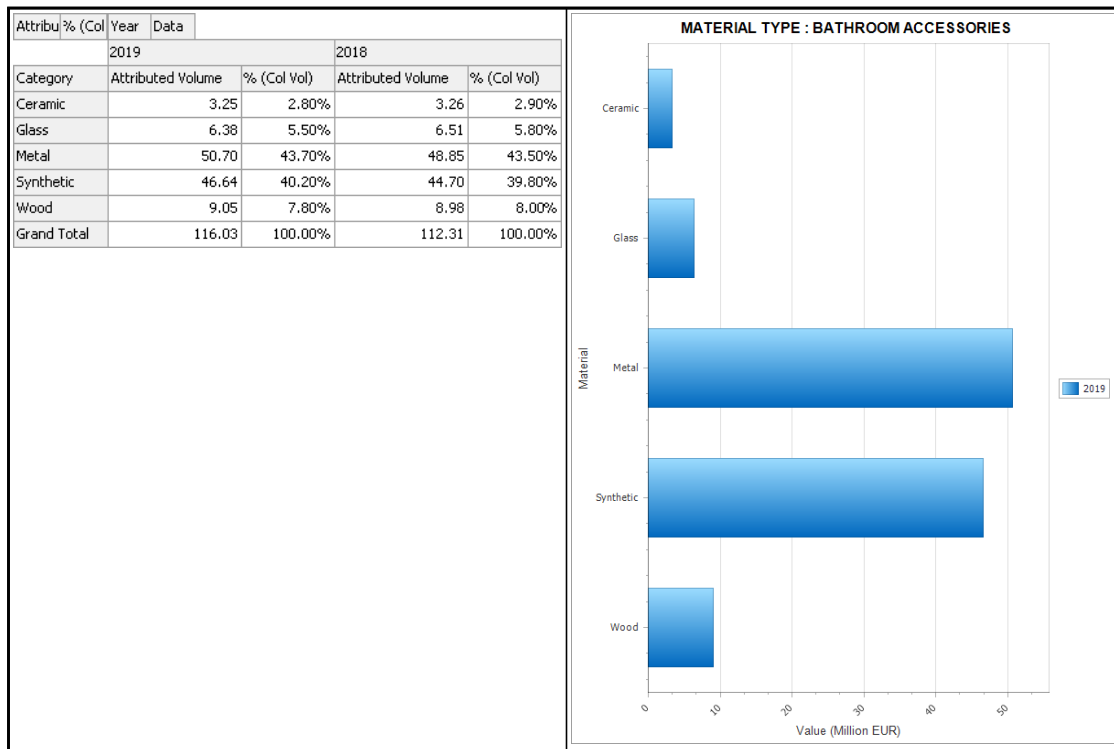
FR - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

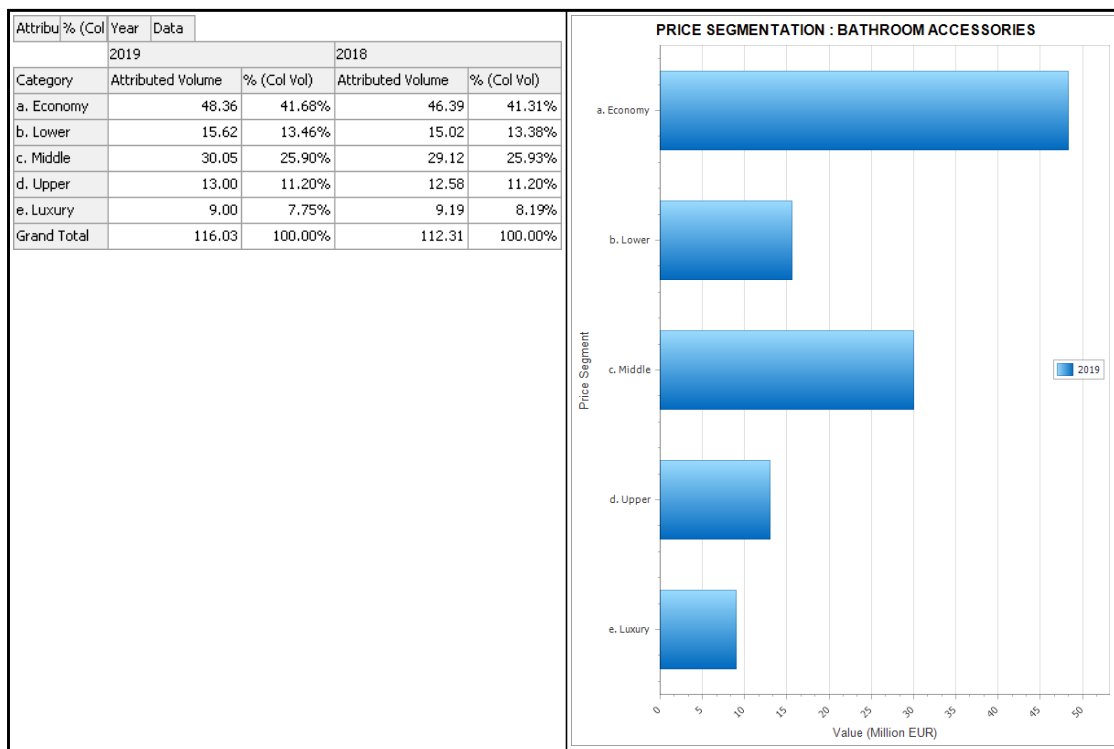
6.4.3 Sales by Type of Material : Bathroom Accessories

FR - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



6.4.4 Sales by Price Segment : Bathroom Accessories

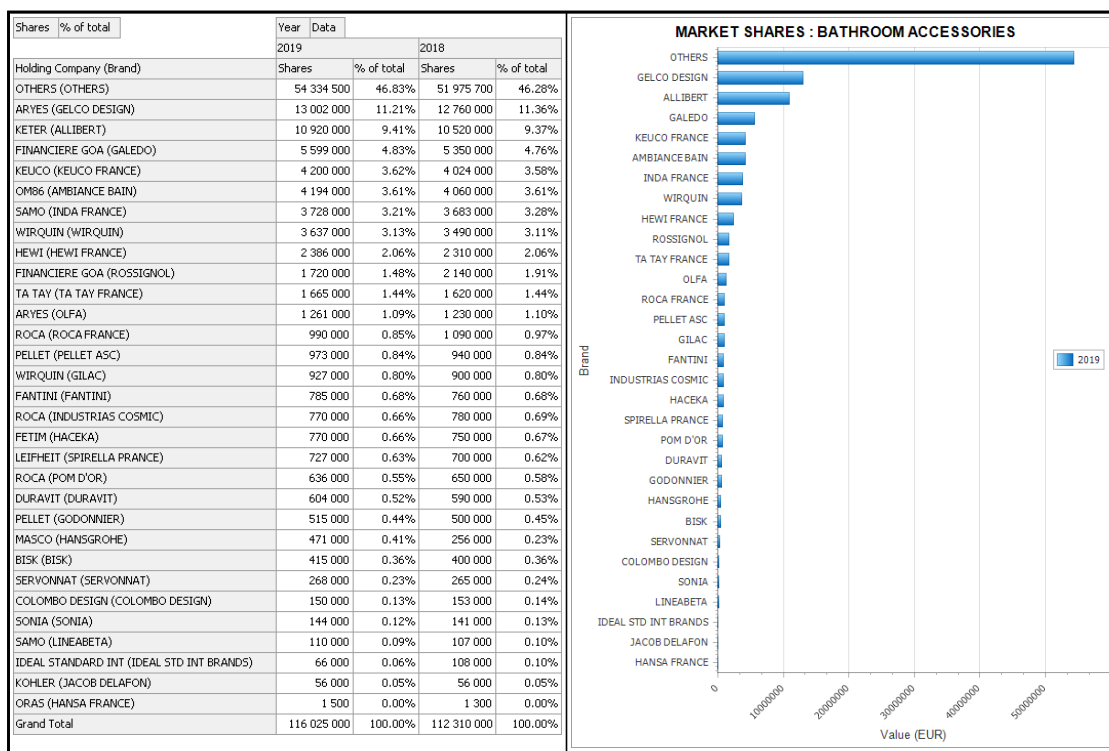
FR - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

FR - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	36.6%
	Wholesalers / Merchants
	36.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.6%	1.7%	42.2%	1.7%	15.2%	4.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.3%		43.9%		20.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.1%	1.0%	0.0%	1.0%	1.7%
Installers				
3.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.3%	20.2%	7.3%	36.9%	17.4%	2.6%	0.0%	7.1%	0.0%	6.0%	1.0%	1.1%
	Residential						Non-Residential					
	84.8%						15.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	14.7%			70.1%			4.9%			10.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	3.3%		11.4%	0.0%		70.1%	4.9%		0.0%	1.0%		9.3%

6.6.2 Route to Market: Bathroom Accessories (EUR)
FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	34.6%
	Wholesalers / Merchants
	34.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.1%	3.6%	41.5%	2.4%	17.0%	4.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.7%		43.9%		21.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.1%	1.0%	0.0%	1.0%	1.9%
Installers				
4.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	17.0%	9.7%	36.9%	18.2%	3.5%	0.0%	6.5%	0.0%	6.0%	1.0%	0.5%
	Residential						Non-Residential					
	86.0%						14.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	12.9%			73.2%			5.9%			8.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	3.3%		9.6%	0.0%		73.2%	5.9%		0.0%	1.0%		7.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

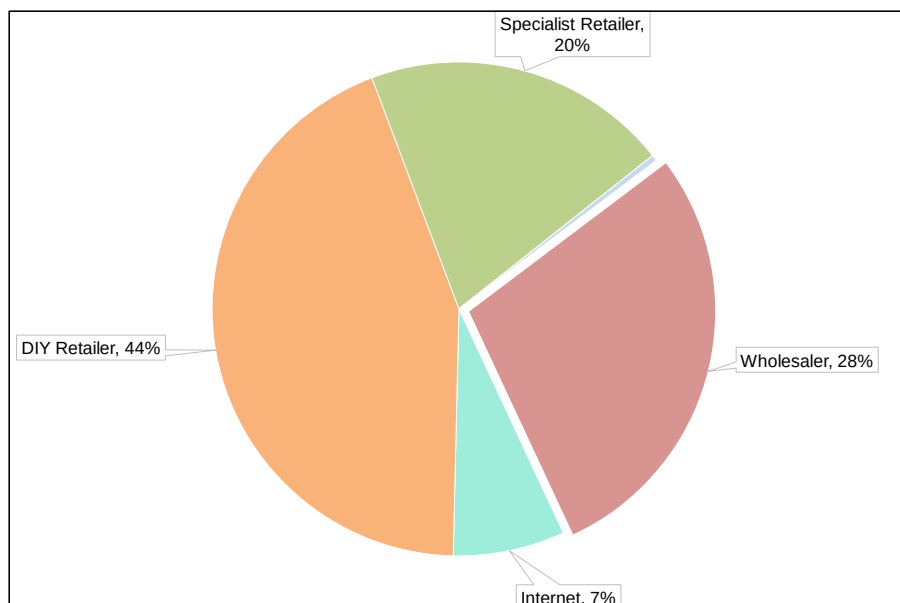
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.3%	7.3%	43.9%	20.1%	0.4%	3.3%	5.9%	81.5%	9.3%
100%					9.2%		90.8%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

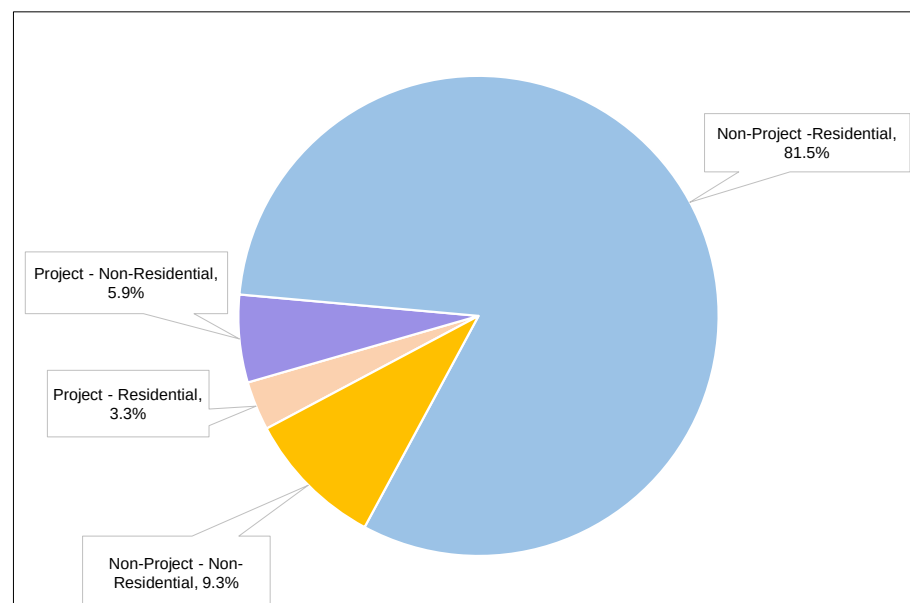
FR - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.5%	9.7%	43.9%	21.1%	0.8%	3.3%	6.9%	82.7%	7.1%
100%					10.2%		89.8%	

FR - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



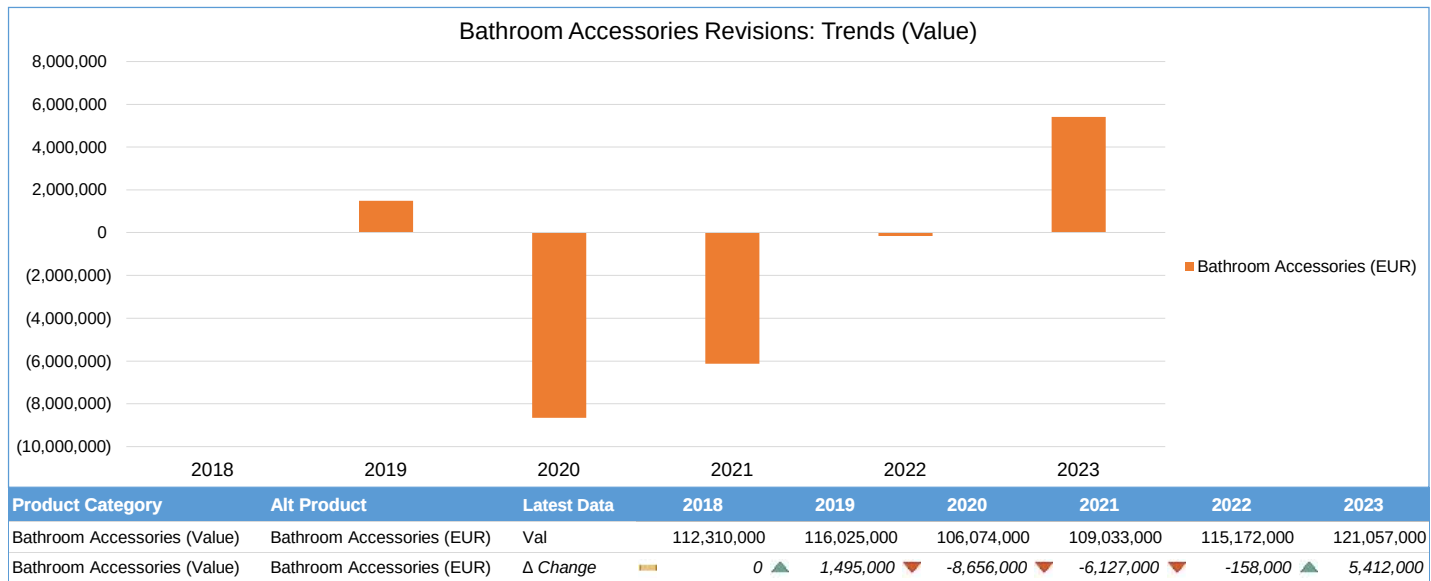
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the French Bathroom Accessories Market (April 2020)

FR - REVISIONS IN THE FRENCH BATHROOM ACCESSORIES MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

FRANCE

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower accessories market is, to some extent, positively impacted by the large product ranges offered in DIY stores. Most products sold by DIY retailers are imported, and mostly from outside Europe, with imports from China, India, Vietnam and Thailand gaining ground over European imports year after year. However, the share of imports coming from Eastern European countries has remained significant.

With the increasing number of new dwellings built over the period 2002-2007 and the trend away from bathing towards showering, the shower accessories market benefitted from a solid basis in the years up to the 2008 crisis. Much of the sales of shower accessories were also linked to replacement purposes and, therefore, the wider range offering certainly played a major role in pushing sales of shower accessories up in a then-favourable macroeconomic context. Among the trends seen since 2002, the popularity of shower sets was certainly the most obvious.

Sales of shower sets (single function and adjustable) are thought to account for the vast majority of the shower head market, the remaining part being split between fixed heads and fixed side jets. Such a trend has reflected the desire of the consumer to use more convenient and functional products. By contrast, the choice of single-function handsets remains a financial issue, since low construction budgets oblige some households to dispense with some more advanced products. Over the past few years, shower heads have increasingly diversified (especially in terms of product functionality and design), with strong marketing campaigns by specialist manufacturers. For instance, some innovative products have entered the French market – such as shower heads with wireless speakers or lights. However, BRG believes that these products are part of a niche market.

Flexible hoses have traditionally been the largest market in volumes among all shower accessories, since it is the product that is most often replaced due to limescale or quality issues, for instance. BRG believes, however, that the quality of flexible hoses has improved in recent years (especially metal flexible hoses that are favoured nowadays by French consumers).

Sales of bars under 90 cm have decreased slightly over the years, due to the fact that the share of the traditional bar length fell slightly as a consequence of the discrete but rising trend towards bars of 90 cm and over. These may be found in hotels for aesthetic reasons, and in care homes for convenience issues. Holders, which are part of shower supports, have comprised the majority of sales in this segment in France, but their share has been slightly decreasing recently.

As regards shower panels, the product offers a good alternative to hydromassage baths and hydrotherapy shower cubicles, as it includes several massage options and is, therefore, a quite attractive and competitive alternative with a lower upfront cost. Shower panels consist of body jets and multiple showerheads and can easily

replace a standard shower set – which makes them interesting products for both the housing RMI residential and new housing sectors. Sales of shower panels developed quickly in France, although they were already present in the 1970s in campsites and sports centres. Shower panels were then just basic showering units that could easily be fixed to a wall. The first multifunction shower panel was introduced to the French market in 1993. Nevertheless, since the financial crisis, sales of shower panels have started to decline, showing the disinterest of French households in hydrotherapy products.

BRG believes that shower pipes, introduced by HANSGROHE a few years ago, are rapidly gaining share and the market has been growing since then. Their share is set to increase with wider availability via DIY stores and interest from French consumers. A typical shower pipe would consist of one fixed shower head, hand shower head, flexible hose and water-bearing pipe. Most manufacturers have several shower pipes in their portfolios, and seem to focus on the development of this product category.

Recent Market Trends

The shower accessories market experienced a positive year in 2019. It benefitted from the recovery of new housing activity, with new completions increasing for both apartment buildings and family houses. This positive development can also be ascribed to the willingness of French customers to invest in their bathrooms in 2019. In fact, sales of shower accessories were also driven by RMI activity, as distress and discretionary replacements increased. This replacement trend is mainly explained by the fact that private consumption continued to increase in 2019 in France, on the back of dynamic household purchasing power. There was a greater level of bathroom refurbishments and new installations, especially of inexpensive products such as shower accessories. Also, the shower accessories market continued to benefit from the trend away from bathing towards showering – as French consumers prefer to opt now, in their new or renovation projects, for a shower rather than a bath. Finally, the market was positively impacted by the demand coming from the new and renovation non-housing sectors.

Increases in sales were observed across all product segments, with the exception of the long-declining shower panels market. This product seems to suffer from a poor image in terms of quality, maintenance and noise. In addition, French consumers seem to favour other installations such as shower trays and walk-in showers to improve their bathrooms, rather than a hydrotherapy product. On the other hand, sales of shower pipes increased at a greater pace in 2019, which demonstrates the real success of the product among French consumers. As a relatively new product on the market, all segments are following an ongoing positive curve. The great majority of shower pipes are installed with a thermostatic system. In fact, thermostatic mixers are expanding significantly, especially in showers.

French consumers tend to harmonise the style of the entire bathroom. Thus, taps and mixers and shower accessories often have a matching colour and finish.

Chrome is the most popular colour installed in 2019. However, there is a decline of it in the recent years as it is assimilated as a cheap product. Other colours such as black, copper and white, are increasingly popular in France. White is expected to take share over other colours in the near future. Generally speaking, the installation of colourful taps are sold to create an aesthetically pleasing bathroom. The adjustable round-shape was the most common type of shower head sold in 2019 as it is the cheapest solution in the market.

Prices and Market Values

The overall value of the shower accessories market went up in 2019, compared to 2018, benefitting from higher sales volumes. Shower panel manufacturers tried to make these products more price-attractive for consumers. Intense competition between manufacturers that tried to maintain their shares in a declining market added even more price pressure. In the lower/economy price segments of the market average prices also decreased as a result of more units sold, to the detriment of the middle and upper/luxury price segments. The average manufacturers' selling price for shower panels is estimated to have decreased, due to the increase in sales of products through the DIY channel, with low-cost products coming from China, for instance. The average manufacturers' selling price of shower supports also decreased because of an expansion of the economy/lower segment, despite the increase in prices through all segments.

BRG also believes that consumer behaviour continued to evolve in 2019, as there was a noticeable movement towards the middle price segment for traditional shower accessories, with consumers purchasing higher-quality products. As regards shower heads, French consumers tend to opt primarily for multi-function products rather than single ones – which automatically increases the price of the product.

New Housing

Sales to the new housing sector increased in 2019, due to the ongoing recovery of new construction activity in France. Of all plastic hoses, it is estimated that the majority are made of PVC (polyvinyl chloride), whereas the remaining parts are comprised of premium quality plastic. Overall, the lifespan of PVC plastic hoses is believed to be shorter than that of other plastic materials, since PVC offers lesser resistance to humidity. Sales of shower pipes are gaining popularity in new housing and their share continued to increase in 2019, to the detriment of more basic solutions. As a relatively new product on the market, the share in the new housing segment was set to decrease over the year, to the benefit of RMI. However, the strong performance of new construction in 2018 and 2019 boosted this segment, allowing it to grow slightly. New housing activity remained important in 2019 for sales of shower panels, which are also the main product installed in new housing within the hydrotherapy products available on the French market. Sales of shower panels to new housing increased in 2019.

Housing RMI

Sales of shower accessories rely heavily on housing RMI activity. Sales volumes to housing RMI increased in 2019, mainly due to amplified levels of demand and investment from French households in their bathrooms. Sales increased across all categories, with the exception of shower panels.

Sales to the residential RMI segment are mainly represented by flexible hoses, due to their fairly short longevity when compared to shower supports and shower heads. Replacement sales not only refer to substitutions of a single shower accessory but also include sales of complete shower sets, often done at the same time as the complete bathroom refurbishment. Sales of more innovative and aesthetic shower heads were also noticeable in the housing RMI segment in 2019. For instance, sales of shower pipes and two head showers to the RMI segment increased due to their aesthetic qualities and somewhat affordable prices. On the other hand, sales of shower panels suffered from a higher upfront cost and less attractive design.

Non-Housing

The French non-housing segment of the shower accessories market went up in 2019, in line with positive macroeconomic trends stimulating replacement sales and the increase in new non-housing construction. In fact, a strong increase was recorded in the number of shower supports, flexible hoses, shower heads and shower pipes installed in non-residential buildings, with the majority going into commercially-used buildings such as hotels, sport centres and offices, and some into hospitals. The preference for innovative showers and shower heads also boosted sales into this segment, as these technologies are increasingly preferred over the previously-popular hydrotherapy products.

Supply Structure

The French manufacturers VALENTIN is leading the declining shower panels market in France, followed by imports, ROUSSEAU and SFA, with its KINEDO brand.

As far as imports are concerned, imports coming from China and other Far Eastern countries (India, Vietnam and Thailand) have remained strong. On the European import side, the players positioned in the French market include some German manufacturers such as GROHE and HANSGROHE, whose product coverage includes the middle, upper and luxury price segments. The numerous Italian manufacturers do not have any subsidiary located in France and, therefore, export directly to the country. Among these manufacturers, VISENTIN and FORNARA & MAULINI have concluded OEM agreements with a large number of tap and mixer manufacturers. BOSSINI distributed shower accessories in France through its exclusive distributor EUROTEAM, before going bankrupt at the end of 2018. Finally, the presence of Spanish manufacturers with exports to France remains important, especially since their domestic sales have suffered from low demand.

The most important companies located in France include ROCA and TA-TAY, while direct sales from Spain to France are represented by companies such as INTERBATH.

Other players include importers or packagers that mainly source from Italy, Spain and Germany. They assemble, package and re-brand products, as well as supply DIY and the multiple retail outlets (ROUSSEAU, MTK, etc.). Other players also include tap and mixer manufacturers with a limited range of shower accessories.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

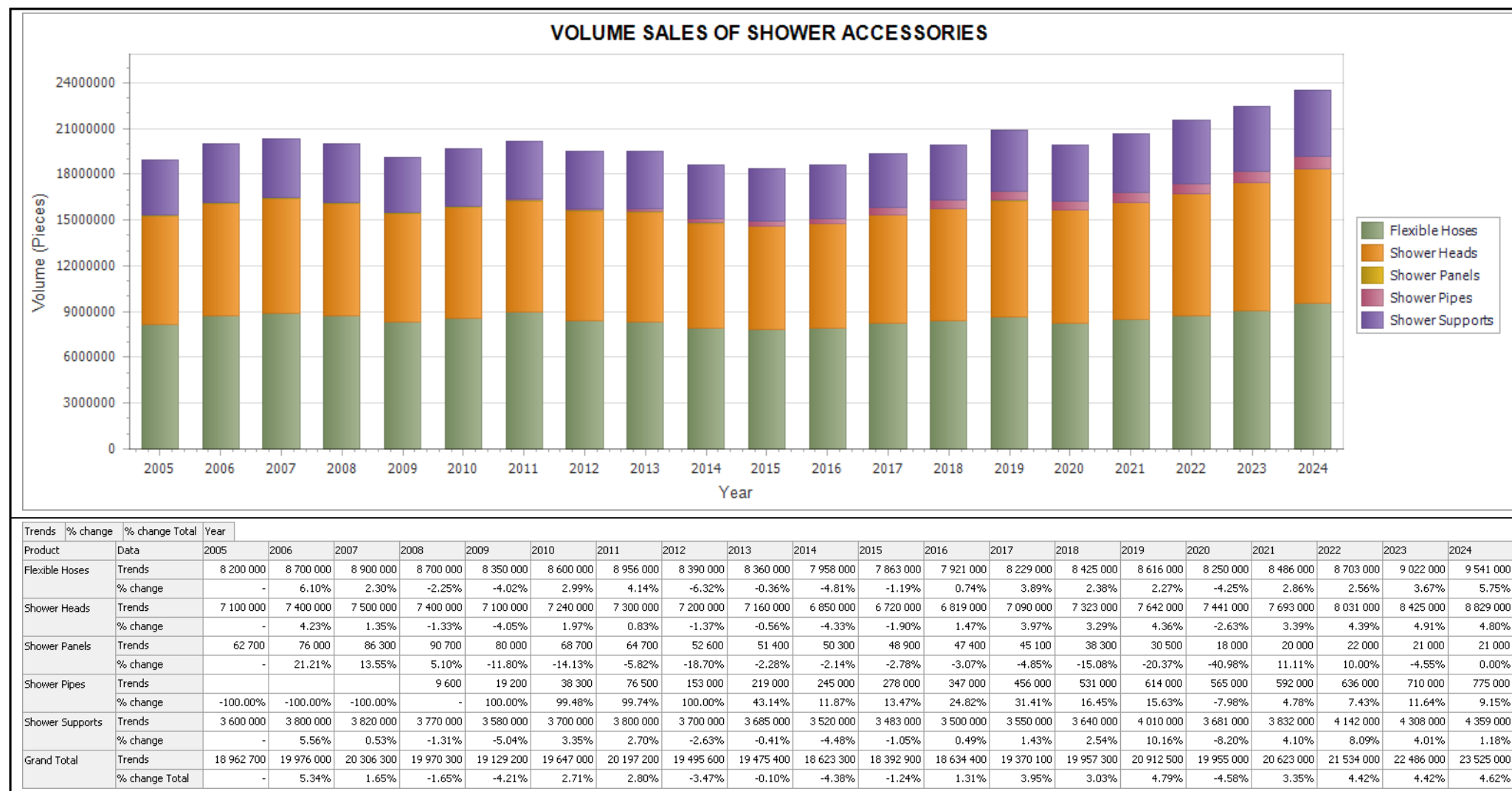
Demand for shower accessories is likely to plunge due to the effect of the sanitary crisis in 2020 and – to a lesser extent – in 2021. Being a mature market, demand for shower accessories depends heavily on replacement sales. Apart from the years 2020 and 2021, demand for all three end-use segments is expected to grow further throughout the forecast period. Although the growth rate of housing completions is expected to weaken, demand from new housing is likely to remain on a high level. Sales of shower accessories products are believed to continue growing in the replacement segment in accordance with high demand for bathroom renovations from 2022 onwards.

Despite decreasing sales among all products, a preference for innovative showers and shower heads, such as shower pipes, should remain intact over the forecast period. On the other hand, sales of shower panels are expected to continue to fall, as there is no sign of a possible upturn in the French market. Hydrotherapy products are currently not very popular in France, often due to higher retail prices. In fact, French households show some resistance to using hydrotherapy products – which are perceived as too expensive and not necessary.

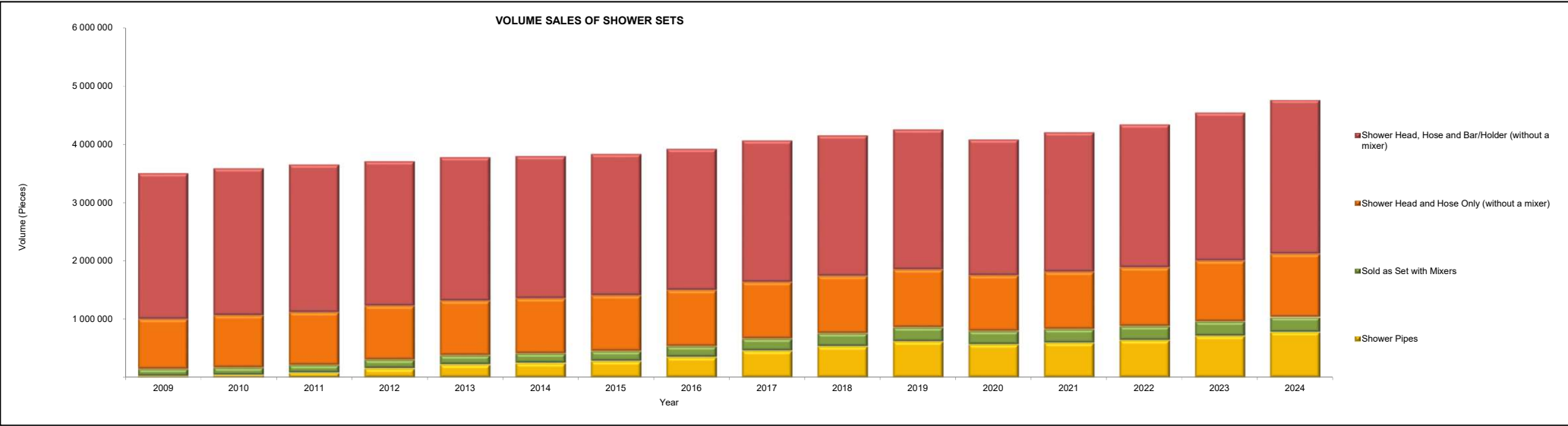
The shower accessories market is likely to be sustained and supported by the increased popularity of showering over baths over the forecast period. The increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY. BRG does not believe that the shower accessories market will reach maturity over the forecast period and, therefore, there is further room for market developments.

7.2.1 Historical Trends & Forecasts : Shower Accessories

FR - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



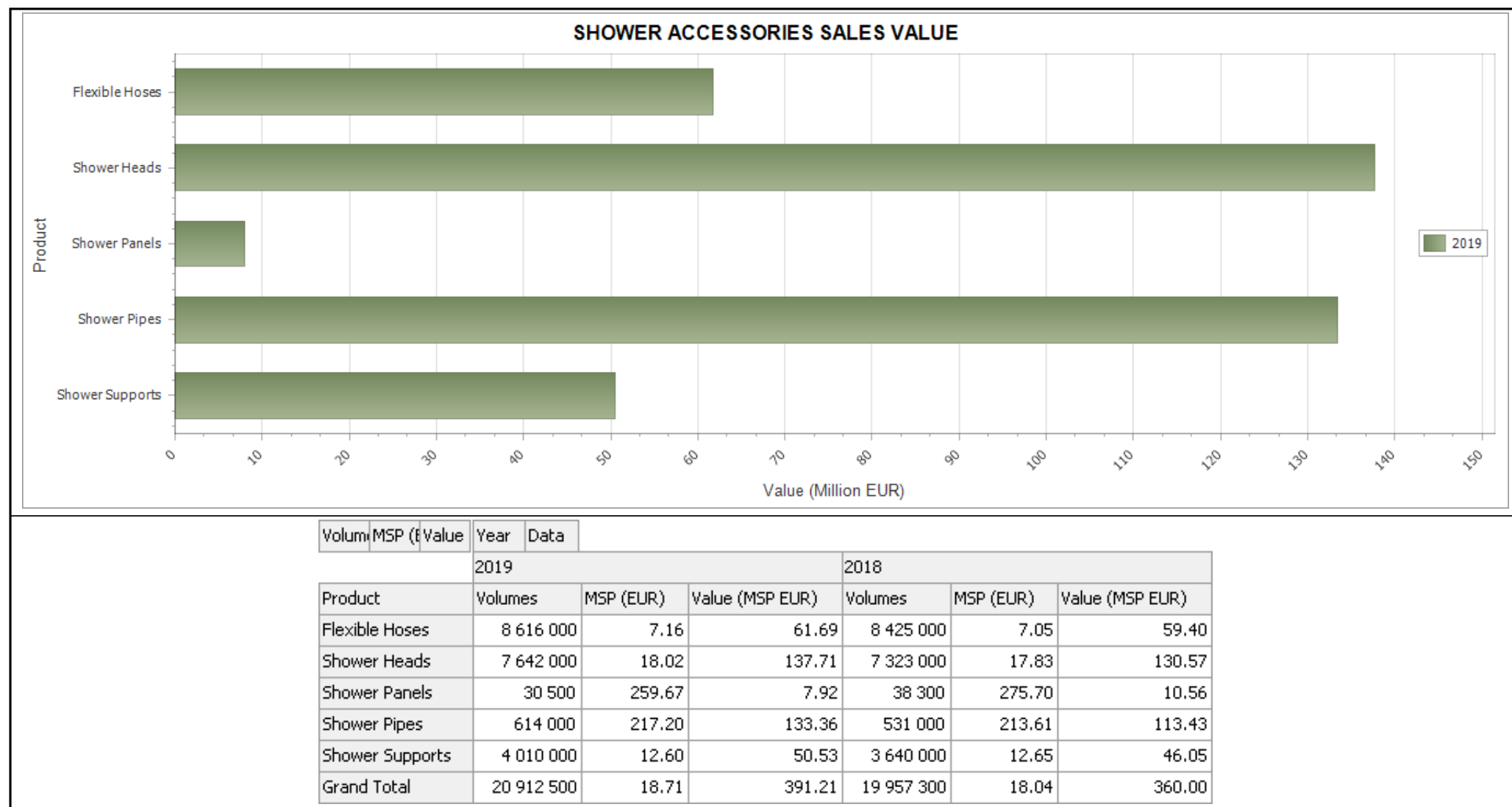
Source: BRG based on industry interviews.



Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	2 505 000	2 525 000	2 535 000	2 480 000	2 465 000	2 443 000	2 428 000	2 424 000	2 430 000	2 414 000	2 402 000	2 330 000	2 395 000	2 455 000	2 541 000	2 643 000
	% Change	-	0.80%	0.40%	-2.17%	-0.60%	-0.89%	-0.61%	-0.16%	0.25%	-0.66%	-0.50%	-3.00%	2.79%	2.51%	3.50%	4.01%
	Shower Head and Hose Only (without a mixer)	860 000	900 000	910 000	930 000	940 000	950 000	960 000	968 000	975 000	987 000	998 000	960 000	987 000	1 012 000	1 047 000	1 089 000
	% Change	-	4.65%	1.11%	2.20%	1.08%	1.06%	1.05%	0.83%	0.72%	1.23%	1.11%	-3.81%	2.81%	2.53%	3.46%	4.01%
	Sold as Set with Mixers	120 000	125 000	130 000	145 000	155 000	160 000	168 000	182 000	204 000	221 000	239 000	225 000	231 000	237 000	245 000	255 000
	% Change	-	4.17%	4.00%	11.54%	6.90%	3.23%	5.00%	8.33%	12.09%	8.33%	8.14%	-5.86%	2.67%	2.60%	3.38%	4.08%
	Shower Pipes	19 200	38 300	76 500	153 000	219 000	245 000	278 000	347 000	456 000	531 000	614 000	565 000	592 000	636 000	710 000	775 000
	% Change	-	99.48%	99.74%	100.00%	43.14%	11.87%	13.47%	24.82%	31.41%	16.45%	15.63%	-7.98%	4.78%	7.43%	11.64%	9.15%
Grand Total		3 504 200	3 588 300	3 651 500	3 708 000	3 779 000	3 798 000	3 834 000	3 921 000	4 065 000	4 153 000	4 253 000	4 080 000	4 205 000	4 340 000	4 543 000	4 762 000
% Change Total		-	2.40%	1.76%	1.55%	1.91%	0.50%	0.95%	2.27%	3.67%	2.16%	2.41%	-4.07%	3.06%	3.21%	4.68%	4.82%

Source: BRG based on Industry Interviews

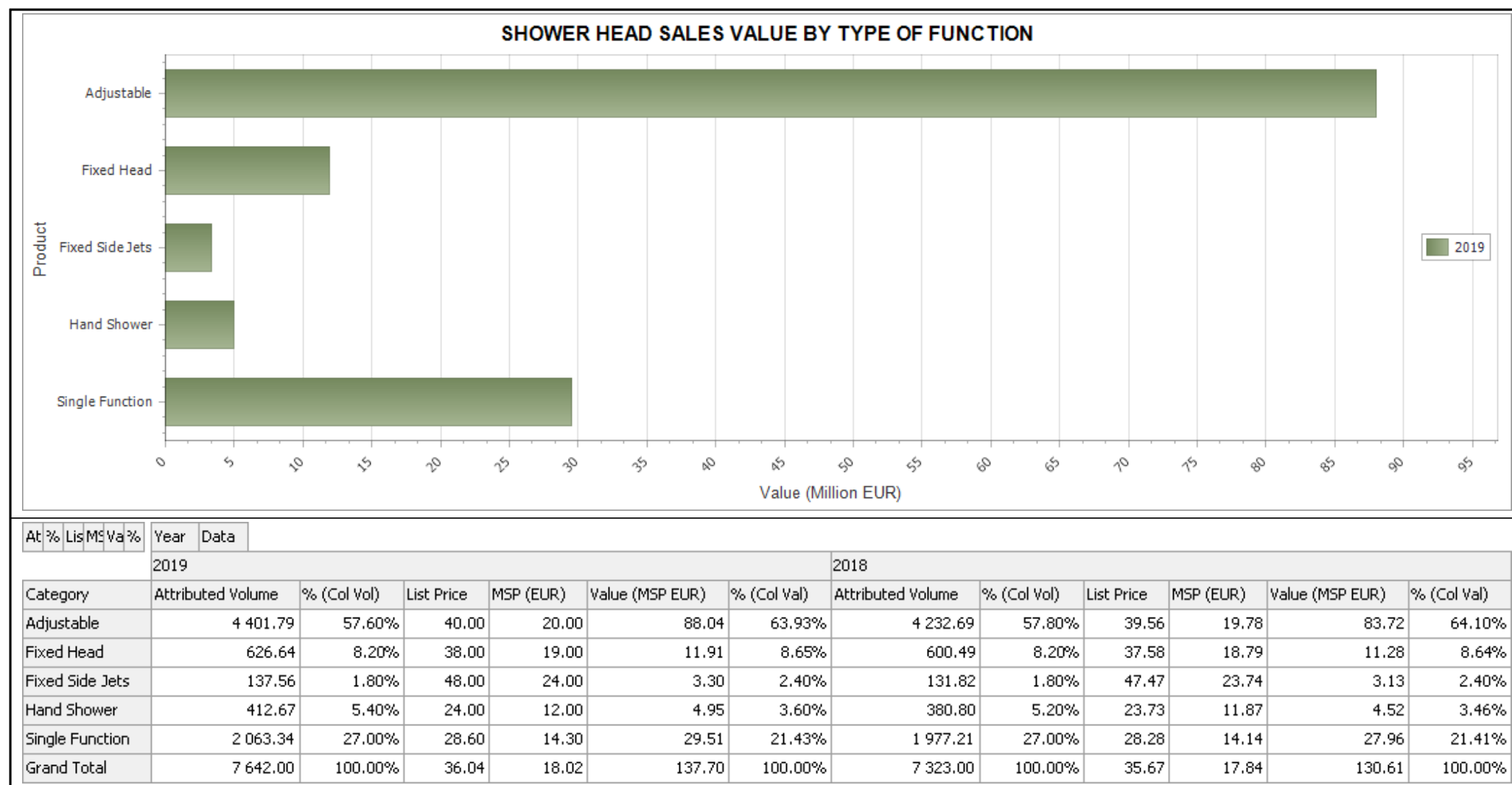
7.3.1 Prices and Market Values : Shower Accessories
FR - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

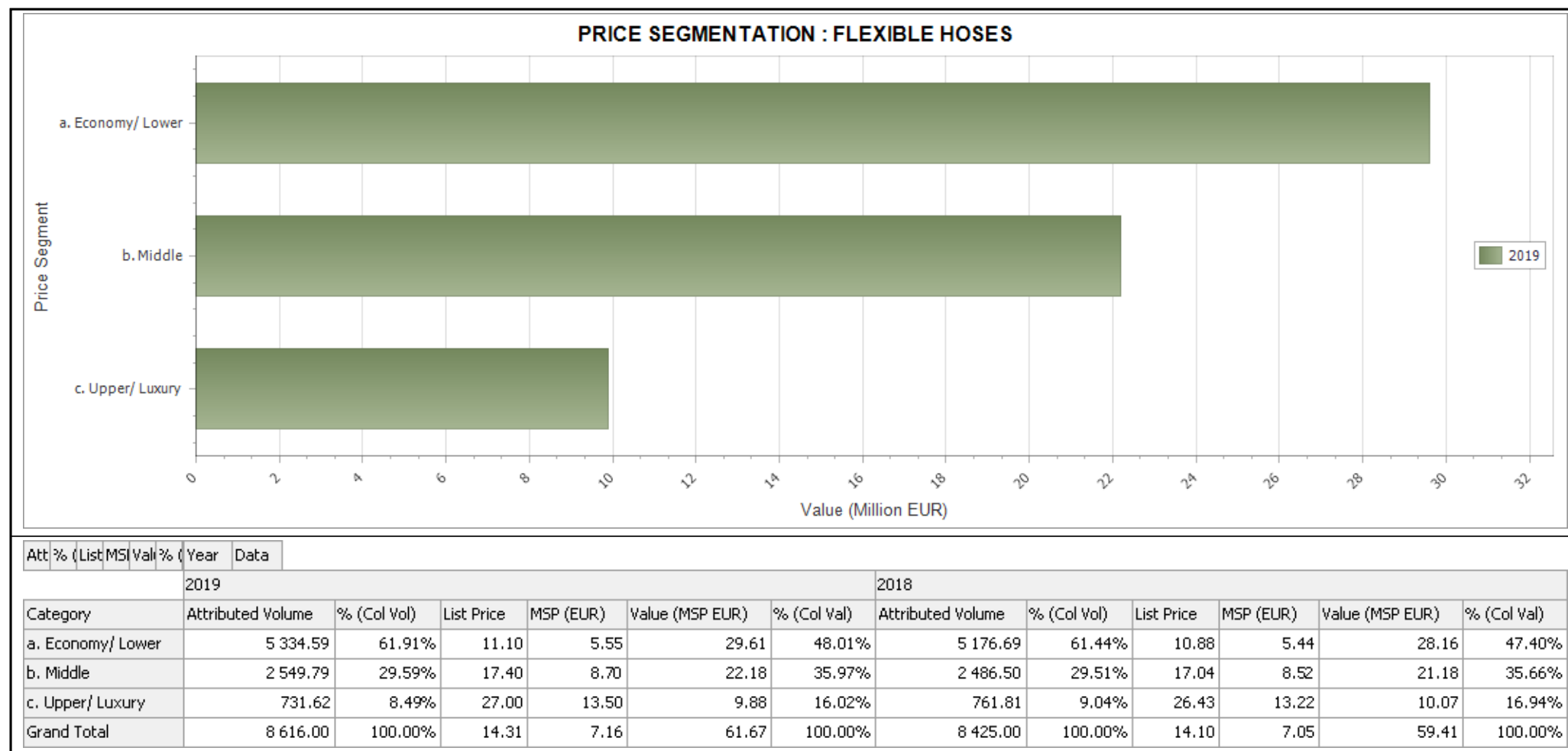
FR - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

FR - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

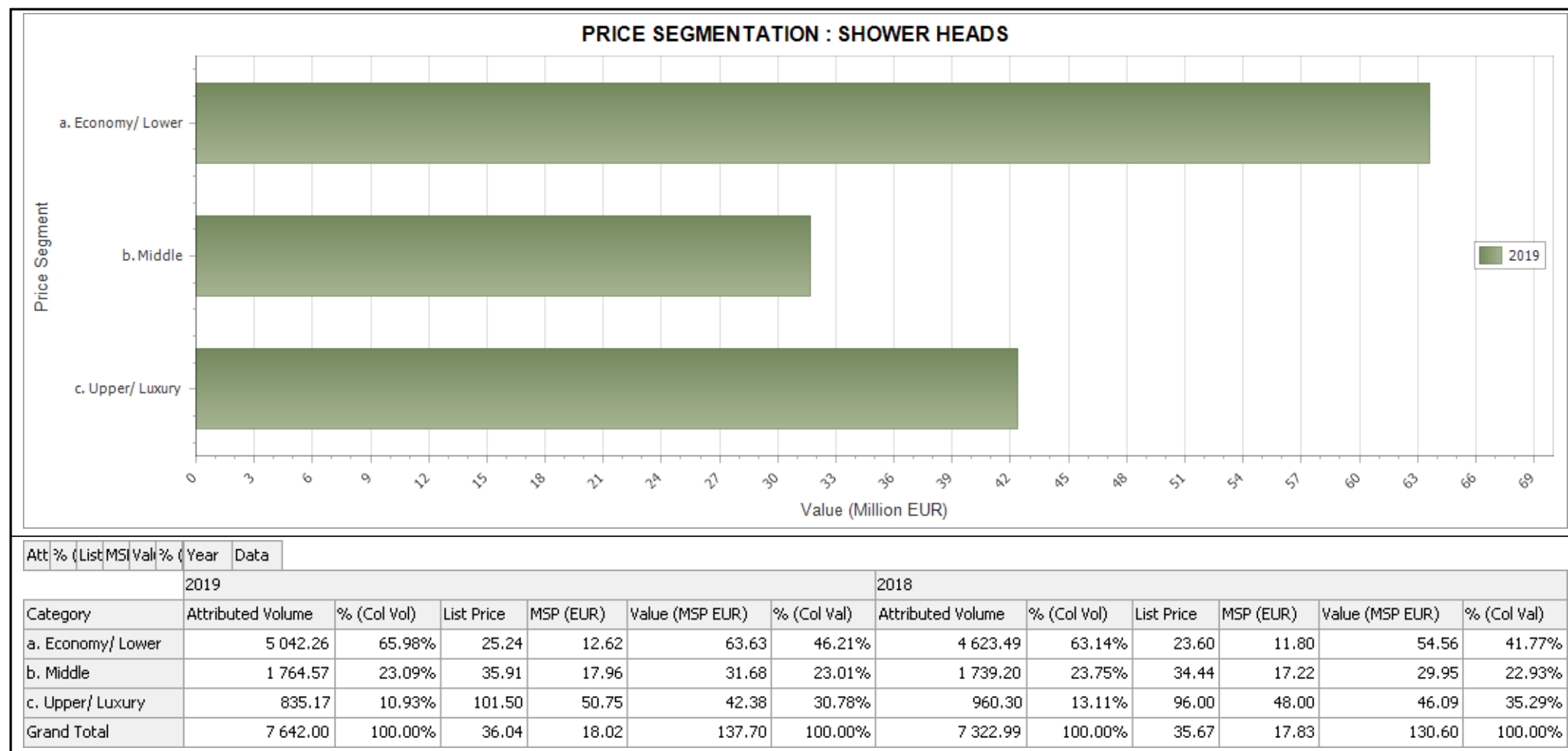


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€7, Middle €7-€10, Upper/ Luxury >€10

7.3.4 Price Segmentation : Shower Heads

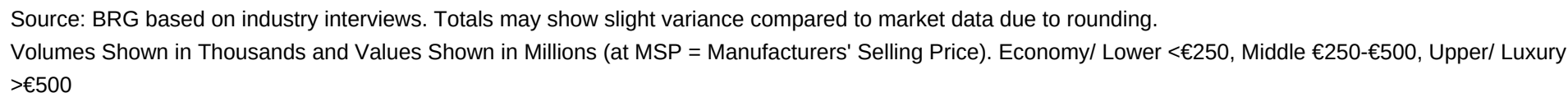
FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

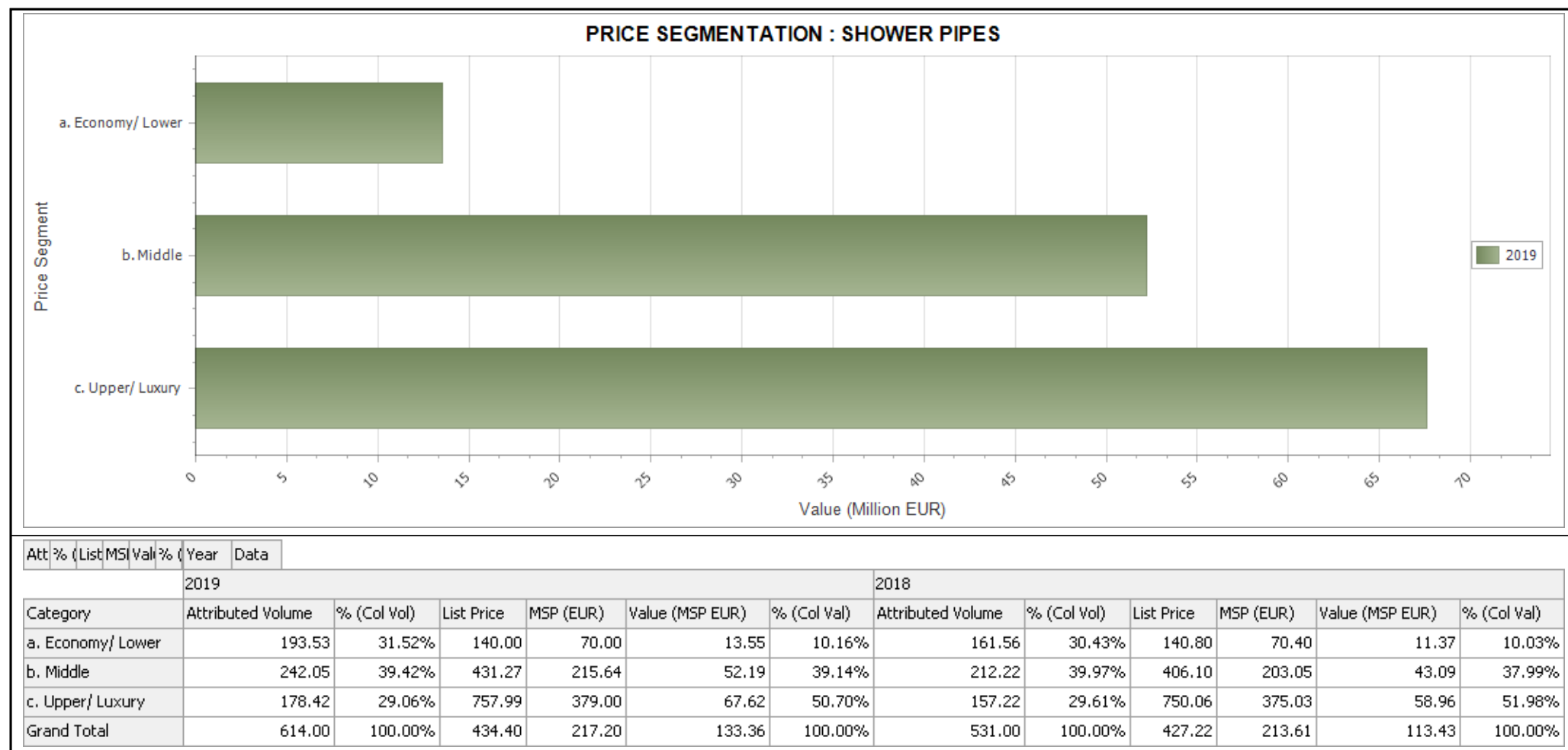
Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€15, Middle €15-€30, Upper/ Luxury >€30

FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS



7.3.6 Price Segmentation : Shower Pipes

FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

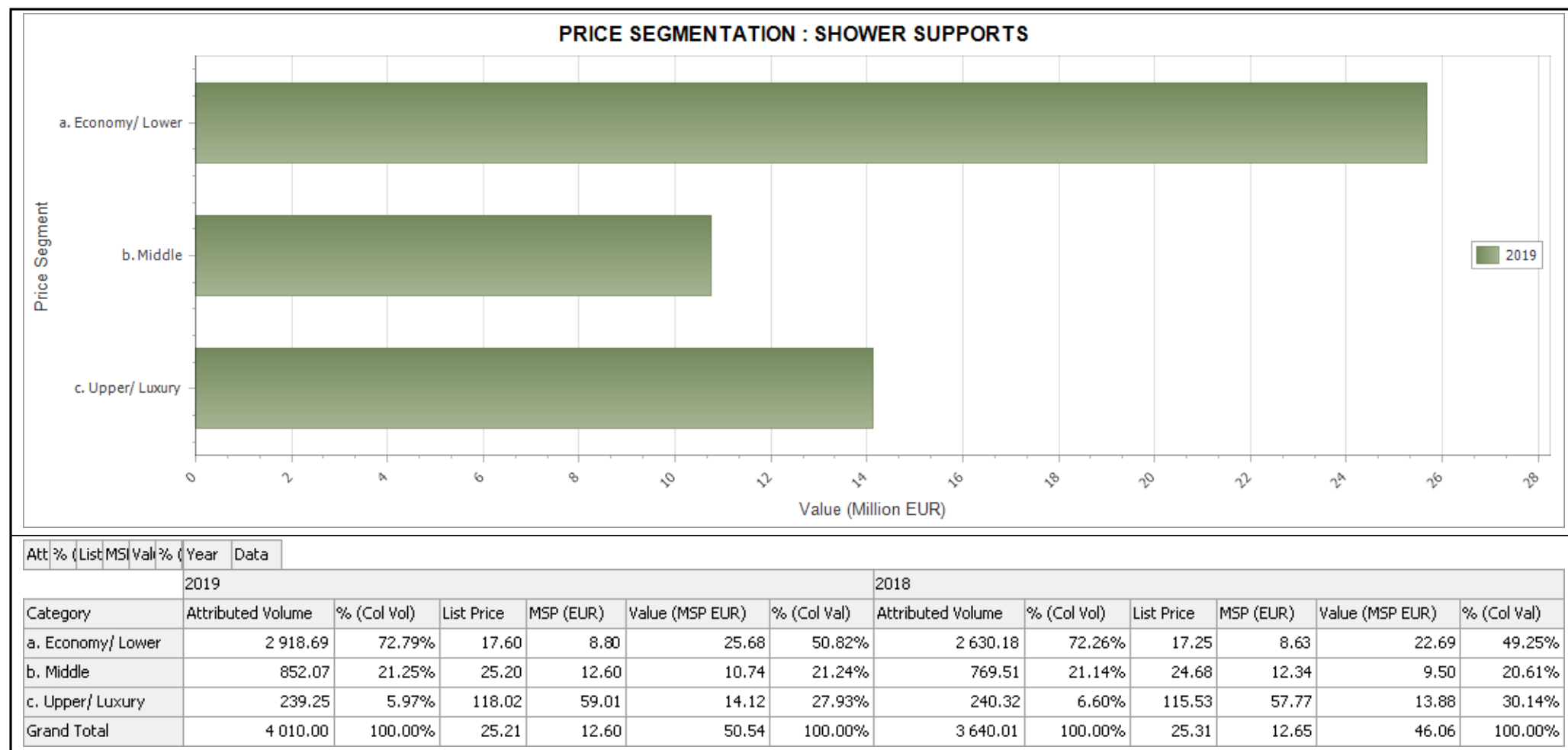


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

7.3.7 Price Segmentation : Shower Supports

FR - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

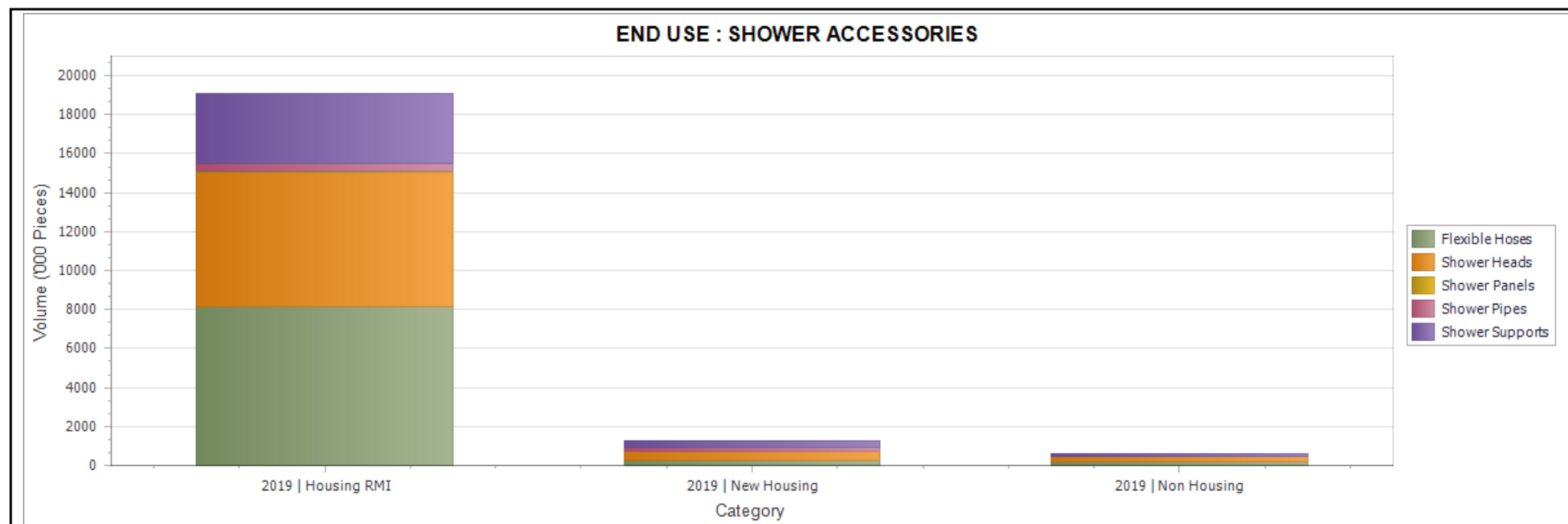


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€15, Upper/ Luxury >€15

7.4.1 End Use : Base Year

FR - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

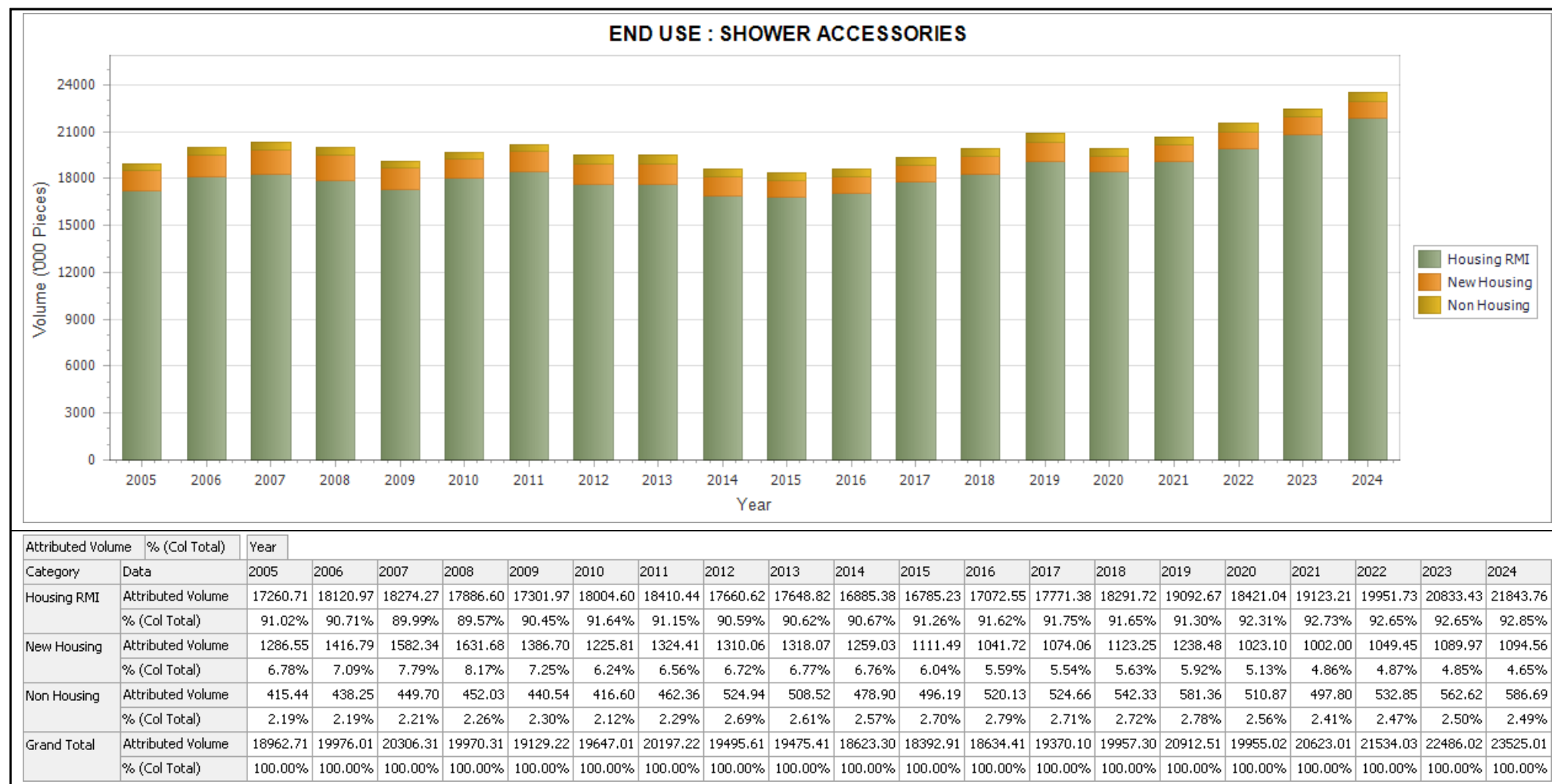


Attribu	% (Co	% (Ro	Year	Category	Data							
2019										2019 Total		
Housing RMI				New Housing			Non Housing					
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	8139.62	42.63%	94.47%	294.11	23.75%	3.41%	182.27	31.35%	2.12%	8616.00	41.20%	100.00%
Shower Heads	6932.42	36.31%	90.71%	436.24	35.22%	5.71%	273.34	47.02%	3.58%	7642.00	36.54%	100.00%
Shower Panels	23.38	0.12%	76.64%	3.66	0.30%	11.99%	3.47	0.60%	11.37%	30.50	0.15%	100.00%
Shower Pipes	432.92	2.27%	70.51%	164.17	13.26%	26.74%	16.91	2.91%	2.75%	614.00	2.94%	100.00%
Shower Supports	3564.33	18.67%	88.89%	340.31	27.48%	8.49%	105.36	18.12%	2.63%	4010.00	19.18%	100.00%
Grand Total	19092.67	100.00%	91.30%	1238.48	100.00%	5.92%	581.36	100.00%	2.78%	20912.51	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

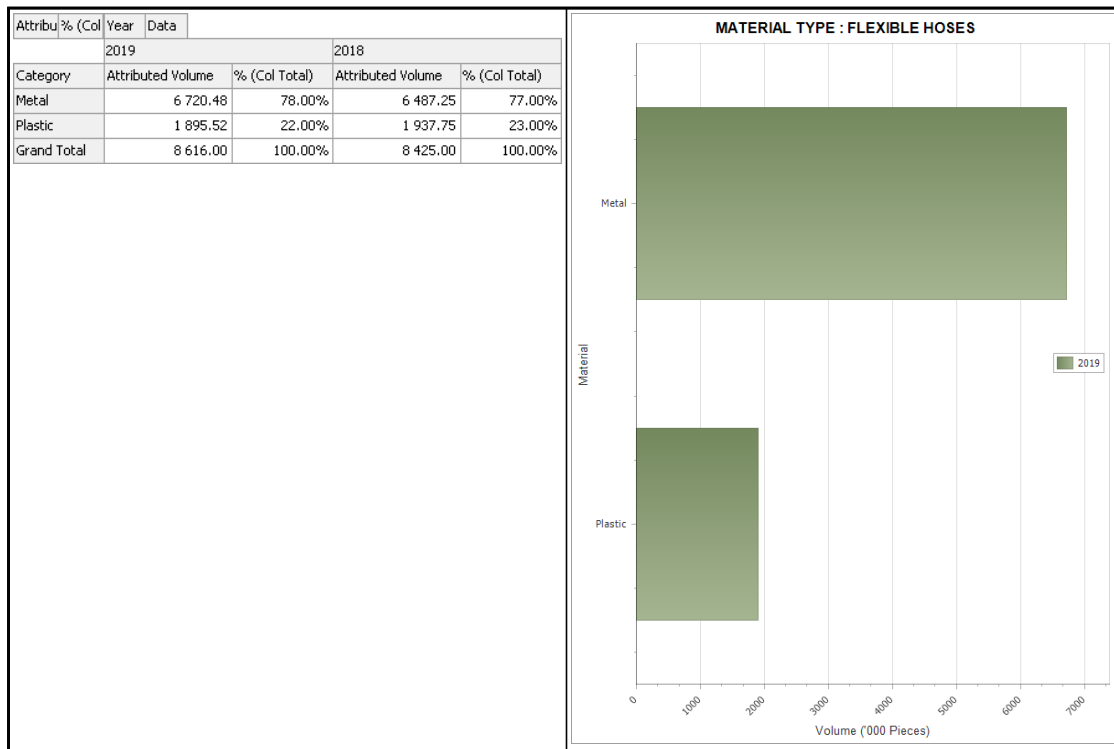
FR - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

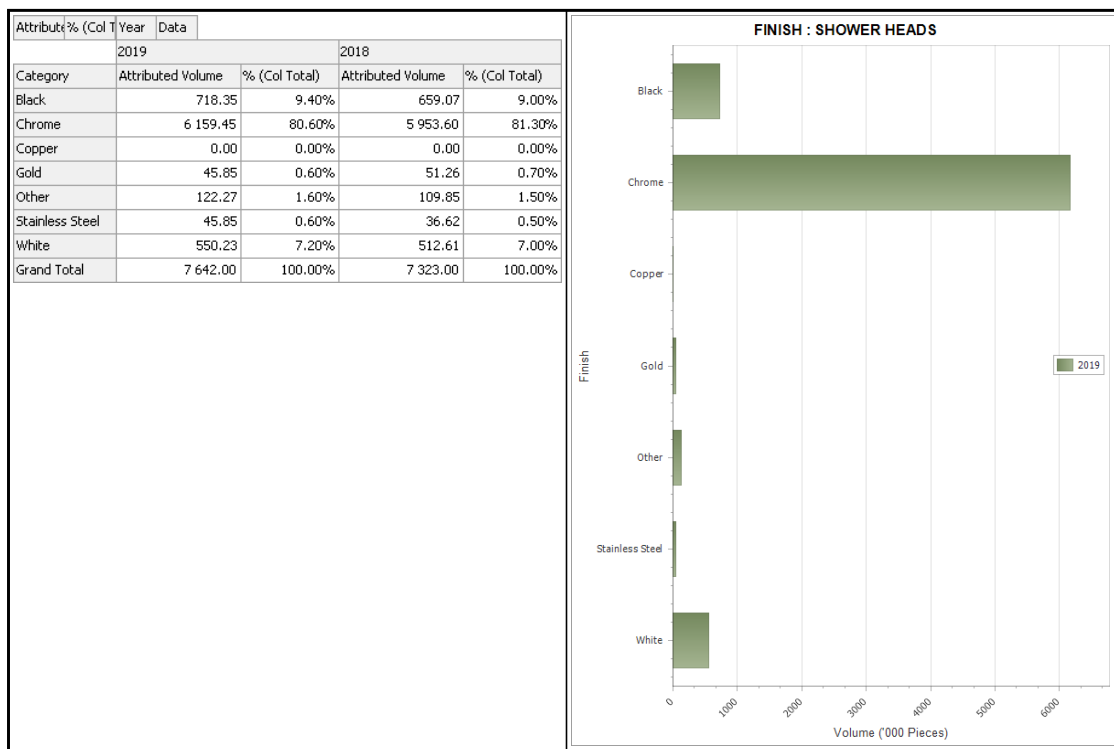
7.4.3 Sales By Type of Material : Flexible Hoses

FR - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



7.4.4 Sales by Type of Finish : Shower Heads

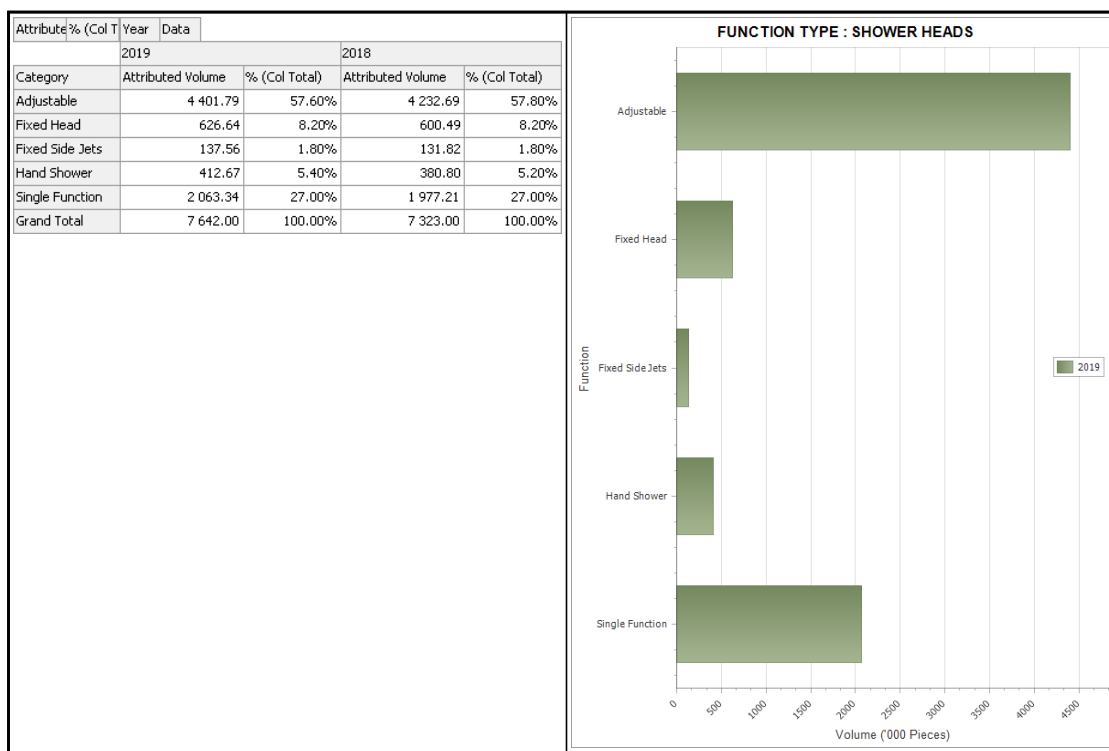
FR - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

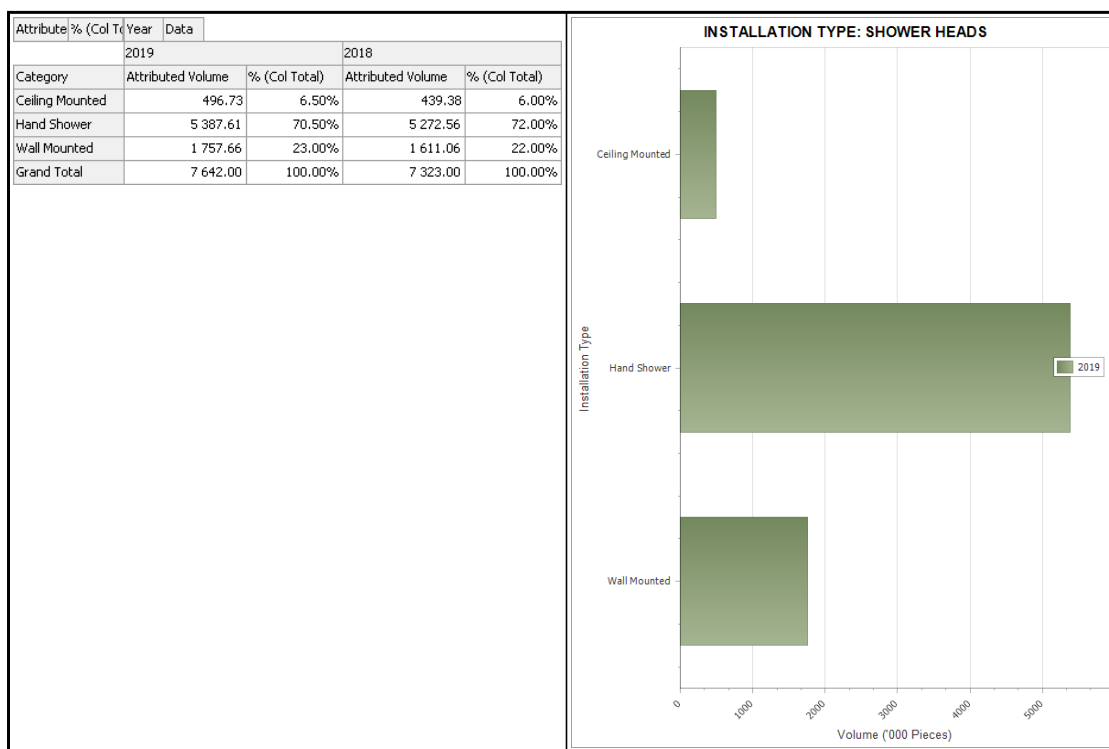
7.4.5 Sales By Type of Function : Shower Heads

FR - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



7.4.6 Sales by Type of Installation : Shower Heads

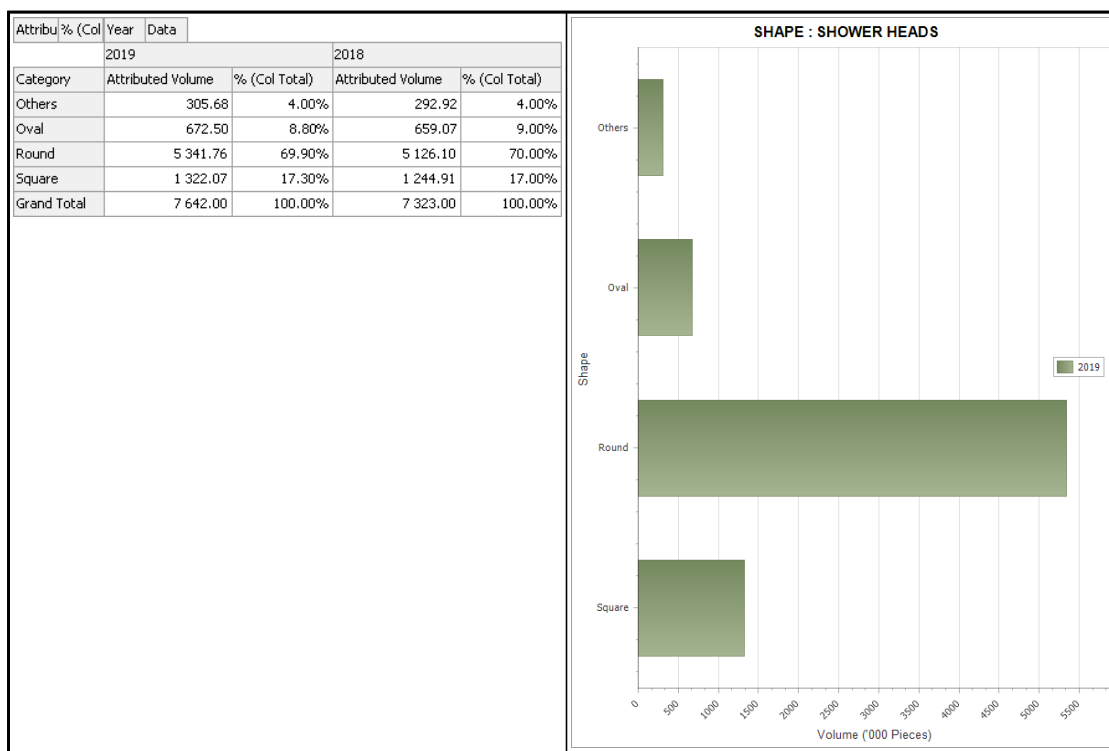
FR - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

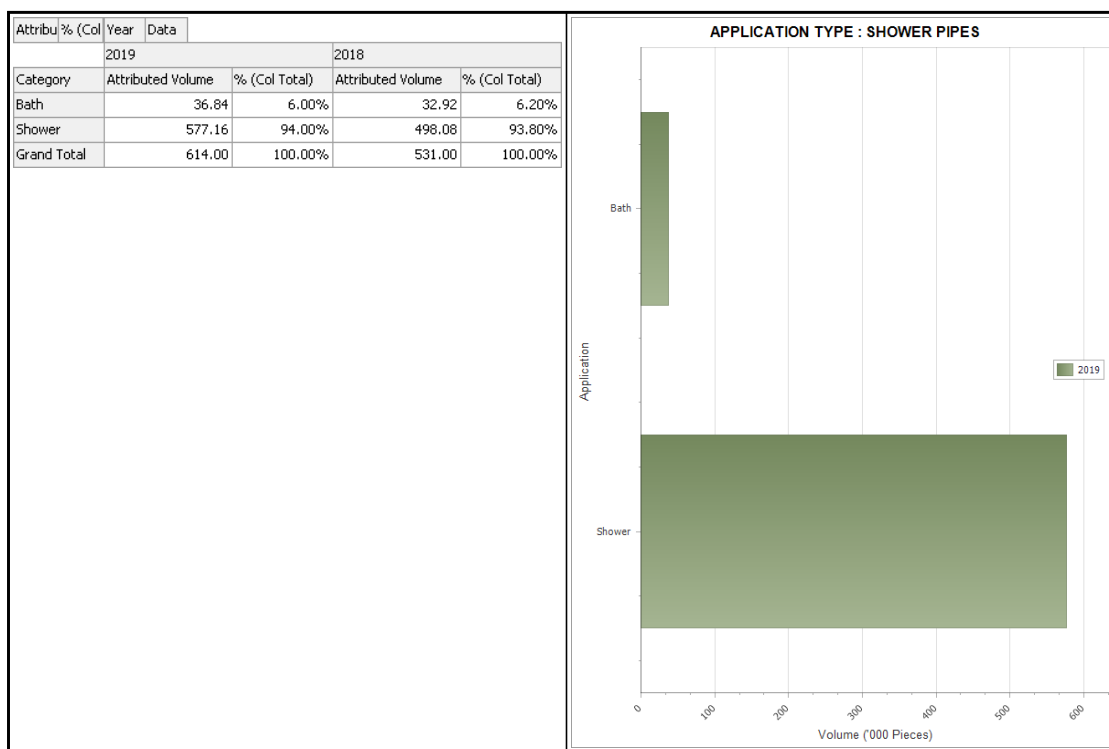
7.4.7 Sales By Type of Shape : Shower Heads

FR - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



7.4.8 Sales by Type of Application : Shower Pipes

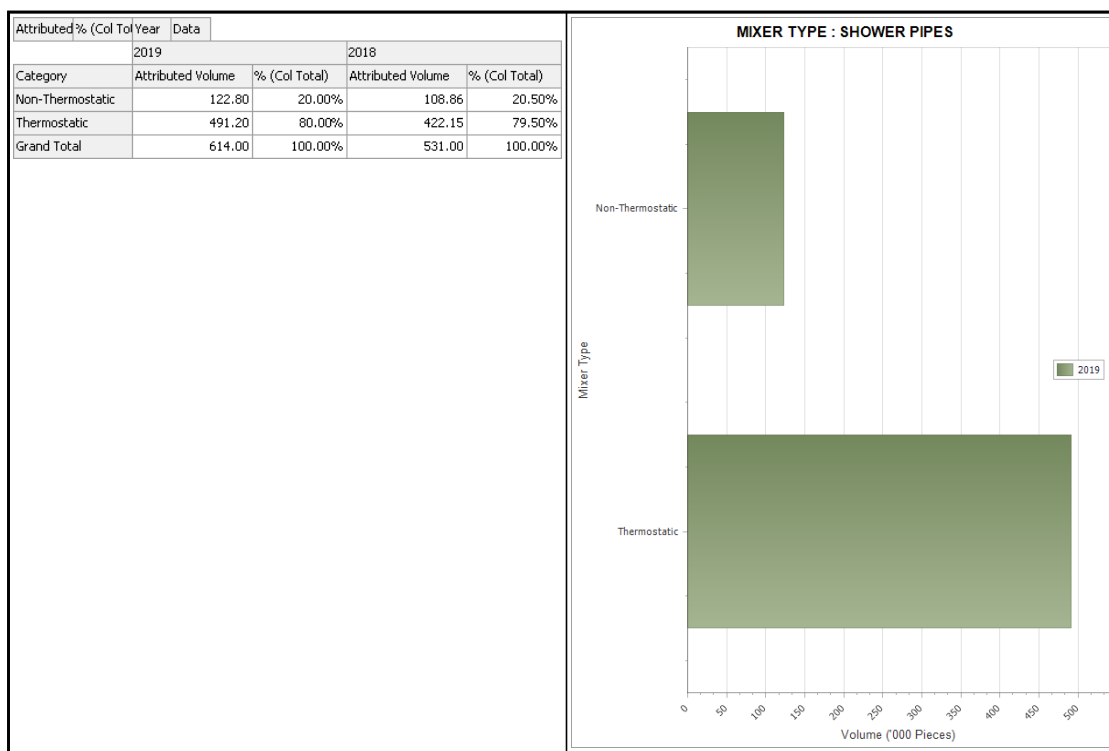
FR - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

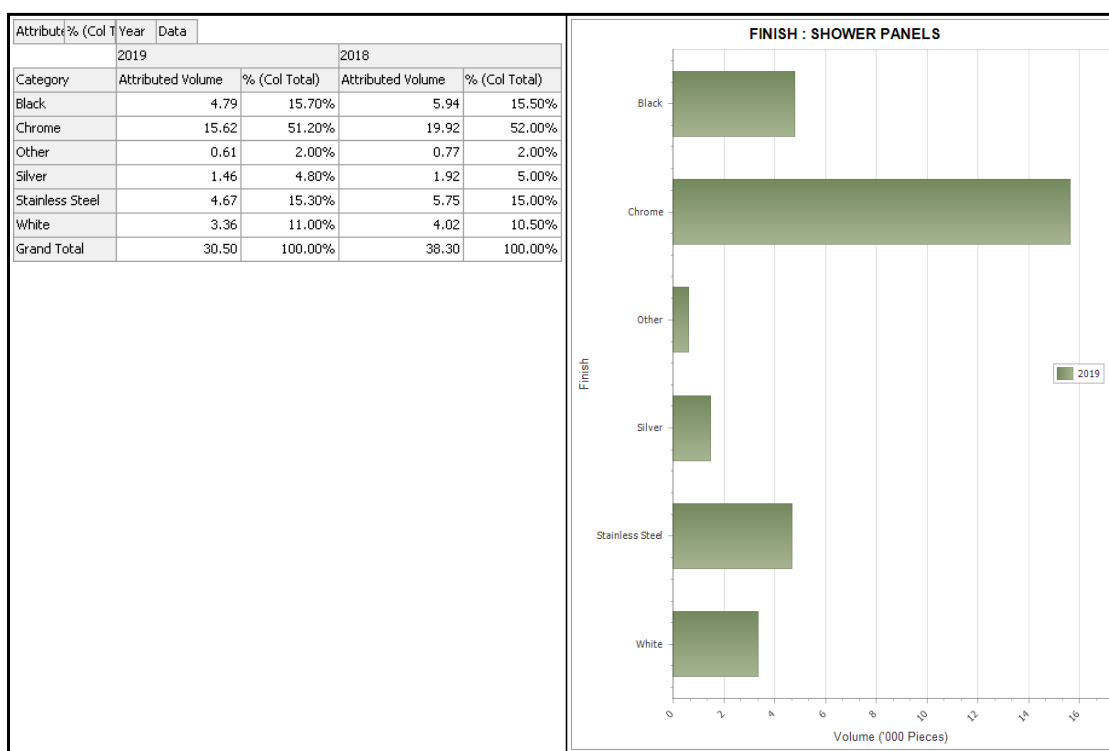
FR - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

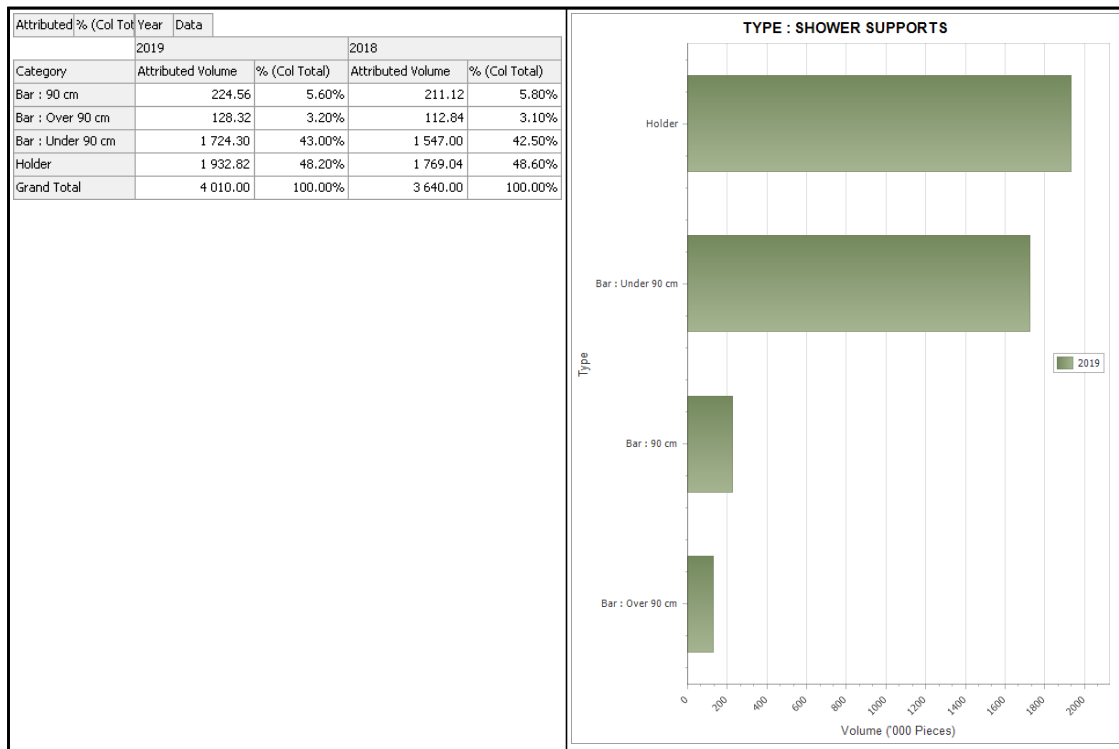
FR - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

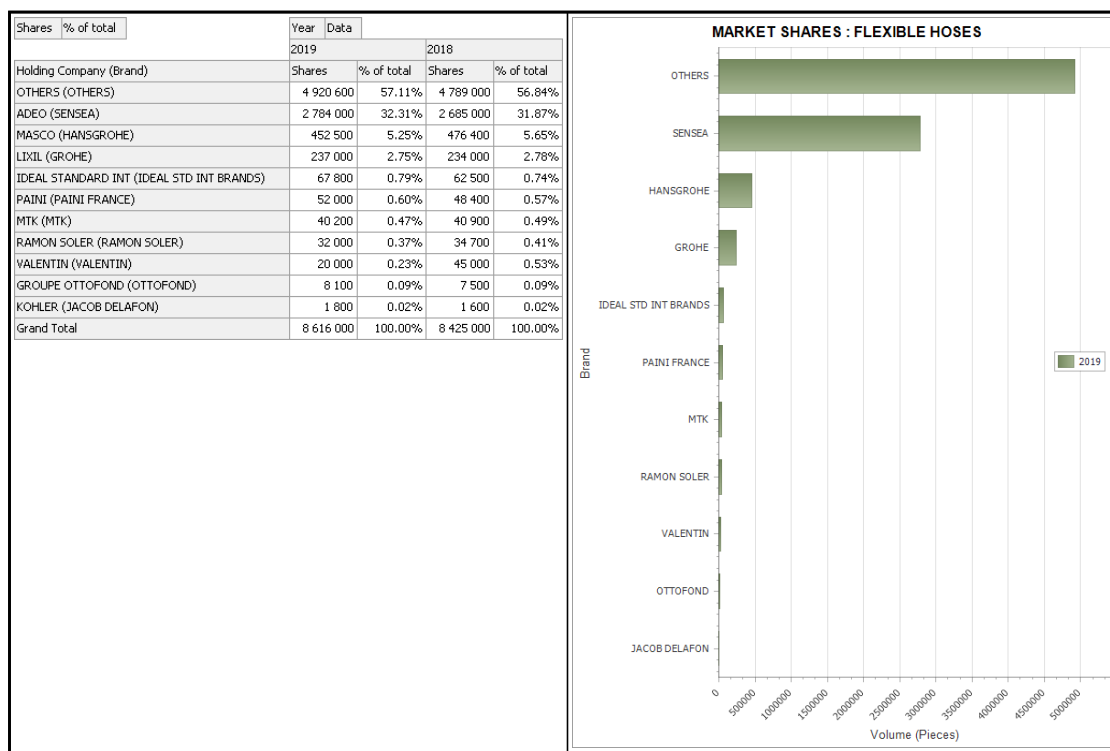
FR - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

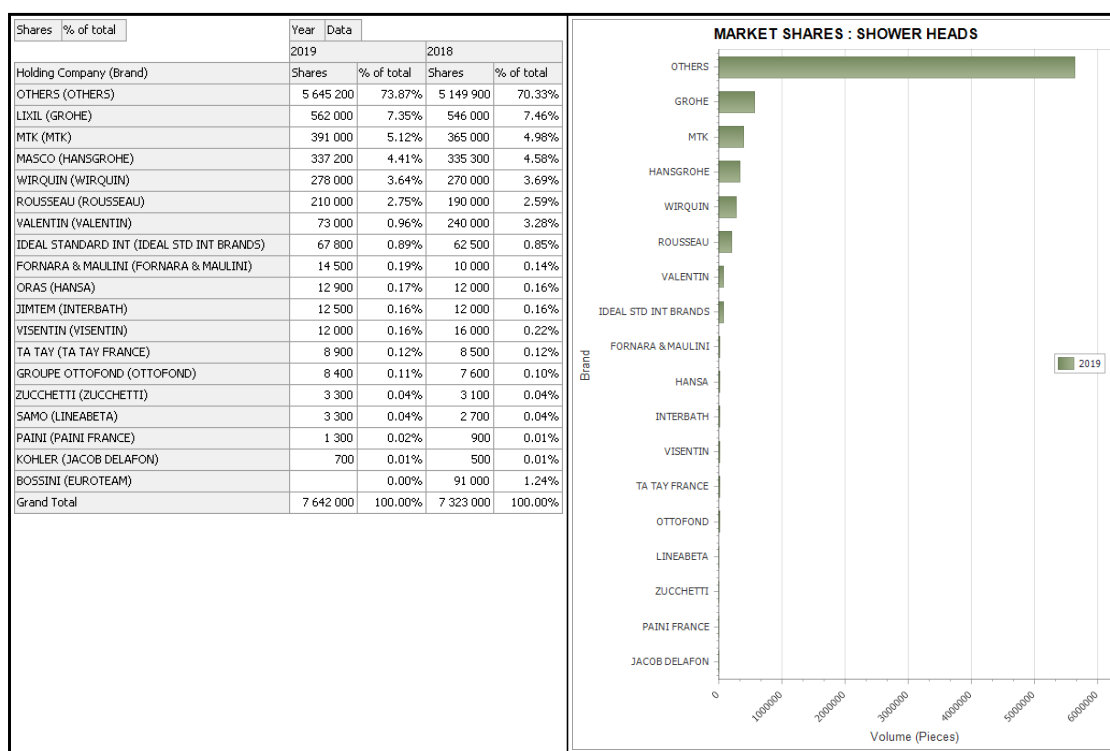
FR - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

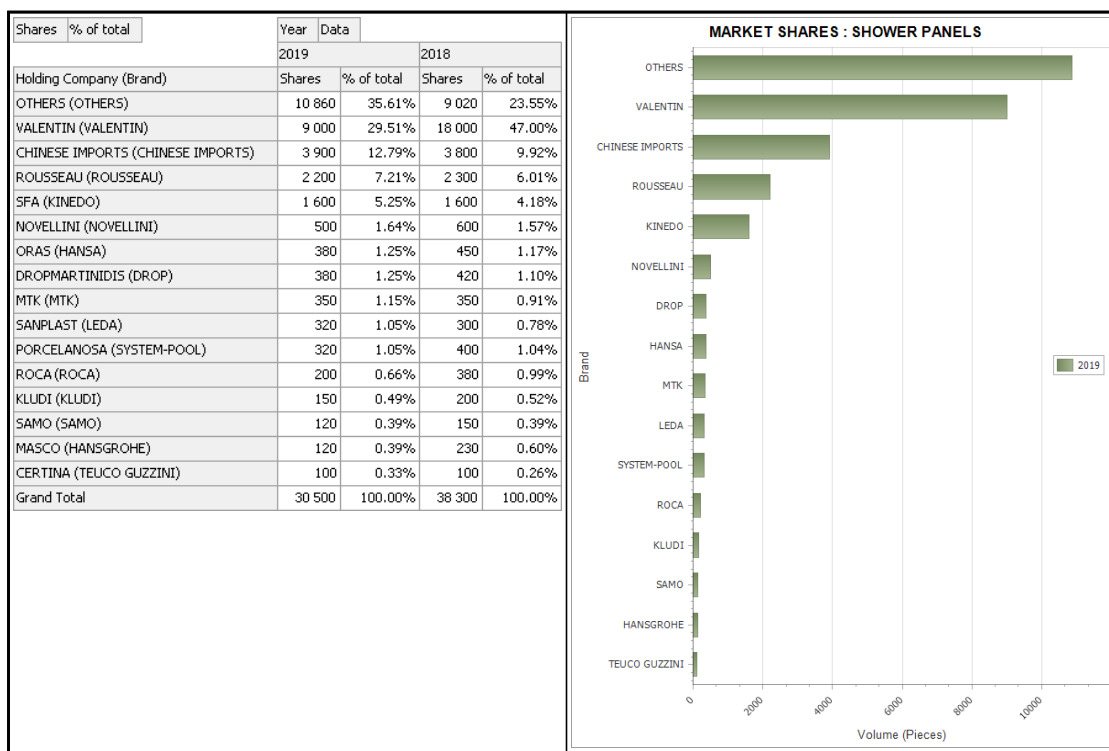
FR - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

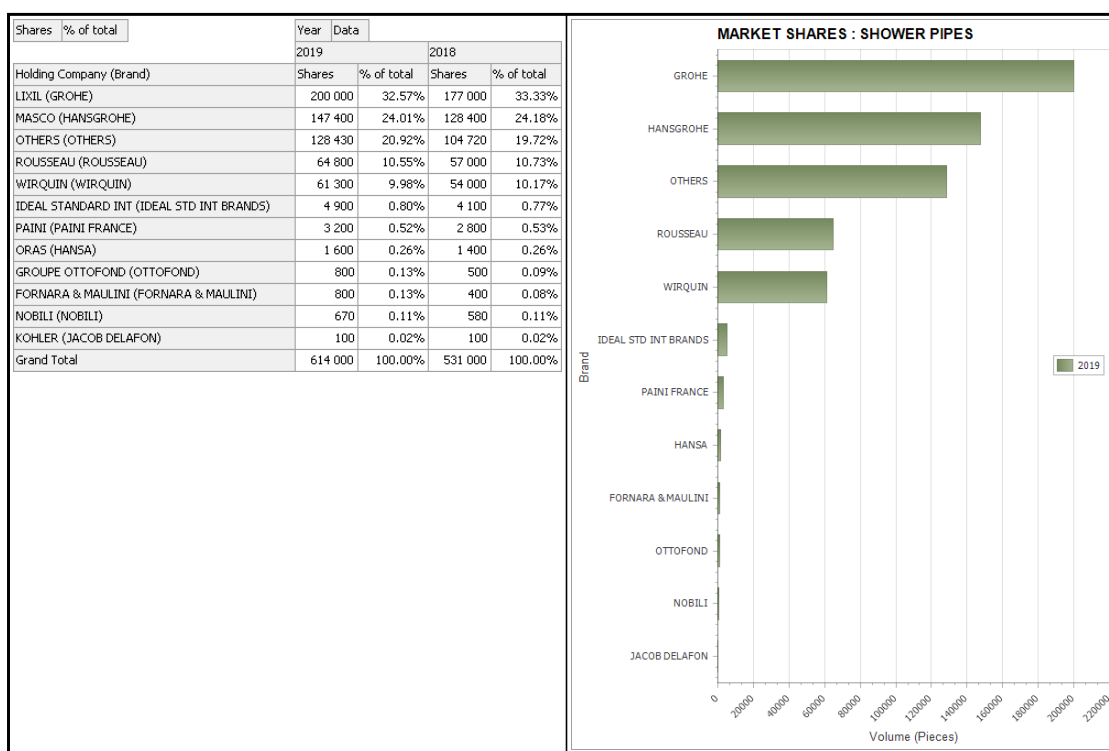
FR - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

FR - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1 Route to Market: Shower Accessories
FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	29.4%
	Wholesalers / Merchants
	29.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.4%	2.6%	55.0%	1.0%	0.9%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.0%		56.0%		9.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	5.9%	0.0%	12.2%	6.3%
Installers				
24.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	7.0%	10.4%	10.0%	42.8%	3.1%	24.0%	0.4%	0.5%	0.0%	1.0%	0.5%	0.4%
	Residential						Non-Residential					
	97.2%						2.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	5.9%			91.3%			1.0%			1.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	2.4%		3.5%	7.0%		84.3%	1.0%		0.0%	0.3%		1.5%

7.6.2 Route to Market: Shower Accessories
FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	24.2%
	Wholesalers / Merchants
	24.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.8%	3.7%	54.5%	1.0%	0.8%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.5%		55.5%		9.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	5.7%	0.0%	12.4%	6.8%
Installers				
24.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	12.4%	4.2%	11.5%	42.1%	2.5%	24.8%	0.3%	0.6%	0.0%	1.0%	0.5%	0.1%
	Residential						Non-Residential					
	97.5%						2.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	4.7%			92.7%			1.0%			1.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.6%		3.1%	7.0%		85.7%	1.0%		0.0%	0.3%		1.2%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

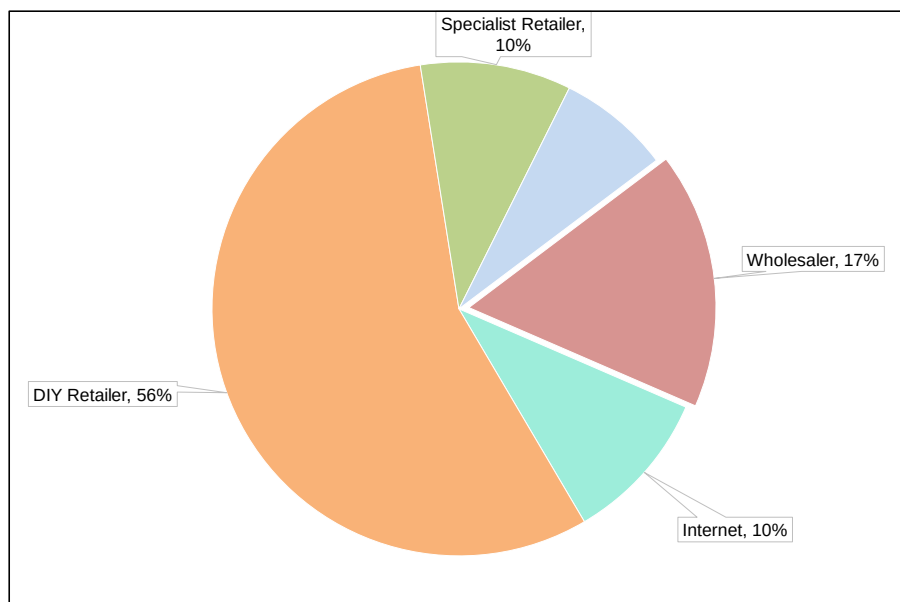
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.8%	10.0%	56.0%	9.9%	7.4%	9.4%	1.3%	87.8%	1.5%
100%					10.7%		89.3%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

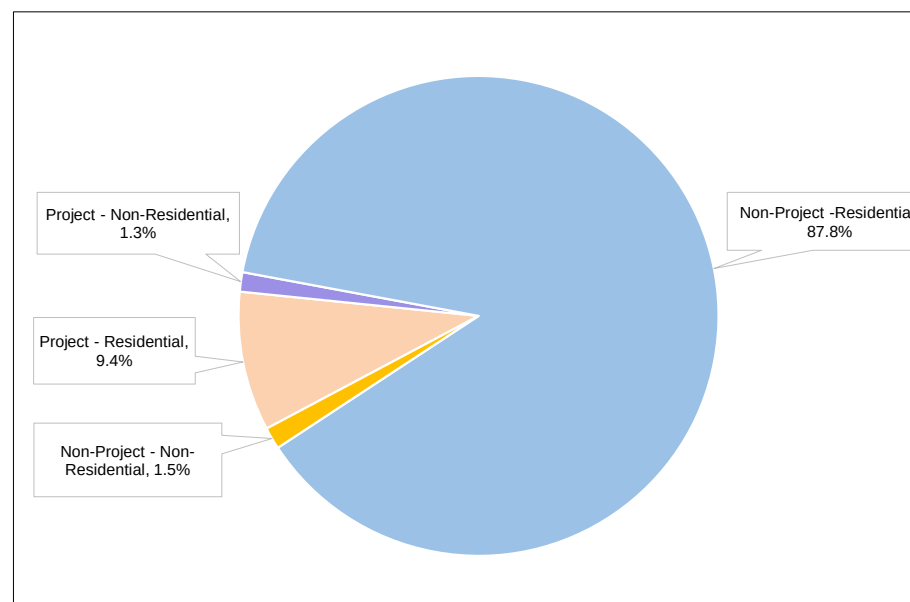
FR - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
10.5%	11.5%	55.5%	9.8%	12.7%	8.6%	1.3%	88.9%	1.2%
100%					9.9%		90.1%	

FR - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



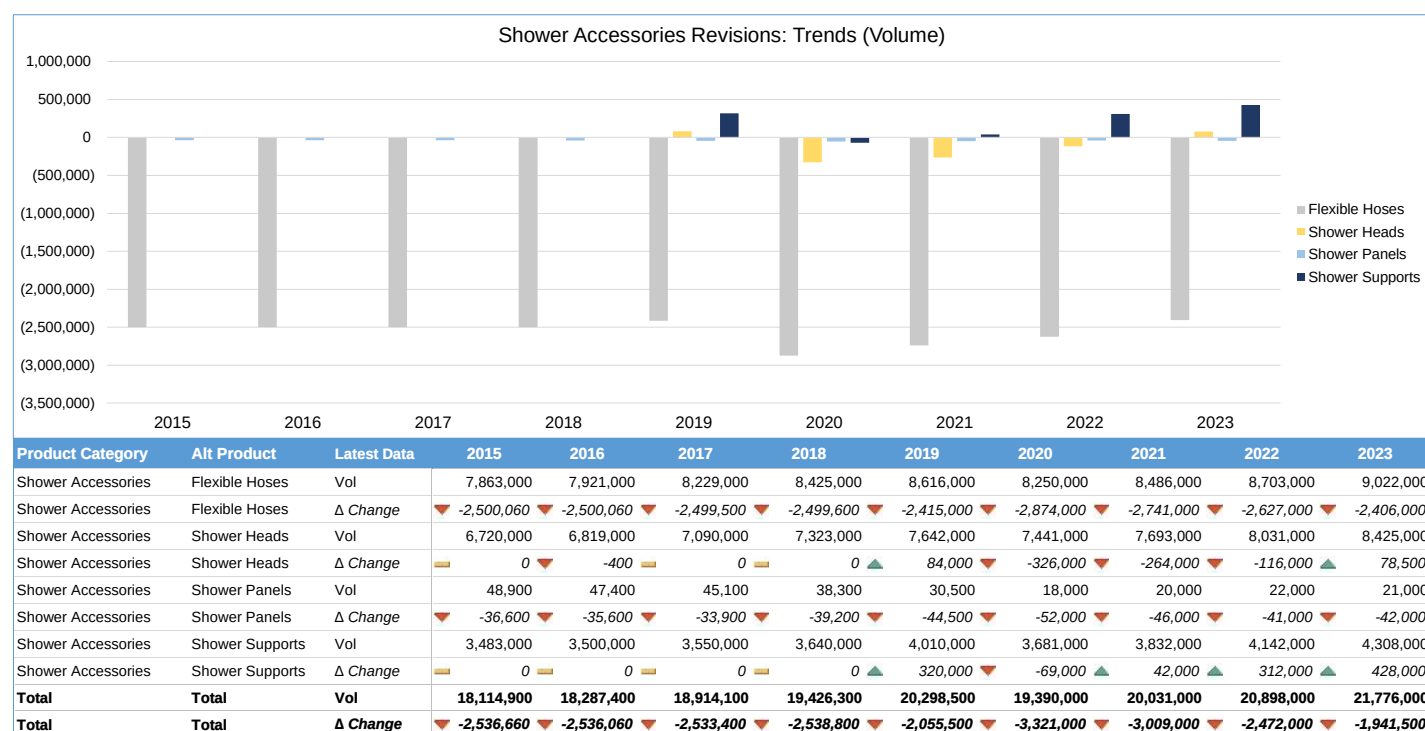
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the French Shower Accessories Market (April 2020)

FR - REVISIONS IN THE FRENCH SHOWER ACCESSORIES MARKET

Data Comparison: April 2019



Flexible hoses and shower panels market were revised downwards historically, which was validated by industry feedback. The hydrotherapy market is a declining market and is not expected to take off in the future because mainly of the price. Flexible hoses and shower head are generally replaced together, pushing the size of both markets to be similar as the renovation market accounts for the majority of sales for both products.

The shower pipe market was previously under evaluated and, thus, was revised historically. According to industry feedback, share of residential RMI are more important than the volume previously estimated. Indeed, the market is slowly reaching maturity, with multiple players on the French market. However, shower accessories have a shorter average lifespan than other bathroom products, resulting in a higher replacement demand.

FRANCE

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In the years up to 2007, the kitchen sink market experienced steady growth, positively driven by activity in the construction market. Sales of kitchen sinks are closely linked to the overall kitchen market, as they are usually bought as part of a new kitchen rather than as a single item. However, the market development has long been linked to replacement activity, which has traditionally comprised the bulk of sales of kitchen sinks. Such a driver explains the continuing decrease in sales seen since 2008.

Sales of ceramic sinks have experienced decreasing importance in volume in France since 2011, but should benefit from recently growing demand for that product. Ceramic sinks are traditionally made from kiln-fired porcelain or fireclay to form robust sinks. Traditionally white or ivory coloured, ceramic sinks constitute an alternative to stainless steel sinks. This product has progressively turned into a luxury product, designated for luxury hotels and houses in housing RMI.

A steady demand for stainless steel kitchen sinks, which dominate the market, has clearly kept the market for kitchen sinks afloat in recent years. Several reasons may explain the sales trends for stainless steel kitchen sinks over the last decade. Firstly, manufacturers of stainless steel kitchen sinks chose to adopt an aggressive price positioning strategy and promote the products' use for sleek and modern kitchen decor. Although stainless steel kitchen sinks positioned in the budget/low price range reportedly experience issues with surface rust and staining, recent improvements from manufacturers have made stainless steel material more resistant, thanks particularly to the growing share of nickel in its composition.

Over the past few years, manufacturers have developed synthetic materials, combining the strength and durability of cast iron with the lightweight and rustproof features of steel. Synthetic models have grown in popularity in recent years, due to the fact that they are easily available in DIY stores at low-price range. There are two different types of synthetic sinks. Firstly, demand for sinks with alternative colours has brought about the development of granite/quartz-based materials, which are marketed under various brand names. Then, there has been a growing demand for synthetic sinks made from SMC (sheet moulding compound or composite), a ready-to-mould fibre-reinforced polyester material. As with BMC (bulk moulding compound), SMC is a mixture of polymer resin with glass reinforcement, but, in comparison to BMC, the glass length is longer. BMC is generally cheaper than SMC, but less shock resistant. In France, two types of SMC sinks may be found: the first type is referred to as 'pure SMC' (also known as *teintés dans la masse*), a cheap priced model; the second type is coated with PIMC (powder in-mould coating), which gives a smoother finish and greater space to the sink when compared to pure SMC. These sinks are shock resistant and more aesthetically pleasing, because of the colours available on the market. SMC sinks coated with PIMC are mainly in the middle, upper and premium product ranges.

In the French kitchen market, most sinks are inset models, while countertops are only found within the ceramic category. Inset sinks are sold as a complement to a countertop, whereas countertop sinks are indivisible from worktops. Kitchenettes are to some extent installed in France, especially in small-sized flats and studios. In student buildings, for instance, flats often comprise a kitchenette. In recent years, undermount sinks have become increasingly more popular in new and existing French kitchens. They provide a nice design and aesthetic, and are functional because the sink sits underneath the countertop. Most kitchen sink manufacturers already offer a range of undermount sinks across different materials.

Recent Market Trends

In 2019, sales of kitchen sinks continued to increase – in line with the overall improvement of the kitchen sector. As previously mentioned, sales of kitchen sinks are closely linked to the overall kitchen market, as they are usually bought as part of a new kitchen rather than as a single item, and it appears that the kitchen market was positive in 2019. This positive year was firstly driven by the ongoing recovery of the new housing market, for both apartment buildings and family houses. In addition, the market benefitted from the willingness of French households to refurbish their kitchens in order to make them more practical and aesthetically pleasing. The kitchen is becoming a more social focal point in French homes, so the refurbishment of this room is starting to be a higher priority for consumers. BRG believes that the wide range of offers and services available in the French kitchen sink market played an important role, and also allowed the market to remain dynamic, in 2019. Finally, increased sales to the non-residential sector also contributed to the overall positive performance of the kitchen sink market, with demand coming from both the new and renovation segments.

All product categories experienced volume growth – with the exception of the market for cast iron, which remains in long-term decline.

Sales of ceramic kitchen sinks increased in 2019, after having suffered in recent years from fiercer competition from synthetic kitchen sink sales as well as decreasing imports. The stainless steel segment recorded a strong increase last year, due to the fact that this product benefits from a long lifespan and resistance, affordable prices and ease of installation (both in modern and traditional interior designs). Sales of synthetic models continued to grow in 2019 compared to the previous year, driven by both the kitchen new building and renovation activity. Synthetic kitchen sinks attracted more consumers due to their aesthetic features, low prices and positioning across inset, kitchenette and more recently undermount installations. BRG believes that synthetic models have been gaining market shares at the expense, mainly, of ceramic kitchen sinks. Finally, cast iron and enamelled steel kitchen sinks continue to remain niche segments.

Prices and Market Values

The market value for kitchen sinks increased in 2019, due to the increase in volume sales as well as the increase in MSPs of most products. In fact, the MSPs increased for all products in 2019. BRG believes that French households are increasingly attracted by innovative and designed products, such as undermount sinks, and by higher quality – which explains why most average prices grew in 2019. This is often the case when households build their first house or renovate an entire kitchen. Ceramic kitchen sinks are relatively more expensive than synthetic and stainless steel kitchen sinks, since they are strong and non-corrosive. Therefore, in 2019 sales of ceramic kitchen sinks continued to count for a significant part of the overall market value.

New Housing

Of all kitchen sinks sold to new housing in 2019, most were made of stainless steel, since this material is well known for its quality, design features and low price, followed by sales of synthetic and ceramic models. The strong ongoing bounce-back of the new housing market has ultimately had a positive impact on the number of kitchen sinks installed, since every new dwelling needs at least one kitchen sink.

Housing RMI

The largest end-use segment, housing RMI, was once again one of the main contributors behind the overall improvement of the kitchen sink market in France in 2019. This segment was positively impacted by the great level of households' private consumption. Most consumers still prefer to purchase their kitchen products as part of an overall kitchen plan, which gives companies that offer a complete set the most control when selling into this key market segment. The housing RMI market mainly comprises synthetic, stainless steel and ceramic kitchen sinks. The decrease of the ceramic sink share in housing RMI continued to benefit both the stainless steel and synthetic segments in 2019. Overall, ceramic and synthetic materials are traditionally used in the renovation sector, reflecting a preference for better aesthetics in new housing and greater durability for housing RMI purposes.

Non-Housing

In 2019, sales going to the non-housing sector increased, in line with the good performance of not only the new non-residential sector but also the renovation segment. Most products installed were sinks equipped with stainless steel material. This may easily be explained by the fact that this material is well suited for sleek and modern kitchen decor and makes an excellent match for a wide range of kitchen taps and appliances, especially in the hotel industry. Consequently, numerous 'designer' stainless steel sinks are now available in a large variety of shapes and sizes.

Supply Structure

The FRANKE GROUP has historically dominated the French market for stainless steel kitchen sinks through its BENTHOR/CTI and FRANKE brands. The first worldwide manufacturer for stainless steel sinks, the FRANKE GROUP, offers a vast range of sinks made of stainless steel, synthetic and ceramic materials, as well as taps and mixers. Then TEKA, a Spanish company, is present in the French stainless steel kitchen sink market through its TEKA brand. The company mainly produces inset sinks, undermount sinks and kitchenettes. Finally, most of MODERNA's production consists of kitchenettes. A leader in the kitchenettes segment, it also sells inset sinks. Other identified players are the French importer for ALVEUS sinks (owned by the Slovenian KOVINOPLASTIKA); NORD INOX, the French importer of PYRAMIS sinks (owned by the Greek PYRAMIS); REGINOX, a Dutch company manufacturing inset sinks; and ASTRACAST, selling inset and undermount sinks.

In the synthetic kitchen sink segment, BRG distinguishes between granite/quartz composite sinks and SMC (sheet moulding compound) sinks, since manufacturers are generally specialists. The production of granite/quartz composite materials often takes place in France under licence from the German SCHOCK, which supplies the basic mixture of granite/quartz composite materials for many manufacturers such as FRANKE, LUISINA, and JACOB DELAFON. There are three main players in the segment. FRANKE is the leader and owns the FRAGRANIT material/brand made under licence from SCHOCK. Then, BLANCO, part of the EGD GROUP, is well known for inset sinks made of two different materials: Silacron and Silgranit. Finally, LUISINA imports and distributes SCHOCK sinks under its own brand name (OEM agreement), and manufactures its own sinks under licence from SCHOCK in SCHOCK factories. LUISINA sinks are sold under different brands, including LUISIGRANIT and LUISIQUARTZ. LUISINA is distributed by JFA, the leader of the retail trade channel for inset sinks in France.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

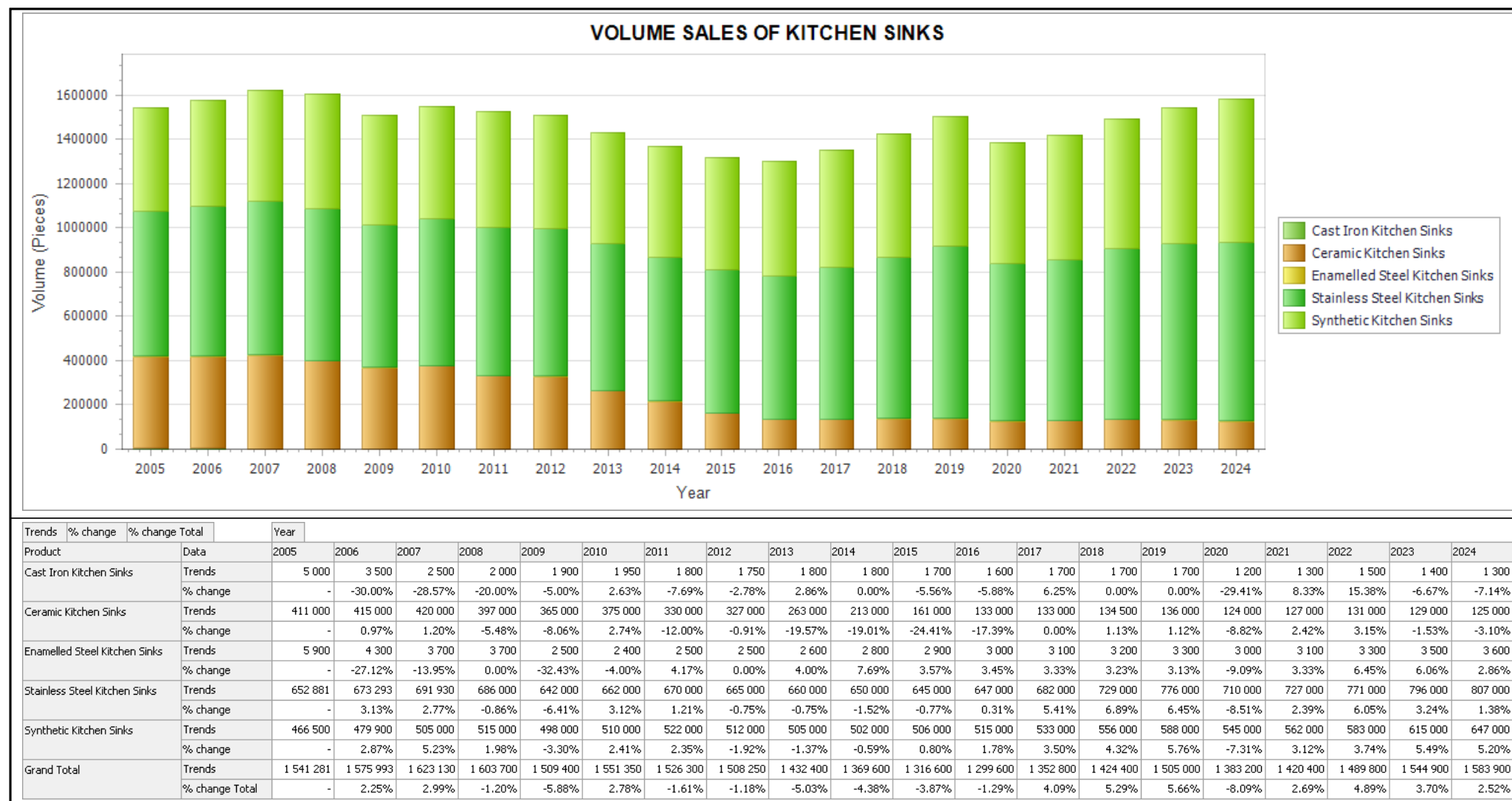
The sanitary crisis in 2020 is expected to impact negatively all products in the kitchen sink market in 2020 and -to a lesser extent- in 2021. From 2022 onwards, the market should resume growth. The kitchen renovation segment should also continue to be a key driver as regards the sale of kitchen sinks, as French consumers are willing to improve the design and aesthetics of their kitchens. Nevertheless, the growth in the renovation segment should be limited by the fact

that the market is fairly saturated and the average lifespan of a kitchen sink is around 20 years. Plus, the renovation activity is expected to significantly decrease in 2020 and 2021 due to the COVID-19 outbreak.

In terms of product mix, trends in the kitchen sink market in 2020 are likely to be largely consistent with those witnessed throughout 2019 – with stainless steel comprising the bulk of sales of kitchen sinks, while synthetic models should continue to be driven by kitchen renovations due to their ease of installation.

8.2 Historical Trends and Forecasts : Kitchen Sinks

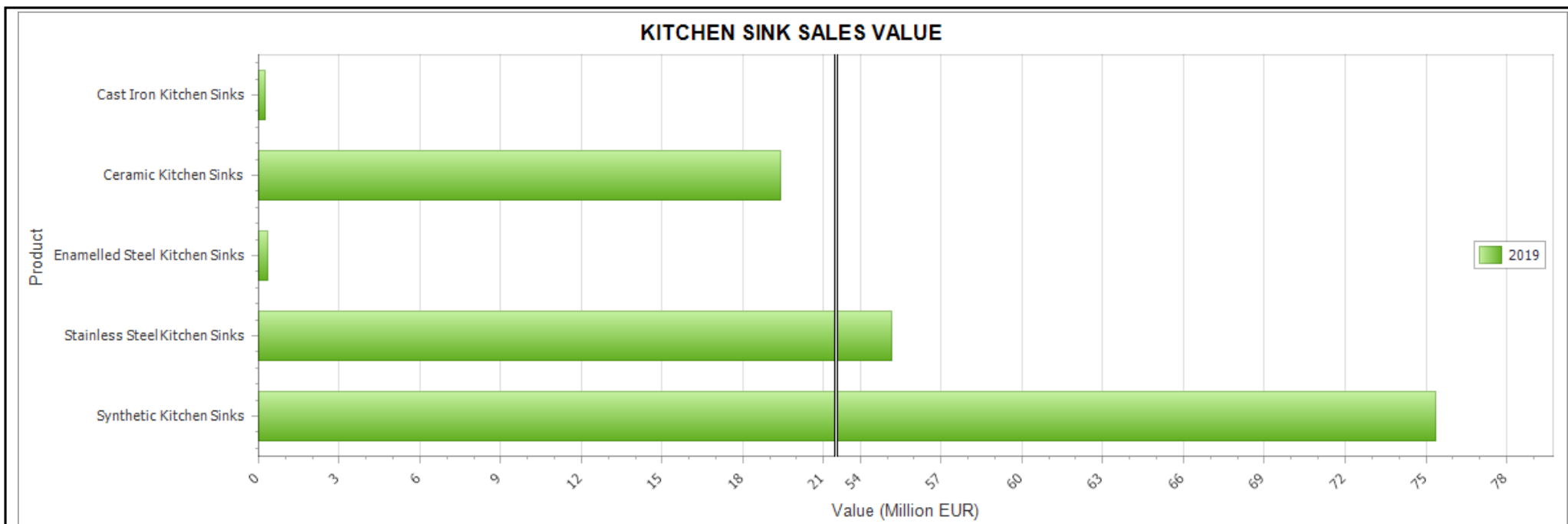
FR - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

FR - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

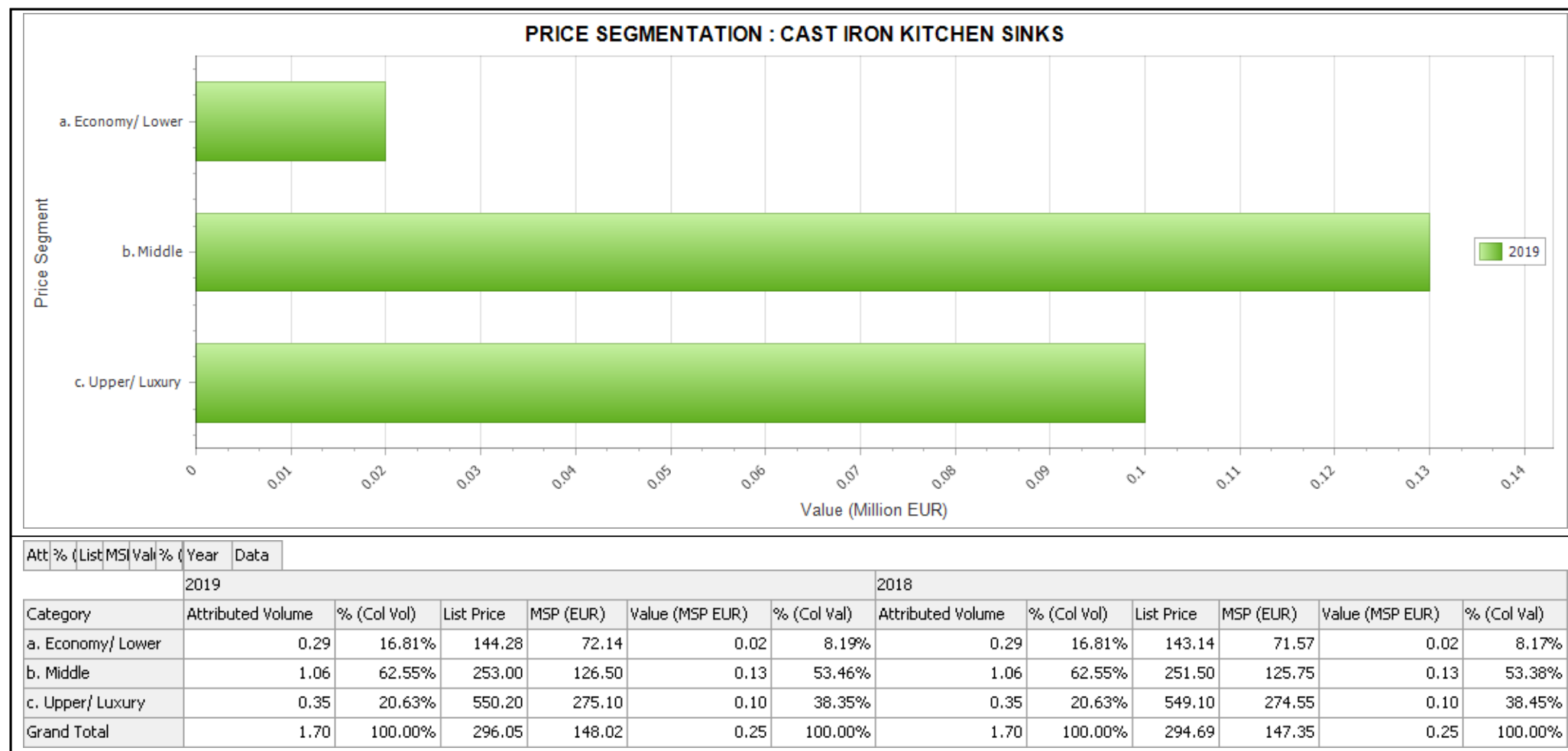


Volumes	MSP (EUR)	Value (MSP)	Year	Data			
				2019	2018		
Product	Volumes	MSP (EUR)	Value (MSP EUR)		Volumes	MSP (EUR)	Value (MSP EUR)
Cast Iron Kitchen Sinks	1 700	148.06	0.25		1 700	147.38	0.25
Ceramic Kitchen Sinks	136 000	142.62	19.40		134 500	141.04	18.97
Enamelled Steel Kitchen Sinks	3 300	102.95	0.34		3 200	102.48	0.33
Stainless Steel Kitchen Sinks	776 000	71.10	55.17		729 000	71.33	52.00
Synthetic Kitchen Sinks	588 000	128.16	75.36		556 000	128.03	71.18
Grand Total	1 505 000	100.01	150.52		1 424 400	100.21	142.73

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Cast Iron Kitchen Sinks

FR - ESTIMATED PRICE SEGMENTATION FOR CAST IRON KITCHEN SINKS

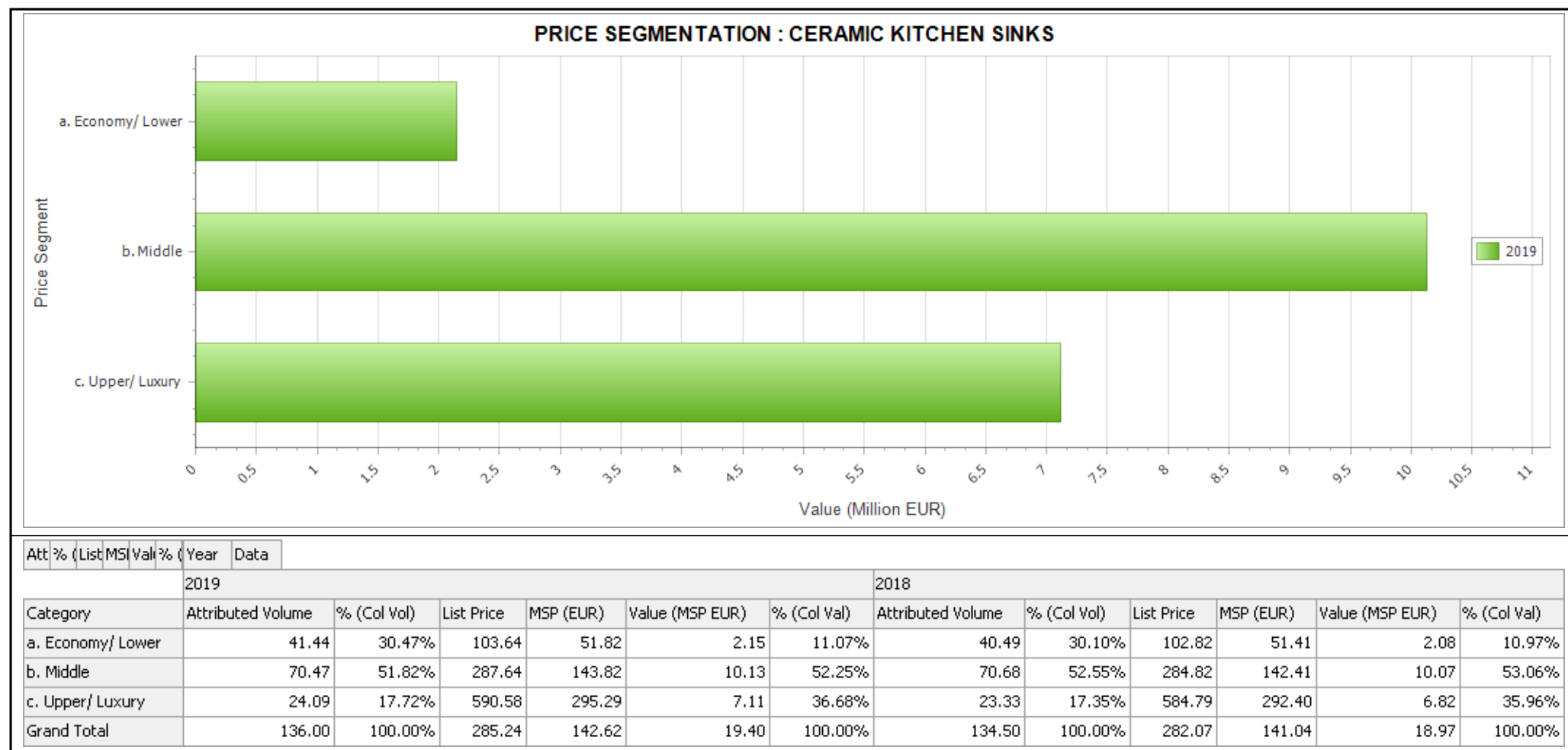


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.3.3 Price Segmentation : Ceramic Kitchen Sinks

FR - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

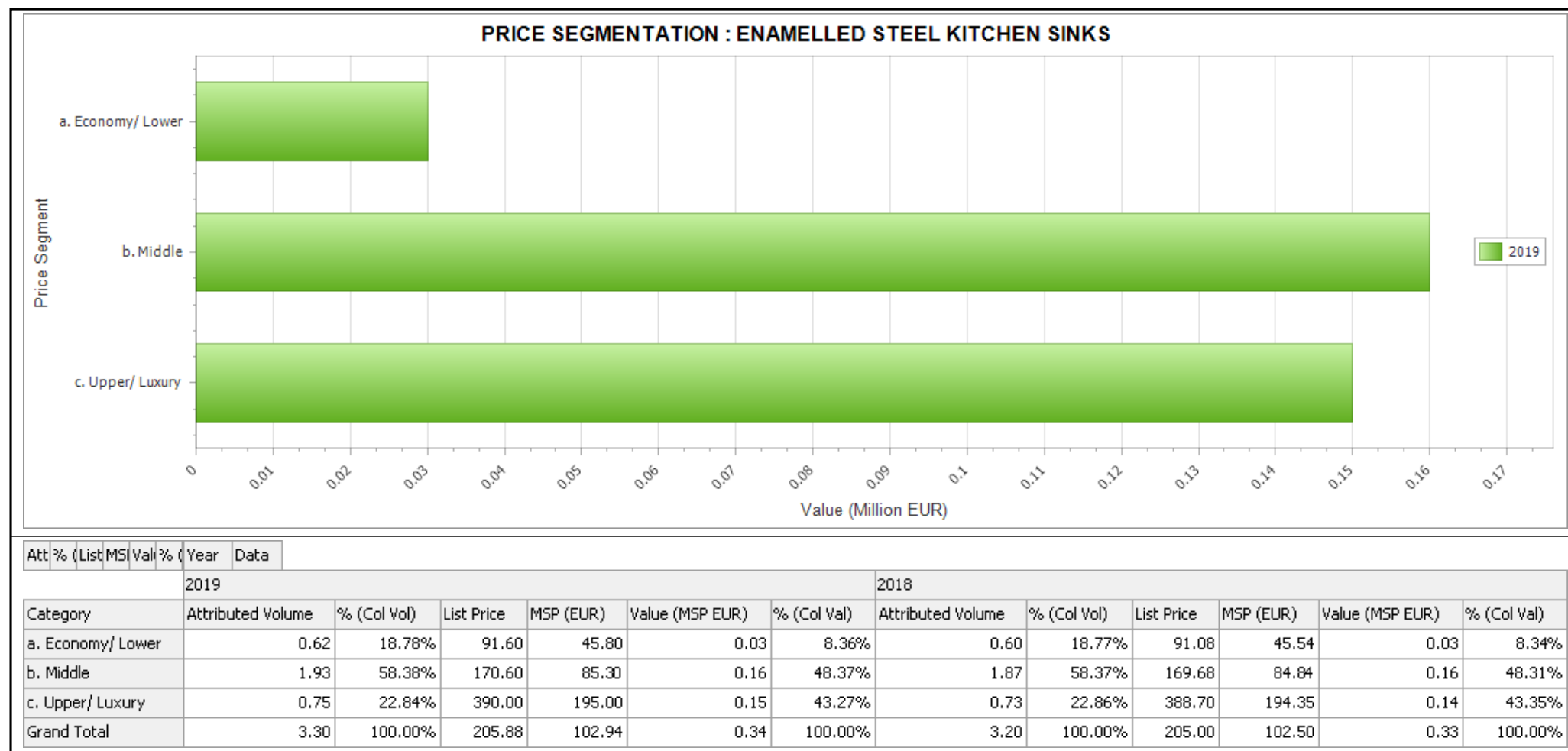


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.3.4 Price Segmentation : Enamelled Steel Kitchen Sinks

FR - ESTIMATED PRICE SEGMENTATION FOR ENAMELLED STEEL KITCHEN SINKS

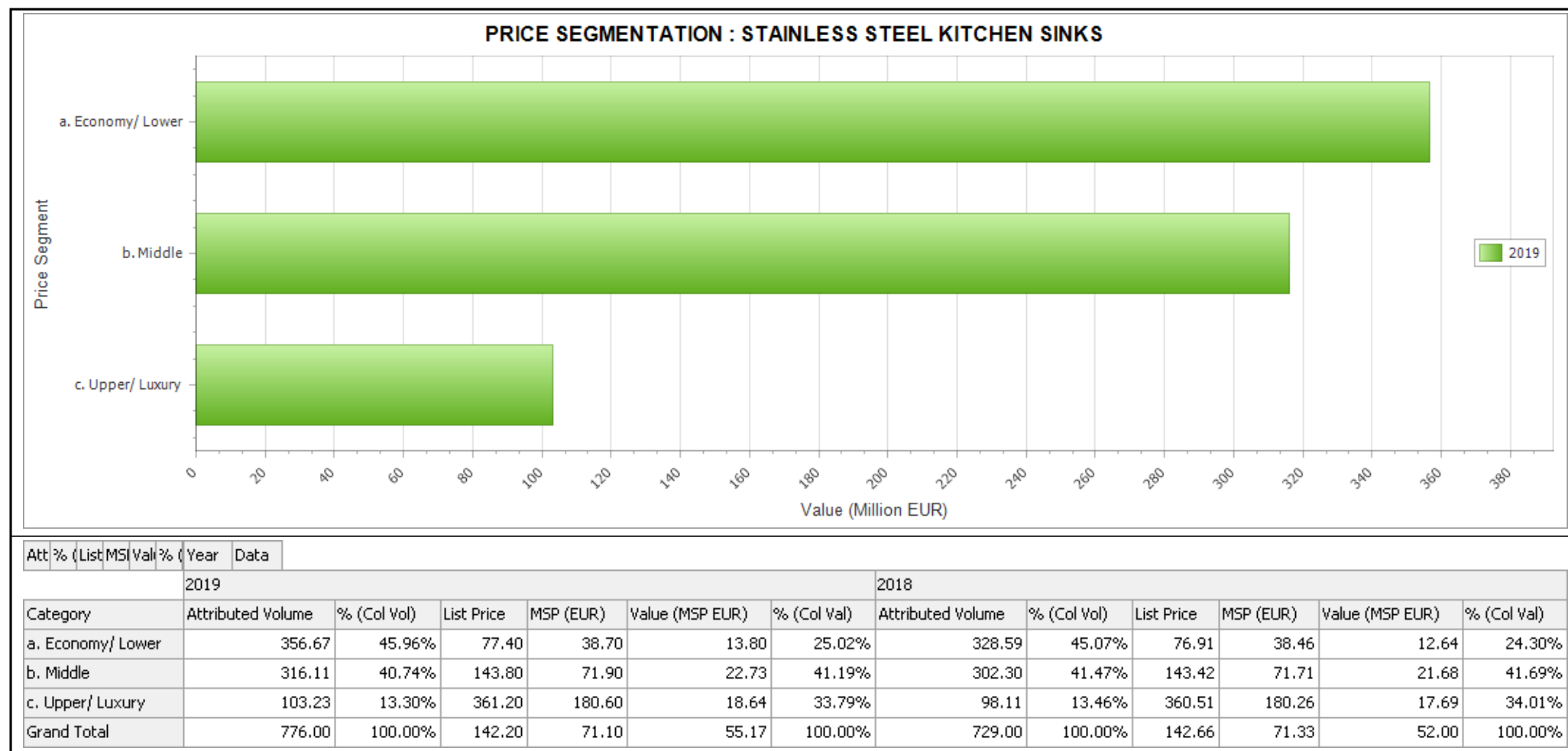


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

8.3.5 Price Segmentation : Stainless Steel Kitchen Sinks

FR - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

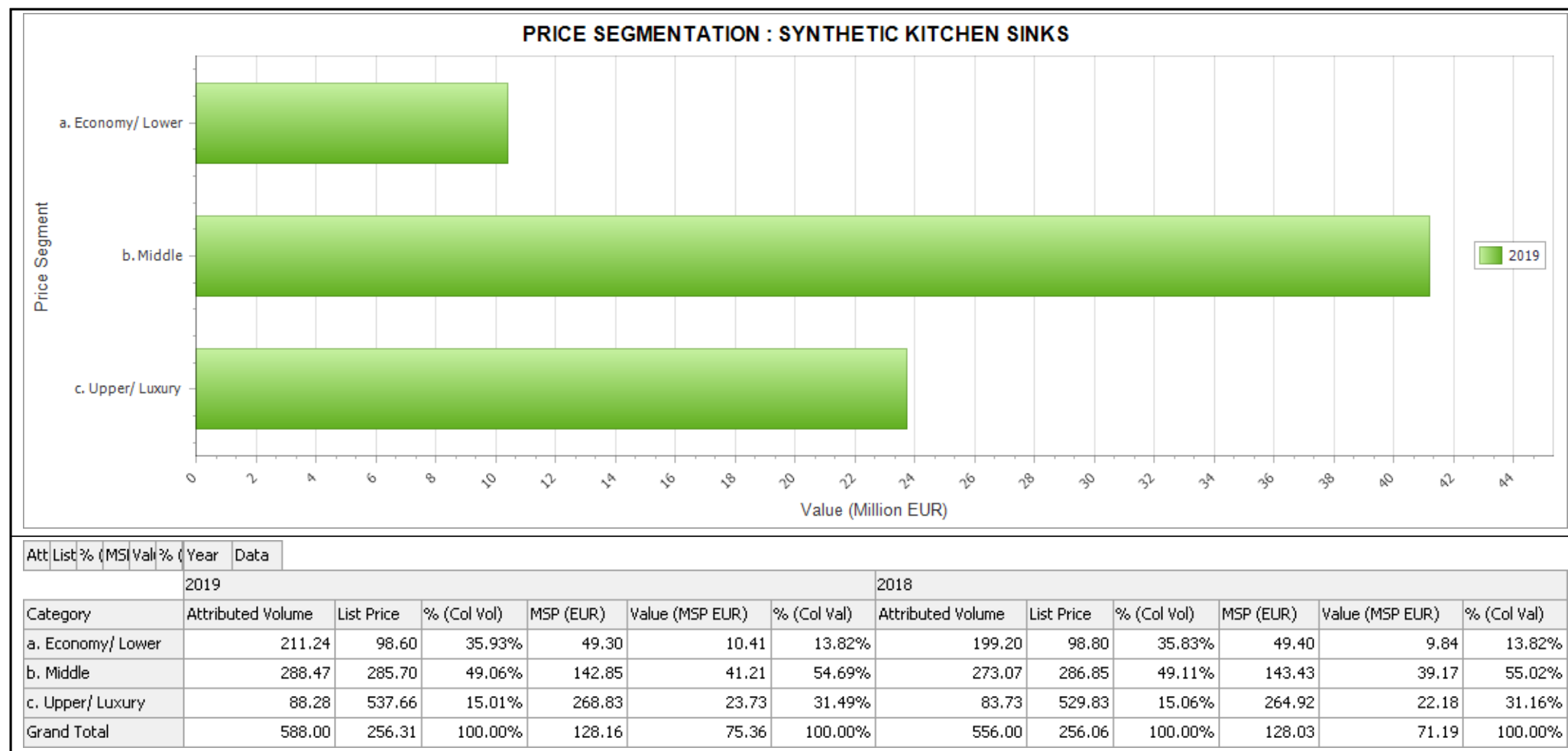


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.3.6 Price Segmentation : Synthetic Kitchen Sinks

FR - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

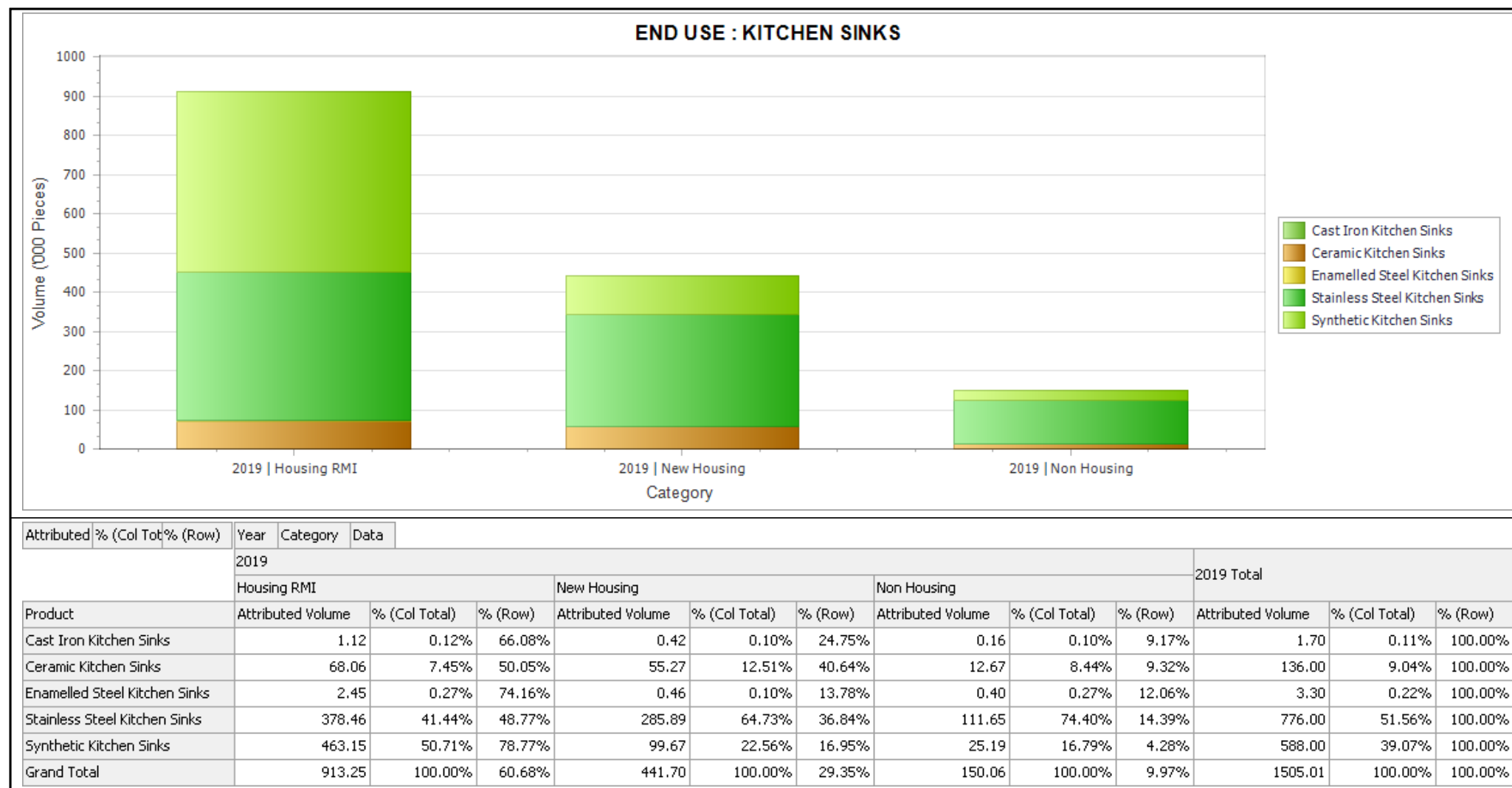


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.4.1 End Use : Base Year

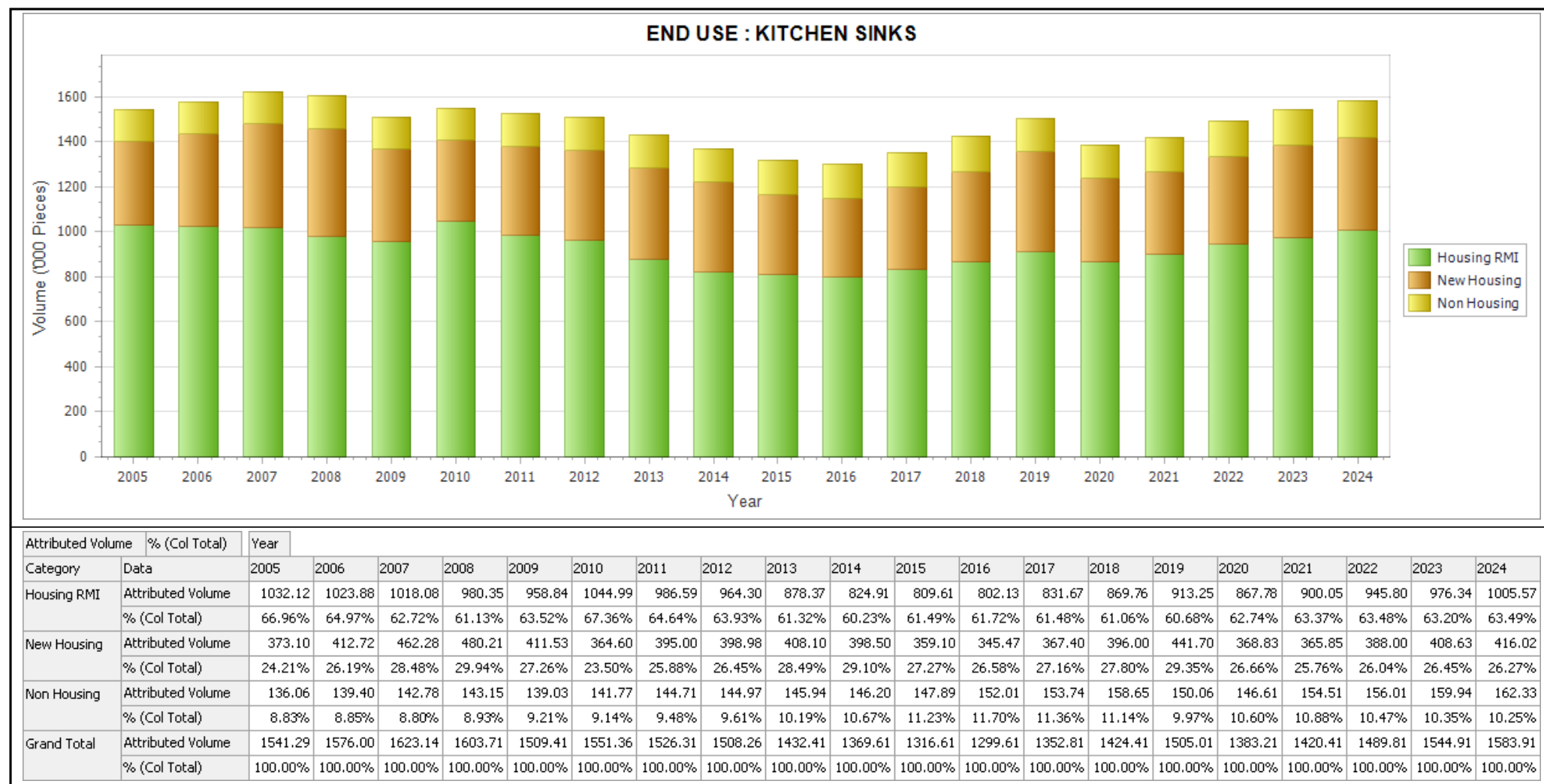
FR - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

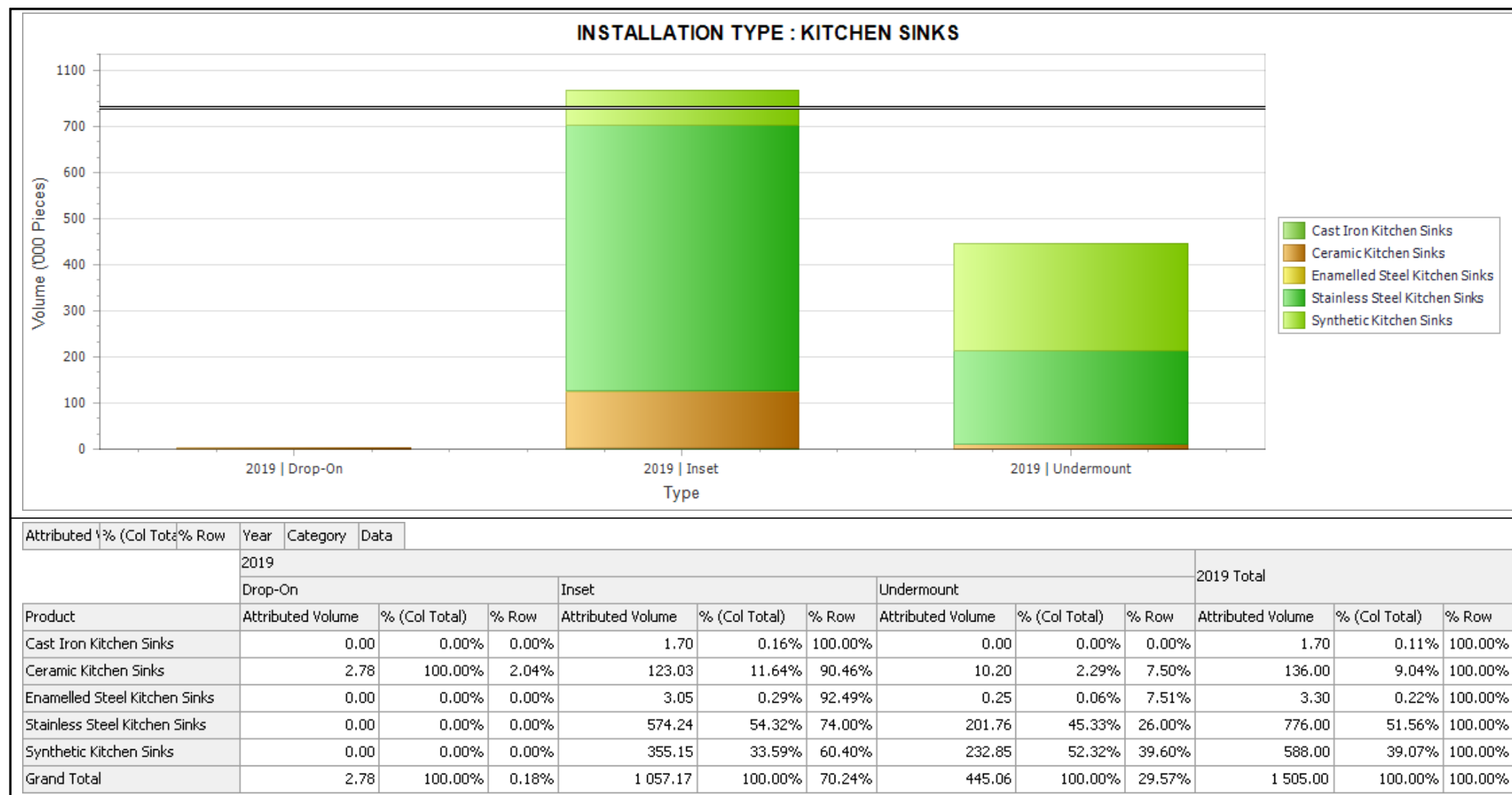
FR - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

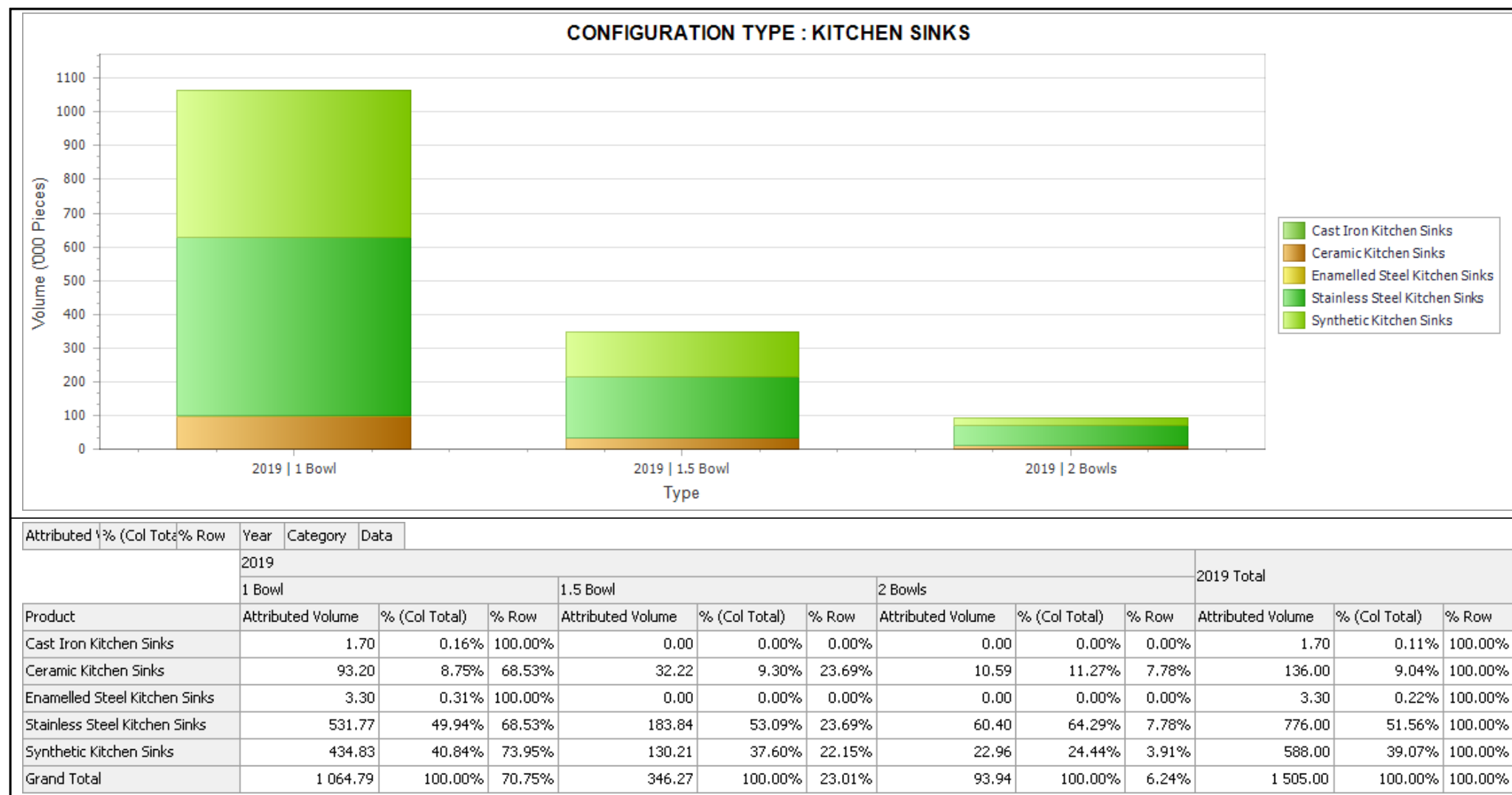
FR - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

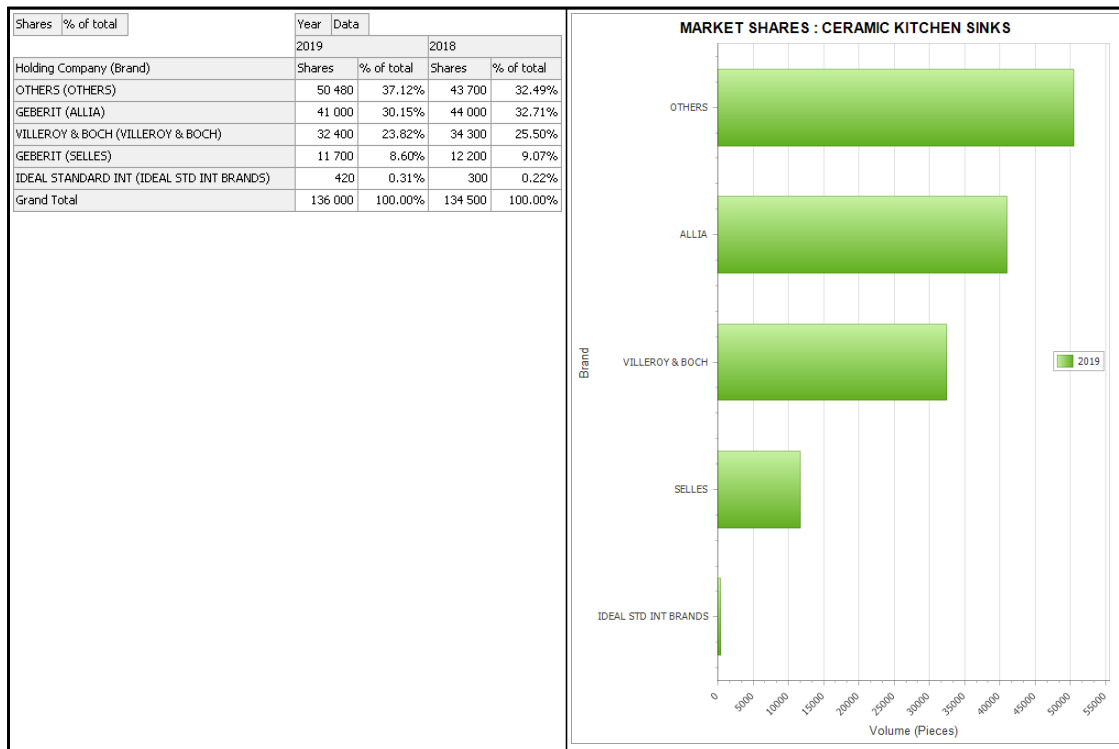
FR - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

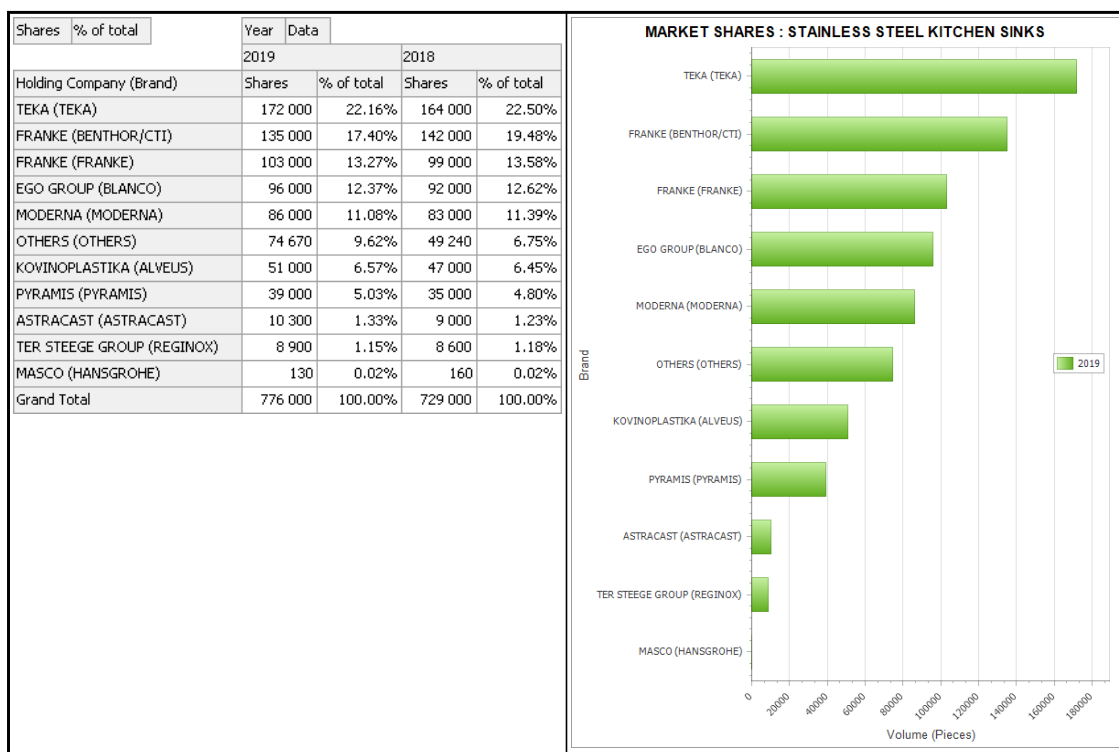
FR - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

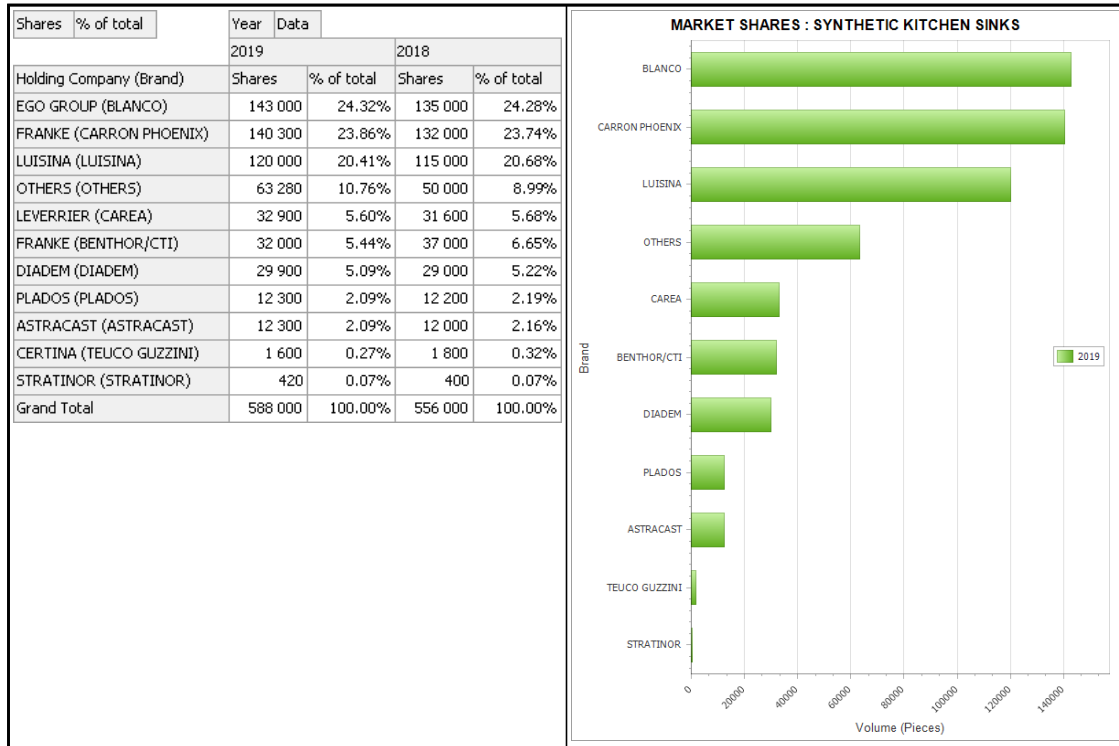
FR - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

FR - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

60.5%
Worktop Manufacturers
60.5%

Wholesale Level

Manufacturers	Worktop Manufacturer
9.9%	13.9%
Wholesalers / Merchants	
23.8%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
2.4%	0.8%	1.0%
Internet Retailers		
4.2%		

Manufacturer	Worktop Manufacturer	Wholesaler
11.0%	0.0%	2.0%
DIY Retailers		
13.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
9.3%	26.3%	1.4%
Specialist Retailers		
37.0%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	17.7%	10.0%	1.9%	1.0%	0.1%
Installers					
30.7%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
6.8%	0.2%	9.4%	2.3%	12.0%	36.9%	22.4%
Residential						
90.0%						
New Build				Residential RMI		
29.3%				60.7%		
Project		Non-Project		Project		Non-Project
20.0%		9.3%		4.5%		56.2%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.6%	0.0%	0.0%	0.0%	0.0%	8.4%
Non-Residential						
10.0%						
New Build				Non-Residential RMI		
7.7%				2.3%		
Project		Non-Project		Project		Non-Project
2.0%		5.7%		0.2%		2.1%

8.6.2

Route to Market: Kitchen Sinks
FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

58.2%
Worktop Manufacturers
58.2%

Wholesale Level

Manufacturers	Worktop Manufacturer
9.3%	13.4%
Wholesalers / Merchants	
22.7%	

Manufacturer	Worktop Manufacturer	Wholesaler
2.7%	1.3%	1.0%
Internet Retailers		
5.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
11.0%	0.0%	1.7%
DIY Retailers		
12.7%		

Manufacturer	Worktop Manufacturer	Wholesaler
9.0%	26.3%	1.9%
Specialist Retailers		
37.2%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	16.4%	10.0%	2.3%	1.0%	0.1%
Installers					
29.8%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
9.8%	0.2%	8.1%	2.7%	11.7%	37.1%	20.2%
Residential						
89.8%						
New Build				Residential RMI		
26.3%				63.5%		
Project		Non-Project		Project		Non-Project
20.0%		6.3%		5.6%		57.9%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.6%	0.0%	0.0%	0.0%	0.0%	9.6%
Non-Residential						
10.2%						
New Build				Non-Residential RMI		
7.1%				3.1%		
Project		Non-Project		Project		Non-Project
2.0%		5.1%		0.3%		2.8%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

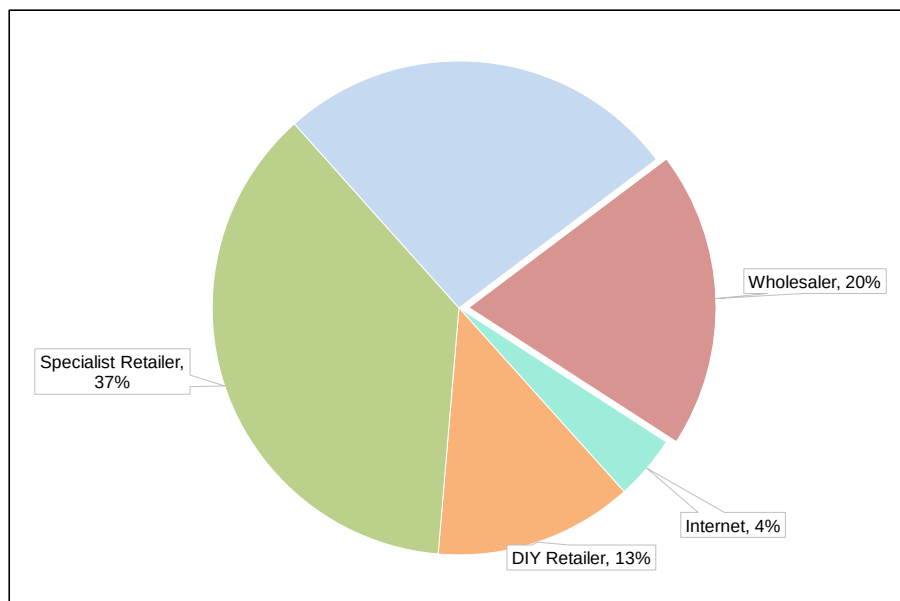
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.4%	4.2%	13.0%	37.0%	26.3%	24.5%	2.2%	65.5%	7.8%
100%					26.7%		73.3%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

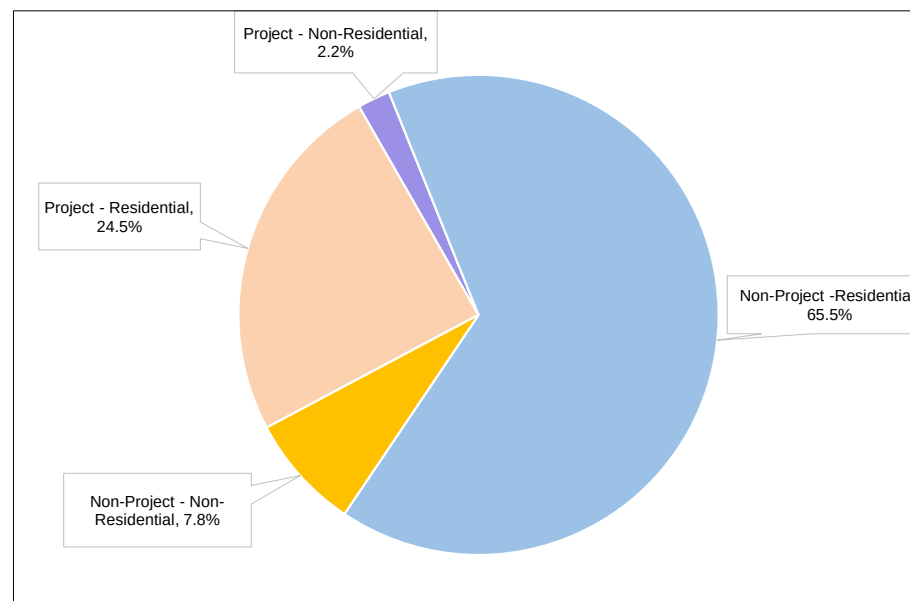
FR - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.1%	5.0%	12.7%	37.2%	27.0%	25.6%	2.3%	64.2%	7.9%
100%					27.9%		72.1%	

FR - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



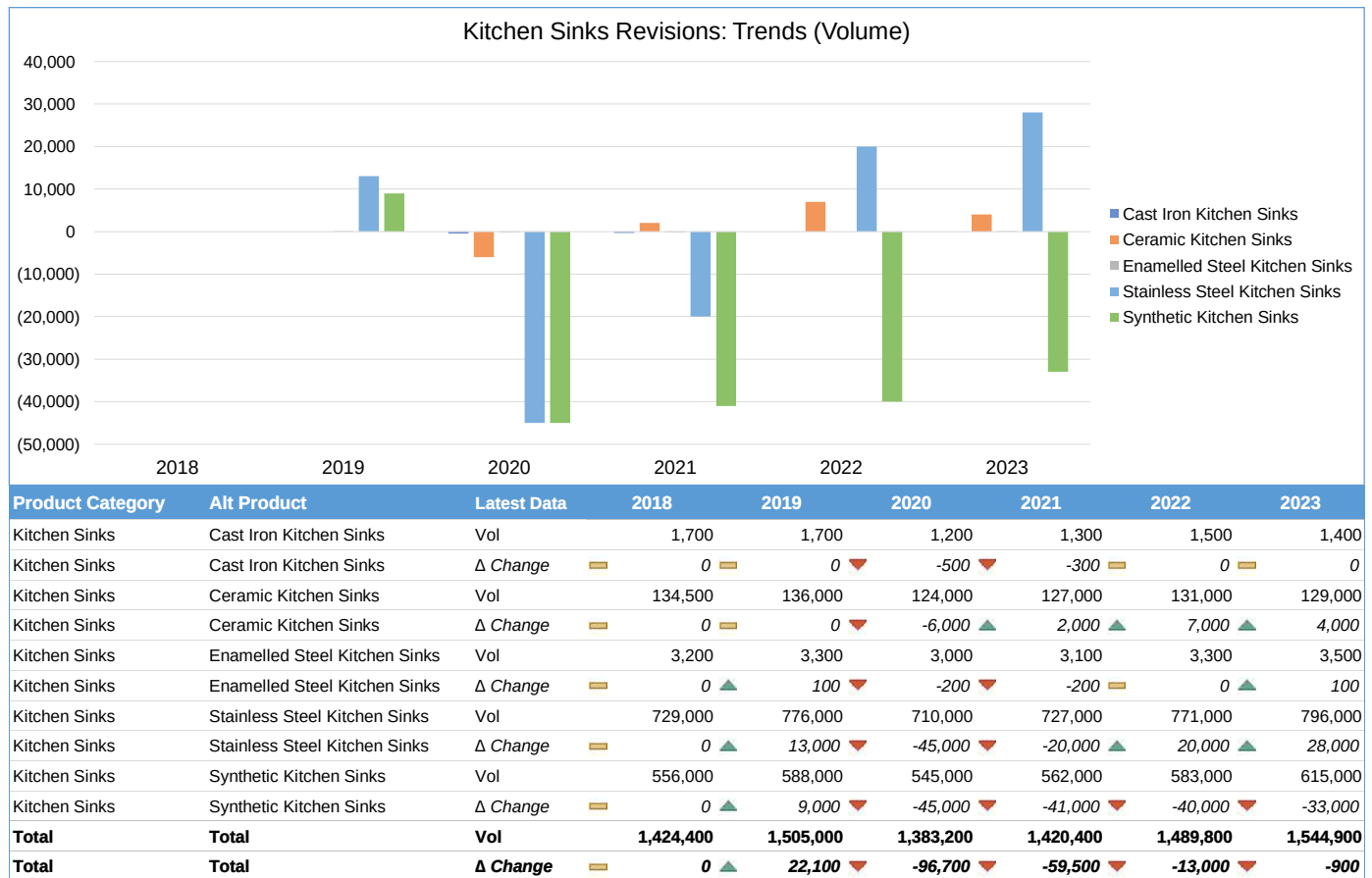
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the French Kitchen Sinks Market (April 2020)

FR - REVISIONS IN THE FRENCH KITCHEN SINKS MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

FRANCE

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Overall, the French kitchen taps and mixers market follows a similar trend as the overall taps and mixers market, and experienced uninterrupted growth over 2002-2007 due to solid construction output (including significant activity in the non-residential sector), high consumer confidence and increasing purchasing power. As with many other markets, the kitchen taps and mixers market was impacted by the crisis of 2008, which was characterised by subdued construction activity and a drop in purchasing power.

Historically, the increase in sales of one head taps and mixers (*mitigeurs*) came from a certain democratisation – which was enhanced by the growth of the DIY channel and the aggressive price positioning of international competitors. Of these international players, most were Italian manufacturers. Therefore, the product mix has been dominated in the last few decades by one head mixers in the kitchen taps and mixers market, and these are the most popular models in both the new housing and housing RMI sectors. On the other hand, sales of two head taps and mixers (*melangeurs*) have followed an opposite pattern and have been constantly declining since the end of the 1990s.

In France, pillar taps are mainly used for cold water applications (they are hardly ever fitted in pairs) and are not very popular in kitchens. Sales of pillar taps are mainly distributed through DIY stores, as these are mainly replacement sales. The French market for kitchen taps and mixers offers both coloured and chrome finishes. The colour of kitchen taps and mixers is often chosen according to the colour of the sink. In recent years, however, sales of coloured mixers have decreased, especially lacquered mixers, due to the fact that consumers have favoured functional features over aesthetics. Not only is the lifespan of chromed taps and mixers longer, but these products are perceived to be more attractive and seen by consumers as more traditional products.

Recently, specialist manufacturers of taps and mixers, to differentiate their offer, have gradually focused their development on innovative products – not only in terms of design and colours but also by aiming to reduce the consumption of water and energy. In fact, some manufacturers have developed new taps and mixer models in order to obtain the French certification for taps and mixers (NF robinetterie). Initially, there was the certification C2 for one head mixer cartridges that helped to reduce the water flow of mechanical mixers by 50%. Then, as part of the RT 2012, the certification C3 was introduced for cartridges that, on top of being water-saving, added an energy saving of up to 5% (2 kWh/m²/year) for one head and thermostatic models. Finally, on 1 January 2014, the classification CH3 was introduced for cartridges of thermostatic and one head models that help to reduce the flow of water from 9-12 litres/min to 5-6 litres/min.

Recent Market Trends

French kitchen taps and mixers recorded another positive year in 2019, positively driven by the sharp increase in new completions, for both apartment buildings and family houses. The renovation market increased in 2019, sustained by the sharp increase of real estate transactions, coupled with the encouraging macroeconomic factors. With renovation activity remaining the most important segment of this market, the kitchen taps and mixers market experienced a more dynamic year when compared to 2018. In fact, both renovation and new construction in the residential segment recorded a sharper increase, in comparison to 2018, contributing to the overall better performance. Demand from the non-housing segment also recorded growth in 2019, as new construction output increased throughout the year. BRG believes that the wide range of offers and services available in the French kitchen taps and mixers market has played an important role and, therefore, has allowed the market to continue on an increasing curve.

The product mix continued in 2019 to be largely dominated by sales of one head mixers in the kitchen taps and mixers market, and they remained the most popular models in all sectors. Sales of two head mixers rebounded in 2019, pushed by the dynamism of the new housing sector. BRG believes that sales of thermostatic, self-closing and pillar taps and mixers are almost non-existent in the kitchen market, as they are not adapted to kitchen needs. On the other hand, sales of electronic taps and mixers are increasing in the kitchen market, but they still suffer from an expensive retail price when compared to one head and two head mixers.

Prices and Market Values

The overall value of the kitchen taps and mixers market went up in 2019, due to increasing sales volumes, while the average price, at MSP (manufacturers' selling price) remained flat, despite the marginal increase of the upper and luxury price segment. The one head mixer is a product wherein larger manufacturers focus their attention and compete on prices as a result of their high level of penetration in French kitchens and a lower level of innovation and design. The electronic segment continued to increase in price and remained the most expensive one. Plus, the MSP for two head taps and mixers increased slightly in the kitchen market, as some consumers opted for more luxury and designer models for their kitchens.

New Housing

As previously stated, sales of kitchen taps and mixers installed in the new housing segment increased in 2019, in line with the ongoing recovery of the new housing market. Sales of kitchen taps and mixers in new housing are closely linked to the new housing market activity, since at least one set of mixers is sold per new house built. With regards to the product mix, one head mixers continue to dominate the new housing market, while sales of electronic models are growing slightly within this end-use sector. Sales of two head mixers also went up in 2019, as some French consumers still appreciate their functionality and aesthetics in the kitchen.

Housing RMI

As previously mentioned, the housing RMI segment comprises the bulk of sales of kitchen taps and mixers. RMI experienced an increase in sales during the course of 2019. With many of the sales of kitchen taps and mixers explained by the kitchen remodelling activity, the sharp increase of real estate transactions throughout the year drove the renovation segment to a more important increase, in comparison with 2018. Within this segment, one head mixers still accounted for the largest part of sales in 2019, although the large majority of two head mixers' sales also go into this end-use segment. Kitchen taps and mixers' demand in the RMI sector comprises a distinct contrast, with consumers at one end opting for cheap like-for-like replacements and those at the other end purchasing designed and luxury taps and mixers (with two head mixers being increasingly present in the segment). As kitchen taps and mixers are frequently changed on their own due to their short lifespans, consumers are willing to spend more on their kitchen taps and mixers, with style and fashion playing a much more important role. In fact, on average, kitchen taps and mixers in France are replaced every seven to ten years while, in comparison, bathroom taps and mixers last on average 15 years.

Non-Housing

Demand for taps and mixers coming from the non-housing market recorded growth in 2019, when compared to 2018. Most kitchen taps and mixers sold in the non-housing sector were one head mixers. One head taps are believed to be the preferred solution for hospitals, hotels, offices and restaurants in France. The installation of these products in hospitals and restaurants allows for compliance with hygiene standards, whilst also providing luxury features for offices and hotels. Two head mixers have rebounded in the segment due to the increasing aesthetic of the products, and this places them also in the luxury segment. Non-housing is where innovative product types, such as electronic taps, are increasingly being installed.

Supply Structure

The main feature in the supply of kitchen taps and mixers in France lies in the increasing penetration and dominance of imports. Initially imports came from Italy, Spain and Germany, but more recently low-cost imports from China have entered the market. Consequently, many suppliers have relocated their production plants to Spain, Italy, Eastern Europe and North Africa, in order to stay competitive in France.

The supply structure of the French kitchen taps and mixers market is fairly fragmented, but the top five players, namely GROHE, KRAMER, JACOB DELAFON, HANS GROHE, and IDEAL STANDARD continued to dominate the market. French producers are present with small volumes. These companies specialise in premium product ranges. The companies are THG and CHAVONNET (which specialises in the institutional sector, especially the health sector). Most

French manufacturers are believed to be *conditionneurs* (which is specific to the French market). The term *conditionneur* means that a company imports unbranded products, often unassembled, before repackaging and rebranding them under its own name.

Among companies exporting directly to France, a geographical split can be seen between Italian manufacturers (such as OTTONE MELODA, ZUCCHETTI, PAINI, NOBILI, CALEFFI, CISAL, and MAMOLI), Spanish manufacturers (such as ROCA, KRAMER, and RAMON SOLER), and German and Scandinavian manufacturers (such as HANSA, ORAS, KLUDI, and HANSGROHE) – all of which are selling in the middle and upper price segments.

Among the ‘OTHERS’ category, BRG includes Chinese exporters whose products are sold directly to DIY retailers as unbranded products. From 2005 onwards, they also started to sell their products to wholesalers. Indeed, CEDEO imports Chinese products and sells them under its own brand.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

With the impact of the sanitary crisis in 2020, the number of accumulated new housing projects increased. It is difficult to predict the real impact on the economic slowdown on new housing in the short term. It is expected that new housing will decline significantly in 2020 and the effects will still be carried over into 2021. However, from 2022 a rebound in new housing completions is expected, coupled with a more dynamic renovation activity, and should boost the sales of the overall market.

In terms of product mix, trends in the kitchen taps and mixers market in 2020 are likely to be largely consistent with those witnessed in the last few years – with one head mixers comprising the bulk of sales of kitchen taps and mixers. Sales of electronic taps should remain at a low level due to their expensive upfront costs.

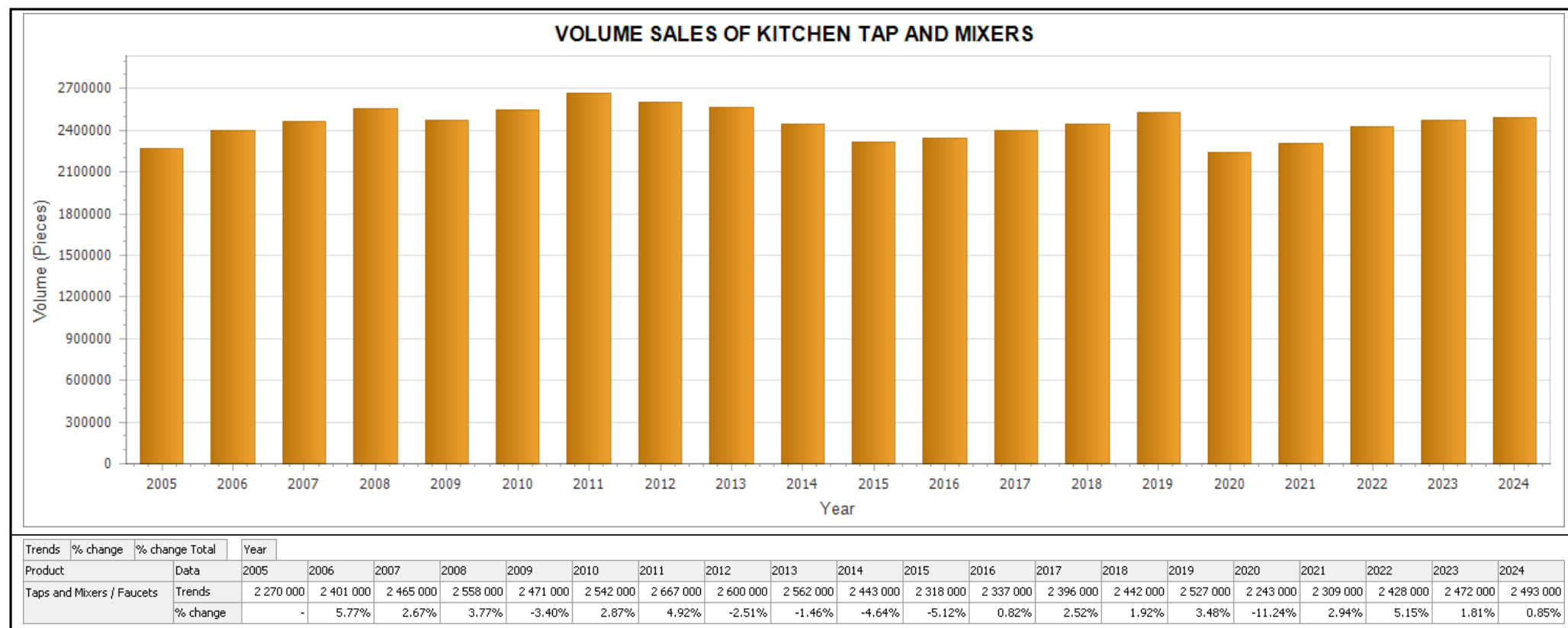
BRG believes that the increase in internet distribution is likely to enable consumers to obtain higher-quality products at lower prices, and such a trend is likely to put pressure not only on traditional distribution channels (such as independent merchants and DIY stores) but also small-sized manufacturers. From 2022 onwards, sales of kitchen taps and mixers are expected to rebound, in line with the predicted increase in the number of new completions and macroeconomic indicators in France.

Besides the question of water savings and the increased communication around 'WELL', a water efficiency label, the main concern is the issue of water quality and the need for avoiding lead and nickel contamination. This trend is developing in anticipation of new European directives that focus on a dramatic reduction of lead concentration levels in water, either for water distribution or taps and mixers.

The kitchen taps and mixers market is sensitive to technological developments, due to the recent influx of modern products that are slowly shifting consumer attitudes regarding the product mix. As is normal with many bathroom markets, sales of kitchen taps and mixers also rely heavily on construction output and households' willingness to spend.

9.2 Historical Trends and Forecasts : Kitchen TM

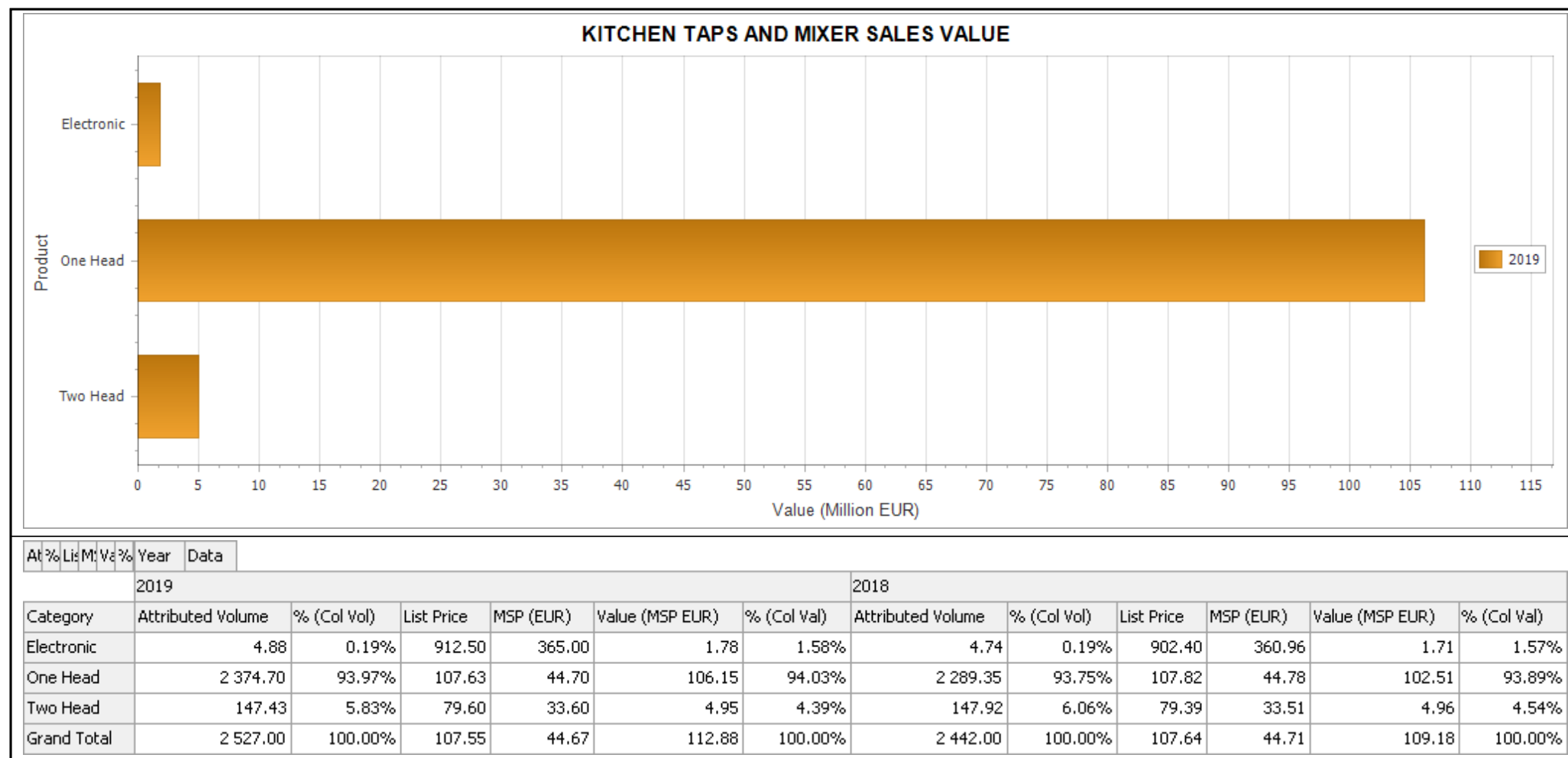
FR - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

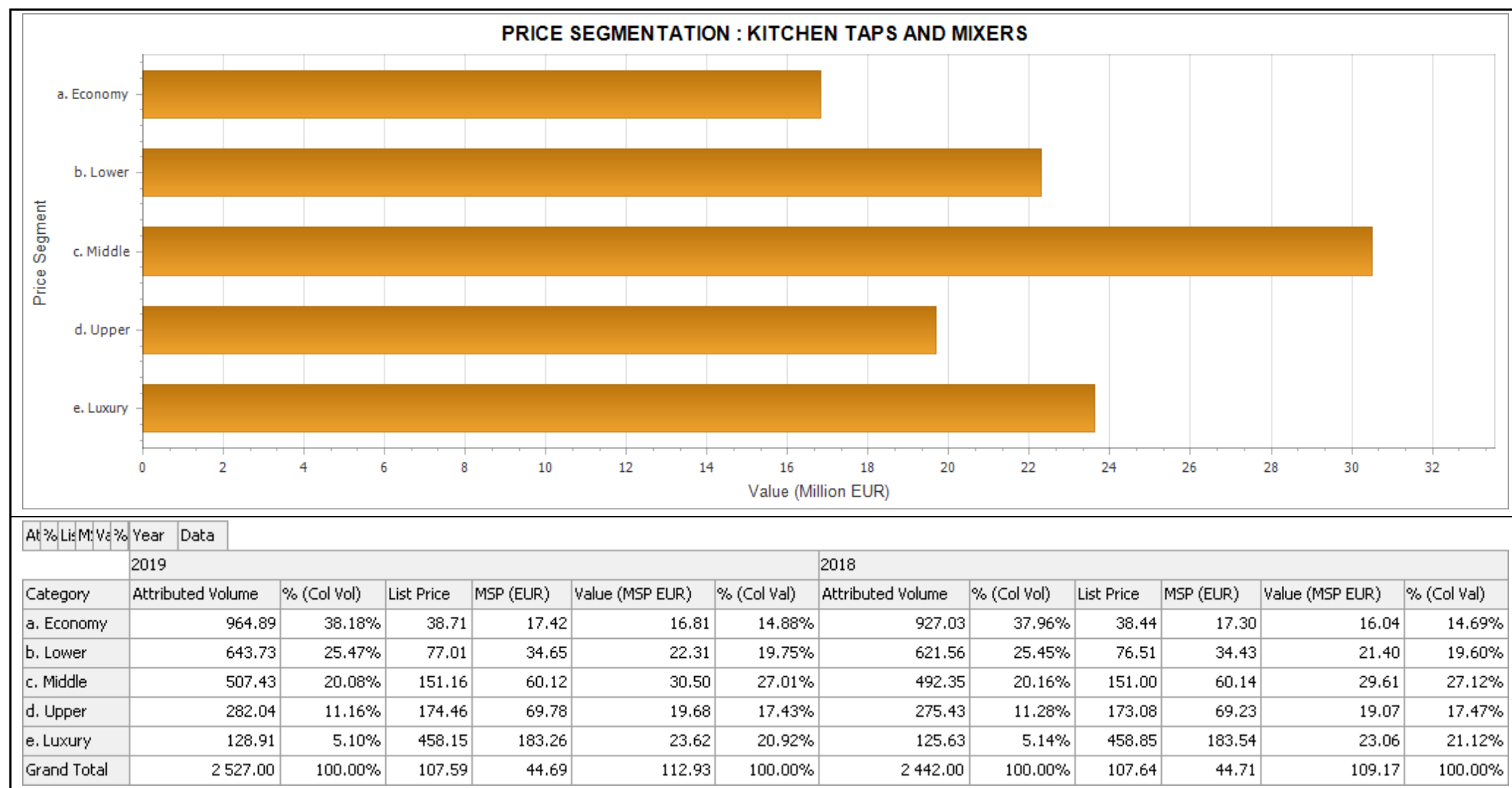
FR - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

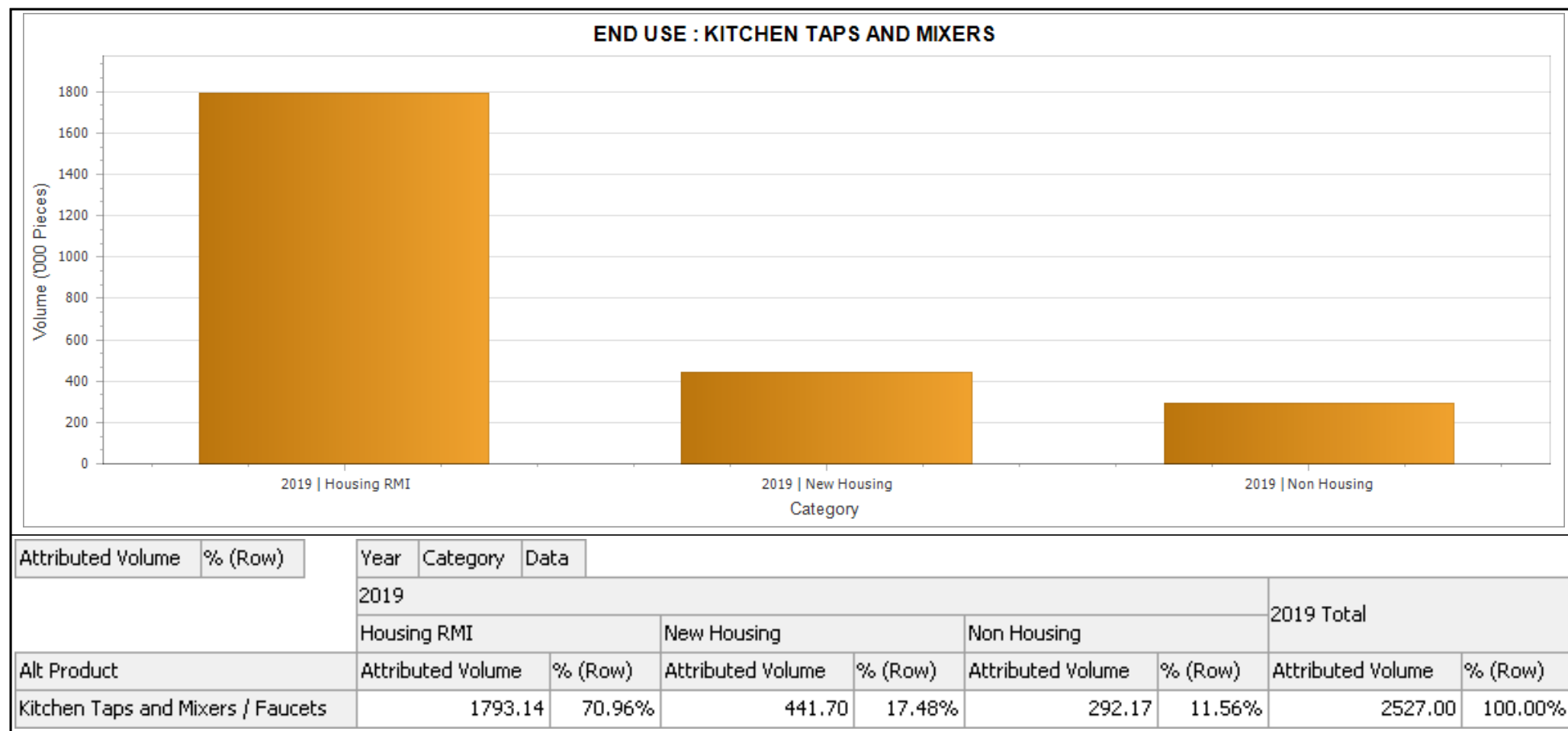
FR - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

9.4.1 End Use : Base Year

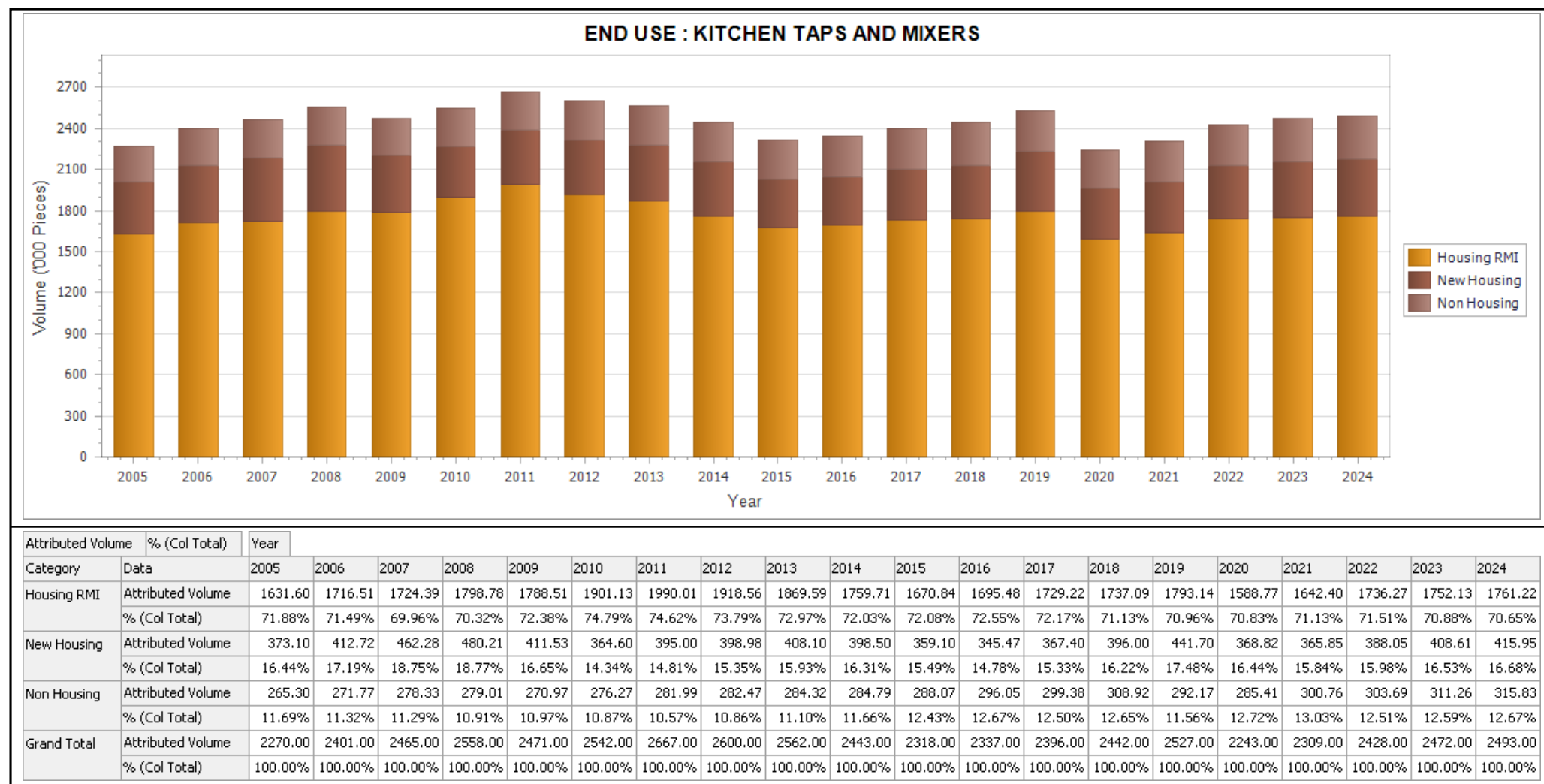
FR - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

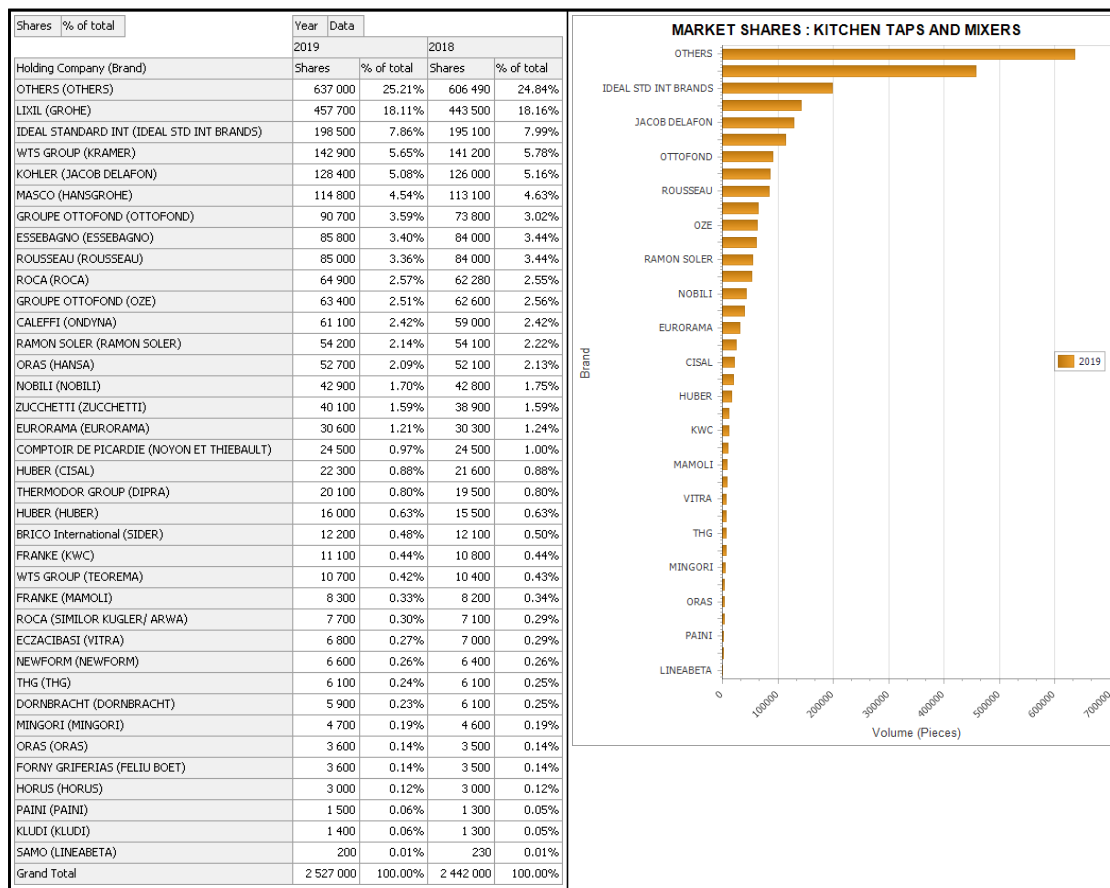
FR - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5 Market Shares : Kitchen Taps & Mixers

FR - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.6%
	Wholesalers / Merchants
	66.6%

Retail Level	Manufacturer 7.6%	Wholesaler 3.9%	Manufacturer 18.2%	Wholesaler 16.5%	Manufacturer 4.2%	Wholesaler 12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.5%		34.7%		16.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	11.0%	2.0%	8.5%	3.0%
Installers				
26.2%				

End Use Level	Manufacturer 1.4%	Wholesaler 12.3%	Internet 9.5%	DIY 26.2%	Specialist 13.2%	Installer 25.8%	Manufacturer 0.3%	Wholesaler 10.9%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 0.3%
	Residential						Non-Residential					
	88.4%						11.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.5%			71.0%			7.5%			4.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	12.6%		4.9%	17.9%		53.1%	7.5%		0.0%	1.9%		2.2%

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	61.2%
	Wholesalers / Merchants
	61.2%

Retail Level	Manufacturer 8.6%	Wholesaler 4.7%	Manufacturer 25.6%	Wholesaler 9.5%	Manufacturer 1.7%	Wholesaler 12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.3%		35.1%		13.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.5%	11.0%	2.0%	8.3%	1.1%
Installers				
23.9%				

End Use Level	Manufacturer 1.4%	Wholesaler 12.7%	Internet 11.3%	DIY 26.8%	Specialist 12.6%	Installer 22.5%	Manufacturer 0.0%	Wholesaler 11.3%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 1.4%
	Residential						Non-Residential					
	87.3%						12.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.7%			70.6%			7.5%			5.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.7%		5.0%	16.9%		53.7%	7.5%		0.0%	1.9%		3.3%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

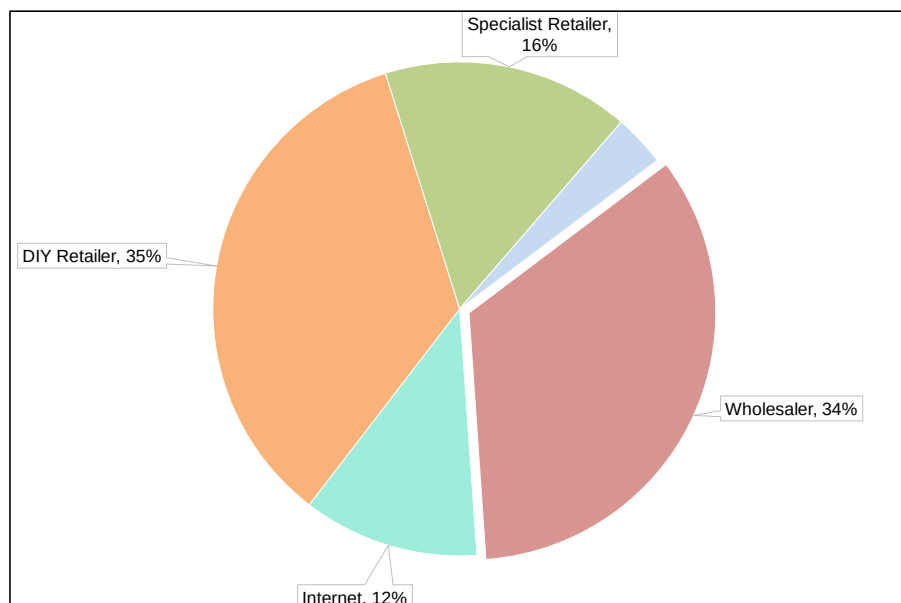
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.2%	11.5%	34.7%	16.2%	3.4%	30.5%	9.4%	57.9%	2.2%
100%					39.9%		60.1%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

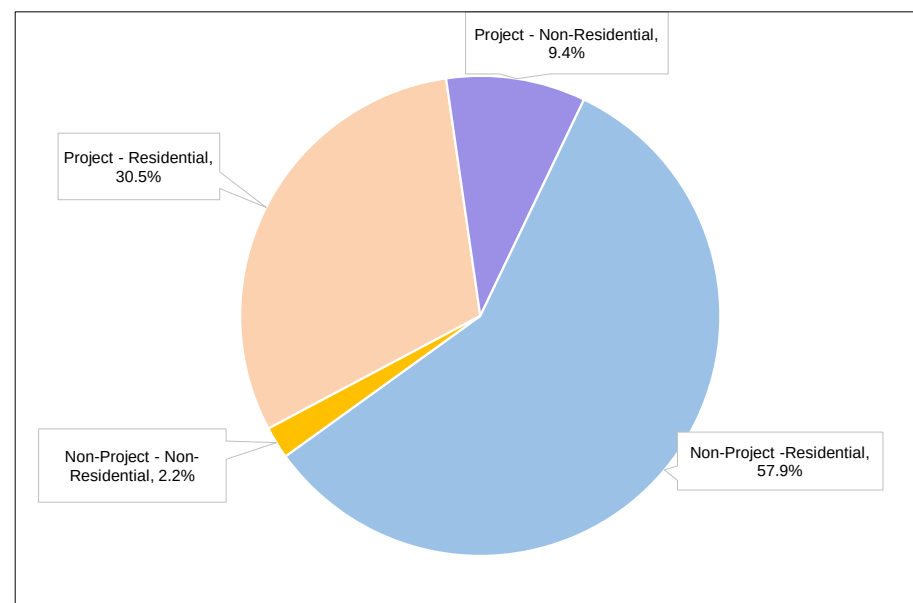
FR - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.0%	13.3%	35.1%	13.7%	2.9%	28.6%	9.4%	58.7%	3.3%
100%					38.0%		62.0%	

FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



FR - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



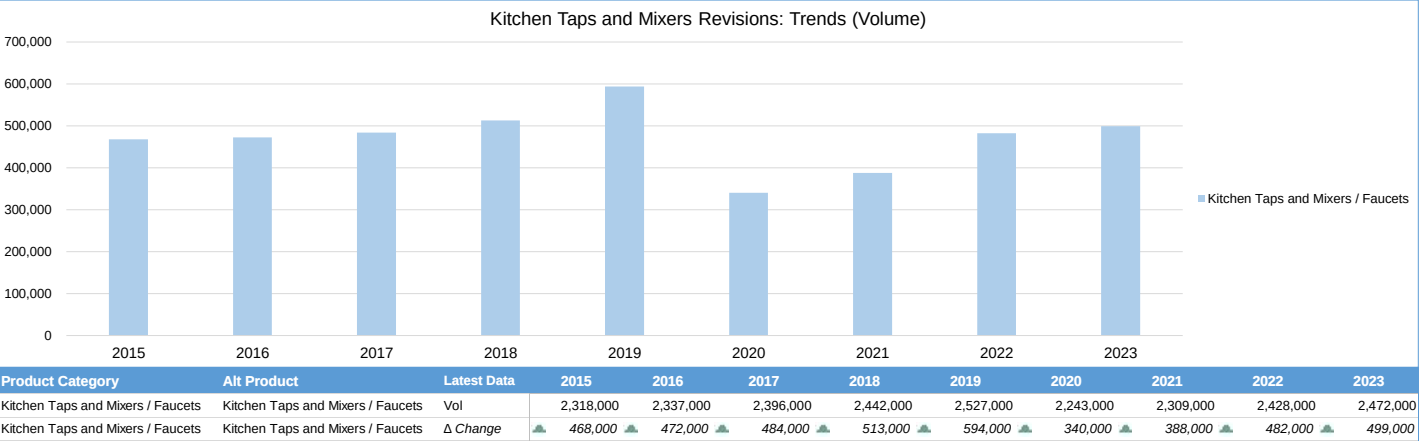
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the French Kitchen Taps and Mixers Market (April 2020)

FR - REVISIONS IN THE FRENCH KITCHEN TAPS AND MIXERS MARKET

Data Comparison: April 2019



Sales in all applications were revised upwards historically due to updated imports statistics and industry feedback. Taps and mixers have one of the highest shares in the replacement segment among all bathroom products due to a short lifespan and low sales price. French consumers appear to be more willing to replace taps and mixers for aesthetic reasons as well.